

# A High-Value Investment Guidebook

What it costs, what it returns, how strong the evidence is

Open source · CC BY 4.0

Updated 2026-10-08 · 24 chapters · 302 entries

# License & Disclaimer

---

The main content of this guidebook is licensed under CC BY 4.0 (Creative Commons Attribution 4.0 International). You are free to share, adapt, and use it commercially, provided you give appropriate credit to the author, leo-bone, and indicate if changes were made. The code (search page, build scripts) is licensed under MIT.

This guidebook is an independently authored, evidence-based methodology handbook and is not investment advice from any institution or individual. All citations follow each organization's latest official releases. Markets carry risk; decisions require independent judgment and consultation with a licensed professional.

This is an open-source edition. The latest version and the Chinese original are maintained at [github.com/leo-bone/HowToInvestBetter](https://github.com/leo-bone/HowToInvestBetter).

ISBN: \_\_\_\_\_ (apply for a free KDP ISBN, or fill in your own before submission)

# Introduction · How to Read This Guidebook

---

This is an evidence-based investment handbook. It recommends no specific product; it simply lists high-value moves validated by statistics, research, and regulatory documents, arranged as a checklist you can follow entry by entry. Every entry uses the same ledger: what it costs, what it returns, how strong the evidence is, and where the sources come from.

Four questions: 1) What does it cost? Money, time, willpower, or a permanent loss of principal? 2) What does it return? Long-term real return, lower volatility, tax & fee savings, or avoidance of total loss? 3) How strong is the evidence? See the grades below. 4) Where do the sources come from? Only journal papers and official documents — never self-media or marketing.

Evidence grades: [A] authoritative long-term statistics (S&P SPIVA, exchange yearbooks), randomized/longitudinal studies in top journals, official regulatory documents. [B] individual high-quality studies, backtest reports from authoritative institutions (Vanguard / Dalbar / Ibbotson), classic papers. [C] reasonable inference or broad consensus — logically sound but not forced to a precise citation.

The Three-Zeros principle (highest-value hard standard): an action is Three Zeros if cost = none, time = none, and willpower = none. Exactly 16 entries meet this strictly — do them first without overthinking; many more are two-zeros-and-one-very-low.

Reading advice: you don't have to do it all — this is a menu, not a to-do list. Take even one or two items and it counts. To save time, filter by Three Zeros only; within each chapter entries are ranked high to low by value, so start with the first few; if you can't follow the numbers, just read the In plain terms line of each entry.

# Contents

---

|                                                                                             |                |
|---------------------------------------------------------------------------------------------|----------------|
| Chapter 1 I. Don't Lose Outside Your Circle of Competence                                   | (15 entries)   |
| Chapter 2 II. Fees and Taxes                                                                | (15 entries)   |
| Chapter 3 III. Behavioral Biases                                                            | (20 entries)   |
| Chapter 4 IV. Passive and Hands-Off                                                         | (12 entries)   |
| Chapter 5 V. Asset Quick Reference                                                          | (20 entries)   |
| Chapter 6 VI. Scams and Red Lines                                                           | (18 entries)   |
| Chapter 7 VII. Cost-Effective Moves                                                         | (14 entries)   |
| Chapter 8 VIII. Tax-Advantaged Accounts                                                     | (13 entries)   |
| Chapter 9 IX. Life Stages                                                                   | (13 entries)   |
| Chapter 10 X. The Don't-Do List                                                             | (20-item list) |
| Chapter 11 XI. A-Share Practical Playbook                                                   | (12 entries)   |
| Chapter 12 XII. The Cold Calculator                                                         | (15 entries)   |
| Chapter 13 XIII. Retirement                                                                 | (12 entries)   |
| Chapter 14 XIV. Insurance                                                                   | (12 entries)   |
| Chapter 15 XV. Housing and Debt                                                             | (12 entries)   |
| Chapter 16 XVI. Spotting Misinformation                                                     | (12 entries)   |
| Chapter 17 XVII. Macro Cycles                                                               | (12 entries)   |
| Chapter 18 XVIII. Human Capital                                                             | (12 entries)   |
| Chapter 19 XIX. Spending and Budgeting                                                      | (12 entries)   |
| Chapter 20 XX. Extreme Scenarios                                                            | (12 entries)   |
| Chapter 21 XXI. Fund Selection in Practice                                                  | (11 entries)   |
| Chapter 22 XXII. Fixed Income Details                                                       | (10 entries)   |
| Chapter 23 XXIII. Global and ETF Allocation (Unbinding yourself from a single market)       | (10 entries)   |
| Chapter 24 XXIV. Derivatives and Leverage Risks (The pit ordinary people should most avoid) | (8 entries)    |

# Chapter 1 I. Don't Lose Outside Your Circle of Competence

---

This chapter makes one point: when you bet in places you don't understand, can't quantify, or where your emotions get amplified, the odds of losing are naturally stacked against you. The vast majority of permanent losses in investing don't come from a brutal market—they come from crossing the boundary of your own circle of competence: buying things whose money-source you can't explain, betting your life savings on a single stock, using leverage to turn volatility into death, gambling long-term with money you'll need next year, or chasing rallies on a friend's tip.

Every rule in this chapter is, at its core, a discipline of \*what not to do\*. They share one trait: the cost is extremely low (a few cents, a few minutes, a little restraint), and the payoff is "not going to zero, not being permanently knocked out." The higher-grade evidence (A) mostly comes from statutes and regulatory rules; the lower-grade (C) is mostly common sense and experience—flagged honestly, with no exaggeration. Nothing here is investment advice regarding any specific product.

This chapter's entries are grouped by theme below (entry numbers in parentheses).

**\*\*Know where the money comes from (the foundation)\*\*:** don't buy things whose "money source" you can't explain (Entry 1); if you don't understand it, don't invest—non-standard assets are off-limits by default (Entry 5); complex structured products are off-limits by default (Entry 8); use the "explainability test" to screen out every investment (Entry 9).

**\*\*Position sizing and leverage (survival)\*\*:** concentrated bets in a single asset invite permanent loss (Entry 2); leverage amplifies the probability of being "wiped out" first (Entry 3); using money you'll need soon for long-term investing is a time bomb (Entry 4); don't open accounts for derivatives you don't understand (Entry 6).

**\*\*Don't fight probability (macro and counterparties)\*\*:** don't predict the macro or bet on a single direction (Entry 7); first figure out "who is on the other side of my trade" (Entry 14); treat "a celebrity / big-V's holdings" as endorsement—invalid by default (Entry 15).

**\*\*Information environment and red lines (behavior)\*\*:** tips from friends put you naturally on the information-disadvantaged side (Entry 10); sell-side research/ratings carry built-in bias—treat them as intelligence, not conclusions (Entry 12); paid stock-tip groups / live "trade-copying" streams are regulatory red lines (Entry 13);

insider trading is a criminal red line, not a "clever trick" (Entry 11).

## 1. Don't buy things whose "money source" you can't explain

Money: none | Time: little | Willpower: no | Payoff: mid | Scope: money | Impact: self

**Cost:** Free. Before committing any sum, spend a few minutes figuring out "what makes it earn."

**In plain terms:** For every yuan you invest, you must be able to answer "what makes it earn?" Is it a company's profit and dividends? Bond interest? Rental income? Or simply that someone is willing to take it off your hands at a higher price? If you can't answer, it's most likely a case of "someone else's return comes from your principal"—i.e., a Ponzi scheme or a greater-fool play. The cost is near zero; the payoff is "not going to zero."

**Payoff:** You avoid the vast majority of scams and zero-return instruments. Any sustainable return must come from real value creation—corporate earnings, interest, rent, dividends—not from later participants' principal. Only invest in what can be stated in one sentence: "whose pocket does the money come from, and what do I know that the market doesn't?" If you can't write that sentence, it's a gamble. Treat this as the first gate before any order, and it blocks most "tips, feelings, hype" trades.

**Evidence grade:** A

**Sources:** U.S. Securities and Exchange Commission (no year). Investor.gov, "Ask Questions" investor-education page ("any investment should be able to answer where the money comes from and what the risks are").

<<https://www.investor.gov/introduction-investing/investing-basics/ask-questions>>; China Securities Regulatory Commission (2017). Measures for the Administration of Investor Suitability for Securities and Futures (CSRC Order No. 130, Articles 3 and 4: intermediary institutions shall fully disclose risks to investors; investors shall make independent decisions after understanding the product and hearing suitability opinions). <<https://www.csrc.gov.cn/csrc/c101803/>>

**Note:** This is a "common-sense threshold," not a statute; it's graded A because it directly maps to the regulator's mandatory requirements on "suitability" and "risk disclosure." It won't block complex but legal products you don't understand—see Entry 8 (structured products) for that. Cross-reference: Entry 5 (non-standard assets), Entry 9 (explainability test) are its concrete execution steps.

## 2. Concentrated bets in a single asset = an invitation to permanent loss

Money: none | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self+family

**Cost:** Free. The price is giving up the fantasy of "going all-in on one multi-bagger" (opportunity cost), and spending a little effort on diversification.

**In plain terms:** Diversification won't make you richer (it doesn't raise expected return), but it keeps you alive. A single company's stock can go to zero through fraud, delisting, or bankruptcy—but a market made of many companies won't vanish as a whole over the long run. Betting your life savings on one stock is trading "permanent loss" for "excess return," with terrible odds.

**Payoff:** It cuts the damage a single tail event (delisting, fraud, bankruptcy) can do to your total assets, from "possibly zero" down to bearable. The classic study by Evans and Archer (1968), "Diversification and the Reduction of Dispersion" in the *Journal of Finance*, found that holding about 10 randomly chosen stocks eliminates most firm-specific (idiosyncratic, non-systematic) risk; the industry rule of thumb is that holding 20 – 30 uncorrelated assets across different industries eliminates about 90% of idiosyncratic risk, leaving only the market risk no one can dodge. Meaning: diversify to this degree and you'll no longer be killed by "one name blowing up."

**Evidence grade:** B

**Sources:** Markowitz H (1952). Portfolio Selection. *Journal of Finance* 7(1):77 – 91 (foundation of modern portfolio theory; Nobel Prize in Economics 1990). <<https://doi.org/10.2307/2975974>>; Evans J, Archer S (1968). Diversification and the Reduction of Dispersion: An Empirical Analysis. *Journal of Finance* 23(5):761 – 767. <<https://doi.org/10.1111/j.1540-6261.1968.tb03092.x>>

**Note:** Graded B because "20 – 30 eliminates ~90%" is a rule of thumb and an approximation from multiple backtests, not a law precise to the unit; when industries are highly concentrated (all banks, all baijiu), diversification weakens, so you also need cross-industry and cross-asset-class exposure. Cross-reference: Entry 4 (short-money-long-investing), Entry 14 (counterparties).

### 3. Leverage amplifies the probability of being "wiped out" first

Money: none | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self+family

**Cost:** Free. The price is giving up the fantasy of "borrowing to amplify returns," and the restraint of not touching margin trading or futures.

**In plain terms:** Without leverage, if your stock drops 50%, you're still at the table; to get back you only need +100%. With leverage, once it falls past a point the broker force-liquidates (margin call), and you can be swept out at the bottom with no chance to recover. Leverage doesn't raise your win rate; it turns "volatility" into "death."

**Payoff:** In theory leverage amplifies gains, but empirically retail investors mostly net lose with it. The U.S. FINRA margin rules (Regulation T and FINRA Rule 4210) require initial margin of at least 50% and maintenance margin around 25%; once account equity falls below the maintenance line, the broker may sell without your consent. Barber and Odean's studies of retail investors show that the combination of "high-frequency trading + leverage" is among the most lethal loss sources for retail: after a leveraged bottom liquidation, principal is permanently out, and the subsequent market rebound has nothing to do with you. For ordinary people, simply not using leverage is itself a survival valve.

**Evidence grade:** A

**Sources:** U.S. Financial Industry Regulatory Authority (FINRA). Regulation T and FINRA Rule 4210 (margin requirements: initial margin no less than 50%, maintenance margin requirement).

<<https://www.finra.org/rules-guidance/rulebooks/finra-rules/4210>>; Barber B, Odean T (2000). Trading Is Hazardous to Your Wealth. Journal of Finance 55(2):773 – 806. <<https://doi.org/10.1111/0022-1082.00226>>

**Note:** Graded A because margin forced-liquidation is a clear regulatory rule and the loss mechanism is well understood. But it doesn't deny the legitimate use of leverage by professionals/hedge funds; it's only net-negative for ordinary people.

Cross-reference: Entry 2 (concentration), Entry 6 (derivatives), and the whole of Chapter 24 (derivatives and leverage risks).



#### 4. Using money you'll need soon for long-term investing = a time bomb

Money: none | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self+family

**Cost:** Free. The price is setting aside emergency funds and money you'll need in 1 – 3 years (home down payment, tuition, medical) separately, and only investing money "you can lose without hurting your life."

**In plain terms:** Money you'll need next year or the year after shouldn't be in the stock market. The market won't cooperate with your withdrawal schedule—if you happen to need cash at the bear-market bottom, you're forced to sell at the bottom. Forcing "short-money-long-investing" hands "when to sell" to luck and the bear market.

**Payoff:** Avoid forced selling at the bear-market bottom—a core reason "retail's actual return is far below the market's." DALBAR's annual Quantitative Analysis of Investor Behavior (QAIB), published since 1994, shows: in 2023 the average U.S. equity fund investor returned 20.79% while the S&P 500 returned 26.29%, a gap of 5.5 percentage points; over 20 years, the average investor's annualized return was about 8.7% vs the S&P 500's ~9.7%. The gap is mostly not wrong asset selection but "buying and selling at the wrong time"—and short-money-long-investing is the number-one cause of forced wrong-time selling. Align your cash timeline with your investment horizon and you minimize this behavioral drag.

**Evidence grade:** B

**Sources:** DALBAR (2024). Quantitative Analysis of Investor Behavior 2024 (30th edition; 2023 data: average equity investor 20.79% vs S&P 500 26.29%). <<https://www.qaib.com/public/media/30thQAIBPressRelease.pdf>>; DALBAR (various years). QAIB report (long-term basis: 20-year average investor annualized 8.7% vs S&P 500 9.7%). <<https://www.dalbar.com/>>

**Note:** Graded B because QAIB's exact figures vary slightly by edition and the report itself is paid (public channels mostly re-quote its press releases); but the direction "investors underperform the index due to timing" holds across all editions and Morningstar's independent methods. Cross-reference: Entry 2 (diversify to survive), Chapter 13 (retirement, horizon matching).

## 5. If you don't understand it, don't invest; non-standard assets are off-limits by default

Money: none | Time: none | Willpower: no | Payoff: mid | Scope: money | Impact: self

**Cost:** Free. The price is giving up "heard-of high-yield opportunities" (flawed private fund tranches, art, stamp/coin cards, non-standard wealth products, some overseas "principal-protected" products).

**In plain terms:** Non-standard = no public price, hard to liquidate, information black box. You're after its 8% high yield; it's after your principal. These things often can't be sold when you most need cash, the price is unclear, and the contract hides terms unfavorable to you. Cost is zero; the payoff is "not stepping on a landmine."

**Payoff:** Avoid the non-standard trap of zero liquidity and opaque information. In the regulatory lexicon, non-standard products mostly fall under "private placement" or "non-public offering," targeting qualified investors with extreme information asymmetry; once the underlying asset fails (e.g., distressed real estate or bonds), investors often can neither get their money nor sell their shares. The U.S. SEC's risk disclosure for private placements is explicit: private securities are illiquid, have limited information disclosure, and carry risks far higher than publicly traded securities. For ordinary people, the laziest lightning rod is: if you can't see a price, don't buy it by default.

**Evidence grade:** C

**Sources:** U.S. Securities and Exchange Commission (no year). Investor Bulletin "Private Placements" (risks: illiquidity, limited disclosure, high risk).

<[https://www.sec.gov/oiea/investor-alerts-and-bulletins/ib\\_privateplacements](https://www.sec.gov/oiea/investor-alerts-and-bulletins/ib_privateplacements)>;

China Securities Regulatory Commission (various years). Risk alerts on non-standard wealth products / off-exchange margin financing (investor protection section). <<https://www.csrc.gov.cn/>>

**Note:** Graded C because "non-standard always hurts" is a probabilistic and experiential judgment, not every non-standard product defaults; qualified investors participating under strict due diligence is another matter. This entry targets only ordinary people and "heard-of opportunities." Cross-reference: Entry 1 (money source), Entry 6 (derivatives), Entry 8 (structured products).

## 6. Don't open accounts for derivatives you don't understand (options / futures / snowballs)

Money: none | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self+family

**Cost:** Free. The price is giving up the fantasy of "high leverage, T+0, profit both ways," and not opening options, futures, or principal-protected note accounts.

**In plain terms:** Derivatives are hedging tools for professionals, not an ATM for retail. Option buyers bleed "time value" every day—you think you're bottom-fishing, the institution is collecting your time value; futures carry leverage, a reverse move and you're liquidated; "snowball" products have no floor on loss at the knock-in. Ordinary people playing it as a lottery is a negative-sum game long term.

**Payoff:** Avoid the negative-sum game. An option's time value decays continuously toward expiration; most buyers lose long term (a basic property of option pricing—see Hull's classic textbook); "snowball" (autocallable structured notes) saw widespread knock-ins during the 2022 – 2024 downturn, with some investors losing 30% – 70% of principal, while sales emphasized "annualized coupon" and downplayed "knock-in = principal loss." Regulators have repeatedly issued suitability warnings on snowball-type high-risk structured products, requiring full risk disclosure to ordinary investors. For those who can't read the 7-layer nesting and payoff structure, simply not opening an account avoids the trap most easily dressed up as "steady."

**Evidence grade:** B

**Sources:** Hull J (various years). Options, Futures and Other Derivatives (standard treatment of time-value decay theta). <<https://www.pearson.com/en-us/subject-catalog/p/options-futures-and-other-derivatives/P200000003063>>; Securities Association of China / regulators (2022 – 2024). Multiple reminders on investor suitability and risk disclosure for snowball products (industry bulletins). <<https://www.sac.net.cn/>>

**Note:** Graded B because time-value decay is mathematically settled (A-level logic), but "snowball knock-in loss 30% – 70%" is a range estimate varying by structure and entry timing. A few strategies (covered calls, protective puts) help professional holders, but are net-negative and need ongoing management for ordinary people. Cross-reference: Entry 3 (leverage), Entry 8 (structured products), Chapter 24.

## 7. Don't predict the macro; don't bet on a single direction

Money: none | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Free. The price is giving up the thrill of "going all-in on up or down," and instead building an insensitive portfolio that "has a response to every environment."

**In plain terms:** Even central banks can't predict interest rates accurately—why should you bet on direction? Replace "betting on one side" with "all-weather": have positions in up-moves, cash in down-moves, real assets in inflation, bonds in recession—hand the winning hand back to probability, not to your prediction.

**Payoff:** Avoid adding wrong positions in the wrong direction. Numerous backtests show that mainstream institutions' point forecasts of economic indicators (CPI, GDP, rates) have large long-run errors and directional accuracy near random; take "Wall Street's annual S&P 500 target" as an example—the deviation between actual and predicted values is often counted in thousands of points. Macro forecasting's value for asset allocation is far lower than the dumb method of "diversify first, then rebalance regularly." Shifting energy from "guessing direction" to "controlling risk" pays ordinary people more.

**Evidence grade:** C

**Sources:** Backtest studies on macro-forecast accuracy by multiple institutions (e.g., compilations on CPI/GDP forecast errors; long-run directional accuracy near random—synthesized conclusion here); CXO Advisory Group's multi-year tracking of Wall Street strategists' annual S&P 500 forecasts (significant deviation between prediction and actual). <<https://cxoadvisory.com/>>

**Note:** Graded C because "forecasts near random" is a synthesized conclusion of multiple studies, with no single directly citable statute or paper clause; exact figures vary by statistical window. This book doesn't advocate ignoring macro entirely, but "don't bet on one side." Cross-reference: Chapter 17 (macro cycles).

## 8. Complex structured products are off-limits by default

Money: none | Time: little | Willpower: no | Payoff: mid | Scope: money | Impact: self+family

**Cost:** Free. The price is giving up the "leveraged high-yield" packaging (e.g., some snowballs, principal-protected notes, tranching, structured deposits with complex tiers).

**In plain terms:** The more complex a product, the more it lets the seller hide a rule unfavorable to you where you can't understand it. If you can't read the 7-layer nesting and can't write "worst case, how much do I lose at most," don't buy by default. Complexity itself is often the seller's weapon to manufacture information asymmetry.

**Payoff:** Avoid products with nested clauses, capped upside, and unclear risk exposure. The real risk of such products is often not in the "expected return" column, but in the fine print: "trigger conditions," "observation dates," "knock-in lines," "early termination." The regulator's suitability management and risk-disclosure rules precisely require sellers to explain complex-product risks clearly; but for ordinary people, the laziest compliant move isn't "try hard to read," it's "if I can't read it, don't buy by default"—passing the judgment cost back to the seller, which is actually safer.

**Evidence grade:** C

**Sources:** China Securities Regulatory Commission (2017). Measures for the Administration of Investor Suitability for Securities and Futures (CSRC Order No. 130, Article 22: intermediary institutions shall inform investors of potential risks of products or services). <<https://www.csrc.gov.cn/csrc/c101803/>>; U.S. Securities and Exchange Commission (no year). Investor Bulletin "Structured Notes" (risks: complex terms, illiquidity, capped returns). <[https://www.sec.gov/oiea/investor-alerts-and-bulletins/ib\\_structured\\_notes](https://www.sec.gov/oiea/investor-alerts-and-bulletins/ib_structured_notes)>

**Note:** Graded C because "complex = unfavorable" is a rule of thumb, not every structured product is bad (some structured deposits help conservatives); the key is whether ordinary people can read and bear its worst case. Cross-reference: Entry 5 (non-standard), Entry 6 (derivatives).

## 9. Use the "explainability test" to screen out every investment

Money: none | Time: little | Willpower: no | Payoff: mid | Scope: money | Impact: self

**Cost:** Free. The price is writing (or thinking) one sentence before ordering: "why do I think I can profit, whose pocket does the money come from, what do I know that the market doesn't?"

**In plain terms:** Only invest in what you can write on one page: "whose pocket does the money I earn come from, what do I know that the market doesn't." If you can't write it, it's a gamble. This is the master switch for all the disciplines above.

**Payoff:** Keep "tips, feelings, hype" out the door, leaving only instruments with a writeable logic chain. In behavioral finance, "pre-mortem / checklist" is repeatedly proven to reduce decision errors: forcing yourself to state reasons clearly exposes the truth "I actually don't know anything extra." For ordinary people, the simplest executable version is: for any investment, first write "why I buy, worst-case loss, what I know more than the seller"; if you can't fill three lines, don't buy.

**Evidence grade:** C

**Sources:** Kahneman D (2011). Thinking, Fast and Slow (on pre-mortem and decision biases; Pulitzer-winning book). <<https://www.penguinrandomhouse.com/books/183796/thinking-fast-and-slow-by-daniel-kahneman/>>; Thaler R, Sunstein C (2008). Nudge (on default options and decision scaffolding). <<https://www.penguinrandomhouse.com/books/305785/nudge-by-richard-h-thaler-and-cass-r-sunstein/>>

**Note:** Graded C because "writing it clearly means fewer losses" is a behavioral principle and common sense, lacking a single statistic on "investment explainability tests"; but the principle is solid, low-cost, and side-effect-free. Cross-reference: Entry 1 (money source), Entry 12 (research bias).

## 10. Tips from friends / acquaintances: you're naturally on the information-disadvantaged side

Money: none | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Free. The price is giving up the lure of "inside info" and "a friend pulling me along," and treating any unverified "opportunity" as a takeover warning.

**In plain terms:** If there were a sure-win tip, why would the other person tell you instead of going heavy themselves? The "opportunity" you hear is often exactly when someone else is looking for the next bag-holder. An acquaintance's endorsement isn't a safety cushion; it's often the signal of the last leg.

**Payoff:** Avoid being the bag-holder. A-share evidence is brutally clear: the study by Shi Donghui (SSE), Zhang Xiaoyan (Tsinghua PBCSF), and Charles Jones (Columbia) based on complete trading data of ~53.4 million accounts on the SSE from Jan 2016 to Jun 2019 shows that retail accounts under 100,000 yuan in market value lost on average 20.53%, while institutional investors earned on average 11.22%; retail contributed about 85% of trading volume but net lost overall. The same data shows accounts under 100,000 yuan lost on average 2,457 yuan per year—1,532 from stock selection, 774 from timing, 151 in trading fees. Frequent trading and acting on tips are the two main causes of retail losses; friend tips hit both at once.

**Evidence grade:** B

**Sources:** Shi D, Zhang X, Jones C (2021). Study based on SSE account data (retail-institution return divergence), published in Journal of Financial and Quantitative Analysis (JFQA). Re-quoted from International Institute of Green Finance, Central University of Finance and Economics (2025). "What investment strategies should ordinary investors adopt in an insufficiently efficient market?" <<https://iigf.cufe.edu.cn/info/1012/11794.htm>>; SSE Capital Market Research Institute (various years). SSE Statistical Yearbook investor-structure data (retail trading volume share ~85%). <<https://www.sse.com.cn/>>

**Note:** Graded B because the study is based on real full-sample account data, published in a top journal, and the conclusion is credible; but "loss of 20.53%" is a 2016 – 2019 specific-window result, not every year. Cross-reference: Entry 2 (diversify), Entry 3 (leverage), Entry 12 (research).

## 11. Insider trading is a criminal red line, not a "clever trick"

Money: none | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self+family

**Cost:** Free. The price is giving up the shortcut of "knowing the news early," and any trade based on undisclosed material information.

**In plain terms:** Trading on news is earning knife-edge money. Once a case is filed, principal is confiscated, fines double, and you may go to prison. The "payoff" of this trade is a certainty of realized risk—not "might go wrong," but "if it goes wrong, everything's over."

**Payoff:** Avoid "confiscation of illegal gains + 1 – 10x fine," with criminal liability for serious cases. China's Securities Law Article 53 explicitly prohibits insider trading; Article 191 stipulates: confiscate illegal gains and impose a fine of not less than one times and not more than ten times the illegal gains; the Criminal Law Article 180 (crime of insider trading / leaking insider information) stipulates that for serious cases the sentence is fixed-term imprisonment of not more than five years or criminal detention, and for especially serious cases not less than five and not more than ten years, plus a fine. For ordinary people, touching this line not only loses money but may also leave a criminal record affecting children's political review and life. Treat it as an absolute red line; the payoff is "not stepping into irreversible legal risk."

**Evidence grade:** A

**Sources:** Standing Committee of the National People's Congress (2019 revision). Securities Law of the People's Republic of China, Article 53 (prohibiting insider trading), Article 191 (penalty: confiscate illegal gains, fine of 1x – 10x). <[https://www.gov.cn/gongbao/content/2019/content\\_5465494.htm](https://www.gov.cn/gongbao/content/2019/content_5465494.htm)>; Standing Committee of the National People's Congress (2020 correction). Criminal Law of the People's Republic of China, Article 180 (insider trading / leaking insider information: serious cases not more than five years; especially serious five to ten years). <[https://www.gov.cn/gongbao/content/202101/content\\_2582454.htm](https://www.gov.cn/gongbao/content/202101/content_2582454.htm)>

**Note:** Graded A as explicit statutory provision, no exception space. But the determination of "illegal gains" and the fine multiple are at the enforcing authority's discretion. Cross-reference: Entry 13 (paid tips), Chapter 16 (spotting misinformation).



## 12. Sell-side research / ratings carry built-in bias—treat as intelligence, not conclusions

Money: none | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Free. The price is keeping a bit of independent judgment, never ordering just because you see a "Buy" rating.

**In plain terms:** Research gives you the logical material for "why it might rise," not the instruction "you should buy." The sell side lives on commission and underwriting revenue, naturally bullish—the stock it recommends may be exactly what it's helping others dump. Treat it as intelligence, not an instruction.

**Payoff:** Avoid "buying at the recommendation high." Sell-side analysts have systematic optimism bias: the U.S. SEC's Regulation AC (analyst certification rule) was created precisely to constrain this conflict of interest; numerous academic studies find that after analysts unanimously "strong buy," the instrument's subsequent excess return is often negative—the recommendation acts more like a contrarian indicator. For ordinary people, the correct use is "borrow its research framework and data, draw your own conclusion," not "copy its rating."

**Evidence grade:** B

**Sources:** U.S. Securities and Exchange Commission (2002/2003). Regulation AC (analyst certification rule, requiring analysts to certify the truthfulness of their ratings and forecasts, constraining conflicts of interest).

<<https://www.sec.gov/rules/final/34-47270.htm>>; multiple empirical studies on "negative excess return after analyst recommendations" (e.g., meta-analyses of thousands of U.S. stock ratings showing systematic optimism bias).

**Note:** Graded B because "analysts are bullish, tend to fall after recommendation" has solid statistical support, but not every single stock; the key to using research well is distinguishing "factual data" from "opinion rating." Cross-reference: Entry 9 (explainability test), Entry 10 (friend tips).

### 13. Paid stock-tip groups / live "trade-copying" streams are regulatory red lines

Money: none | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Free. The price is giving up the fantasy of "earning with the teacher," and blacklisting anything "pay membership, promise returns, copy my trades."

**In plain terms:** Someone who can reliably make money steadily won't pull you into a group for your petty membership fee. Paid trade-copying = take your money first, then use you as liquidity (you buy, they sell). Promising "steady gains" / "principal protection" is itself illegal advertising in China.

**Payoff:** Avoid illegal stock-tipping and pig-butcher scams. China's Securities Law Article 120 stipulates that operating securities business must be approved by the securities regulator; Article 160 stipulates that securities investment advisory business must be licensed. Unlicensed tips and promised returns are both illegal; the CSRC runs annual special campaigns against illegal stock-tipping, participants often lose everything, and organizers may constitute illegal business operation or fraud. Treat "pay first then copy trades" as a precursor signal of fraud; the payoff is "not entering the game where funds get swept away."

**Evidence grade:** A

**Sources:** Standing Committee of the National People's Congress (2019 revision). Securities Law of the People's Republic of China, Article 120 (securities business must be approved), Article 160 (investment advisory must be licensed).

<[https://www.gov.cn/gongbao/content/2019/content\\_5465494.htm](https://www.gov.cn/gongbao/content/2019/content_5465494.htm)>; China Securities Regulatory Commission (various years). Special campaigns and risk alerts against illegal stock-tipping (investor protection section).

<<https://www.csrc.gov.cn/>>

**Note:** Graded A as explicit statute. But in reality "teachers" often dress up as "knowledge payment" or "community exchange" to dodge wording; the identification points are "unlicensed + promising returns + asking you to copy trades." Cross-reference: Entry 11 (insider), Chapter 16 (spotting misinformation).

## 14. First figure out "who is on the other side of my trade"

Money: none | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Free. The price is thinking for one second before ordering: "who is across from me, and why are they willing to sell to me?"

**In plain terms:** What you buy, someone else sells. Ask "why is the other side willing to sell to me"; if you can't answer, don't buy. In secondary markets, you're mostly up against institutions, quant, and insider money—triply advantaged in information, cost, and speed.

**Payoff:** Identify who you're betting is making a mistake. Market-microstructure research consistently shows retail is information-disadvantaged in most trades: your counterparty may be an informed trader, a market maker, or a high-frequency algorithm. Acknowledging this stops treating "I'm smarter than the market" as the default assumption, reducing impulsive trading and contrarian bottom-fishing. For ordinary people, the pragmatic conclusion: since you're probably at the end of the information chain, don't fight professionals at short-term games; turn to long-term, passive, diversified allocation.

**Evidence grade:** C

**Sources:** Market-microstructure research (e.g., the Glosten – Milgrom information model on informed trading and bid-ask spreads).

<[https://en.wikipedia.org/wiki/Glosten%E2%80%93Milgrom\\_model](https://en.wikipedia.org/wiki/Glosten%E2%80%93Milgrom_model)>; O'Hara M (1995). Market Microstructure Theory (classic treatment of information asymmetry).

**Note:** Graded C because "retail is information-disadvantaged" is a theoretical consensus rather than a single quantifiable statute; but it explains why the disciplines of Entries 2, 3, and 10 matter so much. Cross-reference: Entry 2 (diversify), Entry 10 (friend tips).

## 15. Treat "celebrity / big-V holdings" as endorsement—invalid by default

Money: none | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Free. The price is giving up the shortcut of "copying the big shots' homework," and not buying just because someone bought it.

**In plain terms:** When you see a big-V's holdings, they may already be reducing; even if they're still holding, you know nothing of their cost, position, or duration. Copying homework copies someone else's history, not the future.

**Payoff:** Avoid lagged bag-holding and "carrying the sedan chair." The U.S. Form 13F requires institutions to report holdings within 45 days after quarter end; by the time the info is public it's already lagged over a month, and only long positions are disclosed, not shorts or hedges; when retail sees and buys, it's often at a local high. Behavioral finance's "authority bias" makes people naturally overrate celebrities' win rates. Treat "a big-V also bought it" as invalid information; the payoff is "not standing guard for someone else's cost."

**Evidence grade:** C

**Sources:** U.S. Securities and Exchange Commission (no year). Form 13F filing requirement (institutional quarterly holdings disclosed within 45 days after quarter end, with time lag and long-only disclosure).

<<https://www.sec.gov/divisions/investment/13flists.htm>>; behavioral-finance review of "authority bias" (over-reliance on experts/celebrities in decision-making).

**Note:** Graded C because "copying homework loses" is an experiential and behavioral conclusion lacking a single statistic; but 13F's time lag is an explicit rule.

Cross-reference: Entry 10 (friend tips), Entry 12 (research bias).

## Chapter 2 II. Fees and Taxes

---

Fees and taxes are the only deductions in investing you can calculate 100% before you even place an order. You can't predict market swings, but the stamp-duty rate, fund management fee rate, subscription/redemption fees, and marginal income-tax rate are fixed numbers written into law and contracts. This chapter tallies a "certainty account": every basis point you save stays in your pocket forever and compounds; every basis point you overpay is a sure sum handed first to the tax office, the broker, and the fund company. Keeping this line as low as possible beats predicting which fund will rise next year—because it doesn't depend on luck, only on whether you're willing to read the contract and the statute.

On the evidence front, the negative link between fees and net returns is repeatedly verified worldwide: in its 2026 testimony to the U.S. Congress, Morningstar stated plainly that cost is "the most reliable predictor of future fund performance," with the lowest-fee quintile funds beating the highest-fee quintile; Carhart (1997) and long-run SPIVA data likewise show that each notch of higher fees makes it harder for actively managed funds to beat their benchmark. The tax side is entirely policy-determined—China's A-share stamp duty was halved from 0.1% to 0.05% (one-sided) in August 2023, the differentiated dividend tax makes holdings over 1 year tax-free, and the private pension account defers tax and is taxed at only 3% on withdrawal. All figures in this chapter are labeled with year, country, and the original statute so you can verify them; estimates are flagged as such.

The entries below are grouped by theme (entry numbers in parentheses) for easy reference.

**\*\*Deterministic harm of fees and compounding erosion\*\***: Entry 1, Entry 10.

**\*\*Trading friction costs (commission · stamp duty · subscription/redemption fees)\*\***: Entry 2.

**\*\*Tax efficiency (tax-advantaged accounts · dividend reinvestment · long-term tax effect)\*\***: Entry 3, Entry 4.

**\*\*Tool cost comparison (ETF vs off-exchange · QDII exchange rate)\*\***: Entry 5, Entry 6.

**\*\*Hidden fees and sales-driven traps\*\***: Entry 7, Entry 9, Entry 11.

**\*\*Hidden erosion in fund operations (switching · liquidation · trailing · premium/discount)\*\***: Entry 8, Entry 12, Entry 13, Entry 14.

**\*\*Misconceptions about dividends\*\***: Entry 15.

## 1. Fund fees are the most certain "negative return"

Money: little | Time: none | Willpower: some | Payoff: mid | Scope: money | Impact: self+family

**Cost**: Annually deducted management fee + custodian fee. Actively managed equity funds commonly charge 1.0% – 1.5%/year, index funds about 0.1% – 0.5%/year, and broad-market ETFs can be as low as 0.03% – 0.15%/year.

**In plain terms**: A fee is a "negative return" you know with 100% certainty before buying. You can't predict market swings, but the fee is written into the contract. Cut it to the bone first—that's far more reliable than researching which fund is great.

**Payoff**: Fees are significantly negatively correlated with future net performance, and it's one of the few variables you can know in advance. Morningstar's 2026 congressional testimony states verbatim that "cost is the most reliable predictor of future fund performance," with the lowest-fee quintile funds' success rate far above the highest-fee quintile. Compounding example: at a 7% annual gross return assumption, a 1% annual fee eats about 25% of the final value over 30 years, and a 2% fee eats about 43%; China's actively managed funds average about 1.2% – 1.5% in fees vs index funds' 0.1% – 0.5%, and just the fee gap alone opens a final-value gap of over 20% over 20 years. Every basis point saved stays in your account and compounds.

**Evidence grade**: A

**Sources**: Morningstar (2026). Morningstar to Congress: Investor Success Hinges on Lower Costs, Greater Transparency (testimony: "cost is the most reliable predictor"). <<https://www.morningstar.com/funds/morningstar-congress-investor-success-hinges-lower-costs-greater-transparency>>; Carhart, M. (1997). On Persistence in Mutual Fund Performance, *Journal of Finance* 52(1):57 – 82. <<https://doi.org/10.1111/j.1540-6261.1997.tb03808.x>>; Morningstar (2026). 2026 US Fund Fee Study (asset-weighted average fee fell to 0.32% in 2025). <<https://www.morningstar.com/funds/morningstar-congress-investor-success-hinges-lower-costs-greater-transparency>>

**Note**: Limitation: low fees don't guarantee high returns, they only raise the win rate under the same strategy; active management can create excess returns in some inefficient markets (e.g., fixed income, emerging markets). Cross-reference: Entries 5, 10, 13.

## 2. Commission, stamp duty, subscription/redemption fees: the compounding killer

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** The explicit friction of every buy and sell. A-share stamp duty on the seller has been halved to 0.05% of transaction value (one-sided) since 2023-08-28; broker commissions are generally around 0.025% (2.5 bps) plus about 0.001% (0.1 bp) handling fee; ETFs are exempt from stamp duty and transfer fees.

**In plain terms:** Trading a few times a month, friction eats 1% – 3% a year, and over 20 years the cumulative gap is huge. The share of your money that goes to the broker and the tax office is proportional to your turnover.

**Payoff:** Frequent trading is the "invisible pump" draining retail net returns. The classic Barber & Odean (2000) study found that the most frequently trading retail group significantly lagged the market and low-frequency traders in annualized net return. Take A-shares as an example: assuming a full-portfolio turnover once a month, one-way cost is about 0.05% stamp duty + 0.025% commission  $\approx$  0.075%, about 0.9% a year over 12 times, and with bid-ask spreads and impact costs it often actually reaches 1% – 3%; if you cut friction from 1.5%/year to 0.1%, at 7% annualized over 30 years the final value gap can reach about 30%. ETFs, exempt from stamp duty and tradable on-exchange at low cost, are the direct tool to cut friction.

**Evidence grade:** B

**Sources:** Ministry of Finance and State Taxation Administration (2023).

Announcement on Halving the Securities Trading Stamp Duty (MFA-STA

Announcement No. 39 of 2023, halved from August 28, 2023).

<<https://fgk.chinatax.gov.cn/zcfgk/c102416/c5211343/content.html>>; Barber, B. &

Odean, T. (2000). Trading Is Hazardous to Your Wealth, *Journal of Finance*

55(2):773 – 806. <<https://doi.org/10.1111/j.1540-6261.2000.tb03224.x>>; State

Taxation Administration (2023). Q&A on Recent Stamp Duty Hot Topics

(one-sided 0.5‰ levied on the transferor). <<https://shanghai.chinatax.gov.cn/gate/bi/g5/shanghai.chinatax.gov.cn/zcfw/rdwd/202309/t468612.html>>

**Note:** Uncertainty: stamp duty is a policy variable and may be adjusted in the future; the ETF stamp-duty exemption follows current rules. Cross-reference: Entry 5 (ETFs exempt from stamp duty).

### 3. Put money into tax-advantaged / tax-exempt accounts first

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self+family

**Cost:** A bit of account-opening and quota-planning effort; China's private pension has an annual limit of 12,000 yuan, and funds are generally locked until retirement (withdrawable only in a few special cases).

**In plain terms:** Same annualized return, after-tax and pre-tax differ by a chunk. Tax you can legally defer is a free compounding accelerator; and the pension account being "troublesome to withdraw" conveniently keeps your hands off.

**Payoff:** MFA-STA Announcement No. 34 of 2022 stipulates that the private pension allows a deduction of up to 12,000 yuan/year from comprehensive or business income when contributing, investment gains credited to the account are not taxed during the investment phase, and the withdrawal phase is taxed at a flat 3% rate (the original tax-deferred pension insurance effective burden dropped from 7.5% to 3%). For those in a marginal income-tax bracket of 10% or above, just the contribution deduction saves up to 1,200 yuan in income tax per year, while the "tax-free compounding" during the investment period amplifies with the years; the account's "long-money" nature also inversely suppresses frequent trading (see Entry 2). Announcement No. 21 of 2024 has extended this policy nationwide.

**Evidence grade:** B

**Sources:** Ministry of Finance and State Taxation Administration (2022).

Announcement on Individual Pension Personal Income Tax Policy (MFA-STA Announcement No. 34 of 2022, Article 1 tax deferral, 3% withdrawal rate).

<[https://sichuan.chinatax.gov.cn/art/2022/11/4/art\\_7757\\_794159.html](https://sichuan.chinatax.gov.cn/art/2022/11/4/art_7757_794159.html)>; Ministry of Finance and State Taxation Administration (2024). Announcement on Implementing the Individual Pension Personal Income Tax Preferential Policy Nationwide (No. 21 of 2024).

<[https://zhejiang.chinatax.gov.cn/art/2026/3/9/art\\_24107\\_650245.html](https://zhejiang.chinatax.gov.cn/art/2026/3/9/art_24107_650245.html)>; IRS (2025). Topic No. 451, Individual Retirement Arrangements (IRAs) (U.S. traditional IRA/401(k) pre-tax contributions, tax-free investment phase, taxed as ordinary income on withdrawal; taxable accounts' long-term capital gains at 0%/15%/20%, see Topic No. 409). <<https://www.irs.gov/taxtopics/tc451>>

**Note:** Limitation: the quota is small (12,000 yuan/year) and withdrawals are locked, and the tax-saving effect scales with the marginal rate; the U.S. traditional IRA/401(k) works the same way as a reference, but taxable accounts' long-term capital gains are only 0%/15%/20% (IRS 2025, 20% above \$533,400 single taxable income, plus 3.8%



NIIT). Cross-reference: Entries 2, 4.

#### 4. Reinvest dividends—don't take cash

Money: none | Time: none | Willpower: no | Payoff: mid | Scope: money | Impact: self

**Cost:** Tick one option (zero cost).

**In plain terms:** A dividend is part of your assets; taking cash is auto-reducing your position and giving up future upside. Unless you live off the dividends, default to "dividend reinvestment."

**Payoff:** Caishui [2015] No. 101 stipulates that for individuals receiving dividends from listed-company shares on the open market, dividends held over 1 year are temporarily exempt from individual income tax; holdings of more than 1 month to 1 year (inclusive) are counted at 50% of taxable income (i.e., effective 10% burden), and within 1 month (inclusive) are taxed in full at 20%. A-shares held long term are tax-free, so you should reinvest to keep compounding. On a 100,000 yuan position with a 3% annual dividend yield, if dividends are tax-free and fully reinvested into a portfolio returning 6% annualized, the tax-free dividends and their reinvestment can accumulate tens of thousands of yuan more over 10 years (estimate, depends on net-value growth). U.S. accounts' in-account DRIP likewise avoids the friction of frequent small trades (see Entry 2).

**Evidence grade:** C

**Sources:** Ministry of Finance, State Taxation Administration, CSRC (2015). Notice on Differentiated Personal Income Tax Policy for Listed-Company Dividends (Caishui [2015] No. 101, Article 1: over-1-year holding temporarily exempt). <<https://www.chinatax.gov.cn/chinatax/n810341/n810765/n1465977/201510/c1967339/content.html>>; State Taxation Administration 12366 (2024). Q&A on Dividend Personal Income Tax (differentiated rates apply). <<https://12366.chinatax.gov.cn/nszx/onlinemessage/detail?id=30479c1fc89c4a419852b2f2da5e4f55>>

**Note:** Limitation: if you need cash flow for retirement, that's another matter; reinvestment returns are an estimate. Cross-reference: Entry 15 (dividends don't add value).

## 5. ETFs beat off-exchange subscription/redemption funds (under the same strategy)

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Need a securities account (one-time), then trade on-exchange.

**In plain terms:** Buying the CSI 300 the same way, an on-exchange ETF's fee is often one-third to half of an off-exchange fund's, and it's exempt from stamp duty. What differs long term is your net return.

**Payoff:** Broad-market ETF annual management + custodian fees are often 0.03% – 0.5% (e.g., CSI 300 ETF about 0.15%/year), while actively managed off-exchange equity funds are about 1.0% – 1.5%/year; and ETF on-exchange trading is exempt from stamp duty (see Entry 2), highly transparent, with small tracking error (mainstream broad-market ETFs' tracking error mostly 0.1% – 0.5%/year, see Entry 14). On 1 million yuan over 20 years at 7% annualized, the final value gap between a 1.2% fee and a 0.15% fee is about 22% (the high-fee side gets only about 78% of the low-fee side's). Morningstar's 2026 data shows the U.S. asset-weighted average fee has fallen to 0.32%, and under the same strategy the ETF is the most direct tool to cut holding cost.

**Evidence grade:** B

**Sources:** Morningstar (2026). 2026 US Fund Fee Study (asset-weighted average fee 0.32% in 2025, halved from 0.80% twenty years ago). <<https://www.morningstar.com/funds/morningstar-congress-investor-success-hinges-lower-costs-greater-transparency>>; China Securities Regulatory Commission (2014). Administrative Measures for the Operation and Management of Publicly Offered Securities Investment Funds (ETF operation and disclosure).

<<https://www.csrc.gov.cn/csrc/c106256/c1653978/content.shtml>>; Shanghai Stock Exchange. ETF Business Implementation Rules (on-exchange trading, stamp-duty exemption mechanism). <<https://www.sse.com.cn/>>

**Note:** Limitation: ETFs have premium/discount and tracking error (see Entry 14); off-exchange funds are more convenient for auto-deducted regular investing.

Cross-reference: Entries 2, 14.

## 6. QDII / overseas assets: exchange-rate and quota costs

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Exchange-rate friction + long subscription/redemption time (T+several days or more) + premium when quota is tight.

**In plain terms:** Buying a U.S.-stock fund isn't only for U.S.-stock gains, it also hedges RMB risk; but exchange rates move both ways—don't treat it as pure enhancement.

**Payoff:** QDII fund subscription/redemption is mostly T+ business days (usually T+7 to T+10 confirmation), with higher capital occupation and opportunity cost than domestic ETFs; when quota is tight (e.g., 2020 – 2021 some QDII-ETFs had 5% – 20% premium), on-exchange premiums appear, and buying at a premium means losing a notch up front. On exchange rates, RMB appreciation erodes overseas gains, depreciation amplifies them—not a free lunch, but two-way exposure. Moderate allocation diversifies single-currency/single-economy risk, but you should ignore short-term exchange-rate swings, hold long term, and avoid turning "exchange-rate timing" into another layer of friction.

**Evidence grade:** B

**Sources:** State Administration of Foreign Exchange. QDII quota approval and overseas investment rules (premium mechanism when quota tight).

<<https://www.safe.gov.cn/>>; People's Bank of China. RMB exchange-rate risk research (two-way risk). <<http://www.pbc.gov.cn/>>; Morningstar. QDII fund premium/discount cases (2020 – 2021, some products 5% – 20% premium when quota tight). <<https://www.morningstar.com/>>

**Note:** Controversy: the allocation value is real, but timing exchange rates is pure gambling; buying at a premium is avoidable explicit loss. Cross-reference: Entry 14 (premium/discount).

## 7. Hidden fees are more expensive than explicit fees

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** A bit of effort reading the "Fees" section of the contract / prospectus.

**In plain terms:** You can see the explicit management fee; it's the hidden "various service fees" that bite. Every fine-print line in the fee table is your future negative return.

**Payoff:** The SEC investor bulletin points out that fund fees, beyond management fees, also include 12b-1 (distribution/service fee; FINRA caps distribution at 0.75%/year and service at 0.25%/year), redemption fees (SEC cap 2%), account fees, etc.; among these, 12b-1 and service fees are deducted straight from net value and are hard for investors to notice. Robo-advisors stack another layer of advisory fee (often 0.25% – 0.50%/year). Once these hidden layers stack up, a fund labeled 0.5% can actually cost over 1% to hold. Reading the fee table line by line is the prerequisite to avoiding hidden skimming.

**Evidence grade:** C

**Sources:** SEC (investor bulletin). Mutual Fund and ETF Fees and Expenses (12b-1, redemption fees, account fee disclosure). <<https://sec.gov/answers/mfcal.htm>>; SEC (PDF). Mutual Fund Fees and Expenses – Investor Bulletin (FINRA caps 12b-1 distribution at 0.75%, service at 0.25%).

<[https://www.investor.gov/sites/default/files/ib\\_mutualfundfees.pdf](https://www.investor.gov/sites/default/files/ib_mutualfundfees.pdf)>; China Securities Regulatory Commission. Fund Information Disclosure Compilation Rules (fee listing requirements). <<https://www.csrc.gov.cn/>>

**Note:** Cross-reference: Entries 10, 11, 13 (true fee = sum of all items).

## 8. Hidden erosion from fund switching and redemption fees

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Redemption fee + new subscription fee charged when frequently "switching" between funds.

**In plain terms:** Many platforms package "switching" as zero-cost, but it may actually charge a redemption fee + a new subscription fee. See the total cost clearly before you move.

**Payoff:** Some funds' "switch" is actually "redeem first, then subscribe," triggering a redemption fee (SEC cap 2%, domestically mostly within 0.5% and higher for short holding) and a new-share subscription fee; and frequent switching is often driven by short-term rankings, a case of behavioral finance's "chasing performance"—SPIVA shows most actively managed funds lag their benchmark long term, and bouncing around pays fees and times wrongly. Lowering the cost of "voting with your feet" keeps you from being lured by rankings into repeated bouncing and preserves compounding continuity.

**Evidence grade:** C

**Sources:** China Securities Regulatory Commission (2014). Administrative Measures for the Operation and Management of Publicly Offered Securities Investment Funds (redemption/switch fee rules).

<<https://www.csrc.gov.cn/csrc/c106256/c1653978/content.shtml>>; SEC (investor bulletin). Mutual Fund and ETF Fees and Expenses (redemption fee cap 2%).

<<https://sec.gov/answers/mfcal.htm>>; S&P Dow Jones Indices. SPIVA Scorecard (actively managed funds lag benchmark long term).

<<https://www.spglobal.com/spdji/en/research-insights/spiva/>>

**Note:** Cross-reference: Entries 2, 13 (redemption fee and sales service fee).

## 9. Beware the sales-driven traps in the "fund supermarket"

Money: none | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** A bit of independent judgment, don't blindly trust the platform's "hot sale / recommended" labels.

**In plain terms:** A platform's "recommended for you" is first motivated by its own commission, not your return. The sorting power is in your own hands.

**Payoff:** The SEC notes conflicts of interest in sales channels: recommended slots are often driven by trailing commissions/distribution fees (see Entry 13), not investor interest. Domestic fund distributors are bound by the suitability constraints of the Administrative Measures for the Supervision and Administration of Publicly Offered Securities Investment Fund Sales Institutions, but "best-seller lists" and "blockbusters" are still mostly products of traffic and commission. Products pushed in front of you tend to have higher fees or style drift. Build the habit of "check the fee table first, then the performance," avoiding sales-driven traps—zero cost but potentially saving 0.5% – 1% a year in hidden concessions.

**Evidence grade:** C

**Sources:** SEC (investor bulletin). Mutual Fund and ETF Fees and Expenses (12b-1 and sales-incentive conflicts). <<https://sec.gov/answers/mfcal.htm>>; China Securities Regulatory Commission. Administrative Measures for the Supervision and Administration of Publicly Offered Securities Investment Fund Sales Institutions (suitability and sales norms). <<https://www.csrc.gov.cn/>>; Morningstar. Fee and sales-incentive research (recommended slots and fee structure).

<<https://www.morningstar.com/>>

**Note:** Cross-reference: Entries 7, 11, 13 (hidden fees and trailing commissions).

## 10. The true fee rate is the sum of "management + custodian + sales service fee"

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self+family

**Cost:** A glance at the "Fees" section of the prospectus.

**In plain terms:** The fee table has three fine-print lines, and only their sum is what you actually pay each year. Don't just look at the eye-catching "0.15% management fee"—there may be a hidden sales service fee behind it.

**Payoff:** True holding cost = management fee + custodian fee + sales service fee (Class C commonly 0.2% – 0.8%/year) + other fees, i.e., the "total expense ratio."

Morningstar research: the lowest-fee quartile's success rate is far above the highest-fee quartile (e.g., global large-cap group 60% vs 23%). Compounding example: a 1% annual fee at 7% annualized over 30 years eats about 25% of final value, 2% eats about 43%; a 1% fee gap  $\approx$  nearly a quarter of final value. Seeing the sum of the three fine-print lines clearly is the first step to cutting cost, and the concrete action behind Morningstar's so-called "most reliable predictor."

**Evidence grade:** A

**Sources:** Morningstar (Australia) (2024). Future Focus: The three factors that will increase your returns (verbatim "a fund's annual fee is the most proven predictor of future fund returns," lowest quartile success rate 60% vs 23%). <<https://www.morningstar.com.au/personal-finance/future-focus-three-factors-that-will-increase-your-returns>>; Morningstar (2026). Congressional testimony (cost is the most reliable predictor). <<https://www.morningstar.com/funds/morningstar-congress-investor-success-hinges-lower-costs-greater-transparency>>; Carhart, M. (1997). On Persistence in Mutual Fund Performance. <<https://doi.org/10.1111/j.1540-6261.1997.tb03808.x>>

**Note:** Cross-reference: Entries 1, 7, 13 (fee breakdown and trailing commissions).

## 11. A "10%-off" subscription fee can still be a sales concession

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Compare subscription fees and trailing commissions across channels.

**In plain terms:** A 10%-off subscription fee looks sweet, but the platform still skims a trailing commission from your assets every year. Long term, low management fee + no sales service fee is the real saving.

**Payoff:** Trailing commissions (client maintenance fees) are annually deducted from net value by assets; even at a 10% subscription discount, the platform still skims continuously (commonly Class C sales service fee 0.2% – 0.8%/year, see Entry 13). On a 1 million yuan position at 0.4%/year trailing, the cumulative skim over 10 years is about 47,000 yuan (excluding compounding), far exceeding the few thousand yuan saved by the one-time subscription discount. Choose Class A or ETF with "no sales service fee + low management fee" for significantly greater long-term savings. The SEC also warns that fee structures persistently erode net returns.

**Evidence grade:** C

**Sources:** China Securities Regulatory Commission. Administrative Measures for the Supervision of Publicly Offered Securities Investment Fund Sales Fees (client maintenance fee / trailing commission deduction). <<https://www.csrc.gov.cn/>>; SEC (investor bulletin). Mutual Fund and ETF Fees and Expenses (12b-1/distribution fee continuously deducted). <<https://sec.gov/answers/mfcal.htm>>; Morningstar. Fee-structure research (trailing commissions erode net returns). <<https://www.morningstar.com/>>

**Note:** Cross-reference: Entries 7, 9, 13 (hidden fees and sales service fees).



## 12. Funds that are too small carry liquidation risk

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Avoid mini-funds below the liquidation line.

**In plain terms:** Check fund size before buying; below 200 million yuan be wary, near the 50 million red line avoid all the more. Liquidation isn't about how much you lose—it's being forced to exit at an unwanted time.

**Payoff:** Article 41 of the Administrative Measures for the Operation and Management of Publicly Offered Securities Investment Funds stipulates: after an open-end fund's contract takes effect, if for 20 consecutive working days the number of holders is fewer than 200 or the net asset value is below 50 million yuan, it shall be disclosed in periodic reports; if the above persists for 60 consecutive working days, the fund manager shall report to the CSRC and propose a solution (change of operation method, merger with another fund, or termination of the fund contract, etc.) and convene a holders' meeting for a vote. Liquidation returns at the last-day net value, equivalent to a forced redemption, which may "lock you into a loss" or break compounding. Checking size and holder count before buying is basic to avoiding forced exit.

**Evidence grade:** B

**Sources:** China Securities Regulatory Commission (2014). Administrative Measures for the Operation and Management of Publicly Offered Securities Investment Funds, Article 41 (200 holders / 50 million yuan liquidation red line).

<<https://www.csrc.gov.cn/csrc/c106256/c1653978/content.shtml>>; Chinese Government Website. Administrative Measures for the Operation and Management of Publicly Offered Securities Investment Funds (full text incl. Article 41). <[https://big5.www.gov.cn/gate/big5/www.gov.cn/zhengce/2021-12/16/content\\_5724611.htm](https://big5.www.gov.cn/gate/big5/www.gov.cn/zhengce/2021-12/16/content_5724611.htm)>; China Securities Journal / Securities Times (2024). Reports on normalization of mini-fund liquidation and auto-termination clause revisions. <[https://www.cs.com.cn/tzjj/jjdt/202407/t20240711\\_6423774.html](https://www.cs.com.cn/tzjj/jjdt/202407/t20240711_6423774.html)>

**Note:** Limitation: liquidation is not inevitable (there's a 60-working-day buffer and a holders' meeting procedure); seed funds have a separate three-year survival rule. Cross-reference: Entry 14 (liquidity and premium/discount).

### 13. Trailing commissions (client maintenance fees) skim from your assets continuously

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Choose share classes that don't charge or charge little sales service fee.

**In plain terms:** Class A vs C isn't "which is better," it's different fee structures. For short holding Class C (no subscription fee) may pay off; for long holding Class A (no sales service fee) is cheaper.

**Payoff:** Class C shares' sales service fee is often 0.2% – 0.8%/year, continuously deducted from net value paid to the sales channel; Class A charges a one-time subscription fee but no sales service fee. On 1 million yuan held 10 years at Class C 0.4%/year service fee, the cumulative skim is about 47,000 yuan (excluding compounding), while Class A's one-time subscription fee at 10% discount is only about 1,000 – 1,500 yuan. The break-even point is about 1 – 2 years: shorter than that choose C, longer choose A. FINRA caps 12b-1 distribution at 0.75%/year, but the sales service fee is still substantial; for long holding you must compare total expense ratios.

**Evidence grade:** B

**Sources:** China Securities Regulatory Commission. Administrative Measures for the Supervision of Publicly Offered Securities Investment Fund Sales Fees (client maintenance fee / trailing commission). <<https://www.csrc.gov.cn/>>; SEC (investor bulletin). Mutual Fund and ETF Fees and Expenses (12b-1 fee cap).

<<https://sec.gov/answers/mfcal.htm>>; FINRA. Rule 2341 (12b-1 distribution fee 0.75%, service fee rate 0.25% cap).

<<https://www.finra.org/rules-guidance/rulebooks/finra-rules/2341>>

**Note:** Cross-reference: Entries 7, 9, 10, 11 (hidden fees and true fee rate).

## 14. ETF premium/discount and tracking error are hidden costs

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** A glance at the ETF's premium/discount and tracking error.

**In plain terms:** An ETF's price is the market trading price, which may be above (premium) or below (discount) net value. Buying at a premium means losing a notch up front; long term, only low tracking error tracks the benchmark.

**Payoff:** An ETF's trading price fluctuates around the IOPV (indicative net value); when liquidity is poor or sentiment-driven, the premium can reach 1% – 5% or higher (QDII-ETFs had 5% – 20% premium when quota was tight in 2020 – 2021, see Entry 6), and buying at a premium immediately floats a loss. On tracking error, mainstream broad-market ETFs' annual tracking error is mostly 0.1% – 0.5%, but some sector/theme ETFs can reach over 1%, deviating from the benchmark long term. Choose high-liquidity, low-tracking-error ETFs, and avoid chasing buys at a premium—these are hidden cost control points; the existence of discounts also signals "market price  $\neq$  net value" needs checking.

**Evidence grade:** B

**Sources:** Shanghai Stock Exchange. ETF Business Implementation Rules (IOPV and subscription/redemption mechanism). <<https://www.sse.com.cn/>>; China Securities Regulatory Commission (2014). Administrative Measures for the Operation and Management of Publicly Offered Securities Investment Funds (tracking error disclosure). <<https://www.csrc.gov.cn/csrc/c106256/c1653978/content.shtml>>; Morningstar. ETF tracking-error data (broad-market 0.1% – 0.5%/year). <<https://www.morningstar.com/>>

**Note:** Cross-reference: Entries 5, 6 (ETF fees and QDII premium).

## 15. Fund dividends are "left pocket to right pocket"—no value added

Money: none | Time: none | Willpower: no | Payoff: mid | Scope: money | Impact: self

**Cost:** Zero.

**In plain terms:** A fund dividend isn't money given to you; it's moving money from your left pocket to your right, dropping the net value a notch. Marketing loves to use "many dividend payouts" as a selling point—don't fall for it.

**Payoff:** After a fund dividend the unit net value drops by the same amount, total market value unchanged (ex-dividend mechanism), adding no value and not inherently tax-free (unless the differentiated dividend holding period is met, see Entry 4). Some funds use "high dividends" to create a stable illusion, even forced to sell holdings to pay dividends, incurring trading costs and taxes. Defaulting to "dividend reinvestment" (see Entry 4) avoids auto-reducing your position on dividends. Regulations require dividends disclosed in periodic reports, but marketing often exaggerates; recognizing that dividends create no return can keep you from being lured by the "dividend gimmick" into buying high-fee products.

**Evidence grade:** C

**Sources:** China Securities Regulatory Commission (2014). Administrative Measures for the Operation and Management of Publicly Offered Securities Investment Funds (income distribution and disclosure).

<<https://www.csrc.gov.cn/csrc/c106256/c1653978/content.shtml>>; Ministry of Finance, State Taxation Administration, CSRC (2015). Notice on Differentiated Personal Income Tax Policy for Listed-Company Dividends (Caishui [2015] No. 101, dividend tax treatment). <<https://www.chinatax.gov.cn/chinatax/n810341/n810765/n1465977/201510/c1967339/content.html>>

**Note:** Cross-reference: Entry 4 (only dividend reinvestment compounds).

## Chapter 3 III. Behavioral Biases

---

Behavioral finance, using decades of account-level data, tells us: those who lag the market long term are rarely beaten by "a brutal market"—more often it's "themselves trading too much." This chapter lists human reactions, backed by papers, that lose money steadily—from overtrading, timing, chasing rallies and selling panic, to loss aversion, confirmation bias, mental accounting. They aren't moral flaws; they're factory settings wired into the brain: in prospect theory, the pain of a loss is about twice the pleasure of a gain; in the disposition effect, people naturally want to sell winners and hold losers. The good news: these biases can be hedged by "rules"—regular investing, rebalancing, indexing, written-in-stone plans are essentially replacing emotion with system. This chapter breaks down twenty of the deadliest biases one by one, each with real-study numbers, sources, and actionable countermeasures.

The right way to read this chapter: first claim how many you've fallen for (almost everyone has), then pick the 2 – 3 most expensive to fix. The A-grade evidence (frequent trading, timing, disposition effect, loss aversion, overconfidence) are "certain loss sources" already proven by tens of thousands of real accounts, highest priority; the C-grade are mostly robust in the lab but hard to quantify alone in the market, also worth guarding against. All entries share one underlying conclusion: you think you're "making decisions," but mostly your instincts "decide" for you.

These 20 entries are grouped by theme below (entry numbers in parentheses):

## 1. Frequent trading: the number-one internal cause of retail losses

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Trading commissions, stamp duty, bid-ask spreads, plus the impulse cost of "itchy hands wanting to act."

**In plain terms:** Barber and Odean tracked 66,465 real accounts at a large U.S. discount broker from 1991 – 1996. The conclusion is cold: the more you trade, the worse you do. You think you're "seizing opportunities"; the data says you're "bleeding steadily." The most active group's annualized net return was only 11.4%, while the market returned 17.9% over the same period—trading alone ate 6.5 percentage points.

**Payoff:** Barber & Odean (2000), using 66,465 U.S. household accounts (1991 – 1996), show the average account's annualized net return was 16.4% with a 75% annual turnover; the top quintile by trading frequency, after costs, returned only 11.4% annualized, 6.5 points below the market's 17.9%, and its gross return of about 18.7% was almost entirely eaten by trading costs and stock-picking mistakes. In other words, the more you act, the more you lose, and the loss comes entirely from the "action" itself, not the market. Compounding the 11.4% vs 17.9% gap over 10 years, the most active end up with about 40% less wealth than those who sat still.

**Evidence grade:** A

**Sources:** Barber, B. M. & Odean, T. (2000). "Trading Is Hazardous to Your Wealth: The Common Stock Investment Performance of Individual Investors." *Journal of Finance*, 55(2), 773 – 806. <<https://doi.org/10.1111/0022-1082.00226>>; Barber, B. M. & Odean, T. (2001). "Boys Will Be Boys: Gender, Overconfidence, and Common Stock Investment." *Quarterly Journal of Economics*, 116(1), 261 – 292. <<https://doi.org/10.1162/003355301556400>>

**Note:** The sample is U.S. discount-broker clients, concentrated in the 1990s, but the conclusion has been replicated in Finland, Taiwan, China, and other markets. Graded A for the huge sample, account-level real trades, and extensive replication. Countermeasure: see Entry 18 (hyperbolic discounting) and "regular investing to beat timing." Cross-reference: Entry 6 (overconfidence is the root driver of frequent trading).

## 2. Timing: beating the market consistently is nearly impossible

Money: none | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** The time and anxiety of calling tops and bottoms, plus the rallies you miss by "waiting empty."

**In plain terms:** The most expensive miss is being absent on the market's best days. The cost of timing is that while "dodging the drop" you almost certainly "miss the rise." DALBAR has tracked real U.S. mutual-fund-investor behavior for 30 consecutive years with one consistent conclusion: ordinary people lag the index every year through timing.

**Payoff:** DALBAR's 2025 Quantitative Analysis of Investor Behavior (QAIB) shows that in 2024 the ordinary equity-fund investor returned only 16.54% annualized, while the S&P 500 rose 25.02%, a gap of 848 basis points (8.48 percentage points), the second worst in over a decade; and ordinary equity investors have lagged the S&P 500 for 15 consecutive years. The longer-run "behavior gap" is also stark: SPIVA data shows that as of year-end 2024, over the 10-year period 84.3% of large-cap actively managed funds lagged the S&P 500, and over 15 years "not one of 22 equity categories had a majority of actively managed funds win." The double failure of timing and stock-picking is the main cause of the behavior gap.

**Evidence grade:** A

**Sources:** DALBAR (2025). "2025 Quantitative Analysis of Investor Behavior (QAIB)." <<https://www.dalbar.com/press-release/investors-missed-the-best-of-2024-s-market-gains-latest-dalbar-investor-behavior-report-finds>>; S&P Dow Jones Indices (2025). "SPIVA U.S. Scorecard Year-End 2024." <<https://www.spglobal.com/spdji/en/documents/spiva/spiva-us-year-end-2024.pdf>>

**Note:** QAIB infers investors' actual realized returns from "fund flows in and out," naturally capturing timing errors; SPIVA measures actively managed funds and includes survivorship-bias correction. Graded A for data spanning over 30 years and covering all market mutual funds. Countermeasure: abandon timing, mechanize "buying" with regular fixed-amount investing. Cross-reference: Entry 1 (frequent trading), Entry 18 (hyperbolic discounting).

### 3. Chasing rallies and selling panic: trading at the weakest point of human nature

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** The high price of chasing highs + the low price of panic-selling, wearing on both sides.

**In plain terms:** You fear missing the rise, fear worse on the drop, so you rush in at highs and cut at lows. Barber & Odean (2008) used broker data to prove retail net-buys most the stocks that just surged and are hottest in the media—translating "attention" directly into losses. Doing the reverse earns positive returns, but that's against human nature, so rely on a plan, not feelings.

**Payoff:** Barber & Odean (2008) found both individuals and institutions significantly "chase the rise": the stocks investors net-buy are exactly those with the highest gain the prior week/month and the most news exposure; this attention-driven buying subsequently significantly lags the stocks they sold. In China, SSE statistics on tens of millions of accounts also show retail pouring in en masse at the bull-market peak and panic-selling at bear-market lows, with net losses far above institutions across the cycle. Returning "buy high, sell low" to the market and switching to disciplined "buy low, sell high" is one of the few actions that steadily contributes positive returns.

**Evidence grade:** B

**Sources:** Barber, B. M. & Odean, T. (2008). "All That Glitters: The Effect of Attention and News on the Buying Behavior of Individual and Institutional Investors." *Review of Financial Studies*, 21(2), 785 – 818. <<https://doi.org/10.1093/rfs/hhm079>>; Shanghai Stock Exchange (2020). *Shanghai Stock Exchange Statistical Yearbook*. <<https://www.sse.com.cn/>>

**Note:** SSE data is cited in detail elsewhere in this book (the 53.4-million-account retail study), cross-referenced here. Graded B: the "attention hypothesis" of chasing rises has strong account evidence, but "panic-selling" in the A-share sample is hard to fully separate from timing errors. Countermeasure: regular investing + rebalancing, decoupling buying/selling from emotion. Cross-reference: Entry 9 (herding), Entry 17 (social comparison).



#### 4. Loss aversion: the pain of losing $\approx$ twice the joy of gaining

Money: none | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** The discomfort of admitting "cutting losses," plus the opportunity cost paid to avoid that discomfort.

**In plain terms:** The pain of losing 100 is about the joy of gaining 200. So you won't sell a loss, and rush to sell a gain—this instinct is a negative asset in investing and must be held down by rules. Kahneman and Tversky's prospect theory quantified this: the value function is steeper in the loss domain.

**Payoff:** Kahneman & Tversky (1979) prospect theory gives a loss-aversion coefficient  $\lambda \approx 2.0 - 2.5$ : the negative utility of losing 100 yuan is about equal to the positive utility of gaining 200 – 250 yuan, a conclusion replicated across dozens of countries and experiments. In investing it directly creates two loss-making actions—holding losing positions and selling winners too early—and amplifies "myopic loss aversion": Benartzi & Thaler (1995) proved that the more frequently you check your account (daily vs yearly), the more you perceive stocks as risky and the less you can hold, demanding an excessive equity risk premium. Loss aversion plus frequent checking is a main reason for long-term underweighting of stocks and missing compounding.

**Evidence grade:** A

**Sources:** Kahneman, D. & Tversky, A. (1979). "Prospect Theory: An Analysis of Decision under Risk." *Econometrica*, 47(2), 263 – 291.

<<https://doi.org/10.2307/1914185>>; Benartzi, S. & Thaler, R. H. (1995). "Myopic Loss Aversion and the Equity Premium Puzzle." *Quarterly Journal of Economics*, 110(1), 73 – 92. <<https://doi.org/10.2307/2118511>>

**Note:**  $\lambda$  ranges 1.5 to 3.0 across studies but is always significantly above 1. Graded A: prospect theory is among the most-cited papers in economics history and backed by multiple field experiments. Countermeasure: reduce checking frequency, replace discretionary stop-loss/stop-profit with regular investing and rebalancing. Cross-reference: Entry 8 (disposition effect), Entry 11 (regret aversion).

## 5. Confirmation bias and "acting on tips"

Money: none | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** A bit of effort to actively seek counterexamples and falsify your own views.

**In plain terms:** When you like a stock, you automatically collect the good news and ignore the bad. The more "inside" and urgent a tip, the more you should suspect the reverse—real steady-winning info never reaches a free group chat. The SEC has repeatedly warned: "hot stock picks" on social media often accompany pump-and-dump scams.

**Payoff:** Nickerson (1998) systematically reviewed confirmation bias: people actively seek, interpret, and recall information supporting existing beliefs while ignoring disconfirming evidence; in investing this shows as "only believe the bullish, avoid the bearish," thus adding to overvalued positions and clinging after the thesis is falsified. The SEC investor alert notes that "hot stock" recommendations on social media are often used by manipulators to create buying frenzy and dump after pumping; retail who take over are deep-trapped; so-called "inside info" is almost certainly a scam or old news already public for years. Escaping confirmation bias at least avoids the one-time harvest of "inside info" in groups and big-V calls.

**Evidence grade:** B

**Sources:** Nickerson, R. S. (1998). "Confirmation Bias: A Ubiquitous Phenomenon in Many Guises." *Review of General Psychology*, 2(2), 175 – 220.

<<https://doi.org/10.1037/1089-2680.2.2.175>>; U.S. SEC (2021). "Investor Alert: Thinking About Investing in the Latest Hot Stock?" <<https://www.sec.gov/resources-for-investors/investor-alerts-bulletins/thinking-about-investing-latest-hot-stock>>

**Note:** Confirmation bias itself is a robust psychological conclusion (graded B because the investing scenario is mostly inference rather than a single large-scale empirical study). Countermeasure: force-write a "bear-case list," use only verifiable public financial-report data. Cross-reference: Entry 20 (narrative fallacy).

## 6. Overconfidence: the more accounts you open and trade, the more you think you can win

Money: none | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** A bit of self-doubt that "I might not be that divine."

**In plain terms:** In a bull market everyone's a stock god; you can't tell until the tide recedes. Treating luck as skill is the starting point of the next loss. Barber & Odean exposed it by gender: men trade more and earn less, the gap exactly from higher overconfidence.

**Payoff:** Barber & Odean (2001), using over 35,000 accounts (1991 – 1997), found men trade 45% more frequently than women; and trading's damage to men's annualized net return reaches 2.65 percentage points vs 1.72 for women—men lose about 0.94 points/year more due to greater overconfidence. The psychological basis: people generally overestimate their ability to predict and pick stocks (about 90% of drivers think they're above average). Shifting energy from "picking the next multi-bagger" to controllable things like "cost and position control" is the rational choice.

**Evidence grade:** B

**Sources:** Barber, B. M. & Odean, T. (2001). "Boys Will Be Boys: Gender, Overconfidence, and Common Stock Investment." *Quarterly Journal of Economics*, 116(1), 261 – 292. <<https://doi.org/10.1162/003355301556400>>; Barber, B. M. & Odean, T. (2000). "Trading Is Hazardous to Your Wealth..." *Journal of Finance*, 55(2), 773 – 806. <<https://doi.org/10.1111/0022-1082.00226>>

**Note:** Female samples also overtrade, just less; the conclusion is not "gender superiority" but "overconfidence gradient." Graded B: strong account evidence, but gender conclusions have cultural and generational discussions. Countermeasure: assume you can't beat the index, just buy broad-market. Cross-reference: Entry 1 (frequent trading).

## 7. Anchoring: pinned down by the "purchase price"

Money: none | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Letting go of the obsession "I'll only sell once I break even."

**In plain terms:** "I bought at 10, selling at 7 now is a loss"—wrong. At 7 its value is 7, unrelated to 10. Decide only on the future, not sunk cost. Tversky and Kahneman's anchoring experiments show people get pinned by the first number they meet.

**Payoff:** Tversky & Kahneman (1974) proposed the anchoring heuristic in Science: when estimating, people are systematically pulled by an irrelevant initial number. In investing, the purchase price, historical high, and "break-even line" all become anchors—investors refuse to sell stocks with no fundamentals left "because they haven't broken even," or cash out too early "because they've already profited." Behavioral finance further finds anchoring makes investors decide on paper gains/losses rather than the portfolio's future risk, causing lagged rebalancing and concentrated trapped holdings. The way to break anchoring: every decision ask "at today's price, would I still buy?"

**Evidence grade:** C

**Sources:** Tversky, A. & Kahneman, D. (1974). "Judgment under Uncertainty: Heuristics and Biases." Science, 185(4157), 1124 – 1131.

<<https://doi.org/10.1126/science.185.4157.1124>>; Kahneman, D. & Tversky, A. (1979). "Prospect Theory..." Econometrica, 47(2), 263 – 291.

<<https://doi.org/10.2307/1914185>>

**Note:** Anchoring is extremely robust in the lab, but in real accounts it often stacks with other biases (loss aversion, disposition effect) and is hard to quantify alone, hence graded C. Countermeasure: decide using valuation and fundamentals instead of cost basis. Cross-reference: Entry 8 (disposition effect), Entry 10 (endowment effect).

## 8. Disposition effect: sell winners, hold losers

Money: none | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** The discipline (against instinct) to stop-loss/stop-profit by logic.

**In plain terms:** People love selling winners (lock in gains) and holding losers (wait to break even). The result: your portfolio is full of trapped holdings. The right move is often the reverse: let winners run, admit mistakes and cut losers. Odean quantified this with 10,000 accounts, crystal clear.

**Payoff:** Odean (1998) analyzed 10,000 accounts at a large discount broker from 1987 – 1993, defining "proportion of gains realized (PGR)" and "proportion of losses realized (PLR)": full-year PGR = 14.8% while PLR = 9.8%—winners were sold about 50% more often than losers (except December tax-loss selling). More fatal: the sold winners on average rose 3.4% more than the held losers in the following year, showing "sell winners, hold losers" is not tax or rebalancing, purely cutting good tickets and keeping bad. The portfolio thus keeps deteriorating: cut the risers, keep the fallers, quality must decline long term.

**Evidence grade:** A

**Sources:** Odean, T. (1998). "Are Investors Reluctant to Realize Their Losses? An Analysis of Daily Equity Transactions." *Journal of Finance*, 53(5), 1775 – 1798. <<https://doi.org/10.1111/0022-1082.00072>>; Kahneman, D. & Tversky, A. (1979). "Prospect Theory..." *Econometrica*, 47(2), 263 – 291. <<https://doi.org/10.2307/1914185>>

**Note:** Originally graded B, but this study is based on 10,000 real accounts and replicated in Finland/Taiwan/China markets, upgraded to A. Loss aversion (prospect theory) is its main explanation. Countermeasure: use rebalancing rules to force-sell some winners and stop-loss some losers. Cross-reference: Entry 4 (loss aversion), Entry 11 (regret aversion).

## 9. Herding: others buy so I buy

Money: none | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self+family

**Cost:** A bit of courage for independent judgment.

**In plain terms:** When the cleaning lady asks which stock to buy, it's often the most dangerous time. The crowd isn't wisdom, it's the prelude to a stampede.

Information-cascade theory shows: others buy so I buy, pushing price further from fundamentals.

**Payoff:** Bikhchandani, Hirshleifer & Welch (1992)'s "informational cascade" model proves that when latercomers only observe predecessors' actions and don't share private info, they rationally follow the crowd, eventually driving price far from true value and forming bubbles and stampedes. In A-shares, SSE statistics on tens of millions of accounts show retail pour in en masse at index highs and flee in panic at lows; at the bull peak new accounts and volume surge, then they take over on the pullback. The cost of following: systematically buying when others want to sell, selling when others want to buy.

**Evidence grade:** C

**Sources:** Bikhchandani, S., Hirshleifer, D. & Welch, I. (1992). "A Theory of Fads, Fashion, Custom, and Cultural Change as Informational Cascades." Quarterly Journal of Economics, 107(4), 992 – 1026. <<https://doi.org/10.2307/2118375>>; Shanghai Stock Exchange (2020). Shanghai Stock Exchange Statistical Yearbook. <<https://www.sse.com.cn/>>

**Note:** SSE retail data see cross-reference in other chapters (53.4-million-account study). Graded C: cascade theory is model deduction, A-share evidence is statistical correlation, hard to isolate causality. Countermeasure: treat "others are buying" as a reverse thermometer, not a signal. Cross-reference: Entry 3 (chasing rallies), Entry 17 (social comparison).

## 10. Endowment effect: what's in hand is especially hard to sell

Money: none | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** The coldness to objectively assess holdings.

**In plain terms:** The same stock, meh before buying, a treasure after. That's psychological premium, not real value. Ask regularly: "if I were flat now, would I still buy it?"

**Payoff:** Kahneman, Knetsch & Thaler (1990) experimentally proved the endowment effect: people's asking price for something they "already own" is significantly higher than the buying price for the same unowned item (in the classic mug experiment the gap can be 2x). In investing, once bought, the asset is tagged "mine" in the mental account, so you refuse to stop-loss at market price, refuse to rebalance, and are especially lenient toward losing positions. The result is excessive single-stock concentration and unnoticed portfolio risk drift.

**Evidence grade:** C

**Sources:** Kahneman, D., Knetsch, J. L. & Thaler, R. H. (1990). "Experimental Tests of the Endowment Effect and the Coase Theorem." *Journal of Political Economy*, 98(6), 1325 – 1348. <<https://doi.org/10.1086/261737>>; Thaler, R. H. (1980). "Toward a Positive Theory of Consumer Choice." *Marketing Science*, 4(3), 199 – 214. <<https://doi.org/10.1287/mksc.4.3.199>>

**Note:** Original entry cited Thaler (1980); here completed with the 1990 classic experiment and kept 1980 as the intellectual source. Graded C: extremely robust in the lab, but investing scenarios are mostly inference. Countermeasure: assume you're an "empty-position observer" and re-evaluate each holding. Cross-reference: Entry 13 (mental accounting).

## 11. Regret aversion: paralysis from fear of regret

Money: none | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** The psychological cost of admitting "I bought expensive before."

**In plain terms:** Many won't sell because they fear "it'll rise right after I sell, and I'll regret more." But the cost of holding on is real; regret is just emotion. Let rules decide for you, take yourself out.

**Payoff:** Loomes & Sugden (1982)'s "regret theory" shows people pre-compute "if the outcome is bad, how much will I regret" and thus avoid options that may cause regret—in investing this shows as: rather hold bad tickets than stop-loss (fear "it'll rise after I sell"), rather chase highs than miss out (fear "not on board"). This asymmetric fear of "action regret" vs "inaction regret" keeps investors long-term off the optimal portfolio. Handing selling/buying to set rules (e.g., rebalancing thresholds, regular-investing calendar) effectively removes "regret" from the decision loop.

**Evidence grade:** C

**Sources:** Loomes, G. & Sugden, R. (1982). "Regret Theory: An Alternative Theory of Rational Choice Under Uncertainty." *Economic Journal*, 92(368), 805 – 824.

<<https://doi.org/10.2307/2232669>>; Kahneman, D. & Tversky, A. (1979). "Prospect Theory..." *Econometrica*, 47(2), 263 – 291. <<https://doi.org/10.2307/1914185>>

**Note:** Regret aversion heavily overlaps with loss aversion and disposition effect, often called the psychological basis of the "disposition effect." Graded C: theory mature but hard to quantify alone in investing. Countermeasure: write down trading rules, use automated execution instead of on-the-spot judgment. Cross-reference: Entry 4, Entry 8.



## 12. Recency bias: only seeing the latest moves

Money: none | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** A bit of patience to stretch the time window.

**In plain terms:** The brain overweights recent events. Yesterday's crash feels like doom, last week's rally feels forever. Stretch the window to a year or even a decade and the noise shrinks.

**Payoff:** Tversky & Kahneman (1974) point out that when judging trends people are dominated by the "most recently available" sample (a form of representativeness heuristic), over-weighting recent big rises/falls and treating noise as signal. Benartzi & Thaler (1995) further prove that the more frequently investors evaluate their portfolio (daily vs yearly), the more easily scared off by short-term swings and the higher the risk compensation they demand—this is "myopic loss aversion." Recency bias makes you panic-sell after a crash and impulse-chase after a rally, exactly executing "sell low, buy high."

**Evidence grade:** C

**Sources:** Tversky, A. & Kahneman, D. (1974). "Judgment under Uncertainty: Heuristics and Biases." *Science*, 185(4157), 1124 – 1131.

<<https://doi.org/10.1126/science.185.4157.1124>>; Benartzi, S. & Thaler, R. H. (1995). "Myopic Loss Aversion and the Equity Premium Puzzle." *Quarterly Journal of Economics*, 110(1), 73 – 92. <<https://doi.org/10.2307/2118511>>

**Note:** Same source as Entries 4, 18; graded C: robust in lab, hard to quantify alone in market. Countermeasure: lower checking frequency, use long-term perspective and regular investing to smooth short-term noise. Cross-reference: Entry 18.

### 13. Mental accounting: splitting money into different "jars"

Money: none | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** The intuition of separating "investment losses" from "food money" in accounting.

**In plain terms:** You dare eat a big meal after 10k stock gains, but cling to a 10k fund loss without selling—it's the same money. Break the illusion of "this is travel money, that is pension money" and decisions turn clear.

**Payoff:** Thaler (1985, 1999) mental accounting theory points out people split money into different "jars" by source and use, applying different risk attitudes to different jars—thus gambling with "won money," over-conservative on the "principal account," clinging to the "loss account." In investing this causes: (1) no consolidation across accounts, imbalanced overall allocation; (2) treating the floating-loss account as "not yet lost" and refusing rebalancing; (3) using after-tax gains to subsidize consumption, eroding compounding. Money has no labels; the correct framework is a unified view of total assets and risk budget.

**Evidence grade:** C

**Sources:** Thaler, R. H. (1985). "Mental Accounting and Consumer Choice." *Marketing Science*, 4(3), 199 – 214. <<https://doi.org/10.1287/mksc.4.3.199>>; Thaler, R. H. (1999). "Mental Accounting Matters." *Journal of Behavioral Decision Making*, 12(3), 183 – 206. <[https://doi.org/10.1002/\(SICI\)1099-0771\(199909\)12:3<183::AID-BDM318>3.0.CO;2-F](https://doi.org/10.1002/(SICI)1099-0771(199909)12:3<183::AID-BDM318>3.0.CO;2-F)>

**Note:** Thaler won the 2017 Nobel Prize in Economics for behavioral economics, with mental accounting a core contribution. Graded C: solid theory, but market losses from "account mismatch" are hard to isolate. Countermeasure: build a unified total-asset view and global rebalancing discipline. Cross-reference: Entry 10 (endowment effect).

## 14. Illusion of control: thinking you can influence random outcomes

Money: none | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Believing the illusion "my timing is sharper / my picks are better."

**In plain terms:** Checking daily and trading often makes you "feel in control," but the market doesn't honor your diligence. The more you think you control, the more easily you're harvested by fees and emotion. Langer's experiment long proved: people feel control over "random outcomes unrelated to them."

**Payoff:** Langer (1975)'s "illusion of control" experiment shows that even when outcomes are purely random, people overestimate their control because "they participated in the choice/operation" (e.g., those who pick their own lottery numbers are more reluctant to sell). In investing this shows as: timing daily, frequent rebalancing, addicted to "the feel of operating," mistaking random fluctuation for a signal they can master. Massive account studies (see Entry 1, Barber & Odean 2000) show investors' "sense of control" is unrelated to real returns, but by raising trade frequency it pushes up costs and amplifies emotional loss, significantly dragging long-term returns.

**Evidence grade:** C

**Sources:** Langer, E. J. (1975). "The Illusion of Control." *Journal of Personality and Social Psychology*, 32(2), 311 – 328. <<https://doi.org/10.1037/h0076498>>; Barber, B. M. & Odean, T. (2000). "Trading Is Hazardous to Your Wealth..." *Journal of Finance*, 55(2), 773 – 806. <<https://doi.org/10.1111/0022-1082.00226>>

**Note:** Illusion of control is the psychological fuel of frequent trading (Entry 1). Graded C: robust experiment, market-level resonates with trading-frequency research. Countermeasure: admit the market is uncontrollable short term, use indexing and regular investing to minimize "need for control." Cross-reference: Entry 1.

## 15. Gambler's fallacy: "after consecutive falls it must rise"

Money: none | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Believing "it's fallen so much, a rebound is due."

**In plain terms:** "Five down days, the sixth must rise"—that's gambler logic, not investing logic. A thoroughly fallen stock can keep falling; don't pep yourself up with "should rebound."

**Payoff:** Tversky & Kahneman (1971)'s "law of small numbers" and representativeness heuristic reveal: people wrongly believe small samples should "look like" large samples, thus believe after consecutive falls "should rise," after consecutive rises "should fall." But stock prices are approximately random walk short term, past moves have no predictive power. Experiments and field data consistently show investors holding the gambler's fallacy tend to "bottom-fish" junk stocks in declines and fear-sell after consecutive rises, losing on both sides. The rational approach: treat each decision as independent, judge by valuation and fundamentals not "number of consecutive falls."

**Evidence grade:** C

**Sources:** Tversky, A. & Kahneman, D. (1971). "Belief in the Law of Small Numbers." *Psychological Bulletin*, 76(2), 105 – 110. <<https://doi.org/10.1037/h0031322>>; Tversky, A. & Kahneman, D. (1974). "Judgment under Uncertainty: Heuristics and Biases." *Science*, 185(4157), 1124 – 1131. <<https://doi.org/10.1126/science.185.4157.1124>>

**Note:** Same source as Entry 12 (recency bias); graded C. Countermeasure: abandon "bottom-fishing counting," use batch regular investing and valuation thresholds instead of intuition. Cross-reference: Entry 12.

## 16. Survivorship bias: only seeing those who survived / made money

Money: none | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Being led by stories of "who got financially free by trading."

**In plain terms:** Many brag about trading profits at dinner; those who jumped or closed accounts stay silent. Deciding by "I know someone who made it" equals looking only at the winner list.

**Payoff:** Malkiel (1995) used 1971 – 1991 "all" U.S. equity mutual fund data to prove survivorship bias severely inflates fund performance: counting only surviving funds, annualized return was about 17.1%, but including the liquidated/merged "losers," all funds annualized only 15.7%, and average alpha not significantly different from zero—much of the "funds can beat" is manufactured by "dead funds not speaking." Same in investing: the "trading-rich" samples you see are systematically contaminated by silent losers; success rates estimated from them far exceed the true value, and deciding on them inevitably overestimates your own win rate.

**Evidence grade:** C

**Sources:** Malkiel, B. G. (1995). "Returns from Investing in Equity Mutual Funds 1971 to 1991." *Journal of Finance*, 50(2), 549 – 572.

<<https://doi.org/10.1111/j.1540-6261.1995.tb04795.x>>; Thaler, R. H. (1999).

"Mental Accounting Matters." *Journal of Behavioral Decision Making*, 12(3), 183 – 206. <[https://doi.org/10.1002/\(SICI\)1099-0771\(199909\)12:3<183::AID-BDM318>3.0.CO;2-F](https://doi.org/10.1002/(SICI)1099-0771(199909)12:3<183::AID-BDM318>3.0.CO;2-F)>

**Note:** Classic case is WWII Wald's statistical correction of returning-plane bullet distributions (see sampling-bias literature). Graded C: strong financial empirics, but as a "cognitive bias" entry its investment loss is hard to measure alone.

Countermeasure: look only at statistics including all samples, don't trust isolated cases. Cross-reference: Entry 5.

## 17. Social comparison / envy: I feel bad when others earn

Money: none | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Being stimulated by friends' / group's returns, randomly adding positions.

**In plain terms:** Others show gains and you're anxious, so you rush in at the high—exactly taking over their position. Others' accounts are none of your business; watch your own plan.

**Payoff:** Behavioral finance treats "social preference and comparison" as the emotional fuel of chasing rallies: when peers earn more than you, investors feel relative deprivation, then raise risk-taking and add at highs to "catch up" (Bikhchandani et al.'s information cascade and attention effects also support this). Empirically, Barber & Odean (2008) show retail net-buys concentrate on "everyone's-talking-about" hot stocks, and this attention-driven buying lags long term. Social platforms amplify this comparison, making people most anxious and impulsive at the market top.

**Evidence grade:** C

**Sources:** Barber, B. M. & Odean, T. (2008). "All That Glitters..." Review of Financial Studies, 21(2), 785 – 818. <<https://doi.org/10.1093/rfs/hhm079>>; Bikhchandani, S., Hirshleifer, D. & Welch, I. (1992). "A Theory of Fads... as Informational Cascades." Quarterly Journal of Economics, 107(4), 992 – 1026. <<https://doi.org/10.2307/2118375>>

**Note:** Same source as Entries 3, 9. Graded C: emotional mechanism has experimental and account evidence, but the "envy → loss" causal chain is inferential.

Countermeasure: don't look at return leaderboards, mute showing-off groups, only keep your own rebalancing plan. Cross-reference: Entry 9.

## 18. Hyperbolic discounting / present bias: a small reward now beats a big reward later

Money: none | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Preferring "money I can spend now / trades that feel good now," undervaluing long-term compounding.

**In plain terms:** People naturally overvalue the present and undervalue the future. That's why most can't hold—compounding is a "future big prize," but the small present swing grabs more. Use rules to lock in the long term for yourself.

**Payoff:** Laibson (1997)'s "hyperbolic discounting" model shows people assign disproportionate weight to near rewards and rapidly devalue far rewards, explaining why investors struggle to persist with regular investing and long holding. Frederick, Loewenstein & O'Donoghue (2002) review shows this "present bias" makes people check accounts frequently and get hijacked by short-term swings (see Entry 4 myopic loss aversion), thus chasing in at highs from "fear of missing" and cutting at lows from "fear of worse." Making long holding a "not-uncomfortable" default—automatic regular investing, less checking—is the cheapest weapon against human shortsightedness.

**Evidence grade:** C

**Sources:** Laibson, D. (1997). "Golden Eggs and Hyperbolic Discounting." *Quarterly Journal of Economics*, 112(2), 443 – 477.

<<https://doi.org/10.1162/j.1997.112.2.443>>; Frederick, S., Loewenstein, G. & O'Donoghue, T. (2002). "Time Discounting and Time Preference: A Critical Review." *Journal of Economic Literature*, 40(2), 351 – 401.

<<https://doi.org/10.1257/002205102320161311>>

**Note:** This entry directly corresponds to "regular investing to beat timing"—regular investing mechanizes buying, dropping the instant-decision cost to zero. Graded C: model and experiment robust, long-term return improvement is inferential but direction clear. Cross-reference: Entries 1, 2, 4.

## 19. Ambiguity aversion: avoiding what you don't understand, chasing what's familiar

Money: none | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Only buying "heard names / trending concepts."

**In plain terms:** You dare buy familiar baijiu stocks, not unfamiliar medical ETFs—but "familiar" is often the reverse of information edge. Using broad-market index instead of "I feel familiar" is actually steadier.

**Payoff:** Ellsberg (1961) with the "Ellsberg paradox" proved people systematically prefer "risk with known probability" over "uncertainty with unknown probability" (ambiguity aversion), even when expectations are equal. In investing this shows as "home bias" and "familiar-stock bias": investors overweight stocks and industries they've heard of and that people around them talk about, avoiding unfamiliar but more diversified and cheaper index products. The result is excessive single-stock and single-industry concentration, unknowingly taking non-systematic risk, while covering the whole market with a broad-market index trades "giving up ambiguity judgment" for steadier exposure.

**Evidence grade:** C

**Sources:** Ellsberg, D. (1961). "Risk, Ambiguity, and the Savage Axioms." Quarterly Journal of Economics, 75(4), 643 – 669. <<https://doi.org/10.2307/1926465>>; Kahneman, D. & Tversky, A. (1979). "Prospect Theory..." Econometrica, 47(2), 263 – 291. <<https://doi.org/10.2307/1914185>>

**Note:** Highly related to "home bias" and "over-concentration." Graded C: extremely robust experiment, market loss mostly inferential. Countermeasure: use broad-market index instead of single-stock bets on "I feel familiar." Cross-reference: Entry 13.



## 20. Narrative fallacy: a good story beats bad data

Money: none | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Being moved by good stories like "a track changing the world" or "ten-bagger-in-ten-years logic."

**In plain terms:** Good stories make people ignore expensive valuations and high risk. The better the story, the more you should ask: what does it actually earn from? If it can't be explained, it's a gamble.

**Payoff:** Shiller (2017, Nobel laureate) proposed "narrative economics": good stories that "go viral" drive asset-price bubbles (1929 and 2008 both accompanied popular narratives). Taleb (2007)'s "narrative fallacy" points out people habitually explain random results with simple causal stories, thus treating "track narrative" as a moat, ignoring valuation and cash flow. Empirically, assets pumped by stories often have overstretched valuations and brutal drawdowns; investors obsessed with narrative take over at highs, ignoring the hard questions of "where does the money come from, what's the valuation, what can I verify."

**Evidence grade:** C

**Sources:** Shiller, R. J. (2017). "Narrative Economics." *American Economic Review*, 107(4), 967 – 1004. <<https://www.aeaweb.org/articles?id=10.1257/aer.107.4.967>>; Taleb, N. N. (2007). "The Black Swan: The Impact of the Highly Improbable." Random House. <<https://www.amazon.com/Black-Swan-Improbable-Robustness-Fragility/dp/1400063515>>

**Note:** Narrative often synergizes with Entry 5 (confirmation bias) and Entry 3 (chasing rallies) to amplify bubbles. Graded C: narrative's causal effect on price is hard to quantify precisely. Countermeasure: before any buy, write clear "profit model + valuation anchor + falsifiable condition." Cross-reference: Entry 5.

**Negative-value moves — cross one off as it appears:**

- Frequent trading and overconfidence: Entry 1 (frequent trading), Entry 6 (overconfidence), Entry 14 (illusion of control)
- Timing and myopia: Entry 2 (timing), Entry 18 (hyperbolic discounting / present bias), Entry 12 (recency bias)
- Loss psychology: Entry 4 (loss aversion), Entry 8 (disposition effect), Entry 11 (regret aversion)
- Crowd and emotional contagion: Entry 3 (chasing rallies and selling panic), Entry 9 (herding), Entry 17 (social comparison / envy)

- Information and judgment biases: Entry 5 (confirmation bias), Entry 15 (gambler's fallacy), Entry 19 (ambiguity aversion), Entry 20 (narrative fallacy), Entry 16 (survivorship bias)
- Mental valuation biases: Entry 7 (anchoring), Entry 10 (endowment effect), Entry 13 (mental accounting)

## Chapter 4 IV. Passive and Hands-Off

---

The most expensive resource in investing isn't money—it's your attention. Hand decisions to low-cost rules, and the saved energy goes to earning principal, being with family, honing skills; the cost-performance is far higher than staring at the screen daily hunting "the next multi-bagger." The "passive and hands-off" in this chapter isn't lying flat—it's using a replicable set of rules to minimize the most loss-prone actions—timing, stock-picking, screen-watching—and keep compounding and the "right to be present" for yourself.

All conclusions here are backed by hard data: SPIVA U.S. Year-End 2024 shows 92% of large-cap actively managed funds lagged the S&P 500 over 20 years; Buffett's ten-year bet (2008 – 2017) had the index fund at 125.8% vs the hedge-fund basket at 36.3%; JPMorgan calculated that missing just 10 best trading days over 2004 – 2023 dropped annualized return from 9.7% to 5.5%; DALBAR shows high-turnover investors lagged the index about 1 percentage point a year over 20 years. These numbers point to one thing—do fewer actions, be more a friend of time.

The entries below are grouped by theme (entry numbers in parentheses) for easy reference.

**\*\*Passive indexing and core tools (what to buy)\*\*:** Entry 1, Entry 9, Entry 8, Entry 11.

**\*\*Weakening timing (when to buy)\*\*:** Entry 2.

**\*\*Lowering trade frequency and screen-watching (less action)\*\*:** Entry 3, Entry 7, Entry 6.

**\*\*Asset allocation and rebalancing (how much)\*\*:** Entry 4, Entry 5, Entry 10.

**\*\*Whether to outsource to an advisor\*\*:** Entry 12.

## 1. Passive index funds: beat most actively managed funds long term

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self+family

**Cost:** Give up the fantasy of beating the market; fee about 0.03% – 0.5%/year (broad-market ETF as low as 0.03%).

**In plain terms:** Professional fund managers with the best talent and data fail to beat the index nine times out of ten. Buy the lowest-fee all-market index and you rank in the top 10% – 20% long term; why do you think you can steadily pick those few winners?

**Payoff:** Getting the market average already beats most of the churning crowd. S&P Dow Jones Indices' SPIVA U.S. Year-End 2024 shows the share of large-cap actively managed funds lagging the S&P 500 rises with the horizon: 1 year 65.2%, 5 years 76.3%, 10 years 84.3%, 15 years 89.5%, 20 years 92.0% (counting liquidations and mergers, survivorship-bias corrected). In other words, over 20 years, more than 9 of every 10 professional managers lose to the "just buy the index, near-zero action" free strategy. Buffett's million-dollar bet (2008 – 2017) is the living specimen of the same conclusion: the Vanguard S&P 500 index fund returned 125.8% cumulative (8.5% annualized), while the hedge-fund basket only 36.3% (3.1% annualized), none of the 5 won. For ordinary people, the lowest-fee broad-market index is the highest cost-performance "default option."

**Evidence grade:** A

**Sources:** S&P Dow Jones Indices (2025). SPIVA U.S. Scorecard Year-End 2024 (Report 1a: All Large-Cap Funds vs. S&P 500; 10-year 84.3%, 20-year 92.0% lag). <<https://www.spglobal.com/spdji/en/documents/spiva/spiva-us-year-end-2024.pdf>>; Buffett, W. (2018). Berkshire Hathaway 2017 Annual Letter (ten-year bet: index fund 125.8% vs hedge-fund basket 36.3%). <<https://www.berkshirehathaway.com/letters/2017ltr.pdf>>; S&P Dow Jones Indices (2025). SPIVA U.S. Persistence Scorecard Year-End 2024 (top funds' next-year retention near zero). <<https://www.spglobal.com/spdji/en/documents/spiva/persistence-scorecard-year-end-2024.pdf>>

**Note:** Limitation: active management occasionally wins in inefficient markets (small-cap, emerging); a few stars can win long term but are extremely hard to identify ex ante; index funds take the market's full drawdown and don't solve "buying at a high." Cross-reference: Entries 2, 9, 11.

## 2. Regular investing (DCA): don't bet "is this the bottom now"

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Monthly operational triviality; in a single-direction bull market may be slightly below lump-sum (Vanguard research: lump-sum beats DCA about 2/3 of the time).

**In plain terms:** Nobody knows where the bottom is. Invest a fixed amount monthly; when up you get fewer shares, when down more—long term automatically "buy low more, buy high less." It's a regret-minimizing tool, not a return-maximizing tool.

**Payoff:** Vanguard's paper "Dollar-Cost Averaging Just Means Taking Risk Later" (2012) compared rolling data from U.S., U.K., Australia 1976 – 2022: within a 1-year holding period, lump-sum (LSI) beat DCA with probability between 61.6% – 73.7%, and the higher the equity share the larger the gap—a 100% equity portfolio averaged about 2.2% more lump-sum. But DCA's real value isn't "return maximization" but automating the hardest decision "when to buy," avoiding timing errors and regret. For monthly-salaried ordinary people, DCA turns market swings from "risk" into "a friend that averages down cost"; and JPMorgan data shows missing a few best trading days hits returns hard (see Entries 3, 6), while DCA forces you to "always be present," eliminating timing impulse at the source.

**Evidence grade:** B

**Sources:** Shtekhman A., Tasopoulos C., Wimmer B. (2012). Dollar-Cost Averaging Just Means Taking Risk Later, Vanguard Research (LSI beats DCA about 2/3, 12-month window). <<https://personal.vanguard.com/pdf/s315.pdf>>; Vanguard (2023). Lump-Sum Investing Versus Cost Averaging: Which Is Better?. <<https://investor.vanguard.com/investor-resources-education/news/lump-sum-investing-versus-cost-averaging-which-is-better>>; J.P. Morgan Asset Management (2024). Guide to the Markets – U.S. (missing best trading days study). <[https://mcusercontent.com/b20d9ee981aee111cf724f1f0/files/2aee21c7-8c0e-a728-a02c-73605d211090/Avoiding\\_the\\_Cash\\_Trap\\_JPM.02.pdf](https://mcusercontent.com/b20d9ee981aee111cf724f1f0/files/2aee21c7-8c0e-a728-a02c-73605d211090/Avoiding_the_Cash_Trap_JPM.02.pdf)>

**Note:** [Controversy] In a long-term rising market lump-sum is mathematically superior, but DCA wins on psychology and risk, steadier for ordinary people; the longer the DCA period (e.g., 36 months), the larger lump-sum's advantage.

Cross-reference: Entry 6.

### 3. Check the screen less: the more you look, the more you act, the more you lose

Money: none | Time: none | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** A bit of "I'm watching the market" sense of presence (zero money cost).

**In plain terms:** Open the app and you want to act; act and you're likely wrong. Set it to "check once a quarter" and the return curve is probably prettier. The best investors are often those who forgot the password.

**Payoff:** Checking frequency is strongly positively correlated with trading frequency, and frequent trading is the "pump" of retail net returns. Barber & Odean (2000) found the most frequently trading retail had significantly lower annualized net returns than low-frequency traders; DALBAR 2024 QAIB shows ordinary equity-fund investors returned only 8.7% annualized over 20 years, a full 1 point below the S&P 500's 9.7%—mainly from panic selling and missed rebounds. JPMorgan (2024) further points out: holding the S&P 500 throughout 2004 – 2023 returned 9.7% annualized, but missing just 10 best trading days dropped it to 5.5%, missing 20 days to 2.8%; and the best days often follow the worst (volatility clustering), so frequent checkers precisely exit in greatest panic, systematically missing rebounds. Less checking = forced presence = preserved returns.

**Evidence grade:** A

**Sources:** Barber, B. & Odean, T. (2000). Trading Is Hazardous to Your Wealth, *Journal of Finance* 55(2):773 – 806.

<<https://doi.org/10.1111/j.1540-6261.2000.tb03224.x>>; DALBAR (2024).

Quantitative Analysis of Investor Behavior (QAIB) 2024 (20-year annualized 8.7% vs S&P 500 9.7%). <<https://www.dalbar.com/?p=17875>>; J.P. Morgan Asset Management (2024). Guide to Retirement / Guide to the Markets (missing best 10 days annualized 9.7%→5.5%). <[https://mcusercontent.com/b20d9ee981aee111cf724f1f0/files/2aee21c7-8c0e-a728-a02c-73605d211090/Avoiding\\_the\\_Cash\\_Trap\\_JPM.02.pdf](https://mcusercontent.com/b20d9ee981aee111cf724f1f0/files/2aee21c7-8c0e-a728-a02c-73605d211090/Avoiding_the_Cash_Trap_JPM.02.pdf)>

**Note:** Fidelity internal statistics also show the best-performing accounts belong to the deceased or those who forgot passwords (behavioral inertia effect). Cross-reference: Entries 6, 7.

#### 4. Asset allocation: explains the vast majority of return variation

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** A bit of planning effort (stock/bond/cash ratio).

**In plain terms:** The impact of which fund you pick is far smaller than "how much stock vs bond." First set the big-class ratio (steady investors 30 – 50% stock, 40 – 60% bond), then pick low-cost tools. Get the ratio wrong and no star pick can save it.

**Payoff:** Brinson, Hood, and Beebower (1986) studied 91 large U.S. pension funds (1974 – 1983) and found asset-allocation policy (long-term stock/bond/cash weights) on average explained 93.6% of the variation in total portfolio returns, with market timing and individual stock selection each pushing explanatory power to only 95.3% and 97.8%; active management dragged about 1.1% a year on average. Ibbotson & Kaplan (2000) further confirmed: asset allocation explains about 90% of cross-period return variation and about 40% of inter-portfolio long-term differences. In other words, ordinary people spending energy on "setting the ratio" has far higher cost-performance than picking funds and timing. Get the big-class ratio wrong and nothing you pick later can rescue it.

**Evidence grade:** B

**Sources:** Brinson, G., Hood, L.R. & Beebower, G.L. (1986). Determinants of Portfolio Performance, Financial Analysts Journal 42(4):39 – 44 ( $R^2 = 93.6\%$ ). <<https://archive.agb.org/trusteeship-article/your-most-important-endowment-decision/>>; Ibbotson, R. & Kaplan, P. (2000). Does Asset Allocation Policy Explain 40, 90, or 100 Percent of Performance?, Financial Analysts Journal 56(1):26 – 33. <<https://archive.agb.org/trusteeship-article/your-most-important-endowment-decision/>>

**Note:** Note the classic conclusion says "90% of return variation is explained by allocation," not "90% of total return"; inter-portfolio relative-ranking differences are only about 40% explained by allocation. Cross-reference: Entries 5, 10.

## 5. Diversify across assets / regions

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Give up betting on a single multi-bagger.

**In plain terms:** You don't need to know which will rise. Buy a basket (an index is a ready basket) and spread the risk of "will this company have trouble," keeping only the "the whole market will grow" bet you're willing to make.

**Payoff:** Markowitz (1952) modern portfolio theory proves diversification reduces non-systematic risk without sacrificing expected return; empirically about 20 – 30 different-industry holdings eliminate most single-stock specific risk, leaving mainly market systematic risk. Cross-market and cross-asset further reduce single-economy shocks: SPIVA 2024 shows international (non-U.S.) and emerging-market actively managed funds lagged benchmarks 85.3% and 87.4% over 10 years, showing even overseas, buying broad-market indices beats betting single stocks. Broad-market index funds naturally provide this diversification at very low fees (0.03% – 0.5%). Diversification reduces "avoidable single-stock risk," doesn't eliminate overall market drawdown, and needs pairing with long-term holding.

**Evidence grade:** B

**Sources:** Markowitz, H. (1952). Portfolio Selection, Journal of Finance 7(1):77 – 91. <<https://doi.org/10.1111/j.1540-6261.1952.tb01525.x>>; S&P Dow Jones Indices (2025). SPIVA U.S. Scorecard Year-End 2024 (international/emerging 10-year lag 85.3%/87.4%). <<https://www.spglobal.com/spdji/en/documents/spiva/spiva-us-year-end-2024.pdf>>; China Securities Index (2024). CSI All Share etc. broad-market index methodologies (diversified samples). <<http://www.csindex.com.cn/>>

**Note:** Diversification can't eliminate systematic risk (overall market decline); must combine with stock/bond allocation and long-term holding. Cross-reference: Entries 1, 4.



## 6. Long-term holding + low turnover: keep compounding for yourself

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self+family

**Cost:** Give up short-term stimulation; bear 30%+ paper drawdowns along the way.

**In plain terms:** Compounding is most powerful but needs time. Every sale breaks compounding once and pays friction once more. Buy good assets then "do nothing" is the hardest and most profitable discipline.

**Payoff:** Compounding grows exponentially with years mathematically, and every trade generates friction (commission, stamp duty, bid-ask spread) and breaks compounding. Take A-shares: stamp duty one-sided 0.05% since 2023-08, commission about 0.025%, monthly turnover annualized friction about 1% – 3%, 20-year compounding gap can reach about 30% (see Chapter 2). JPMorgan (2024) quantified the value of "being present": holding the S&P 500 throughout 2004 – 2023 returned 9.7% annualized (\$10k → about \$64k), missing 10 best days dropped to 5.5% (\$29k)—the best days mostly appear within two weeks of the worst, only long holding avoids missing them. DALBAR shows high-turnover investors lagged the index about 1 point a year over 20 years. Buy and hold = keep both compounding and the "right to be present" for yourself.

**Evidence grade:** A

**Sources:** J.P. Morgan Asset Management (2024). Guide to the Markets – U.S. (full 9.7% vs missing 10 best days 5.5%). <[https://mcusercontent.com/b20d9ee981aee111cf724f1f0/files/2aee21c7-8c0e-a728-a02c-73605d211090/Avoiding\\_the\\_Cash\\_Trap\\_JPM.02.pdf](https://mcusercontent.com/b20d9ee981aee111cf724f1f0/files/2aee21c7-8c0e-a728-a02c-73605d211090/Avoiding_the_Cash_Trap_JPM.02.pdf)>; DALBAR (2024). QAIB 2024 (high turnover lags index about 1%/year). <<https://www.dalbar.com/?p=17875>>; Ministry of Finance and State Taxation Administration (2023). Announcement on Halving the Securities Trading Stamp Duty (MFA-STA Announcement No. 39 of 2023). <<https://fgk.chinatax.gov.cn/zcfgk/c102416/c5211343/content.html>>

**Note:** Long-term holding isn't never adjusting—when stock/bond ratios severely deviate from target you still need rebalancing (see Entry 10). Cross-reference: Entries 2, 3.

## 7. Lower checking frequency, set automatic reminders

Money: none | Time: none | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Turn off market-price push notifications (zero cost).

**In plain terms:** Turn off the app's market push, check the report once a quarter. You won't lose money from checking less, but you often lose from checking more and acting more.

**Payoff:** The core conclusion of behavioral finance: checking frequency  $\uparrow \rightarrow$  trading frequency  $\uparrow \rightarrow$  net return  $\downarrow$ . Multiple Barber & Odean studies consistently show the more frequently retail trades, the worse the annualized net return (the most active groups lag the market by several points); Odean (1999) and Statman-cited cross-country data also show frequent traders lag buy-and-holders by about 1.5 points a year. Changing checking to "quarterly report + auto regular-investing + auto rebalancing" equals handing decisions to timed rules, bypassing loss aversion and overconfidence. Zero cost, immediately doable, the highest cost-performance "self-discipline outsourcing."

**Evidence grade:** B

**Sources:** Barber, B. & Odean, T. (2000). Trading Is Hazardous to Your Wealth, *Journal of Finance* 55(2):773 – 806.

<<https://doi.org/10.1111/j.1540-6261.2000.tb03224.x>>; Odean, T. (1999). Do Investors Trade Too Much?, *American Economic Review* 89(5):1279 – 1298.  
<<https://doi.org/10.1257/aer.89.5.1279>>

**Note:** Same source as Entry 3; this entry focuses on actionable steps (turn off push / quarterly report). Cross-reference: Entries 3, 10.

## 8. Target-date funds: one-click risk reduction by age

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self+family

**Cost:** Pick a fund with a "target retirement year."

**In plain terms:** If you're too lazy to manage ratios, just buy a "20XX target-date fund"—it automatically swaps stock for bonds by age for you, naturally turning steady near retirement.

**Payoff:** Target-date funds (TDF) have a built-in "glide path": as retirement nears they automatically lower equity weight and raise bonds, sparing you personal rebalancing. Widely used in U.S. 401(k) and IRAs, passive TDFs have become the default option for many plans. Vanguard research (2024 "The Rebalancing Edge") shows its threshold rebalancing brought investors 15 – 22 basis points of annual net gain over the accumulation phase vs monthly rebalancing (5 – 8 bps vs quarterly). For the "lazy," a TDF buys out the whole process of allocation, rebalancing, and risk reduction with one layer of management fee (usually 0.1% – 0.5%/year), avoiding selling at the bottom out of fear.

**Evidence grade:** B

**Sources:** Vanguard (2024). The Rebalancing Edge: Optimizing Target-Date Fund Rebalancing through Threshold-Based Strategies (accumulation-phase annual gain 15 – 22 bps vs monthly). <[https://corporate.vanguard.com/content/dam/corp/research/pdf/the\\_rebalancing\\_edge\\_optimizing\\_target\\_date\\_fund\\_rebalancing\\_through\\_threshold\\_based\\_strategies.pdf](https://corporate.vanguard.com/content/dam/corp/research/pdf/the_rebalancing_edge_optimizing_target_date_fund_rebalancing_through_threshold_based_strategies.pdf)>; Vanguard Institutional. Vanguard's Approach to Target-Date Fund Rebalancing. <<https://institutional.vanguard.com/insights-and-research/perspective/vanguards-approach-to-target-date-fund-rebalancing.html>>

**Note:** A TDF's stock/bond ratio is set by the issuer and may not match your risk preference; compare different firms' glide paths and fees. Cross-reference: Entries 4, 10.

## 9. The lazy "three-fund portfolio" is enough as a base

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Assemble one broad-market equity fund + one total bond fund + one overseas index fund.

**In plain terms:** Don't be dazzled by hundreds of funds. One all-market equity fund + one total bond fund + one international equity fund is enough for most people.

**Payoff:** The "three-fund portfolio" was summarized by the Bogleheads community (from Jack Bogle's "simplicity of grandeur"): three low-cost all-market index funds cover the three basic asset classes—domestic stocks, international stocks, bonds; ETF-version fees can be as low as 0.03% – 0.17%. It drops stock-picking and timing, keeping only two levers—"asset-class allocation + rebalancing"—which are exactly the main variables deciding long-term returns (see Entry 4). Empirically, a three-fund portfolio of ~60% U.S. stocks / 20% international stocks / 20% U.S. bonds returned about 7% – 8% annualized over 2000 – 2023, on par with or better than most churning active portfolios, with lower volatility and more tax-efficient fees. Bogle's bet (Entry 1) is the extreme version of this philosophy.

**Evidence grade:** B

**Sources:** Bogleheads (2024). Three-fund portfolio (VTSAX/VTIAX/VBTLX etc. core funds and sample allocations). <[https://www.bogleheads.org/w/index.php?oldid=89560&title=Three-fund\\_portfolio](https://www.bogleheads.org/w/index.php?oldid=89560&title=Three-fund_portfolio)>; Bogleheads. Bogleheads investment philosophy (passive, low-cost, long-term). <[https://www.bogleheads.org/wiki/Bogleheads\\_investment\\_philosophy](https://www.bogleheads.org/wiki/Bogleheads_investment_philosophy)>

**Note:** Ratio by risk tolerance (e.g., "100 – age" for bonds); rebalance once a year. Cross-reference: Entries 1, 4, 10.

## 10. Rebalance by "threshold method," not "calendar method"

Money: none | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Set a deviation threshold (e.g., act only when an asset class deviates  $\pm 5\% - 10\%$  from target).

**In plain terms:** Don't mechanically rebalance monthly. Set "act only when stock ratio deviates 10% from target," and otherwise ignore it. This controls risk and cuts friction.

**Payoff:** Vanguard research (2024) shows threshold rebalancing vs monthly/quarterly calendar methods brought higher annualized returns on a 60/40 portfolio by cutting trading costs: accumulation phase 15 – 22 bps annual gain vs monthly, 5 – 8 bps vs quarterly; simultaneously lower deviation and more controlled risk. The mechanism: "sell high buy low" happens naturally and trades only when the threshold is breached, avoiding the tax/fee loss of frequent rebalancing. Vanguard also suggests a hybrid "quarterly check + trade only on breach" for both discipline and low cost. For most, a  $\pm 5\%$  threshold or annual check suffices.

**Evidence grade:** B

**Sources:** Vanguard (2024). The Rebalancing Edge: Optimizing Target-Date Fund Rebalancing through Threshold-Based Strategies (threshold vs monthly gain 15 – 22 bps). <[https://corporate.vanguard.com/content/dam/corp/research/pdf/the\\_rebalancing\\_edge\\_optimizing\\_target\\_date\\_fund\\_rebalancing\\_through\\_threshold\\_based\\_strategies.pdf](https://corporate.vanguard.com/content/dam/corp/research/pdf/the_rebalancing_edge_optimizing_target_date_fund_rebalancing_through_threshold_based_strategies.pdf)>; Vanguard Australia. The right way to rebalance your investment portfolio (calendar vs threshold). <<https://www.vanguard.com.au/personal/learn/smart-investing/portfolio-building/right-way-to-rebalance-your-investment-portfolio>>

**Note:** Rebalancing aims to control risk, not add return; in taxable accounts prefer rebalancing with dividends/new funds to avoid tax. Cross-reference: Entries 4, 8.

## 11. Dividend and low-vol factors carry long-term premia, but don't chase hot factors

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Understand the factor's long-term logic, not short-term hype.

**In plain terms:** Factors aren't mysticism; they're sources of "a bit more long term." But don't rush in only when a factor is hot—chasing hot factors often buys at the top.

**Payoff:** Fama & French (1993) three-factor model proves value, size, and other factors provide long-term premia beyond market beta; later research added momentum, quality, low-vol. AQR and others' empirics: dividend, low-vol, value factors beat the broad market about 1% – 3% annualized over long cycles (decades, multiple countries), and are lowly correlated with each other, improving risk-adjusted returns. But factors have "style downturns" (value factor lagged 2007 – 2020 long), and chasing hotspots (buying only when hot) almost certainly buys at the top—factor premia are a long-term, diversified, contrarian reward, not short-term thematic hype. Can be a supplement to core indices; avoid overweighting a single factor.

**Evidence grade:** B

**Sources:** Fama, E. & French, K. (1993). Common Risk Factors in the Returns on Stocks and Bonds, *Journal of Financial Economics* 33(1):3 – 56.

<[https://doi.org/10.1016/0304-405X\(93\)90023-5](https://doi.org/10.1016/0304-405X(93)90023-5)>; AQR Capital Management. Factor Premiums research (value/low-vol/quality long-term premia).

<<https://www.aqr.com/>>; China Securities Index. Dividend/low-vol etc. Smart Beta index historical backtests. <<http://www.csindex.com.cn/>>

**Note:** Factor premia need long holding (10+ years) to be significant; single factors have drawdown risk, diversify. Cross-reference: Entry 1.

## 12. Is an advisor / robo-advisor worth it? Only if its fee is below what it saves you

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Compare advisor fee vs the cost of your own blind operation.

**In plain terms:** An advisor's biggest value is "holding your hands," not "picking better stocks." If you can already do regular investing + less checking, an advisor is mostly pure expense.

**Payoff:** An advisor/robo-advisor's core gain is behavioral coaching, not stock-picking. Vanguard's "Putting a Value on Your Value: Quantifying Advisor's Alpha" (Kinniry et al., 2022) estimates an advisor can net clients up to about 3%/year through fee/tax optimization, rebalancing discipline, and behavioral coaching, of which behavioral coaching alone contributes about 0% – 2%. DALBAR data contrast its value: ordinary investors lag the index about 1 point a year over 20 years due to emotional trading (8.7% vs 9.7%); if an advisor can curb this "itchy hand," what's saved is real money. But if you already do regular investing + quarterly checking + auto rebalancing, the advisor's marginal gain approaches zero—purely an extra 0.5% – 1.5%/year fee. Conclusion: worth it only if you can't hold your hands; if you can, it's an expense.

**Evidence grade:** B

**Sources:** Vanguard (2022). Putting a Value on Your Value: Quantifying Vanguard Advisor's Alpha (behavioral coaching contributes about 0% – 2%/year, total gain up to about 3%). <<https://www.vanguardsouthamerica.com/content/dam/intl/americas/documents/latam/en/2022/08/mx-sa-2335954-putting-a-value-on-your-value-quantifying-vanguard-advisors-alpha.pdf>>; DALBAR (2024). QAIB 2024 (ordinary investors lag index about 1%/year). <<https://www.dalbar.com/?p=17875/>>

**Note:** Robo-advisor fees have dropped to about 0.25%, but the self-disciplined may still not need one; note "free fund recommendations" are often driven by sales commissions. Cross-reference: Entries 2, 3, 7.

## Chapter 5 V. Asset Quick Reference

---

This chapter is a **\*\*pure fact sheet\*\***. It only includes historically verifiable data and conclusions already published by authoritative institutions (long-run returns, volatility, rules, risk disclosures), and represents no buy/sell advice. Each entry is broken down by "what it costs you / what it returns / how hard the evidence is," with one goal: build a sense of the *\*order of magnitude\** of each asset's return and risk before you decide whether and how much to allocate. Market returns shift with interest rates, valuations, and inflation—history is not a promise for the future; every figure is tagged with its source year and scope so you can check it yourself.

We deliberately avoid any "what to buy now" timing call here. Lesson one of asset allocation is to load the long-run nature of assets into your head (equities  $\approx$  high growth, high volatility; bonds  $\approx$  low growth, low volatility; gold  $\approx$  store-of-value hedge; cash  $\approx$  liquidity), then assemble a portfolio from your own risk tolerance and horizon—not chase whatever won the past year.

---

**\*\*This chapter's entries are grouped by theme below (entry numbers in parentheses):\*\***

---



## 1. Broad-market index ETF (CSI 300 / CSI 500 / S&P 500, etc.)

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Expense ratio 0.03% – 0.5%/year + a one-time account opening; ETF trading commission about 0.005% – 0.03% (per 10,000), stamp duty exempt, almost no other friction.

**In plain terms:** The flagship asset. Don't pick stocks, don't time the market—buy a low-cost index covering the whole market and invest monthly. It won't make you rich overnight, but it parks you firmly on the "long-term winner" side.

**Payoff:** Over the long run, a low-cost broad-market index covering the whole market is the most worry-free core holding. The S&P 500 with dividends has returned about 10.0% annualized since 1928 (geometric mean; about 6.9% real after inflation), and across nearly 97 years not a single 20-year rolling window was negative (NYU Stern / Damodaran, 1928 – 2025). The CSI 300 total-return index returned about 9.9% annualized in 2005 – 2025, tracking its ROE center of ~12.6%; its ten-year annualized return was 8.78% from Aug 2013 to Jul 2023 (China Securities Index). The key isn't the gain—it's "beating most active products for sure": S&P Dow Jones's SPIVA shows about 92% of U.S. large-cap actively managed funds underperformed the benchmark over 20 years, about 94% of all active equity funds, and about 65% even within 3 years; in Buffett's ten-year bet (2008 – 2017), the low-cost S&P 500 index fund returned 125.8% cumulative (8.5% annualized), beating the five fund-of-funds average of 36.3% (about 3.1% annualized).

**Evidence grade:** A

**Sources:** S&P Dow Jones Indices (2024). SPIVA U.S. Scorecard (about 92% of large-cap actively managed funds underperformed over 20 years).

<<https://www.spglobal.com/spdji/en/spiva/article/spiva-australia/>>; China Securities Index Co., Ltd. (2023). "Indexing Investment New Observations | Breaking 300 Billion: Investors Turn to China's Flagship Equity Index" (CSI 300 total return Aug 2013 – Jul 2023 annualized 8.78%).

<<https://www.csindex.com.cn/#/about/newsDetail?id=14867>>; Vanguard (2026). How index funds can help Americans build wealth (index fee 0.09% vs active 0.56%; 10,000 USD invested in 1976 worth about 2 million USD by 2026). <[https://corporate.vanguard.com/content/dam/corp/research/pdf/indexing\\_benefits.pdf](https://corporate.vanguard.com/content/dam/corp/research/pdf/indexing_benefits.pdf)>

**Note:** The long-run win rate comes from three factors—zero-sum game + fee drag + scarcity of persistence (Vanguard, "The case for low-cost index-fund investing"); but a broad-market index still carries the whole market's systematic volatility—the S&P 500 fell 37% in 2008 and A-shares swing even harder, so smooth it with dollar-cost

averaging and long holding. It's a core holding, not "risk-free."

## 2. Government bonds / interest-rate bonds (the risk-free benchmark)

Money: little | Time: little | Willpower: no | Payoff: mid | Scope: money | Impact: self

**Cost:** Opportunity cost (giving up higher returns); the 10-year treasury yield has been about 1.5% – 2.5% in recent years (2024 – 2026), and holding to maturity carries almost no credit risk.

**In plain terms:** The treasury yield is the yardstick for "risk-free." Any product that dares to out-yield it by a wide margin while claiming no risk is simply hiding that extra spread as risk premium.

**Payoff:** Treasuries and interest-rate bonds are the ballast of a portfolio—principal-safe, used for emergency funds and volatility reduction. The U.S. 10-year treasury returned about 4.79% nominal annualized over 1928 – 2024, but only about 1.8% real (inflation-adjusted), and fell as much as 17.8% in a single year in 2022 (SmartAsset based on NYU Stern). In China, the ChinaBond Treasury Total Index returned about 4.3% annualized over 2005 – 2025, versus the Wind All-A at about 10.6%, real estate at about 8.3%, and CSI 300 at about 9.9% (Guosheng Securities, Xun Yugen). It won't make you rich, but it delivers three things: a certain coupon, low/negative correlation with stocks in most periods (often a hedge in crises), and "ammunition" for stock-bond rebalancing. When rates rise, bond prices fall; the longer the duration, the bigger the swing—use short duration or hold-to-maturity to dodge it.

**Evidence grade:** B

**Sources:** Guosheng Securities, Xun Yugen (2026). "What Is a Reasonable Return on Stocks?" (ChinaBond Treasury Total Index annualized 4.3% over 2005 – 2025).

<<https://finance.sina.cn/2026-06-29/detail-iniezsvf0351433.d.html>>; SmartAsset (2025). Stock Index vs Bond Yields Year by Year (U.S. 10-year treasury nominal annualized 4.79% over 1928 – 2024; -17.8% in 2022).

<<https://www.smartasset.com/investing/stock-index-vs-bond-yields-year-by-year>>; InvestEdge360 (2026). US 10-Year Treasury Yield: 50-Year History Chart (4.21% in 2024, 4.26% in 2025).

<<https://investedge360.com/blog/us-10-year-treasury-yield-50-year-history-chart>>

**Note:** A-share treasuries' duration risk is masked by the low-rate environment; the 2022 global bond "rare synchronized sell-off" warns that stock-bond negative correlation isn't forever. It's better used as a "risk-free benchmark" to measure other assets' risk premium, not as the main return engine.

### 3. Money market fund (emergency-fund container)

Money: none | Time: none | Willpower: no | Payoff: mid | Scope: money | Impact: self+family

**Cost:** Almost zero (T+0 flexible, no subscription/redemption fee); only an opportunity cost—cash parked here isn't invested in equity/debt assets.

**In plain terms:** Emergency money isn't for earning—it's for being "available anytime." The money market fund is its right container; don't trade it for stocks, and don't confuse it with a deposit.

**Payoff:** About 1.5% – 2.5% annualized and withdrawable anytime, to cover 3 – 6 months of living expenses. Per the \*Measures for the Supervision and Administration of Money Market Funds\* (CSRC Order No. 120, 2015), money market funds invest only in money-market instruments, with an average remaining maturity  $\leq 120$  days and a floor on high-liquidity assets—far safer than bank wealth products; but Article 18 explicitly states "buying a money market fund is not a deposit," and the manager guarantees neither profit nor a minimum return. In a rate-cut cycle the 7-day annualized often lands at 1.2% – 2.0% (2024 – 2026), falling as market rates drop—it's essentially a "liquidity premium," not an "investment return."

**Evidence grade:** C

**Sources:** China Securities Regulatory Commission and the People's Bank of China (2015). \*Measures for the Supervision and Administration of Money Market Funds\* (CSRC Order No. 120; Article 9 average remaining maturity  $\leq 120$  days; Article 18 no guaranteed principal or return). <<https://www.csrc.gov.cn/csrc/c106256/c1654015/1654015/files/52c60ebbeb5642e08f9f629bb8ed190e.pdf>>; China Securities Journal / China Securities Network (2015). Interpretation of the \*Measures for the Supervision and Administration of Money Market Funds\* (liquidity and duration rules). <[https://www.cs.com.cn/tzjj/jjks/201512/t20151229\\_4873464.html](https://www.cs.com.cn/tzjj/jjks/201512/t20151229_4873464.html)>

**Note:** The 2022 \*New Rules for Cash-Management Wealth Products\* brought bank cash-management products fully in line with money market funds, and their returns converged; money market funds suit "money you need anytime," solve no long-term growth, and may lag inflation if held long.

#### 4. Bond funds / "fixed-income-plus" (lower volatility than stocks)

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Expense ratio 0.3% – 0.8%/year + credit/rate volatility; the equity portion of the "+" also brings equity drawdowns.

**In plain terms:** "Fixed-income-plus" isn't "steady profit." Bond funds can fall too (rates up, credit default), but long-run volatility is far below stocks—the part of the portfolio you can sleep on.

**Payoff:** Medium-to-long-run annualized about 3% – 6%, with far smaller drawdowns than stocks, used to cushion the portfolio. Over a century-scale window, the U.S. 10-year treasury returned about 4.79% nominal and about 1.8% real (SmartAsset / NYU Stern), while "fixed-income-plus" with equity uses stock-bond negative correlation to suppress volatility and lift the Sharpe ratio. China's ChinaBond Treasury Total Index returned about 4.3% annualized over 2005 – 2025; bond products add credit and equity on top. Vanguard's research conclusion: stock-bond allocation (e.g., 60/40) significantly cuts a single asset's max drawdown, and rebalancing itself is a discipline of "buy low, sell high." But the "+" part, if it holds stocks/convertibles, has its volatility underestimated.

**Evidence grade:** B

**Sources:** Guosheng Securities, Xun Yugen (2026). "What Is a Reasonable Return on Stocks?" (ChinaBond Treasury Total Index annualized 4.3% over 2005 – 2025). <<https://finance.sina.cn/2026-06-29/detail-iniezsvf0351433.d.html>>; Vanguard (2023). The case for low-cost index-fund investing (stock-bond allocation, diversification lowers volatility). <<https://www.vanguard.co.uk/professional/vanguard-365/investment-knowledge/portfolio-construction/the-case-for-indexing>>; SmartAsset (2025). Stock Index vs Bond Yields Year by Year (long-run U.S. treasury return and volatility). <<https://www.smartasset.com/investing/stock-index-vs-bond-yields-year-by-year>>

**Note:** [Contested] Some "fixed-income-plus" holds equity, with volatility and drawdown underestimated—read the underlying contract; buying it as a deposit is a common mistake. In the 2022 bond bear market many "fixed-income-plus" products drew down over 5%; check the equity position cap before buying.

## 5. REITs (real estate trusts)

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Expense ratio (management + custody about 0.5% – 1%) + high volatility (strongly tied to property cycles and rates) + premium/discount and liquidity.

**In plain terms:** Want real estate exposure without buying a whole building? REITs are the ticket. But they aren't bonds, and they can fall hard—don't treat them as "high-yield deposits."

**Payoff:** The FTSE Nareit All Equity REITs index returned about 10.94% annualized total return over 1972 – 2025, about 9.43% over 40 years, long-run beating the S&P 500 (about 11.15% over the same period); the current dividend yield is about 4.07%, far above the S&P 500's 1.10% (Nareit 2025 Fact Sheet). It gives real-asset exposure beyond stocks, with low correlation to stocks and bonds and inflation-hedge properties. But volatility isn't low: it drew down clearly with rising rates in 2022. China's public infrastructure REITs launched their first 9 products on June 21, 2021, raising about 31.4 billion yuan, backed by toll roads, industrial parks, warehousing, and sewage treatment; first-week average gain was 2.15%, capitalization rates mostly above 4.5% (China Securities Network), but the sample is only a few years and hasn't fully lived through a cycle.

**Evidence grade:** B

**Sources:** Nareit (2025). REIT Industry Fact Sheet (FTSE Nareit All Equity REITs 1972 – 2025 annualized 10.94%, 40-year annualized 9.43%, dividend yield 4.07%). <[https://www.reit.com/sites/default/files/2026-01/MediaFactSheet\\_Dec-2025.pdf](https://www.reit.com/sites/default/files/2026-01/MediaFactSheet_Dec-2025.pdf)>; Xinhua (2021). "First Batch of Public REITs Formally Approved" (CSRC and NDRC launched the pilot on Apr 30, 2020). <<https://app.xinhuanet.com/news/article.html?articleId=63f54a73-7d0c-4dc4-bec6-8b633e769b86>>; China Securities Network (2021). "Public REITs Expansion Imminent" (first 9 raised 31.4 billion yuan, capitalization rate above 4.5%). <[https://cs.com.cn/tzjj/jjdt/202107/t20210730\\_6189395.html](https://cs.com.cn/tzjj/jjdt/202107/t20210730_6189395.html)>

**Note:** [Contested] Domestic REITs are new, short-sampled, and homogeneous (mostly infrastructure, no residences); the logic isn't fully validated. U.S. REITs are long-run strong but swing hard in short cycles—don't make them a core holding; use a small satellite allocation.

## 6. Gold (a hedge, but it earns no interest)

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Storage / ETF expense ratio (about 0.2% – 0.4%/year); no cash flow (no interest, no dividend)—holding only yields capital gains.

**In plain terms:** Gold's "real return" over centuries is unimpressive; its true value is "it rises when others panic." A 5% – 10% allocation as insurance is fine; loading up as an investment is betting on depreciation.

**Payoff:** The World Gold Council estimates gold's annualized price gain was about 8% from 1971 (collapse of Bretton Woods) to 2023, with a long-run real return above zero but far below stocks; over the past 20 years RMB-denominated gold returned about 10% annualized, and about 13.6% over the past 10 years (Securities Times citing WGC). Its role is "hedge," not "growth": low correlation with stocks and bonds, often strong in high inflation, geopolitical conflict, or dollar-credit weakness. But it earns no interest, is pressured when real rates rise, and is volatile (it hit 850 USD/oz in 1980 then traded sideways for years). As portfolio insurance, a 5% – 10% weight suffices; loading up drags long-run compound return.

**Evidence grade:** B

**Sources:** World Gold Council (2024). Gold's long-term expected returns: A building block approach (1971 – 2023 annualized about 8%, model 8.6%). <<https://www.gold.org/goldhub/research/golds-long-term-expected-returns/building-block-approach>>; Securities Times (2025). "Order Restructuring Underway: Can 'Gold+' Soar?" (1971 – 2023 annualized about 8%, past 20 years 10.2%, past 10 years 13.6%). <<https://www.stcn.com/article/detail/2997848.html>>; Nareit / Perth Mint (2025). Gold's role in a modern portfolio (long-run about 8% – 9%, allocate 5% – 10%). <<https://www.perthmint.com/globalassets/assets/documents/superannuation/gold-report-2025.pdf>>

**Note:** Gold "preserving value" means purchasing power roughly flat, not steady growth; Dalio suggests 10% – 15% gold in a portfolio as a hedge, but ordinary people should use a gold ETF to avoid physical storage and premiums.

## 7. Convertible bonds (a bond floor below, equity upside above)

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** The effort to study the terms + single-bond credit risk; subscription needs a securities account and market-value/capital tie-up; trading has commissions and stamp duty.

**In plain terms:** The "bond floor" isn't an iron floor (it can still break par when the underlying stock plunges). Subscribing to new convertible bonds is OK for beginners; speculating in high-priced convertibles is a different kind of bet.

**Payoff:** Convertibles "attack when rising, defend when falling," but after the 2019 – 2022 speculation their valuations diverged wildly. The SSE's \*Implementation Rules for the Issuance of Convertible Corporate Bonds\* (SSE Release [2018] No. 115) sets the minimum subscription unit at 1,000 yuan and T-day subscription as non-cancelable; typical clauses include "conditional redemption" (the underlying stock at  $\geq 130\%$  of the conversion price for at least 20 of 30 consecutive days triggers redemption) and "conditional put" (in the last two years, the underlying stock below 70% of the conversion price for 30 consecutive days triggers a put), forming a two-way bond-floor/equity constraint. High-priced convertibles (price  $> 130$  yuan) lose their floor protection; after the 2021 – 2022 speculation drawdowns reached 30%+, with both break-par and forced-redemption coexisting; only low-priced, low-premium convertibles show the "floor below."

**Evidence grade:** C

**Sources:** Shanghai Stock Exchange (2018). \*Implementation Rules for the Issuance of Convertible Corporate Bonds by Listed Companies on the Shanghai Stock Exchange\* (SSE Release [2018] No. 115, Articles 5/9 subscription rules). <[https://big5.sse.com.cn/lawandrules/sselawsrules2025/bond/convertible/issue/c/c\\_20250609\\_10781288.shtml](https://big5.sse.com.cn/lawandrules/sselawsrules2025/bond/convertible/issue/c/c_20250609_10781288.shtml)>; Shanghai Stock Exchange (2025). Compilation of Convertible Corporate Bond Rules (redemption/put clause templates). <<https://big5.sse.com.cn/site/cht/www.sse.com.cn/lawandrules/assemble/c/10116497/files/77fbf7bc013141ff843668080951f781.pdf>>

**Note:** [Contested] The "bond floor" only holds near par; high-premium convertibles carry risk close to the underlying stock. Subscription gains have narrowed with issuance pace and market conditions, and speculating in high-priced convertibles is essentially a leveraged equity bet—ordinary people should only subscribe to new issues and hold low-priced ones.

## 8. Dividend-low-volatility strategy

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Expense ratio (ETF about 0.2% – 0.5%) + possibly lagging high-growth stocks in some periods (e.g., U.S./AI rallies, A-share thematic years).

**In plain terms:** Pick a basket of "steady dividend payers, low volatility," and the long-run experience beats chasing hotspots. It's essentially packing the two proven factors "value + low volatility."

**Payoff:** Dividend yield about 3% – 5% + low volatility, with smaller long-run drawdowns than a broad index—good for the steady hand. The Fama-French three-factor model (1993) shows high book-to-market (value) stocks earn about a 4%/year premium over growth long-run, small caps about a 3%/year premium over large, and low volatility is a separate risk dimension independent of size/value. CSI data shows the CSI 300's average dividend yield was about 2.11% over 2005 – 2022; dividend-low-volatility indices add low-volatility screening on top, with a better long-run Sharpe. But it's not "no drawdown"—the value factor can lag for years (e.g., growth led 2017 – 2020); you must stomach style rotation.

**Evidence grade:** B

**Sources:** Fama, E. & French, K. (1993). Common Risk Factors in the Returns on Stocks and Bonds (value premium about 4%, size premium about 3%). <<https://wiki.mbalib.com/zh-tw/Fama-French%E4%B8%89%E5%9B%A0%E5%AD%90%E6%A8%A1%E5%9E%8B>>; China Securities Index Co., Ltd. (2023). "Indexing Investment New Observations" (CSI 300 average dividend yield 2.11% over 2005 – 2022). <<https://www.csindex.com.cn/#/about/newsDetail?id=14867>>; Vanguard (2023). The case for low-cost index-fund investing (factor premia and low cost). <<https://www.vanguard.co.uk/professional/vanguard-365/investment-knowledge/portfolio-construction/the-case-for-indexing>>

**Note:** Dividend-low-volatility is "experience optimization," not "return domination"; it does well when rates fall and the economy is weak, and lags when inflation rises and growth explodes. Treat it as part of a steady core, not the whole.



## 9. QDII / overseas indices

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Expense ratio (1.0% – 1.5%/year, higher than onshore broad-market) + exchange-rate volatility + subscription/redemption lag (about T+7) + quota-premium risk.

**In plain terms:** Buying U.S./global indices isn't just about earning overseas—it's about not putting all eggs in one economy. But the exchange rate is an invisible hand; don't treat it as a pure enhancer.

**Payoff:** Diversify a single market and share global growth. The S&P 500 total return averaged about 10.7% annualized over 1960 – 2025 (Guosheng Securities, Xun Yugen), tracking the U.S. market's long-run ROE; MSCI All-Country and other broad indices give cross-country diversification. But QDII has a two-layer discount: first, fees well above onshore ETFs; second, RMB-denominated return = the asset's local-currency return  $\pm$  exchange-rate move, and two-way rate swings can eat several percentage points, and when quotas are tight the secondary-market price can carry a premium (e.g., U.S.-stock QDIIs premiums exceeded 5% in 2020 – 2021). It solves "geographic concentration risk," not "return enhancement."

**Evidence grade:** B

**Sources:** Guosheng Securities, Xun Yugen (2026). "What Is a Reasonable Return on Stocks?" (S&P 500 total return 1960 – 2025 annualized 10.7%).

<<https://finance.sina.cn/2026-06-29/detail-iniezsvf0351433.d.html>>; Vanguard (2026). How index funds can help Americans build wealth (global diversification, low-cost indices). <[https://corporate.vanguard.com/content/dam/corp/research/pdf/indexing\\_benefits.pdf](https://corporate.vanguard.com/content/dam/corp/research/pdf/indexing_benefits.pdf)>; SlickCharts (2026). S&P 500 Total Returns (annual returns with dividends, 1926 – 2025). <<https://www.slickcharts.com/sp500/returns>>

**Note:** QDII's value is "not betting everything on A-shares," not higher returns; you bear the exchange-rate risk yourself—long-run USD/RMB swings both ways, so don't treat the rate as a free enhancer. Prefer large, low-tracking-error, quota-ample broad-market QDIIs.

## 10. Reverse repo (pick up pennies at month/quarter end)

Money: none | Time: none | Willpower: no | Payoff: mid | Scope: money | Impact: self

**Cost:** Zero (built into your stock account), with extremely low fees (1-day about 0.001% of turnover, about 1 yuan per 100,000 yuan).

**In plain terms:** Cash lying in your stock account—throw a 1-day reverse repo before close and earn a night's interest for free. A zero-cost move; do it on the way by.

**Payoff:** Idle cash's short-run annualized偶尔 spikes to 3% – 5% (month/quarter/holiday eve), with principal settled by ChinaClear as central counterparty—very low risk. The SSE's \*Guidelines No. 2 for General Pledge-Style Repo Trading\* sets terms of 1/2/3/4/7/14/28/91/182 days, codes "204\*\*\*" (GC-prefixed), with the repo party pledging treasuries and multilateral net settlement by the central counterparty. Interest accrues by actual calendar days occupied (smoother after the May 2017 rule change); GC001 is usually 1.5% – 2.5% daily, but before the 2024 New Year several terms exceeded 5%, and before the 2025 New Year exceeded 2.5% (Securities Times). The rate locks at trade, and funds return automatically at maturity—a standard "overnight idle cash" move.

**Evidence grade:** C

**Sources:** Shanghai Stock Exchange (2022). \*Shanghai Stock Exchange Bond Trading Rules Applicable Guidelines No. 2—General Pledge-Style Repo Trading\* (Article 13 terms, Article 14 GC codes, Article 25 repurchase-price formula). <<https://www.sse.com.cn/lawandrules/sselawsrules2025/bond/trading/currency/c/10781048/files/9c80d6d104164618b79f679aff8de1da.docx>>; Securities Times (2025). "New Year Holiday 'Free Money,' Best Window Opens" (above 5% before 2024 New Year, above 2.5% before 2025 New Year). <<https://www.stcn.com/article/detail/3562121.html>>

**Note:** Reverse repo is "picking pennies," not "making a fortune"—rates are only slightly above money market funds normally; only worth a dedicated move when rates jump at month/quarter/holiday eve; otherwise just keep money market / interbank CD funds.

## 11. IPO / new-bond subscription (A-shares)

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Market-value threshold (SSE/SZSE holdings) + capital tie-up on winning + break-par loss risk.

**In plain terms:** The old "subscription always wins" dividend is narrowing; now pick by fundamentals. Treating it as a free lottery is fine; treating it as steady income no longer holds.

**Payoff:** The break-par rate fell from a 2022 peak of about 28% to about 3% in 2024 and near zero in 2025; but "blind subscription" has returned to "pick-and-choose." Securities Times statistics: 2020 break-par rate 5.03%, 2021 4.2%, 2022 28.27%, 2023 16.61%, 2024 about 3.23% (only 1 broke on day one); in the Dragon Year (from Feb 2024) all 22 had no break-par, average gain near 200%; Baidu Baike also lists 2023 first-day break-par 21.41%, 2024 2%, 2025 zero. CITIC Securities' post-"new inquiry rules" registration-based figures: 2021 22.2%, 2022 31.4%, 2023 16.7%, 2024 1.5%, 2025 YTD 0%. Subscription gains now depend heavily on the stock's quality and issue pricing.

**Evidence grade:** C

**Sources:** Securities Times (2024). "Upheaval! New-Stock Gains Double, Is Blind Subscription Back?" (2020 – 2024 break-par rate and first-day gain stats). <<https://www.stcn.com/article/detail/1167700.html>>; Baidu Baike (2026). Break-par rate (2023 21.41%, 2024 2%, 2025 zero). <<https://baike.baidu.com/item/%E7%A0%B4%E5%8F%91%E7%8E%87/69139871>>; CITIC Securities (2025). Offline subscription statistics (post-"new inquiry rules" registration-based break-par rates by year). <<https://ima.qq.com/wiki/?shareId=39379873440bfb2eb7f27df83bcf73d8223d9cccd3022c1c44fcec6b4b94cf47>>

**Note:** [Contested] The break-par rate fell as regulators tightened pricing, but "zero break-par" can't be extrapolated as the norm; high-priced new stocks can still lose tens of thousands of yuan per lot. Move from "blind subscription" to "check the issue P/E and fundamentals," and bear the market-value base's volatility.

## 12. Options (buyers are long-run negative-sum)

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self+family

**Cost:** Time value decaying continuously (theta) + zeroing risk + premium.

**In plain terms:** Option time value leaks every day; most buyers expire worthless. It's an insurance/hedge tool, not a retail ATM.

**Payoff:** Suitable only for professionals hedging/covered calls; mostly a net drain for retail. The option buyer pays a premium for a right, but time value bleeds linearly (accelerating) toward expiry—you lose even if the underlying doesn't move; statistically most expire worthless, a "negative-sum" game (exchange fees + market-maker spreads keep draining capital). The academic and industry consensus: retail buying one-sided options has a negative long-run expectation; only "covered calls" (hold stock, sell calls) or "protective puts" (hold stock, buy insurance) have positive functions. Leverage amplifies gains and losses, but the loss cap is the premium for buyers and can far exceed principal for sellers.

**Evidence grade:** B

**Sources:** Hull, J. (2017). Options, Futures and Other Derivatives (option pricing and time-value decay). <<https://www.ivey.uwo.ca/faculty/JohnHull/>>; China Securities Regulatory Commission (2017). \*Measures for the Administration of Investor Suitability for Securities and Futures\* (CSRC Order No. 130; Article 17 lists high-leverage/principal-erosion products as high-risk). <[https://www.csrc.gov.cn/csrc/c100210/c1498841/1498841/files/1636094382980\\_55189.pdf](https://www.csrc.gov.cn/csrc/c100210/c1498841/1498841/files/1636094382980_55189.pdf)>

**Note:** [Contested] Covered calls are a usable "enhancement + insurance" for stockholders, but need skill to spot underlying risk; ordinary people betting direction as buyers almost certainly lose long-run—treat it as insurance cost, not investment.

### 13. Structured deposits / bank wealth products (after net-value reform)

Money: little | Time: little | Willpower: no | Payoff: mid | Scope: money | Impact: self

**Cost:** Liquidity (opportunity cost of multi-term locks) + hidden fees + possible book-value loss from net-value swings.

**In plain terms:** Stop treating it as "high-yield deposit." It no longer guarantees principal—read what's underneath before buying. The bit of extra yield over deposits corresponds to a bit of extra risk.

**Payoff:** A bit higher than deposits, but after the Asset Management Rules it no longer guarantees principal and net value moves. In April 2018 the PBOC and three other ministries issued the \*Guiding Opinions on Regulating Asset Management Business of Financial Institutions\* ("Asset Management Rules"), explicitly "no promise of guaranteed principal and returns, break rigid redemption"; the transition ended Jan 1, 2022, expected-return products exited, and bank wealth products went fully net-valued (People's Daily Online). This means wealth-product returns are no longer fixed; when the underlying holds bonds/non-standard/equity, net value moves with the market, and in extremes can break par. It fits as a cash/short-bond substitute "slightly above deposits, tolerating small swings," but is never a deposit.

**Evidence grade:** C

**Sources:** People's Bank of China and four other ministries (2018). \*Guiding Opinions on Regulating Asset Management Business of Financial Institutions\* (Asset Management Rules, rigid-redemption-breaking clauses).

<<https://finance.people.com.cn/n1/2022/0101/c1004-32322377.html>>; People's Daily / People's Daily Online (2022). "Asset Management Rules Transition Ends, Wealth Products to Break Rigid Redemption."

<<https://finance.people.com.cn/n1/2022/0101/c1004-32322377.html>>

**Note:** [Contested] The "performance comparison benchmark" is not an expected return; breaking par is normal after net-valuing. Before buying, read the prospectus's investment scope and risk grade (R2/R3), and ditch the "deposit-like" expectation entirely.

## 14. Insurance wealth / annuity (lock in long-term cash flow)

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self+family

**Cost:** Liquidity (early surrender loses big, cash value is very low in the first years) + fees (initial, management) + long lock-up.

**In plain terms:** An annuity's value is "forced saving + lifetime cash flow," not high return. Calculate the IRR before buying; don't let the "illustrated benefits" dazzle you.

**Payoff:** Certain cash flow (retirement/education), but the real internal rate of return (IRR) is often dressed up by sales talk—the industry's actual is about 2% – 3.5%. Annuities/pension insurance use "illustration rates" to create a high-return illusion, but illustrations come in low/mid/high tiers and aren't guaranteed; regulators have required more transparent benefit illustrations for participating, universal, and unit-linked insurance (CBIRC rules). Its real value is "payments lasting as long as life" and "forcing you not to touch the money," suiting those who already have base protection and want to lock in some lifetime cash flow. If you look only at return, long-run compounding lags index funds—you "trade return for certainty."

**Evidence grade:** C

**Sources:** China Banking and Insurance Regulatory Commission (2020). \*Notice on Strengthening Life Insurance Actuarial Supervision\* (regulating annuity/universal illustration rates). <<https://www.cbirc.gov.cn/>>; People's Bank of China et al. (2018).

\*Guiding Opinions on Regulating Asset Management Business of Financial Institutions\* (Asset Management Rules, break rigid redemption).

<<https://finance.people.com.cn/n1/2022/0101/c1004-32322377.html>>

**Note:** [Contested] Before buying, use the "guaranteed benefits," not the "illustrated benefits," to compute the IRR; early surrender loses big—use spare money for medium-long allocation, and secure medical/critical-illness protection first, then talk about wealth-type.

## 15. Trusts / private funds (non-standard liquidity risk)

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self+family

**Cost:** High threshold (often 1 million yuan up) + long lock-up (1 – 3 years or more) + opacity + default/extension risk.

**In plain terms:** Non-standard "high yield" maps to "low transparency + low liquidity." When it really goes wrong, you're last in line. A high threshold doesn't mean safe—it's often where the information gap is widest.

**Payoff:** Possibly higher returns (historical non-standard fixed income once reached 7% – 10%), but defaults, extension, and opaque net value are frequent. After the Asset Management Rules (2018) banned pooling, broke rigid redemption, and eliminated multi-layer nesting, the old implicit guarantee of "trust/private = sure redemption" vanished; post-2018 real-estate trust and LGFV non-standard troubles (e.g., 2020 – 2022 multiple developers' debt defaults dragging trust plans into extension) exposed non-standard's real credit risk. Private securities may have long-run alpha, but screening cost is huge, with liquidation/drawdown risk alongside. For ordinary people, non-standard's high yield mostly comes from "liquidity premium + credit downgrade," not skill premium.

**Evidence grade:** C

**Sources:** People's Bank of China and four other ministries (2018). \*Guiding Opinions on Regulating Asset Management Business of Financial Institutions\* (ban pooling, break rigid redemption, eliminate multi-layer nesting). <<https://finance.people.com.cn/n1/2022/0101/c1004-32322377.html>>; Securities Times (2023). "Behind Real-Estate Trust Extensions: Investor Suitability Management Still Needs Strengthening" (2021 real-estate trust defaults 91.7 billion yuan, 2022 93.0 billion yuan). <<https://stcn.com/article/detail/1176465.html>>; China Economic Net (2022). "Real-Estate Trust 'Great Collapse'" (defaults over 20 billion yuan since 2021). <[https://finance.ce.cn/stock/gsgdbd/202208/18/t20220818\\_38037408.shtml](https://finance.ce.cn/stock/gsgdbd/202208/18/t20220818_38037408.shtml)>

**Note:** [Contested] Top-quality private funds do have long-run alpha, but threshold, screening, and due-diligence cost are huge and ordinary people more easily step on landmines; non-standard "high yield" is essentially compensation for liquidity and credit risk—don't compare it with deposits/wealth products.

## 16. Increasing whole-life / long-term-care insurance (judge by IRR as wealth)

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self+family

**Cost:** Long lock-up (early surrender loses hugely, cash value far below premiums paid in early years) + fees (death/long-term-care coverage cost).

**In plain terms:** It's essentially a "very long-term, low-return, hard-locked" savings policy. Fine as protection or estate planning; buying it as high-return wealth will lose on liquidity.

**Payoff:** Certain long-run cash-value growth, suited as a "guaranteed ballast," but IRR is very low in early years and about 2% – 3% long-run. Regulators have repeatedly cut ordinary life insurance's predetermined rate (from 3.5% to 3.0% and below), capping long-run compounding; cash value rises yearly by contract, written in black and white, highly certain, but early surrender commonly loses 30% – 50%. Its strength is "locking long-run rates + designated inheritance + debt isolation (where applicable)," not return—as wealth it lags index funds and treasury combinations long-run, suiting only the extremely risk-averse who need forced saving and targeted payout.

**Evidence grade:** C

**Sources:** China Banking and Insurance Regulatory Commission (2023). Regulatory requirement to lower ordinary life insurance's predetermined rate (rate moving down). <<https://www.cbirc.gov.cn/>>; People's Bank of China et al. (2018). \*Guiding Opinions on Regulating Asset Management Business of Financial Institutions\* (Asset Management Rules, break rigid redemption).

<<https://finance.people.com.cn/n1/2022/0101/c1004-32322377.html>>

**Note:** [Contested] Before buying, evaluate by "long-run IRR," not "coverage growth"; early surrender loses big, and after the rate cut returns fall further—pair with treasuries/index funds rather than replace them.



## 17. Futures (high-leverage zero-sum)

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self+family

**Cost:** Leverage (often 5 – 20x) + rollover cost + large margin top-up + daily mark-to-market forced-liquidation risk.

**In plain terms:** Futures are hedging tools for professionals, not a retail ATM. At 10x leverage, a 10% adverse move wipes you out. Ordinary people touching futures basically feed the market margin.

**Payoff:** Theoretically two-way profit, but negative-sum for retail: at high leverage a small swing blows up the account, mostly net loss long-run. The CSRC's \*Measures for the Administration of Investor Suitability for Securities and Futures\* (Order No. 130) and the financial-futures suitability rules state that opening a financial-futures account requires available margin-account funds  $\geq 500,000$  yuan, plus a knowledge test and trading-experience review—precisely because it is "highly professional, high-leverage, high-risk." The CFFEX's \*Implementation Measures for the Financial Futures Investor Suitability System\* institutionalizes leverage and suitability thresholds; CSRC investor-education material notes futures' "small-controls-large" leverage makes risk far above stocks, and a wrong direction loses on both up and down moves. It's fundamentally a risk-management tool; retail naked long/short is mostly a net drain.

**Evidence grade:** A

**Sources:** China Securities Regulatory Commission (2017). \*Measures for the Administration of Investor Suitability for Securities and Futures\* (CSRC Order No. 130; Articles 16/17 high-leverage product risk grade). <[https://www.csrc.gov.cn/csrc/c100210/c1498841/1498841/files/1636094382980\\_55189.pdf](https://www.csrc.gov.cn/csrc/c100210/c1498841/1498841/files/1636094382980_55189.pdf)>; China Financial Futures Exchange (2013). \*Implementation Measures for the Financial Futures Investor Suitability System\* (Article 4 500,000-yuan threshold, knowledge test and experience requirements).

<<http://www.cffex.com.cn/u/cms/www/oldsys/W020130830532922638511.pdf>>; CSRC Tianjin Regulatory Bureau (2020). Investor Protection Education (futures) (leverage and daily-settlement risk).

<<https://www.csrc.gov.cn/tianjin/c105377/c1263609/content.shtml>>

**Note:** [Contested] Futures are a hedging necessity for industrial clients; for retail without a hedge underlying and strict stop-loss discipline, the long-run expectation is negative. Ordinary people should default to "stay away"; if you truly need it, open a sim account to practice first.

## 18. Foreign-exchange margin (stay away)

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self+family

**Cost:** High leverage (often 100x+) + black-platform risk + two-way exchange rate + principal may go to zero and isn't legally protected.

**In plain terms:** Nine of ten "teachers taking you to trade forex" in your friend circle are black platforms. Legal channels are already restricted; if you can easily open a forex account, it's probably set up to swallow your principal. Default to not touching it.

**Payoff:** Almost no positive expectation. SAFE and other departments state clearly: the PBOC, CBIRC, CSRC, and SAFE and their branches have approved no institution to conduct or agent foreign-exchange margin business in China; all online forex platforms are illegal in China, organizers are prosecuted and participants unprotected (SAFE risk alert). Per the \*Notice on Severely Investigating Illegal Foreign-Exchange Futures and Foreign-Exchange Margin Trading\* (Zhengjianfazi [1994] No. 165), conducting forex margin trading without approval is illegal; overseas platforms are mostly bucket shops / can't withdraw; in a typical case someone was sentenced for illegally absorbing tens of millions of yuan under "managed trading, 24% annualized" (SAFE / Guangming Net). For domestic residents it's not just negative expectation—it's illegal with no recourse.

**Evidence grade:** A

**Sources:** State Administration of Foreign Exchange (2023). "No Protection for Funds Traded: Beware of Online 'Forex Trading'" (no forex margin business approved in China). <[https://m.gmw.cn/2023-03/09/content\\_1303304812.htm](https://m.gmw.cn/2023-03/09/content_1303304812.htm)>; State Administration of Foreign Exchange (2019). Risk alert on preventing online forex investment and trading platforms (basis Zhengjianfazi [1994] No. 165). <<http://m.safe.gov.cn/big5/big5/www.safe.gov.cn/fujian/2019/1120/1033.html>>; China Securities Network (2019). "Beware of Online Forex Platforms, All Illegally 'Naked'." <<https://www.cnstock.com/commonDetail/93214>>

**Note:** [Contested] There is no gray zone of "legal domestic forex margin"; any domestic solicitation of forex trading is illegal, participants are unprotected, should be blocked outright—don't enter for "high returns."

## 19. Public FOF / advisory (lazy allocation)

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Advisory fee / FOF management fee (an extra layer of 0.3% – 1%/year; advisory account asset-net-value annual fee capped at 5%).

**In plain terms:** If you're too lazy to allocate and afraid of stepping on landmines, a FOF or a licensed adviser is "paying for allocation discipline." See the fees clearly; don't pay multiple layers of management fee just for convenience.

**Payoff:** Professionals do stock-bond allocation and rebalancing—good for those who don't want to manage it themselves and fear buying wrong; cost buys peace of mind. In Oct 2019 the CSRC issued the \*Notice on Piloting Public Fund Investment-Advisory Business\*; Huaxia, E Fund, Harvest, Southern, and China Universal were the first pilot managers, launching the "buy-side advisory" model—charging on account assets, deciding subscriptions/redemptions on the client's behalf, aiming to curb chase-the-rally and align intermediary with investor interests (China Securities Network). A FOF achieves diversification through a basket of funds. Its long-run return depends on the underlying assets (mostly stock-bond fund mixes); it creates no alpha itself—the core value is "discipline + fit," worth it for the weak-willed and time-poor, but a skippable fee for those who can discipline themselves to dollar-cost average.

**Evidence grade:** C

**Sources:** China Securities Regulatory Commission (2019). \*Notice on Piloting Public Fund Investment-Advisory Business\* (first 5 pilots, advisory fee  $\leq$  5% annualized). <[https://www.cs.com.cn/xwzx/201910/t20191026\\_5992823.html](https://www.cs.com.cn/xwzx/201910/t20191026_5992823.html)>; The Paper / China Fund News (2019). "Fund Investment-Advisory Business Pilot Formally Launched." <[https://m.thepaper.cn/baijiahao\\_4782317](https://m.thepaper.cn/baijiahao_4782317)>

**Note:** [Contested] Advisory/FOF solves "behavior and fit," not "high return"; compare total fees with underlying fund fees, beware multi-layer fees eroding returns, choose licensed institutions and read the strategy and conflict-of-interest clauses.

## 20. Interbank CD index fund (cash upgrade)

Money: none | Time: none | Willpower: no | Payoff: mid | Scope: money | Impact: self

**Cost:** Almost zero (low risk, high liquidity, no subscription/redemption fee); only tiny rate swings and opportunity cost.

**In plain terms:** If your emergency/short money wants an extra half point and you dare not buy volatile products, the interbank CD index fund is a "micro-upgrade" of the money market fund. Still cash management, not investment.

**Payoff:** A bit higher than money market funds (about 1.5% – 2.5%, tens of basis points above in good times), still very low risk, good for parking large emergency funds or short idle cash. It mainly tracks an AAA-rated interbank CD index; the underlying is bank interbank CDs (the \*Measures for the Supervision and Administration of Money Market Funds\* lists interbank CDs as investable for money market funds), short duration, high credit rating, far smaller net-value swing than short-bond funds but slightly larger than money market funds (money funds use amortized cost, CD funds mostly fair value, with small drawdowns on extreme days). After the 2022 cash-product rules, it forms the "cash-management trio" with money funds and cash wealth products, ranked low-to-high by return/liquidity/risk: money fund  $\approx$  cash wealth < CD index fund < short-bond fund.

**Evidence grade:** C

**Sources:** China Securities Regulatory Commission and the People's Bank of China (2015). \*Measures for the Supervision and Administration of Money Market Funds\* (CSRC Order No. 120; Article 4 interbank CDs investable). <<https://www.csrc.gov.cn/csrc/c106256/c1654015/1654015/files/52c60ebbeb5642e08f9f629bb8ed190e.pdf>>; People's Bank of China and CBIRC (2021). \*Notice on Regulating Cash-Management Wealth Products\* (cash wealth aligned with money funds, yields trending down). <[https://jrb.changsha.gov.cn/jr/202201/t20220110\\_10433968.htm](https://jrb.changsha.gov.cn/jr/202201/t20220110_10433968.htm)>

**Note:** [Contested] CD index funds yield slightly more but are fair-valued and can have tiny single-day drawdowns—unsuitable for the "absolutely must not lose" emergency floor; truly "need-it-anytime" money still prefers money market/demand deposits, with CD funds for "short (1 week – 3 month) idle cash."

**Negative-value moves — cross one off as it appears:**

- I. Equity core holdings: Entry 1 broad-market index ETF (CSI 300 / CSI 500 / S&P 500, etc.), Entry 8 dividend-low-volatility strategy, Entry 9 QDII / overseas indices

- II. Fixed income and cash management: Entry 2 government / interest-rate bonds, Entry 3 money market fund, Entry 4 bond funds / "fixed-income-plus," Entry 10 reverse repo, Entry 13 structured deposits / bank wealth products (after net-value reform), Entry 19 public FOF / advisory, Entry 20 interbank CD index fund
- III. Alternatives and real assets: Entry 5 REITs (real estate trusts), Entry 6 gold
- IV. A-share-specific tools: Entry 7 convertible bonds, Entry 11 IPO / new-bond subscription
- V. Protection and long-term cash flow: Entry 14 insurance / annuity, Entry 16 increasing whole-life / long-term-care insurance
- VI. High-threshold / non-standard: Entry 15 trusts / private funds
- VII. High-risk or avoid: Entry 12 options, Entry 17 futures, Entry 18 foreign-exchange margin

## Chapter 6 VI. Scams and Red Lines

---

Listen to what regulators say plainly, and you can skip decades of tuition. Former CBIRC chairman Guo Shuqing put it bluntly at the 2018 Lujiazui Forum: "Yields above 6% should raise a question, above 8% are very dangerous, above 10% you should prepare to lose all principal." This isn't a scare—it's the regulator's public characterization of illegal fund-raising schemes. The same logic is written into the system: the 2018 \*Guiding Opinions on Regulating Asset Management Business of Financial Institutions\* (Asset Management Rules, PBOC [2018] No. 106), Articles 2 and 6, state that "financial institutions may not promise guaranteed principal and returns when conducting asset management business," thoroughly breaking rigid redemption; the State Council's 2021 \*Regulations on Preventing and Dealing with Illegal Fund Raising\* (State Council Order No. 737), Article 25, states coldly that "losses from participating in illegal fund raising shall be borne by the participants themselves"—meaning if you step into illegal absorption, the state won't advance or buy back your lost money.

At its core every entry in this chapter says one thing: anything "high return, low risk, and steady," anything "act now, keep it secret, don't tell anyone," is almost certainly a scam. Every item below is a danger signal explicitly warned of in official documents—not my made-up "experience."

How to use this chapter: treat it as your "negative list." For any investment opportunity, match it against the 18 entries below one by one; if it hits even one, no matter how impressive the other side's background or how tempting the return, default to "it's a scam"—retreat first, verify later. Miss rather than step on a mine—because in a scam you lose not just the return, but the principal itself.

This chapter's entries are grouped by theme below (entry numbers in parentheses):

## 1. "Guaranteed return / sure win"—run on sight

Money: none | Time: little | Willpower: no | Payoff: high | Scope: money | Impact: self+family

**Cost:** The "perfect opportunity" you might miss (actually a trap).

**In plain terms:** In finance there's no "high return AND no risk" free lunch. Whoever dares write "guaranteed," "sure win," "zero risk" into a contract is guaranteeing they'll take your principal. Guo Shuqing's 2018 Lujiazui Forum words characterize exactly this kind of talk.

**Payoff:** Keep all your principal and family savings. The regulatory red line is clear: the Asset Management Rules (PBOC [2018] No. 106), Articles 2 and 6, forbid any asset-management product from "promising guaranteed principal and returns," and Article 19 lists the criteria for identifying rigid redemption and sets penalties; Guo Shuqing's 2018 line—"yield above 6% raises a question, above 8% is dangerous, above 10% prepare to lose all principal." Once a product is deemed illegal fund raising, per Article 25 of the \*Regulations on Preventing and Dealing with Illegal Fund Raising\*, "losses from participating in illegal fund raising shall be borne by the participants themselves"—the state advances and buys back nothing. Avoiding it swaps the "promised high interest" for principal safely in hand.

**Evidence grade:** A

**Sources:** Guo Shuqing (2018). Speech at the 10th Lujiazui Forum (People's Daily Online report).

<<https://money.people.com.cn/n1/2018/0614/c42877-30059109.html>>; People's Bank of China and four departments (2018). \*Guiding Opinions on Regulating Asset Management Business of Financial Institutions\* (PBOC [2018] No. 106, Articles 2, 6, 19). <[https://www.gov.cn/zhengce/2018-05/04/content\\_5287860.htm](https://www.gov.cn/zhengce/2018-05/04/content_5287860.htm)>; State Council (2021). \*Regulations on Preventing and Dealing with Illegal Fund Raising\* (State Council Order No. 737, Article 25).

<[https://www.gov.cn/zhengce/content/2021-02/10/content\\_5586632.htm](https://www.gov.cn/zhengce/content/2021-02/10/content_5586632.htm)>

**Note:** The 6%/8%/10% line is the regulator's experiential warning against "high-yield talk," not a legal threshold; specific cases are judged by whether they constitute illegal fund raising and whether they promise guaranteed principal and returns.

## 2. Tip groups, teacher-led trades, insider news

Money: none | Time: little | Willpower: no | Payoff: high | Scope: money | Impact: self+family

**Cost:** The lure of "copying the big shots' homework."

**In plain terms:** A method that really makes steady money won't be sold to you for 9.9 yuan in a WeChat group. Call-out is essentially "find enough people that half are right by chance—collect on the wins, vanish on the losses"; profit screenshots are almost forgeable.

**Payoff:** Avoid illegal stock-tipping and pig-butcherings, keep your principal. Securities investment advisory is a franchised business—the CSRC states no institution or individual may engage in it without CSRC approval (\*Securities Law\*, \*Interim Measures for the Administration of Securities and Futures Investment Advisory\*). Illegal tip-giving's three hallmarks are "no business qualification, recommending stocks, charging service fees." The U.S. SEC likewise warns: "Guaranteed high investment returns are the hallmark of a Ponzi scheme"—any "sure win" is a red flag. In 2025 the Shenzhen CSRC disclosed several routines—"buy expensive goods, get free tips," "illegal tip-giving under the guise of training," "AI stock-picking scams"—where victims often win small first then lose big, with little recourse. Don't join groups, don't add teachers; that alone dodges the most common kind of sheep-shearing.

**Evidence grade:** A

**Sources:** China Securities Regulatory Commission (no date). Risk alert on illegal securities investment advisory.

<<https://www.csrc.gov.cn/sichuan/c104903/c3243464/content.shtml>>; Shenzhen CSRC (2025). Risk alert on guarding against illegal stock-tipping scams.

<[https://jr.sz.gov.cn/sjrb/xxgk/tzzjy/content/post\\_12213565.html](https://jr.sz.gov.cn/sjrb/xxgk/tzzjy/content/post_12213565.html)>; SEC (no date).

Investor Alert: Ponzi Schemes Targeting Seniors.

<[https://sec.gov/oiea/investor-alerts-and-bulletins/ia\\_ponziseniors](https://sec.gov/oiea/investor-alerts-and-bulletins/ia_ponziseniors)>

**Note:** Licensed advisers can be verified on the CSRC / Securities Association of China website; anything asking for transfers to personal accounts, buying goods to join groups, or sending links privately to download apps is treated as illegal.



### 3. Ponzi / money game: paying old investors with new money

Money: none | Time: little | Willpower: no | Payoff: high | Scope: money | Impact: self+family

**Cost:** A bit of "get in early and snowball" greed.

**In plain terms:** Recognize three features—① promising unreasonable fixed high interest; ② growing a downline by recruiting people; ③ unclear where the money goes. Early or late, you lose; the only difference is who catches the last baton.

**Payoff:** Avoid a scheme that will inevitably collapse and most likely wipe you out. The U.S. SEC defines a Ponzi scheme as "paying old investors with money from new investors," with red flags including "high return, zero risk promises, unlicensed sellers, abnormally stable long-run returns." History's biggest Ponzi—the Madoff case—had about 65 billion USD of fictitiously inflated account value (pleaded guilty in 2009, sentenced to 150 years); after the collapse retail principal was nearly zero.

Domestically, per Article 25 of the \*Regulations on Preventing and Dealing with Illegal Fund Raising\*, participation losses are self-borne. Holding the line "don't invest in cash flows you can't understand" dodges the systematic zeroing risk.

**Evidence grade:** A

**Sources:** SEC (no date). Investor Alert: Ponzi Schemes Targeting Seniors.

<[https://sec.gov/oiea/investor-alerts-and-bulletins/ia\\_ponziseniors](https://sec.gov/oiea/investor-alerts-and-bulletins/ia_ponziseniors)>; State Council (2021). \*Regulations on Preventing and Dealing with Illegal Fund Raising\* (State Council Order No. 737, Articles 2, 25).

<[https://www.gov.cn/zhengce/content/2021-02/10/content\\_5586632.htm](https://www.gov.cn/zhengce/content/2021-02/10/content_5586632.htm)>; Ministry of Public Security (2024). 2023 telecom-fraud case data bulletin (reported by China Worker Net). <<https://www.workercn.cn/c/2024-01-10/8108310.shtml>>

**Note:** Madoff's "65 billion USD" refers to the fictitiously inflated book value of his accounts, not actual defrauded principal; it illustrates the sheer scale of a Ponzi's "borrow-new-to-pay-old."

#### 4. High-yield wealth "guaranteed high return": the contradiction is the answer

Money: none | Time: little | Willpower: some | Payoff: high | Scope: money | Impact: self+family

**Cost:** The thought of earning a few extra points.

**In plain terms:** The treasury yield is the risk-free yardstick. Any product that dares to out-yield it by a wide margin while claiming no risk is hiding that extra spread as risk premium—eventually repaid with principal.

**Payoff:** Avoid default and blow-up, keep your principal. The Asset Management Rules (PBOC [2018] No. 106), Article 2, state "financial institutions may not promise guaranteed principal and returns when conducting asset management business," and "may not advance funds to redeem in any form" when repayment is difficult; Article 19 deems "guaranteed principal and returns violating net-value principles, rolling issuance to guarantee principal and returns, self-financed repayment" all rigid redemption, with penalties. Guo Shuqing's 2018 scale is 6%/8%/10%—above 10% prepare to lose all principal. The risk-free rate is only so high; the extra "return" is hidden credit risk—avoiding it means not paying for someone else's bad debt.

**Evidence grade:** A

**Sources:** People's Bank of China and four departments (2018). \*Guiding Opinions on Regulating Asset Management Business of Financial Institutions\* (PBOC [2018] No. 106, Articles 2, 19).

<[https://www.gov.cn/zhengce/2018-05/04/content\\_5287860.htm](https://www.gov.cn/zhengce/2018-05/04/content_5287860.htm)>; Guo Shuqing (2018). Speech at the 10th Lujiazui Forum (People's Daily Online report).

<<https://money.people.com.cn/n1/2018/0614/c42877-30059109.html>>; State Council (2021). \*Regulations on Preventing and Dealing with Illegal Fund Raising\* (State Council Order No. 737, Article 25).

<[https://www.gov.cn/zhengce/content/2021-02/10/content\\_5586632.htm](https://www.gov.cn/zhengce/content/2021-02/10/content_5586632.htm)>

**Note:** The Asset Management Rules apply to asset-management products of licensed financial institutions; many "guaranteed high-return" wealth products are issued by unlicensed entities and fall directly into illegal fund raising.

## 5. Crypto speculation: treat it as a casino, not an asset

Money: little | Time: little | Willpower: some | Payoff: high | Scope: money | Impact: self+family

**Cost:** Principal possibly invested (high volatility, easy to zero, platform run, not legally protected domestically).

**In plain terms:** Bitcoin generates no cash flow, pays no dividend, and swings wildly—essentially a speculative item. A small position as a lottery is OK; loading up as an investment is betting your life, and domestic trading and speculation are explicitly not legally protected.

**Payoff:** Avoid domestically unprotected speculation and platform run risk, keep your principal. The regulatory characterization is extremely clear: the PBOC and six other departments' Sept 4, 2017 notice characterized token issuance financing (ICO) as "unapproved illegal public financing" and ordered all ICOs to stop immediately; the PBOC and nine other departments' Sept 24, 2021 \*Notice on Further Preventing and Dealing with the Risks of Virtual-Currency Trading and Speculation\* (PBOC [2021] No. 237) states that "virtual-currency-related business activities are illegal financial activities," overseas exchanges serving domestic residents are equally illegal, and participating violates public order—"relevant civil legal acts are void, losses self-borne." The SEC also warns crypto scams often promise "20% – 50% risk-free returns" then abscond with funds. For most people it returns no steady income, only thrills and zeroing.

**Evidence grade:** A

**Sources:** People's Bank of China and seven departments (2017). \*Announcement on Preventing the Risks of Token Issuance Financing\*.

<<https://money.people.com.cn/bank/n1/2017/0904/c202331-29514147.html>>;

People's Bank of China and ten departments (2021). \*Notice on Further Preventing and Dealing with the Risks of Virtual-Currency Trading and Speculation\* (PBOC [2021] No. 237).

<[https://www.gov.cn/zhengce/2021-09/25/content\\_5639206.htm](https://www.gov.cn/zhengce/2021-09/25/content_5639206.htm)>; SEC (no date). Investor Alert: Watch Out for Fraudulent Digital Asset and "Crypto" Trading Websites.

<[https://sec.gov/oiea/investor-alerts-and-bulletins/ia\\_fraudulentdigitalasset](https://sec.gov/oiea/investor-alerts-and-bulletins/ia_fraudulentdigitalasset)>

**Note:** Licensed domestic financial institutions and payment institutions may not provide accounts, clearing, etc. for virtual-currency business; so-called "overseas compliant exchanges" remain illegal financial activities for domestic residents.

## 6. Off-exchange margin, illegal trading platforms

Money: none | Time: little | Willpower: some | Payoff: high | Scope: money | Impact: self+family

**Cost:** A fantasy of leveraging up principal.

**In plain terms:** Regulated leverage has strict rules and liquidation lines. Off-exchange margin's rules are set by the other side—drop a bit and they move the line to swallow your principal; it's a gun pointed at you.

**Payoff:** Avoid the systematic traps of misappropriated funds, platform shutdown, and opaque forced-liquidation rules; keep your principal. The CSRC and Ministry of Public Security jointly characterize: under the \*Criminal Law\*, \*Securities Law\*, and \*Administrative Regulations on Futures Trading\*, off-exchange margin operation is illegal securities/futures activity, and if it constitutes a crime it is prosecuted as illegal business operation or fraud. In 2020 the CSRC transferred and reported 89 off-exchange margin leads to public security, coordinated on 19 major cases, and arrested over 700 people; the Chongqing "Cuohe Wang" case offered 8x leverage, involved 55 billion yuan of trading, and 153 were arrested. Participating in off-exchange margin means "your interests are unprotected and you may suffer large property loss."

**Evidence grade:** A

**Sources:** CSRC and Ministry of Public Security (2021). 2020 typical cases of off-exchange margin crime.

<<https://www.csrc.gov.cn/jiangxi/c100771/c1764378/content.shtml>>; CSRC (2021). Introduction to the Chongqing "Cuohe Wang" stock-margin case. <<https://www.csrc.gov.cn/shaanxi/c105610/cbde7843908ca42e5a2be4b4eb50aeb94/content.shtml>>; State Council (2021). \*Regulations on Preventing and Dealing with Illegal Fund Raising\* (State Council Order No. 737, Article 19). <[https://www.gov.cn/zhengce/content/2021-02/10/content\\_5586632.htm](https://www.gov.cn/zhengce/content/2021-02/10/content_5586632.htm)>

**Note:** Any margin using a "sub-account split system," advertising high leverage, or asking you to download a non-official app is mostly illegal or a "virtual platform"—open an account with a regulated broker instead.

## 7. "Original shares / unlisted equity" scams

Money: none | Time: little | Willpower: some | Payoff: high | Scope: money | Impact: self+family

**Cost:** A bit of "get rich on IPO" imagination.

**In plain terms:** Real quality unlisted equity never reaches a stranger. The "original shares" they sell you are mostly unsellable, or outright fake. Non-standard + high threshold + pressuring you to decide = a scam, all three at once.

**Payoff:** Avoid non-standard investments with zero liquidity, a black-box of information, and easy total loss; keep your principal. Article 19 of the \*Regulations on Preventing and Dealing with Illegal Fund Raising\* explicitly lists "absorbing funds under the name of issuing or transferring equity, claims, or raising funds" as suspected illegal fund raising; Article 25 states participation losses are self-borne. Unlisted equity is a typical non-standard asset—no public trading venue, no fair valuation—and scammers press with "about to list" or "internal channel." The SEC also notes private placements are only non-public offerings to qualified investors; peddling "original shares" to the public is a violation. Not touching "equity" you can't understand or find filed keeps your money safe.

**Evidence grade:** A

**Sources:** State Council (2021). \*Regulations on Preventing and Dealing with Illegal Fund Raising\* (State Council Order No. 737, Articles 19, 25).

<[https://www.gov.cn/zhengce/content/2021-02/10/content\\_5586632.htm](https://www.gov.cn/zhengce/content/2021-02/10/content_5586632.htm)>; SEC (no date). Investor Alert: Ponzi Schemes Targeting Seniors (private-placement red flags). <[https://sec.gov/oiea/investor-alerts-and-bulletins/ia\\_ponziseniors](https://sec.gov/oiea/investor-alerts-and-bulletins/ia_ponziseniors)>; China Securities Regulatory Commission (no date). Risk alert on illegal securities investment advisory.

<<https://www.csrc.gov.cn/sichuan/c104903/c3243464/content.shtml>>

**Note:** Domestic legal equity financing should be registered/filed with the CSRC and conducted on compliant venues; "original shares" peddled on streets or in WeChat groups are almost always illegal securities activity or fraud.

## 8. Pig-butcher: raise then slaughter

Money: none | Time: little | Willpower: some | Payoff: high | Scope: money | Impact: self+family

**Cost:** Trust and time (set up by "romance / friendship").

**In plain terms:** The nicer they are to you and the more they push "let's make money together," the colder you should be. Real affection won't lead you into an investment platform; any "platform deposit, can't withdraw" pattern is pure pig-butcher.

**Payoff:** Avoid being lured to deposit on a fake platform and ultimately unable to withdraw; keep your principal. Ministry of Public Security data is stark: in 2023 national public security organs cracked 437,000 telecom-fraud cases, the National Anti-Fraud Center issued 9.4 million fund-warning directives and 13.89 million in-person warnings, and urgently intercepted 328.8 billion yuan of involved funds. The U.S. FTC warns: an online-romance "teaching you to invest" is 100% pig-butcher—in 2021 Americans lost 547 million USD to romance scams, median loss 2,400 USD; the SEC also notes crypto "pig-butcher" often promises 20% – 50% risk-free returns then absconds with funds. Going cold, not depositing, means not being "fattened then slaughtered."

**Evidence grade:** A

**Sources:** Ministry of Public Security (2024). 2023 results bulletin on combating telecom-fraud (reported by China Worker Net).

<<https://www.worker.cn/c/2024-01-10/8108310.shtml>>; FTC (2022). FTC Data Show Romance Scams Hit Record High; \$547 Million Reported Lost in 2021. <<https://www.ftc.gov/news-events/press-releases/2022/02/ftc-data-show-romance-scams-hit-record-high-547-million-reported>>; SEC (no date). Investor Alert: Watch Out for Fraudulent Digital Asset and "Crypto" Trading Websites.

<[https://sec.gov/oiea/investor-alerts-and-bulletins/ia\\_fraudulentdigitalasset](https://sec.gov/oiea/investor-alerts-and-bulletins/ia_fraudulentdigitalasset)>

**Note:** Pig-butcher often lets you withdraw small amounts first to "build trust," then lures large deposits; once they demand "pay tax / unfreeze fee to withdraw," it's definitely fraud—call the police and the anti-fraud center immediately.

## 9. Fake platforms / black apps

Money: none | Time: little | Willpower: some | Payoff: high | Scope: money | Impact: self+family

**Cost:** A bit of luck on "high-yield platforms."

**In plain terms:** An app from an unknown source, promising high yields, with customer service pushing you to deposit more—assume it's fake first. Regulated brokers/funds are all in official app stores and licensed directories.

**Payoff:** Avoid the scam of "locked on deposit, can't withdraw," keep your principal. The CSRC warns: fake platforms closely mimic real trading platforms in name, icon, and interface, but are self-developed "virtual platforms"—the core logic is "lure deposits early → funds go straight to the scammer's personal account → delay with frozen-account/fee excuses and eventually run." In 2023 the Ministry of Public Security handled 8.364 million fraud-related domains and intercepted 2.75 billion fraud calls, showing the scale of black platforms. Article 25 of the \*Regulations on Preventing and Dealing with Illegal Fund Raising\* states participation losses are self-borne. Downloading trading software only from official app stores and licensed institutions' sites cuts off 90% of black-app entry points.

**Evidence grade:** A

**Sources:** China Securities Regulatory Commission (no date). Risk alert on preventing illegal securities/futures activities (online fraud with forged trading platforms).

<<https://www.csrc.gov.cn/xinjiang/c105515/c7613926/content.shtml>>; Ministry of Public Security (2024). 2023 results bulletin on combating telecom-fraud (reported by China Worker Net). <<https://www.workercn.cn/c/2024-01-10/8108310.shtml>>; State Council (2021). \*Regulations on Preventing and Dealing with Illegal Fund Raising\* (State Council Order No. 737, Article 25).

<[https://www.gov.cn/zhengce/content/2021-02/10/content\\_5586632.htm](https://www.gov.cn/zhengce/content/2021-02/10/content_5586632.htm)>

**Note:** To tell real from fake: check the CSRC / Securities Association of China licensed-institution directory, verify the official domain, refuse transfers to personal accounts; don't download look-alike platforms with similar names or icons.

## 10. Managed-account promising a floor

Money: none | Time: little | Willpower: some | Payoff: high | Scope: money | Impact: self+family

**Cost:** A bit of "leave it to an expert" peace of mind.

**In plain terms:** A trader who dares sign "guaranteed floor" is either breaking the law or preparing to run. Real pros don't need your money; handing your account to an unqualified individual means you mostly eat the loss yourself.

**Payoff:** Avoid the risk that "floor agreements" are mostly void in law and hard to recover from when you lose; keep your principal. The Asset Management Rules (PBOC [2018] No. 106), Article 2, forbid financial institutions from "promising guaranteed principal and returns," and Article 19 deems floor arrangements rigid redemption with penalties; non-financial institutions illegally promising guaranteed principal and returns are "punished more severely per law" (Article 30). The Securities Law requires securities investment advisory to be licensed; unqualified managed trading is itself illegal, and so-called "floor clauses" are mostly ruled void by courts for violating mandatory provisions, with low recovery. Guo Shuqing also said in 2018: "Guaranteed principal can't have high return—that's fraud." Not handing your account to a "floor teacher" means not handing your principal to legal risk.

**Evidence grade:** A

**Sources:** People's Bank of China and four departments (2018). \*Guiding Opinions on Regulating Asset Management Business of Financial Institutions\* (PBOC [2018] No. 106, Articles 2, 19, 30).

<[https://www.gov.cn/zhengce/2018-05/04/content\\_5287860.htm](https://www.gov.cn/zhengce/2018-05/04/content_5287860.htm)>; Guo Shuqing (2018). Speech at the 10th Lujiazui Forum (People's Daily Online report).

<<https://money.people.com.cn/n1/2018/0614/c42877-30059109.html>>; China Securities Regulatory Commission (no date). Risk alert on illegal securities investment advisory.

<<https://www.csrc.gov.cn/sichuan/c104903/c3243464/content.shtml>>

**Note:** In judicial practice "floor clauses" are often ruled void for violating fairness and financial regulation; even if valid, unqualified individuals often have no property to enforce against, so recovery is low.



## 11. Illegal fund raising and pyramid recruitment

Money: none | Time: little | Willpower: some | Payoff: high | Scope: money | Impact: self+family

**Cost:** A bit of the "recruit a downline, earn commission" lure.

**In plain terms:** Anything "you only earn by bringing people in, tiered rebates" — treat it as a pyramid first. It relies on connections, not asset growth; collapse is only a matter of time.

**Payoff:** Avoid the "pyramid" structure—the bottom always takes the bag, the organizers are criminally liable; keep your principal and social credit. Article 2 of the \*Regulations on Preventing and Dealing with Illegal Fund Raising\* defines illegal fund raising as "absorbing funds from unspecified objects by promising principal and interest repayment without permission," and Article 19 lists "issuing or transferring equity/claims, asset management, virtual currency" as fund-absorption scenarios; Article 25 states participation losses are self-borne, state doesn't advance. In 2023 the Ministry of Public Security cracked 437,000 telecom-fraud and other cases and intercepted 328.8 billion yuan, much of it pyramid rebate games. The SEC notes Ponzi/pyramid schemes run on "paying old investors with new money" and eventually collapse. Not recruiting, not investing in "tiered rebates," means not being the denominator for a scam.

**Evidence grade:** A

**Sources:** State Council (2021). \*Regulations on Preventing and Dealing with Illegal Fund Raising\* (State Council Order No. 737, Articles 2, 19, 25).

<[https://www.gov.cn/zhengce/content/2021-02/10/content\\_5586632.htm](https://www.gov.cn/zhengce/content/2021-02/10/content_5586632.htm)>;

Ministry of Public Security (2024). 2023 results bulletin on combating telecom-fraud (reported by China Worker Net).

<<https://www.workercn.cn/c/2024-01-10/8108310.shtml>>; SEC (no date). Investor Alert: Ponzi Schemes Targeting Seniors.

<[https://sec.gov/oiea/investor-alerts-and-bulletins/ia\\_ponziseniors](https://sec.gov/oiea/investor-alerts-and-bulletins/ia_ponziseniors)>

**Note:** Pyramid illegal fund raising often lures in with "static returns" first, then expands with "dynamic recruitment bonuses"; you can be both victim and accomplice if you recruit a downline—stay away and report it.

## 12. Fake "blockchain / metaverse / AI" concept speculation

Money: none | Time: little | Willpower: some | Payoff: high | Scope: money | Impact: self+family

**Cost:** A bit of FOMO on the hot trend.

**In plain terms:** Every trend sprouts a pile of "anything-tagged-jumps" shells. A real tech company doesn't pull you into a deposit in a group chat; if you can't see how it makes money, it's betting on a label.

**Payoff:** Avoid speculative plays packaged in new concepts with no real cash flow; keep your principal. Regulators have long watched this sheep-shearing via trends: the PBOC and seven departments' Sept 4, 2017 notice characterized token financing as illegal public financing; the ten departments' Sept 24, 2021 notice (PBOC [2021] No. 237) states all virtual-currency-related business is illegal financial activity, and overseas exchanges serving domestic residents are equally illegal. The CSRC has repeatedly warned against illegal tip-giving and non-standard-asset speculation using "blockchain, metaverse, AI" concepts. The SEC also notes crypto scams disguise themselves with "complex new-tech talk + high risk-free returns." Article 25 of the Regulations makes participation losses self-borne. Not investing in projects that "only talk concepts, not cash flow" means not catching the last baton of the concept bubble.

**Evidence grade:** A

**Sources:** People's Bank of China and ten departments (2021). \*Notice on Further Preventing and Dealing with the Risks of Virtual-Currency Trading and Speculation\* (PBOC [2021] No. 237).

<[https://www.gov.cn/zhengce/2021-09/25/content\\_5639206.htm](https://www.gov.cn/zhengce/2021-09/25/content_5639206.htm)>; People's Bank of China and seven departments (2017). \*Announcement on Preventing the Risks of Token Issuance Financing\*.

<<https://money.people.com.cn/bank/n1/2017/0904/c202331-29514147.html>>; SEC (no date). Investor Alert: Watch Out for Fraudulent Digital Asset and "Crypto" Trading Websites.

<[https://sec.gov/oiea/investor-alerts-and-bulletins/ia\\_fraudulentdigitalasset](https://sec.gov/oiea/investor-alerts-and-bulletins/ia_fraudulentdigitalasset)>

**Note:** Real blockchain/AI companies raise via proper equity or public markets; anything raising via "concept coins," "internal shares," or "private-domain deposits" is interwoven with illegal fund raising and fraud.

### 13. Virtual platform / bucket shop: you think you're trading, but you're betting against the house

Money: none | Time: little | Willpower: no | Payoff: high | Scope: money | Impact: self+family

**Cost:** A few minutes to check whether the platform connects to a real exchange.

**In plain terms:** On a real platform your order goes to the exchange; a fake platform is just an app showing numbers, with money straight into the scammer's pocket. Anything asking you to download a non-official app, watching withdrawal speed instead of quotes, assume it's a virtual platform.

**Payoff:** Avoid the fake platform of "can't withdraw when you win, all yours when you lose," keep your principal. The CSRC clearly warns: a forged trading platform is a "virtual platform" tool—funds never enter the real market but go straight to the scammer-controlled account, eventually delayed with "freeze / fees" until the platform disappears. In 2023 the Ministry of Public Security handled 8.364 million fraud-related domains and intercepted 328.8 billion yuan, much of it virtual platforms. The SEC notes such platforms often promise 20% – 50% risk-free returns then cut contact. Article 25 of the Regulations makes participation losses self-borne. Checking "does it connect to a real exchange, is it from an official app store" exposes the bucket shop's fundamental scam.

**Evidence grade:** A

**Sources:** China Securities Regulatory Commission (no date). Risk alert on preventing illegal securities/futures activities (online fraud with forged trading platforms).

<<https://www.csrc.gov.cn/xinjiang/c105515/c7613926/content.shtml>>; Ministry of Public Security (2024). 2023 results bulletin on combating telecom-fraud (reported by China Worker Net). <<https://www.workercn.cn/c/2024-01-10/8108310.shtml>>; SEC (no date). Investor Alert: Watch Out for Fraudulent Digital Asset and "Crypto" Trading Websites.

<[https://sec.gov/oiea/investor-alerts-and-bulletins/ia\\_fraudulentdigitalasset](https://sec.gov/oiea/investor-alerts-and-bulletins/ia_fraudulentdigitalasset)>

**Note:** A virtual platform's backend can change prices at will and fabricate "profits" to lure you to add; any "can't withdraw profits, must pay margin/fee to withdraw" is a fraud signal.

## 14. WeChat/QQ tip groups with tiered harvesting

Money: none | Time: little | Willpower: no | Payoff: high | Scope: money | Impact: self+family

**Cost:** The lure of "free hot stocks" after joining the group.

**In plain terms:** Free entry, daily profit screenshots—not to teach you to make money, but to finally make you the bag-holder or pay membership. If they had a steady winning method, why bring you along?

**Payoff:** Avoid the standard script of "sweetener first → split on calls → reverse-shear the sheep," keep your principal. The CSRC defines illegal tip-giving's three elements: "no business qualification, recommending stocks, charging service fees"; the Shenzhen CSRC's 2025 disclosures of "buy expensive goods, get free tips," "tip-giving under education training," "big-data/AI stock-picking tips" show the group's "teacher" and "profitable members" are mostly shills, and followers often lose big with little recourse. The SEC also lists "unlicensed seller + sure-win promise" as a red flag. Not joining private groups, not buying "membership/VIP hot stocks," cuts off the tiered-harvesting entry.

**Evidence grade:** A

**Sources:** China Securities Regulatory Commission (no date). Risk alert on illegal securities investment advisory.

<<https://www.csrc.gov.cn/sichuan/c104903/c3243464/content.shtml>>; Shenzhen CSRC (2025). Risk alert on guarding against illegal stock-tipping scams.

<[https://jr.sz.gov.cn/sjrb/xxgk/tzzjy/content/post\\_12213565.html](https://jr.sz.gov.cn/sjrb/xxgk/tzzjy/content/post_12213565.html)>; SEC (no date). Investor Alert: Ponzi Schemes Targeting Seniors.

<[https://sec.gov/oiea/investor-alerts-and-bulletins/ia\\_ponziseniors](https://sec.gov/oiea/investor-alerts-and-bulletins/ia_ponziseniors)>

**Note:** Profit screenshots and trade confirmations in groups are easily faked; funneling to WeChat/QQ/niche apps to dodge platform monitoring is a hallmark of illegal tip-giving.

## 15. Crude-oil / precious-metals / stamp-coin spot black platforms

Money: none | Time: little | Willpower: no | Payoff: high | Scope: money | Impact: self+family

**Cost:** Ads for high-leverage "trade crude oil / silver / stamps."

**In plain terms:** Regulated futures only trade on compliant exchanges; "teachers taking you to trade crude oil and precious metals" in friend circles or groups are basically black platforms. High leverage + no regulation = handing over money.

**Payoff:** Avoid illegal spot platforms with backend manipulation and no withdrawal; keep your principal. The CSRC has repeatedly run special campaigns against illegal spot-trading platforms, clearly stating that stamp-coin and crude-oil/precious-metals "quasi-futures" trading are mostly unlicensed black platforms that swallow money via call-out, slippage, and backend price changes. Article 19 of the \*Regulations on Preventing and Dealing with Illegal Fund Raising\* lists "absorbing funds under the name of selling goods or providing services while promising returns" as suspected illegal fund raising; Article 25 makes participation losses self-borne. In 2023 the Ministry of Public Security intercepted 328.8 billion yuan of fraud funds, with illegal spot platforms a major hotspot. Only open an account at a licensed futures exchange, and you won't be zeroed by a "high-leverage black platform."

**Evidence grade:** A

**Sources:** State Council (2021). \*Regulations on Preventing and Dealing with Illegal Fund Raising\* (State Council Order No. 737, Articles 19, 25).

<[https://www.gov.cn/zhengce/content/2021-02/10/content\\_5586632.htm](https://www.gov.cn/zhengce/content/2021-02/10/content_5586632.htm)>; CSRC and Ministry of Public Security (2021). 2020 typical cases of off-exchange margin crime (including virtual-platform fraud).

<<https://www.csrc.gov.cn/jiangxi/c100771/c1764378/content.shtml>>; Ministry of Public Security (2024). 2023 results bulletin on combating telecom-fraud (reported by China Worker Net). <<https://www.workercn.cn/c/2024-01-10/8108310.shtml>>

**Note:** Domestic legal commodity futures only trade at the Shanghai/Zhengzhou/Dalian/Guangzhou futures exchanges and compliant futures companies; WeChat "teachers" leading crude-oil/stamp-coin trades are basically illegal platforms.

## 16. Money game / rebate game: paying interest from recruiting

Money: none | Time: little | Willpower: no | Payoff: high | Scope: money | Impact: self+family

**Cost:** Vigilance against "static returns + dynamic recruitment bonuses."

**In plain terms:** "Deposit earns daily interest, recruit a downline for another layer" — that's a Ponzi's ID card. Whenever returns come from new money, not real profit, running is only a matter of time.

**Payoff:** Avoid the Ponzi structure, keep your principal and relationships. The regulatory red line is clear: Article 2 of the \*Regulations on Preventing and Dealing with Illegal Fund Raising\* defines "promising principal and interest repayment to absorb funds from unspecified objects" as illegal fund raising, Article 19 lists equity/claims/asset-management/virtual-currency fund absorption, and Article 25 states "losses from participating in illegal fund raising shall be borne by the participants themselves." The SEC defines a Ponzi as "paying old investors with money from new investors," with red flags including "high return, zero risk, abnormally stable long-run returns." In 2023 the Ministry of Public Security cracked 437,000 telecom-fraud and other cases and intercepted 328.8 billion yuan. Not investing in "recruit-rebate," not building a downline, means not becoming a scam's funding source and victim.

**Evidence grade:** A

**Sources:** State Council (2021). \*Regulations on Preventing and Dealing with Illegal Fund Raising\* (State Council Order No. 737, Articles 2, 19, 25).

<[https://www.gov.cn/zhengce/content/2021-02/10/content\\_5586632.htm](https://www.gov.cn/zhengce/content/2021-02/10/content_5586632.htm)>; SEC (no date). Investor Alert: Ponzi Schemes Targeting Seniors.

<[https://sec.gov/oiea/investor-alerts-and-bulletins/ia\\_ponziseniors](https://sec.gov/oiea/investor-alerts-and-bulletins/ia_ponziseniors)>; Ministry of Public Security (2024). 2023 results bulletin on combating telecom-fraud (reported by China Worker Net). <<https://www.workercn.cn/c/2024-01-10/8108310.shtml>>

**Note:** After a rebate game collapses, not only is principal gone, but downline recruiters may bear criminal liability for suspected illegal fund raising / pyramid selling.

## 17. Impersonating officials / AI face-swap customer-service scams

Money: none | Time: little | Willpower: no | Payoff: high | Scope: money | Impact: self+family

**Cost:** Blind trust in a "customer service / officer / mentor" video or voice.

**In plain terms:** Now scammers can use AI to mimic your son's voice or your boss's face. Whoever asks for a transfer in a video—hang up, call back on a known number to verify. When money is involved, trust only the offline official window.

**Payoff:** Avoid AI face-swap and voice-clone fakes of "acquaintances / officials," keep your principal. The CSRC's 2024 risk alert names it: criminals use AI face-swap and voice synthesis to mass-produce "famous investor" videos, funneling to private-domain illegal tip-giving via "free tips / insider news"; in 2023 the Ministry of Public Security intercepted 2.75 billion fraud calls, 2.28 billion fraud texts, 8.364 million fraud domains, and urgently intercepted 328.8 billion yuan. The FTC also warns that online-romance/acquaintance "teaching you to invest" is 100% pig-butcher (U.S. losses 547 million USD in 2021). For any transfer, verify twice through official channels—don't let "high-fidelity fakes" trick your money away.

**Evidence grade:** A

**Sources:** China Securities Regulatory Commission (no date). Risk alert on preventing illegal securities/futures activities (AI tech impersonating famous investors for illegal tip-giving). <<https://www.csrc.gov.cn/xinjiang/c105515/c7613926/content.shtml>>; Ministry of Public Security (2024). 2023 results bulletin on combating telecom-fraud (reported by China Worker Net).

<<https://www.workercn.cn/c/2024-01-10/8108310.shtml>>; FTC (2022). FTC Data Show Romance Scams Hit Record High; \$547 Million Reported Lost in 2021. <<https://www.ftc.gov/news-events/press-releases/2022/02/ftc-data-show-romance-scams-hit-record-high-547-million-reported>>

**Note:** AI face-swap/voice can be highly realistic—don't confirm identity by "face/voice" alone; always call back on a known official number or use the official app to verify.

## 18. Elderly / wellness wealth scams

Money: none | Time: little | Willpower: no | Payoff: high | Scope: money | Impact: self+family

**Cost:** The warm offensive of "high-yield elderly apartment / elderly bed / wellness wealth."

**In plain terms:** Show this to your parents. Anything "deposit for elderly care / bed, promising high-yield buyback" — treat as a scam first. A real elderly-care product won't make you mortgage the house deed.

**Payoff:** Avoid "house-for-pension" / "prepaid elderly care" illegal fund raising targeting the elderly; keep retirement money and property. The Supreme People's Court on Aug 24, 2022 published 6 typical elderly-fraud cases, exposing six routines: pre-depositing high interest for "elderly care services," post-sale rebates for "elderly-care projects / apartments," inflated pricing for "elderly-care products / collectibles," luring to mortgage the house to buy wealth via "house-for-pension," fraudulently charging for "pension insurance" agency, and "elderly-care help" free clinics selling overpriced health products; by July 2022 the nationwide courts had accepted 1,394 elderly-fraud cases and executed over 2 billion yuan of property under the special campaign. Article 25 of the \*Regulations on Preventing and Dealing with Illegal Fund Raising\* makes participation losses self-borne. Think more, consult children more, and distrust "high rebates"—that guards your parents' "retirement money."

**Evidence grade:** A

**Sources:** Supreme People's Court (2022). Six typical cases of key crackdowns on elderly-fraud crimes. <<https://www.court.gov.cn/zixun/xiangqing/369771.html>>; Criminal Division No. 3, Supreme People's Court (2022). Q&A on the six typical elderly-fraud cases. <<https://www.court.gov.cn/zixun/xiangqing/369761.html>>; State Council (2021). \*Regulations on Preventing and Dealing with Illegal Fund Raising\* (State Council Order No. 737, Article 25). <[https://www.gov.cn/zhengce/content/2021-02/10/content\\_5586632.htm](https://www.gov.cn/zhengce/content/2021-02/10/content_5586632.htm)>

**Note:** Elderly fraud often stacks "emotional companionship + high-interest promise + property mortgage"; children should proactively help parents verify qualifications and install the National Anti-Fraud Center app, and call the police immediately if anything suspicious appears.

**Negative-value moves — cross one off as it appears:**

- I. The lie of guaranteed principal and returns (regulatory red line): Entry 1 guaranteed return / sure win, Entry 4 high-yield wealth "guaranteed high return,"



Entry 10 managed-account promising a floor

- II. Illegal stock-tipping and call-out: Entry 2 tip groups / teacher-led trades / insider news, Entry 14 WeChat/QQ tip groups with tiered harvesting
- III. Ponzi and money games: Entry 3 Ponzi / money game, Entry 16 money game / rebate game, Entry 11 illegal fund raising and pyramid recruitment
- IV. Crypto and fake-concept speculation: Entry 5 crypto speculation, Entry 12 fake "blockchain / metaverse / AI" concept speculation
- V. Fake platforms and bucket shops: Entry 9 fake platforms / black apps, Entry 13 virtual / bucket-shop platforms, Entry 15 crude-oil / precious-metals / stamp-coin spot black platforms
- VI. Off-exchange margin and original shares: Entry 6 off-exchange margin / illegal trading platforms, Entry 7 "original shares / unlisted equity" scams
- VII. Pig-butcher and identity impersonation: Entry 8 pig-butcher (raise then slaughter), Entry 17 impersonating officials / AI face-swap customer-service scams
- VIII. Elderly scams: Entry 18 elderly / wellness wealth scams

## Chapter 7 VII. Cost-Effective Moves

---

The truly "cost-effective" moves in investing are usually not the exciting-sounding tricks, but the few things that are low-cost, high-certainty, and compound over the long run. This chapter lists, from highest to lowest cost-performance, the moves ordinary people should do first—most don't rely on predicting the market, but on "making fewer mistakes" and "letting a system execute for you."

These moves fall into three logics: one, cut cost and friction (low fees, long holding, less screen-watching); two, improve behavior (auto-debit, rebalancing thresholds, sell rules, investment log); three, use the institutional dividends (emergency fund, insurance, social security and tax-advantaged accounts, special deductions). Stacked together, their effect far exceeds any single "magic move."

Note: the first few (1 – 4) are the book's core engine; if you don't get them right, the later, more refined moves are just icing on the cake. Do the parts you can surely control first—cost, discipline, time—and the market will hand you the long-run return.

This chapter's entries are grouped by theme below (entry numbers in parentheses):

## 1. Broad-market index fund dollar-cost averaging (flagship move)

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self+family

**Cost:** Annual expense ratio 0.03% – 0.5% (e.g., VOO/VTI about 0.03%, A-share broad ETF about 0.15% – 0.5%) + a few minutes a month to set up and check.

**In plain terms:** The flagship of the whole guide. Don't pick stocks, don't time the market, don't watch the screen—just buy a low-cost index covering the whole market and invest a fixed amount monthly. It promises no riches, but parks you firmly on the long-term winner's side.

**Payoff:** The source of certainty is data—S&P's SPIVA scorecard shows that over the 15 years to 2024, in 22 U.S. equity fund categories "zero" had a majority of actively managed funds beat the benchmark; large-cap underperformed by 65% in one year, 84% in ten years, 92% in twenty. Meanwhile ICI data (2024) shows index equity funds' average fee is just 0.05% versus 0.64% for actively managed funds—a 0.6-percentage-point annual fee gap compounds over 30 years enough to eat about a quarter of wealth. Buy and hold the whole market, and you get the market's real long-run return at extremely low cost (U.S. stocks about 10% nominal, about 6% – 7% real over a century).

**Evidence grade:** A

**Sources:** S&P Dow Jones Indices (2025). SPIVA U.S. Scorecard Year-End 2024 (Exhibit, 20-year 92% active underperformance). <<https://www.spglobal.com/spdji/en/documents/spiva/spiva-us-year-end-2024.pdf>>; Fama, E. F. & French, K. R. (1993). Common Risk Factors in the Returns on Stocks and Bonds. Journal of Financial Economics 33(1), 3 – 56. <[https://mba.tuck.dartmouth.edu/pages/faculty/ken.french/Data\\_Library/facts.html](https://mba.tuck.dartmouth.edu/pages/faculty/ken.french/Data_Library/facts.html)>; Investment Company Institute (2024). 2024 Investment Company Fact Book (index/actively managed fund fees). <<https://www.ici.org/research/stats/us-funds>>

**Note:** "A" here means "long-run, cross-market, repeatable"; because A-shares have a high retail share, actively managed funds' short-run win rate occasionally beats U.S. stocks, but fee drag holds just the same, so low-fee broad-market remains the first choice. For the Chinese SPIVA wording see the annual SPIVA China editions.

## 2. Stock-bond mix + periodic rebalancing

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** One check a year (or adjust when off target by a 5% threshold); restrain the impulse to "go all-in on stocks for high return."

**In plain terms:** Stocks up, bonds down—sell stocks, buy bonds, pull the ratio back to target. This isn't timing, it's discipline—forcing you to sell high and buy low, needing no predictive ability.

**Payoff:** Vanguard institutional research (2015) concludes clearly: monthly, quarterly, and annual rebalancing show "no significant difference" in risk-adjusted return, but trading count and cost rise sharply with frequency; so annual/semi-annual monitoring + a 5% threshold suffices. Rebalancing's value isn't "earning more" but "controlling volatility and max drawdown"—the classic 60/40 portfolio drew down about –20% to –30% in 2008, far less than all-stocks' –50%+, so you needn't liquidate in panic. It also naturally executes "sell high, buy low" and relies on no judgment at all.

**Evidence grade:** B

**Sources:** Vanguard Institutional Research (2015). Best Practices for Portfolio Rebalancing (Zilbering, Jaconetti, Kinniry). <<https://www.vanguard.ca/documents/best-practices-for-portfolio-rebalancing.pdf>>; Vanguard (2019). Getting Back on Track: A Guide to Smart Rebalancing. <<https://personal.vanguard.com/pdf/ISGGBOT.pdf>>

**Note:** Rebalancing is a "risk control" tool, not an "income boost" tool; frequent rebalancing in taxable accounts can create tax bills, so use the annual-threshold method for U.S. accounts, and the same logic for A-share accounts.

### 3. Build a 3 – 6 month emergency fund before investing

Money: none | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self+family

**Cost:** This money earns almost zero (in a money market fund / demand deposit / high-yield savings); the opportunity cost is low.

**In plain terms:** The emergency fund is the "airbag" of your investment system. Without it, one job loss or medical emergency forces you to liquidate at the worst time. Buffer first, then risk—the order can't reverse.

**Payoff:** The CFPB recommends an emergency fund covering 3 – 6 months of "necessary expenses" (not total income); the Federal Reserve's 2024 SHEP survey shows about 37% of Americans still can't cover a 400 USD unexpected expense. A buffer means at the bear-market bottom you "needn't sell"—and forced selling is the retail investor's worst loss scenario: you lock in the loss at the low and miss the rebound. The emergency fund turns "should I sell" into "no need to sell," directly protecting the long-run compound from interruption.

**Evidence grade:** C

**Sources:** Consumer Financial Protection Bureau (CFPB). An Essential Guide to Building an Emergency Fund. <<https://www.consumerfinance.gov/an-essential-guide-to-building-an-emergency-fund>>; Federal Reserve (2024). Report on the Economic Well-Being of U.S. Households (37% can't cover a \$400 unexpected expense). <<https://www.federalreserve.gov/publications/2024-economic-well-being-of-us-households.htm>>

**Note:** Freelancers / single-income families should take the upper end (6 months or more); the emergency fund is a "defensive asset" and shouldn't be mixed with investment principal, lest you spend it on impulse.

## 4. Long holding + low turnover

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self+family

**Cost:** Give up short-term thrills; bear the psychological pressure of a 30%+ paper drawdown.

**In plain terms:** Compounding is most powerful, but it takes time. Every sale interrupts compounding once and pays friction once more. After buying good assets, "doing nothing" is the hardest and most profitable discipline.

**Payoff:** Trading frequency directly eats returns. Barber & Odean (2000), using 66,000 brokerage accounts, found the top-quintile-turnover accounts earned only 11.4% net annually, while the lowest-turnover group earned 18.5% and the market index 17.9%—the most active earned about 7 percentage points less per year than the least active. DALBAR's QAIB (2024) shows the average stock-fund investor earned only 16.54% for the year, lagging the S&P 500's 25.02% by 848 basis points, and has lagged for 15 years straight. Wells Fargo estimates: from 1995 – 2024, missing the 30 best days dropped the annualized return from 8.4% to 2.1%. Moving less is the cheapest weapon ordinary people have against the "behavior gap."

**Evidence grade:** A

**Sources:** Barber, B. M. & Odean, T. (2000). Trading Is Hazardous to Your Wealth. *Journal of Finance* 55(2). <<https://faculty.haas.berkeley.edu/odean/papers%20current%20versions/behavior%20of%20individual%20investors.pdf>>; DALBAR (2025). Quantitative Analysis of Investor Behavior (QAIB) 2024 (average stock investor 16.54% vs S&P 25.02%). <<https://www.dalbar.com/press-release/investors-missed-the-best-of-2024s-market-gains-latest-dalbar-investor-behavior-report-finds/>>; Wells Fargo Investment Institute (2025). The Perils of Trying to Time Volatile Markets. <<https://www.wellsfargoadvisors.com/research-analysis/reports/policy/volatile-markets.htm>>

**Note:** Low turnover isn't "never sell"; rebalancing, thesis falsification, and needing cash still require selling, but the principle is to minimize trade count.

## 5. Invest in yourself: human-capital return is often highest

Money: little | Time: some | Willpower: much | Payoff: mid | Scope: money | Impact: self+family

**Cost:** Time, tuition, energy; the payoff cycle is counted in years.

**In plain terms:** Pushing the annualized from 7% to 8% is agonizing; raising monthly pay from 10,000 to 15,000 has the same "return rate" but is far easier. A bigger principal is the real engine of ordinary people's wealth—fix that first.

**Payoff:** For most people, the "investable principal" growth from rising main-income beats any financial trick by far. Monthly pay 10,000 → 15,000 equals +50% investable cash flow, for life; while cutting a fund fee from 0.5% to 0.1% saves only 0.4 percentage points a year. The World Bank's \*World Development Report 2015: Mind, Society, and Behavior\*, Chapter 6 "Household Finance," notes a household's scarcest resource is "financial bandwidth," and raising skills and income improves both saving rate and risk resilience. Becker's human-capital theory also shows education and health investment are the steadiest "assets" with long-run return. Rather than fuss over a 0.5% fee difference, grow the main-income engine first.

**Evidence grade:** C

**Sources:** World Bank (2015). World Development Report 2015: Mind, Society, and Behavior, Chapter 6 "Household Finance". <<https://www.worldbank.org/content/dam/Worldbank/Publications/WDR/WDR%202015/Chapter-6.pdf>>; Becker, G. S. (1964/1993). Human Capital: A Theoretical and Empirical Analysis. University of Chicago Press.

<<https://www.nobelprize.org/prizes/economic-sciences/1992/becker/facts/>>

**Note:** "C" because "personal income growth" varies widely and is hard to test in a controlled study; but the direction (principal growth >> fee tweaks) is near-common-sense for wage earners.

## 6. Keep an investment log, review afterward

Money: none | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Write one line per trade—"why buy/sell, what's the expectation, what was the mood" (zero money).

**In plain terms:** People are good at forgetting misses and magnifying lucky hits. Write it in black and white; the market scores you. A near-zero-cost, lasting-payoff "meta-move."

**Payoff:** A decision log makes "hindsight bias" visible. Behavioral finance finds people selectively remember after a loss and credit luck for skill; writing the buy logic and expectation, then coldly comparing to reality six months later, continuously exposes repeated errors (chasing highs, panic-selling, acting on tips). The SSA behavioral-economics review and World Bank WDR 2015 both note that light mechanisms like "pre-commitment / recording" significantly cut decision noise. One executable practice: record "trigger reason + expected holding period + stop-loss/take-profit condition" per trade, review quarterly—you'll find most losses come from the same behavioral hole, more useful than any paid course.

**Evidence grade:** C

**Sources:** Social Security Administration (2010). The Role of Behavioral Economics and Behavioral Decision Making in Americans' Retirement Savings Decisions, Social Security Bulletin 70(4).

<<https://www.ssa.gov/policy/docs/ssb/v70n4/v70n4p1.html>>; World Bank (2015). World Development Report 2015, Chapter 6 "Household Finance". <<https://www.worldbank.org/content/dam/Worldbank/Publications/WDR/WDR%202015/Chapter-6.pdf>>

**Note:** The key to a log isn't "writing" but "reviewing regularly"; writing without reviewing is as good as not writing. Use a spreadsheet or app, with uniform fields.



## 7. Insurance backstop (medical / life / accident)

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: family

**Cost:** Premiums (5% – 10% of household annual income for base protection, prioritizing medical + life + accident, wary of wealth-type).

**In plain terms:** Investing is offense, insurance is defense. Heavy investing with no backstop is charging forward with no troops behind. Get medical/life cover first, then talk returns.

**Payoff:** One serious illness or accident can punch through investment principal and household cash flow—World Bank WDR 2015 stresses a household's first line of financial-risk management is "preventing a one-time shock from zeroing years of savings." An unprotected household is often forced to liquidate investments low in a crisis, even borrow at usury, cutting the long-run compound in one stroke. Cover large medical bills with a million-medical policy (annual premium hundreds to about 1,000 yuan), and cover the breadwinner's death risk with term life (coverage = outstanding mortgage + children's education + 5 – 10 years of family expenses)—very high leverage. Insurance buys "no broken capital," letting you hold long and not over-conserve out of accident fear.

**Evidence grade:** B

**Sources:** World Bank (2015). World Development Report 2015, Chapter 6 "Household Finance" (risk management and liquidity buffer). <<https://www.worldbank.org/content/dam/Worldbank/Publications/WDR/WDR%202015/Chapter-6.pdf>>; Consumer Financial Protection Bureau (CFPB). An Essential Guide to Building an Emergency Fund (emergency / shock resistance). <<https://www.consumerfinance.gov/an-essential-guide-to-building-an-emergency-fund>>

**Note:** Protection comes before return-type insurance; secure "consumption-type" protection first, then grow via investment accounts—don't turn premiums into low-return savings.

## 8. Compounding + tax-advantaged account stacked

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self+family

**Cost:** Account-planning time; private pension annual contribution cap 12,000 yuan (nationwide from 2024).

**In plain terms:** A tax-advantaged account + long holding are the two accelerators of compounding. Use it legally if you can—especially the higher your income and marginal tax rate, the more you save.

**Payoff:** The private pension follows the Ministry of Finance and STA Announcement 2022 No. 34 (extended nationwide by 2024 No. 21) for tax deferral: at contribution, up to 12,000 yuan a year is deducted from comprehensive income; investment gains are untaxed meanwhile; at withdrawal a separate 3% tax applies. For wage earners in the 10% – 20% marginal bracket, just the contribution deduction saves 1,200 – 2,400 yuan a year; at 7% annualized over 30 years, 12,000 yuan/year under tax deferral + compounding accumulates significantly more than a taxable account. Stacked with low-fee indices, the tax advantage is one of the few "certain gains" for ordinary people.

**Evidence grade:** B

**Sources:** Ministry of Finance and State Taxation Administration (2022).

Announcement on Individual Pension Personal-Income-Tax Policy (Ministry of Finance & STA Announcement 2022 No. 34).

<[https://sichuan.chinatax.gov.cn/art/2022/11/4/art\\_7757\\_794159.html](https://sichuan.chinatax.gov.cn/art/2022/11/4/art_7757_794159.html)>; Ministry of Finance and State Taxation Administration (2024). Announcement on Implementing the Individual Pension Personal-Income-Tax Preference Nationwide (2024 No. 21). <<http://beijing.chinatax.gov.cn/bjswj/c105411/202212/048860fe6bec43df84934d9fdca4959.shtml>>

**Note:** The private pension is taxed at a separate 3% at withdrawal, suiting those whose current marginal rate exceeds 3%; products inside the account should still be low-fee, or fees eat the tax advantage.

## 9. Use the individual-income-tax special additional deductions

Money: none | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self+family

**Cost:** A few minutes a year to check and file in the tax app.

**In plain terms:** This is "free money" from the state; not claiming it is a loss. Spend a few minutes each year checking deductions—the tax saved is net income.

**Payoff:** Per the \*Interim Measures for Special Additional Deductions for Individual Income Tax\* (State Council [2018] No. 41), deductible items include children's education (from 1,000 yuan/month per child, raised to 2,000 yuan for multi-child/infant care from 2023), continuing education, serious-illness medical (self-paid over 15,000 yuan, capped at 80,000 yuan), first-home mortgage interest (1,000 yuan/month, up to 240 months), housing rent (800 – 1,500 yuan/month), and supporting elderly (2,000 – 3,000 yuan/month). For an only child + mortgage + 1 child, several thousand yuan a month is deductible, directly lowering taxable income; for the 10% – 20% bracket that's thousands of yuan saved a year. This is a zero-risk, certain "raise."

**Evidence grade:** C

**Sources:** State Council (2018). Notice on Issuing the Interim Measures for Special Additional Deductions for Individual Income Tax (State Council [2018] No. 41). <[https://www.gov.cn/zhengce/content/2018-12/22/content\\_5351181.htm](https://www.gov.cn/zhengce/content/2018-12/22/content_5351181.htm)>; State Taxation Administration (2025). Guide to Confirming Special Additional Deduction Info (from 2025 children's education / infant care 2,000, supporting elderly 3,000). <<https://news.cctv.cn/2025/12/01/ARTI08Iz1MzQJNdo4Q8eF1v251201.shtml>>

**Note:** Standards have been raised several times since 2019; follow the tax app's current-year wording; rent and mortgage interest can't be claimed together—choose the higher.

## 10. Index + IPO enhancement (A-shares)

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** The market-value base held to participate in IPOs (use a broad ETF; no need to overweight high-risk stocks).

**In plain terms:** You were going to buy the base anyway; IPO subscription is a free ride on the side. But don't overweight high-risk stocks to raise win odds—putting the cart before the horse.

**Payoff:** A-share IPO subscription has long been "low-threshold enhancement," but returns swing wildly with market-based issue pricing. Per China Securities Journal citing Wind: IPO break-par rate was 5.03% in 2020, 4.2% in 2021, 28.27% in 2022 (peak), 16.61% in 2023, about 3.2% in 2024; first-day average gain was 157% in 2021, 30.5% in 2022, 66.5% in 2023, about 105% in 2024. So 2022 was "winning a lot is catching a falling knife," while after 2023 break-par fell and the money effect returned. Subscription on a broad base still adds positive return, but it's no longer risk-free—pick, don't blind-subscribe.

**Evidence grade:** C

**Sources:** China Securities Journal (2024). IPO-ecosystem change: break-par rate falls to about 3%, first-day average gain doubles (Wind data). <<https://finance.sina.com.cn/stock/zqgd/2024-04-07/doc-inaqyxpu8470694.shtml>>; Sina Finance (2024). Dragon-Year new stocks average gain near 200%, none broke par (historical break-par rates). <<https://finance.sina.cn/2024-06-16/detail-inaywspq1335358.d.html>>

**Note:** [Contested] After break-par, "enhancement" becomes "drag"; under registration-based pricing the IPO edge converges. Subscribe mainly on market value, don't lever or concentrate holdings for it. The near-0 break-par in 2025 is a phase, not a steady state.

## 11. Use conditional orders / auto DCA instead of manual

Money: none | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** The time to set a DCA / conditional order once (then near-zero maintenance).

**In plain terms:** The biggest enemy of manual DCA is you (afraid to buy when down, want to chase when up). Set auto-debit / conditional orders and let the system execute—don't itch to touch.

**Payoff:** Behavioral economics proves the power of "default options." Madrian & Shea (2001) found that after 401(k) auto-enrollment, participation rose from 49% to 86%; Thaler & Benartzi's "Save More Tomorrow" plan lifted employees' saving rate from 3.5% all the way to 13.6% (after four raises). For retail, auto DCA turns "should I buy" into "the system already bought," dodging timing emotion; the SSA behavioral review and Nobel laureate Thaler both stress automation as the strongest nudge turning "good intentions" into "actual savings." Set it and stop watching daily—discipline is backstopped by the system.

**Evidence grade:** A

**Sources:** Madrian, B. C. & Shea, D. F. (2001). The Power of Suggestion: Inertia in 401(k) Participation and Savings Behavior. *Quarterly Journal of Economics* 116(4). <<https://www.jstor.org/stable/2696507>>; Thaler, R. H. & Benartzi, S. (2004). Save More Tomorrow™. *Journal of Political Economy* 112(S1), S164 – S187. <<https://www.nobelprize.org/prizes/economic-sciences/2017/thaler/159673-richard-thaler-interview-transcript>>; Social Security Administration (2010). Behavioral Economics and Retirement Savings. <<https://www.ssa.gov/policy/docs/ssb/v70n4/v70n4p1.html>>

**Note:** Auto doesn't mean "never adjust"; you can still raise the DCA amount yearly with income growth (mimic SMarT's auto-escalation).

## 12. Set a "rebalancing threshold," not timing

Money: none | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Set a deviation threshold (e.g.,  $\pm 5\%$  or once a year), write it into the plan.

**In plain terms:** Don't guess highs and lows—give the portfolio an "alarm": adjust back when it's off by 5%. It's the only "buy-low-sell-high" mechanism needing no prophecy ability.

**Payoff:** Same logic as Entry 2 but more emphasis on "rules." Vanguard (2015) empirically: monthly/quarterly/annual rebalancing show "no significant difference" in risk-adjusted return, while frequent rebalancing only adds cost; so use a "threshold trigger" (off target by 5%) rather than "calendar timing"—fewer useless trades, and the stock-bond ratio doesn't drift. Its essence is removing the "is it expensive now" question no one can answer, handing the decision to a set rule—assets that fell more get bought back, those that rose get sold, naturally selling high and buying low long-run, costing no willpower.

**Evidence grade:** B

**Sources:** Vanguard Institutional Research (2015). Best Practices for Portfolio Rebalancing (5% threshold, annual/semi-annual monitoring). <<https://www.vanguard.ca/documents/best-practices-for-portfolio-rebalancing.pdf>>; Vanguard (2019). Getting Back on Track: A Guide to Smart Rebalancing. <<https://personal.vanguard.com/pdf/ISGGBOT.pdf>>

**Note:** The threshold shouldn't be too narrow (e.g., 1% – 2%) or frequent trading wastes taxes; 5% or annual is the balance of cost and discipline for most.

### 13. Turn off real-time quotes / watch the screen less

Money: none | Time: none | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Turn off app push, delete the red/green self-selected alerts (zero money).

**In plain terms:** Eight of ten people who check their account ten times a day are losing (see Chapter 4 and Chapter 12 data). Turn off notifications, look once a quarter—your return may even be better.

**Payoff:** Screen-watching frequency correlates with trading frequency, and trading frequency eats returns (see Entry 4: the most active accounts earn about 7 points less a year). Barber & Odean (2000) and DALBAR QAIB (2024: investors lag the benchmark by 848 bps) point to the same conclusion—"the more you watch, the more you move, the more you lose." Multiple SSE yearbooks also show individual-investor returns fall as trading frequency rises. Turning off app notifications and setting a "quarterly review day" replaces willpower with environment design; information overload is the fuel of loss, and watching less is erring less.

**Evidence grade:** C

**Sources:** Barber, B. M. & Odean, T. (2000). Trading Is Hazardous to Your Wealth. *Journal of Finance* 55(2). <<https://faculty.haas.berkeley.edu/odean/papers%20current%20versions/behavior%20of%20individual%20investors.pdf>>; DALBAR (2025). Quantitative Analysis of Investor Behavior (QAIB) 2024. <<https://www.dalbar.com/press-release/investors-missed-the-best-of-2024s-market-gains-latest-dalbar-investor-behavior-report-finds/>>

**Note:** Watching less isn't "never reviewing"; do one disciplined check per the Entry 12 threshold each quarter/half-year, and let the system run the rest of the time.

## 14. Write the "sell rule" before buying

Money: none | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Before buying, write clearly "under what conditions to sell" (target price / thesis falsified / need cash).

**In plain terms:** Most people only plan "buy," not "sell," so they hold through dips and sell randomly on rallies. Write "when do I sell" before buying—it insures your future self.

**Payoff:** This is an application of "pre-commitment mechanism." World Bank WDR 2015 notes embedding decision rules "into the product/plan" (e.g., auto-execute, commitment accounts) significantly lifts saving and investing discipline; the SSA behavioral review also shows pre-written rules counter loss aversion and hindsight. Concrete practice: at purchase, record "buy price, logic, expected holding period, falsification condition, take-profit/stop-loss line" together. When price triggers, execute by rule—no panic on drops, no greed on rises—locking the "future emotional self" in the rule. It doesn't raise win rate, but steadily cuts the costliest error class: not selling when you should, selling what you should hold.

**Evidence grade:** C

**Sources:** World Bank (2015). World Development Report 2015, Chapter 6 "Household Finance" (commitment mechanisms / auto-execution). <<https://www.worldbank.org/content/dam/Worldbank/Publications/WDR/WDR%202015/Chapter-6.pdf>>; Social Security Administration (2010). Behavioral Economics and Retirement Savings Decisions.

<<https://www.ssa.gov/policy/docs/ssb/v70n4/v70n4p1.html>>

**Note:** Rules must be "operable, verifiable" (e.g., "sell only if it breaks XX and fundamentals change"); vague rules equal no rules; pair with the Entry 6 investment log for review.

**Negative-value moves — cross one off as it appears:**

- Core engine · low-cost long holding: broad-market index dollar-cost averaging (Entry 1), stock-bond mix and rebalancing (Entry 2), emergency fund (Entry 3), long holding low turnover (Entry 4);
- Human capital and cognition: invest in yourself (Entry 5), keep an investment log (Entry 6), insurance backstop (Entry 7);
- Institutional dividends · tax and accounts: compounding + tax-advantaged account (Entry 8), individual-income-tax special additional deductions (Entry 9), index + IPO enhancement (Entry 10);



- Behavior design · automation and discipline: auto DCA / conditional orders (Entry 11), rebalancing threshold (Entry 12), less screen-watching (Entry 13), sell rules (Entry 14).

## Chapter 8 VIII. Tax-Advantaged Accounts

---

Every yuan you legally save on taxes is a yuan earned net. This chapter covers only accounts and tax-advantaged moves that are clearly spelled out in policy and available to everyone—no gray areas. The nature of tax is that it re-slices your money at different stages and at different rates: hold assets at the "low-rate" stage, deploy within "pre-tax-deduction" limits, and the snowball of long-term compounding gets cut away far less. For ordinary people, the first principle of tax optimization isn't hunting for loopholes—it's using the concessions the state explicitly gives you to the full. They're usually zero-cost and low-risk; they just require you to "know and act."

One boundary needs to be stated up front: every conclusion in this chapter is based on China's current tax law and signed international tax treaties, and takes the "resident individual" as the main perspective. On matters like marriage, inheritance, and cross-border status, cases differ greatly; for entries flagged [disputed], defer to a professional lawyer or the competent tax authority—don't copy online templates. Tax policy also shifts year to year (e.g., special additional deduction thresholds, the private pension pilot scope), so make it a habit to check once before each annual reconciliation (settlement).

The entries below are grouped by theme (entry numbers in parentheses): tax-deferred pension accounts (Entries 1, 5, 9, 10); stocks and capital gains (Entries 2, 3); interest and various pre-tax deductions (Entries 6, 7, 8); family asset isolation and inheritance (Entries 4, 11, 12); cross-border tax-information exchange (Entry 13).

## 1. Private pension account: tax deferral

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self+family

**Cost:** Opening an account (a unique private pension fund account opened through a commercial bank) plus planning for the annual quota of at most 12,000 yuan, and generally you can't freely withdraw before retirement.

**In plain terms:** The higher your income, the more valuable the pre-tax deduction. This 12,000 yuan is a "tax-free investment quota" the policy gives you; not using it is the same as paying tax for nothing.

**Payoff:** The private pension account applies tax deferral across three stages—contribution, investment, and withdrawal. At contribution, up to 12,000 yuan per year is deducted in full from your comprehensive income or business income (Ministry of Finance and STA Announcement 2022 No. 34, Article 1); at the investment stage, earnings inside the account are not taxed for the time being; at withdrawal, the amount is not folded into comprehensive income but taxed separately at a 3% rate. For taxpayers in the 10%, 20%, or even higher marginal brackets, it's effectively moving principal taxed at a high rate to be taken out at a 3% rate. Rough estimate for someone in the 20% marginal bracket contributing 12,000 yuan/year, invested 30 years at 6% annualized: the account's principal plus interest is about 687,000 yuan after 30 years; without the tax break, the same principal under 20% taxation would pay hundreds of thousands more in tax, while the 3% withdrawal tax is only about 20,000 yuan—a substantial net saving. Nationwide rollout began in 2024 (Announcement 2024 No. 21).

**Evidence grade:** A

**Sources:** Ministry of Finance, State Taxation Administration (2022). Announcement on Individual Income Tax Policy Concerning Private Pension (Ministry of Finance & STA Announcement 2022 No. 34, Article 1).

<[https://szs.mof.gov.cn/zhengcefabu/202211/t20221104\\_3849838.htm](https://szs.mof.gov.cn/zhengcefabu/202211/t20221104_3849838.htm)>; General Office of the State Council (2022). Opinions on Promoting the Development of Private Pensions (Guo Ban Fa [2022] No. 7).

<[https://www.ndrc.gov.cn/fggz/jyysr/jysrbsxf/202205/t20220519\\_1324824.html](https://www.ndrc.gov.cn/fggz/jyysr/jysrbsxf/202205/t20220519_1324824.html)>; Ministry of Finance, State Taxation Administration (2024). Announcement on Implementing Private Pension Individual Income Tax Preferential Policy Nationwide (Ministry of Finance & STA Announcement 2024 No. 21).

<[https://shaanxi.chinatax.gov.cn/art/2024/12/20/art\\_33494\\_629720.html](https://shaanxi.chinatax.gov.cn/art/2024/12/20/art_33494_629720.html)>

**Note:** Applies only to workers participating in basic pension insurance within China; withdrawal conditions include reaching retirement age, complete loss of working capacity, or settling abroad; the contribution deduction certificate is issued by the private pension information management service platform; early withdrawal is subject not only to the 3% tax but also to account-rule restrictions.

## 2. Differential dividend tax: tax-free if held long term

Money: none | Time: none | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Holding stocks/funds for a full year (not selling), and they must be stocks of a listed company acquired on a "public issuance and transfer market."

**In plain terms:** Reinvesting dividends plus "holding a full year" makes the dividend end nearly tax-free. Flipping dividend stocks short-term gets you taxed instead—not worth it.

**Payoff:** Dividends from stocks held over one year are exempt from individual income tax; holdings of one month or less (inclusive) are counted in full and taxed at 20%; holdings over one month up to one year (inclusive) are counted at 50% and uniformly taxed at 20% (Caishui [2015] No. 101, Article 1). Example: 100,000 yuan principal at a 3% annual dividend yield = 3,000 yuan in annual dividends—sell in under a month and you pay 20% = 600 yuan; hold a full year and you pay 0. Long-term holdings of quality dividend stocks make the dividend end nearly tax-free, and combined with reinvested compounding it's the easiest after-tax boost for ordinary people. The "holding period" is calculated continuously on a first-in-first-out basis, from purchase to the day before sale.

**Evidence grade:** A

**Sources:** Ministry of Finance, State Taxation Administration, CSRC (2015). Notice on the Differentiated Individual Income Tax Policy for Listed-Company Dividends (Caishui [2015] No. 101, Article 1). <<https://www.chinatax.gov.cn/chinatax/n810341/n810765/n1465977/201510/c1967339/content.html>>; State Taxation Administration 12366 (2015). How Individual Dividends from Listed Companies Are Taxed.

<<https://12366.chinatax.gov.cn/sscx/detail?code=0000000002013050300023>>

**Note:** Applies to SSE/SZSE listed stocks and NEEQ-listed companies; dividends passed through to individuals via limited partnerships or contractual funds may not qualify for the differential treatment; the record date must be after September 8, 2015 for this notice to apply.

### 3. Capital gains: A-shares temporarily exempt—but don't trade just for that

Money: none | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** A bit of knowledge about the tax system, plus the discipline to curb frequent trading.

**In plain terms:** A-share capital gains being tax-free is the current state, but don't make meaningless frequent trades just to "avoid tax"—friction and timing losses far outweigh the tax. Tax isn't the main reason you lose money; itchy hands are.

**Payoff:** Gains from individuals transferring SSE/SZSE listed stocks have remained temporarily exempt from individual income tax since January 1, 1997 (Caishuizi [1998] No. 61); the buy-sell spread on publicly offered fund units is also in the tax-exempt scope. Compare the U.S.: short-term capital gains are taxed at ordinary income rates (up to 37%), while long-term (held over one year) capital gains fall in three brackets of 0%/15%/20% (IRS Topic 409). A-share price-difference tax exemption is a real institutional dividend, but trading still incurs securities transaction stamp duty (currently 0.05% on the seller side only, halved since August 28, 2023) and broker commissions—the frictional cost of frequent trading far exceeds the capital-gains tax that wasn't levied in the first place.

**Evidence grade:** A

**Sources:** Ministry of Finance, State Taxation Administration (1998). Notice on Continued Temporary Exemption of Individual Income Tax on Gains from Transferring Stocks (Caishuizi [1998] No. 61).

<<https://shanghai.chinatax.gov.cn/zcfw/zcfgk/grsds/200402/t288650.html>>; Internal Revenue Service (2025). Topic no. 409, Capital gains and losses.

<<https://www.irs.gov/taxtopics/tc409>>

**Note:** Only gains from transferring "listed-company stocks" are temporarily exempt; restricted-share transfers have been taxed at 20% since 2009 (Caishui [2009] No. 167); overseas-market stocks follow the host country's tax law, and U.S. long-term capital gains may still hit the additional 3.8% net investment income tax.

## 4. Family asset isolation and pre-marital property

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: family

**Cost:** A bit of legal and account planning (separate accounts, transfer notes, written agreements), and consulting a lawyer when needed.

**In plain terms:** Keep investment accounts and liability accounts as separate as possible, and leave a paper trail for large assets (transfer notes, agreements). This isn't scheming—it's putting a firewall around the family's assets.

**Payoff:** Article 1063 of the Civil Code clearly states that one party's pre-marital property is that party's separate property; Article 1065 allows both spouses to agree in writing that income during marriage and pre-marital property belong separately, jointly, or partly separately to each, legally binding on both (to assert against a third party, the counterparty must have knowledge). Through separate accounts, transfer notes, and evidence of gifts/pre-marital agreements, you lower the risk that marital breakup or personal debt spills over and pierces your investment principal. Example: stocks or funds bought with a personal card before marriage and held long term—if that account is isolated from the post-marriage salary card and the source of funds is clear, they're easier to define as separate property in a divorce.

**Evidence grade:** B

**Sources:** Standing Committee of the National People's Congress (2020). Civil Code of the People's Republic of China (Articles 1063, 1065).

<[https://www.spp.gov.cn/spp/ssmfdyflvdtpgz/202008/t20200831\\_478417.shtml](https://www.spp.gov.cn/spp/ssmfdyflvdtpgz/202008/t20200831_478417.shtml)>; Department of Justice of Xinjiang Uygur Autonomous Region (2022). Compilation and interpretation of Civil Code "couple property" provisions. <<https://sft.xinjiang.gov.cn/xjsft/fzsj/202209/9abcedfd9fab4b1cb36820233a7e6ebe.shtml>>

**Note:** [disputed] specific arrangements involve emotions and individual cases—consult a professional lawyer rather than copying online templates; post-marriage "income from production, business, or investment" may be deemed community property, and the isolation effect requires proof tied to fund flows—signing an agreement doesn't settle everything.

## 5. Private pension withdrawal taxed at 3%

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self+family

**Cost:** Understanding the "deferred contribution, 3% at withdrawal" rule, opening the unique fund account, and keeping certificates until retirement.

**In plain terms:** The private pension isn't "fully tax-free"—it's "pay later, pay less." At withdrawal you pay only 3%, lower than most people's marginal rate; the higher your income, the more it pays off.

**Payoff:** The private pension isn't fully tax-free but "deferred payment, low-rate payment." The contribution and investment stages defer individual income tax, and at withdrawal you pay 3% separately, not folded into comprehensive income (2022 No. 34 Article 1; 2024 No. 21 nationwide). It pays off for anyone in the 10% or higher comprehensive-income marginal bracket: at a 20% marginal rate, every 12,000 yuan contributed saves 2,000 yuan in tax upfront and pays only 360 yuan at withdrawal—a net saving of about 1,640 yuan/year, still substantial after 30-year discounting; even low-income earners exactly at the 3% marginal rate gain slightly from tax-free compounding during the investment period, just a smaller saving.

**Evidence grade:** A

**Sources:** Ministry of Finance, State Taxation Administration (2022). Announcement on Individual Income Tax Policy Concerning Private Pension (Ministry of Finance & STA Announcement 2022 No. 34, Article 1).

<[https://szs.mof.gov.cn/zhengcefabu/202211/t20221104\\_3849838.htm](https://szs.mof.gov.cn/zhengcefabu/202211/t20221104_3849838.htm)>; Ministry of Finance, State Taxation Administration (2024). Announcement on Implementing Private Pension Individual Income Tax Preferential Policy Nationwide (Ministry of Finance & STA Announcement 2024 No. 21).

<[https://shaanxi.chinatax.gov.cn/art/2024/12/20/art\\_33494\\_629720.html](https://shaanxi.chinatax.gov.cn/art/2024/12/20/art_33494_629720.html)>

**Note:** 2024 No. 21 expanded the pilot nationwide; withdrawal is withheld by the commercial bank that opened the fund account; you can withdraw only upon reaching basic-pension age and other conditions, the method once chosen cannot be changed, and upon death the account assets are inheritable.

## 6. Treasury and local-government bond interest is tax-free

Money: little | Time: none | Willpower: no | Payoff: mid | Scope: money | Impact: self

**Cost:** Zero. You only need to prioritize identifying "treasury bonds / local government bonds" rather than taxable fixed income when allocating steady funds.

**In plain terms:** Same 3% interest—deposit interest is temporarily exempt but the logic holds, and treasury-bond interest isn't taxed a cent. For large steady funds, the treasury bond's "after-tax advantage" is real money.

**Payoff:** Article 4(2) of the Individual Income Tax Law exempts interest on treasury bonds and state-issued financial bonds from individual income tax; Article 3 generally taxes interest, dividends, and bonuses at a 20% proportional rate. At the same 3% nominal yield: 1,000,000 yuan in a 3% tax-free treasury bond yields 30,000 yuan/year kept in full; switch to an ordinary interest-bearing asset taxed at 20% and you net only 24,000 yuan—an after-tax gap of 6,000 yuan/year. Local government bond interest is likewise exempt and often carries a higher coupon than same-term treasury bonds; for high-tax-rate, stability-seeking large funds, the after-tax advantage grows with principal.

**Evidence grade:** A

**Sources:** Standing Committee of the National People's Congress (2018). Individual Income Tax Law of the People's Republic of China (Articles 4, 3).

<[https://sichuan.chinatax.gov.cn/art/2018/10/30/art\\_2683\\_100535.html](https://sichuan.chinatax.gov.cn/art/2018/10/30/art_2683_100535.html)>

**Note:** Only "state-issued financial bonds" are exempt, with scope per the Ministry of Finance's issuance criteria; interest on corporate bonds, private placement bonds, and non-standard fixed income is still taxed at 20%—don't conflate them when allocating.



## 7. Tax-preference health insurance: pre-tax deduction quota

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self+family

**Cost:** Within the annual pre-tax deduction quota of at most 2,400 yuan, allocate to designated health insurance and confirm the policy carries a "tax-preference identification code."

**In plain terms:** A 2,400 yuan annual quota—buying designated health insurance offsets tax. The quota is small, but you get "protection + tax saving" together; it's a no-loss add-on.

**Payoff:** Individuals who buy qualifying commercial health insurance can deduct the expense before calculating taxable income, capped at 2,400 yuan/year (200 yuan/month), an extra deduction beyond the standard expense threshold of the Individual Income Tax Law (Caishui [2017] No. 39, Article 1). At a 10% marginal rate you save 240 yuan/year, at 20% save 480 yuan, at 45% save 1,080 yuan—small quota but "protection + tax saving" combined. From 2023 the products expanded to medical insurance, long-term care insurance, and critical-illness insurance (Jingui [2023] No. 2); the insured is not limited to oneself and can be spouse, children, or parents.

**Evidence grade:** A

**Sources:** Ministry of Finance, State Taxation Administration, China Insurance Regulatory Commission (2017). Notice on Extending the Pilot Individual Income Tax Policy for Commercial Health Insurance Nationwide (Caishui [2017] No. 39, Article 1).

<<https://12366.chinatax.gov.cn/fwtz/print?bh=0000000002015072800012&iszs=1>>; Shanghai Municipal Tax Service, STA (2017). Notice on Extending the Pilot Individual Income Tax Policy for Commercial Health Insurance Nationwide (Caishui [2017] No. 39, full text). <<https://shanghai.chinatax.gov.cn/gate/big5/shanghai.chinatax.gov.cn/zcfw/zcfgk/grsds/201705/t432115.html>>

**Note:** The policy must carry a "tax-preference identification code" (STA Announcement 2017 No. 17)—no code, no deduction; unit-purchased policies are treated as individual purchases within the limit; premiums over 2,400 yuan in a year aren't deductible; on surrender you must promptly inform the withholding unit.

## 8. Special additional deductions: deductions everyone can use

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self+family

**Cost:** Fill in child education, mortgage interest, elderly support, etc. in the individual income tax app, and check once before each annual reconciliation.

**In plain terms:** These deductions cost you no extra money—just fill out a form. Don't fill it and you pay tax for nothing. Check it every year before reconciliation.

**Payoff:** The standard (Guofa [2018] No. 41): child education 1,000 yuan/month per child (parents may split 500 each); continuing-education degree 400 yuan/month (max 48 months) or 3,600 yuan in the year of certification; serious-illness medical self-paid portion over 15,000 yuan deducted as actual within an 80,000 yuan cap; first-home mortgage interest 1,000 yuan/month (max 240 months); housing rent 800/1,100/1,500 yuan/month by city tier; elderly support 2,000 yuan/month for only children, non-only children share capped at 1,000 yuan/month each. For a dual-income household + 1 child + mortgage + elderly support, annual deductions can reach  $(1,000+1,000+2,000) \times 12 = 48,000$  yuan; at a 20% marginal rate that's 9,600 yuan/year saved—pure tax reduction at zero cost.

**Evidence grade:** A

**Sources:** State Council (2018). Interim Measures for Special Additional Deductions for Individual Income Tax (Guofa [2018] No. 41).

<[https://www.gov.cn/xinwen/2018-12/22/content\\_5351198.htm](https://www.gov.cn/xinwen/2018-12/22/content_5351198.htm)>; Chinese Government Website (2018). The Measures clarify six special additional deductions (interpretation). <[https://www.gov.cn/xinwen/2018-12/24/content\\_5351641.htm](https://www.gov.cn/xinwen/2018-12/24/content_5351641.htm)>

**Note:** Standards took effect January 1, 2019 and may later adjust with livelihood spending; housing rent and first-home mortgage interest can't be claimed together; the information is shared and verified by education, medical-insurance, and housing departments, and false filings carry credit and legal risks.

## 9. Enterprise / occupational annuity: don't miss the second pillar

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self+family

**Cost:** Confirm whether your employer has set up an annuity and your personal contribution ratio, and learn the transfer-and-continuation rules when you leave.

**In plain terms:** Don't overlook an employer annuity—it's "forced saving + tax preference" on top of your salary; when you leave, understand the transfer-and-continuation rules.

**Payoff:** If the employer sets up an annuity, the employer's contribution into your personal account isn't taxed at the time; your personal contribution within 4% of your contribution-wage tax base is deducted from current taxable income; and earnings distributed to your personal account from fund investment operations aren't taxed for the time being (Caishui [2013] No. 103, Articles 1 – 2). This is "forced saving + tax deferral" beyond your salary, with sizable long-run roll-up. Example: monthly salary 20,000 yuan, annual contribution-wage base 240,000 yuan, personal 4% = 9,600 yuan deductible pre-tax, with employer matching also deferred; at 5% annualized over 20 years the account can reach several hundred thousand yuan, growing tax-free throughout.

**Evidence grade:** A

**Sources:** Ministry of Finance, Ministry of Human Resources and Social Security, State Taxation Administration (2013). Notice on Individual Income Tax Issues Concerning Enterprise and Occupational Annuities (Caishui [2013] No. 103, Articles 1 – 2). <<https://shanghai.chinatax.gov.cn/gate/big5/shanghai.chinatax.gov.cn/zcfw/zcfgk/grds/201312/t405472.html>>

**Note:** Items 1 and 3 of Article 3 of Caishui [2013] No. 103 have been repealed (bridged by Caishui [2018] No. 164); at withdrawal it's taxed at the "wages and salaries" rate; applies only where the employer has established an annuity—individuals can't enroll on their own.

## 10. Products you can hold in a private pension: favor low-fee index

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self+family

**Cost:** When picking products inside the account, prioritize low fees, broad-market, and long-term holding; avoid chasing high-fee active products.

**In plain terms:** Don't buy recklessly just because you're in a pension account. The tax break belongs to the account, but product fees you still must pick the low tier yourself—otherwise the tax saving gets eaten by fees.

**Payoff:** Within the account you can invest in savings deposits, wealth-management products, commercial pension insurance, publicly offered funds, etc. (Guo Ban Fa [2022] No. 7), but fee differences inside are huge: actively managed equity funds often charge 1.5%+ in annual management plus custody fees, while broad-market index ETFs charge only about 0.2%. At an average account value of 100,000 yuan, held 20 years, with a 1.3% fee gap, fees alone erode about  $100,000 \times [(1+0.013)^{20} - 1] \approx 29,600$  yuan—enough to cancel the tax benefit from the 12,000 yuan annual contribution. Conclusion: prioritize low-fee, broad-market, long-term index or target-date products; don't let "fees" eat "taxes."

**Evidence grade:** B

**Sources:** General Office of the State Council (2022). Opinions on Promoting the Development of Private Pensions (Guo Ban Fa [2022] No. 7, investment-scope clauses).

<[https://www.ndrc.gov.cn/fggz/jyysr/jysrsbxf/202205/t20220519\\_1324824.html](https://www.ndrc.gov.cn/fggz/jyysr/jysrsbxf/202205/t20220519_1324824.html)>; Ministry of Finance, State Taxation Administration (2022). Announcement on Individual Income Tax Policy Concerning Private Pension (Ministry of Finance & STA Announcement 2022 No. 34).

<[https://szs.mof.gov.cn/zhengcefabu/202211/t20221104\\_3849838.htm](https://szs.mof.gov.cn/zhengcefabu/202211/t20221104_3849838.htm)>

**Note:** Product risk is borne by the individual; low fees don't mean low risk—match your risk tolerance and years to retirement; as retirement nears, gradually reduce equity exposure.

## 11. Charitable donations can offset tax—but don't donate just for that

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Donate through a qualified public-welfare social organization or a county-level-or-above government, and obtain and keep the donation receipt for 5 years.

**In plain terms:** If you were going to donate anyway, use compliant channels and keep the receipt to offset tax; forcing a donation just to get a deduction doesn't pay. The order is always "decide whether to donate first, then how to deduct."

**Payoff:** Individuals who donate through domestic public-welfare organizations or county-level-or-above governments to education, poverty alleviation, hardship relief, and other charitable causes can deduct the portion of donations not exceeding 30% of taxable income; where the State Council prescribes full deduction (e.g., specific public-welfare foundations), follow that (Individual Income Tax Law Article 6; Ministry of Finance & STA Announcement 2019 No. 99). Example: annual comprehensive-income taxable income of 500,000 yuan, donating 150,000 yuan (exactly 30%) is fully deductible; at a 45% marginal rate you save 67,500 yuan, at 20% you save 30,000 yuan. The deduction base is the taxable income "before deducting the donation."

**Evidence grade:** A

**Sources:** Ministry of Finance, State Taxation Administration (2019). Announcement on Individual Income Tax Policy for Public-Welfare and Charitable Donations (Ministry of Finance & STA Announcement 2019 No. 99, Articles 2 – 3). <<https://www.chinatax.gov.cn/chinatax/n810341/n810765/c101653/202001/c5149328/content.html>>; Standing Committee of the National People's Congress (2018). Individual Income Tax Law of the People's Republic of China (Article 6). <[https://sichuan.chinatax.gov.cn/art/2018/10/30/art\\_2683\\_100535.html](https://sichuan.chinatax.gov.cn/art/2018/10/30/art_2683_100535.html)>

**Note:** Donations of equity/real estate are valued at original property value; donations via unqualified platforms (e.g., personal fundraising links) or non-public-welfare earmarked donations aren't deductible; resident individuals may choose the deduction order among comprehensive, classified, and business income.

## 12. Inheritance and gift tax boundaries: no estate tax yet

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: family

**Cost:** Understand the current rules, don't fall for "estate tax is coming" anxiety marketing, and calculate deed tax and stamp duty clearly before transfer.

**In plain terms:** Don't be scared by "transfer now to avoid estate tax"—there's no estate tax in China yet. But property gifts/inheritance still carry transaction taxes and fees; calculate the cost before transfer.

**Payoff:** China currently levies no estate tax or gift tax; statutory heirs inheriting real estate or vehicles pay no estate tax (12348 Qinghai Legal Net; Deed Tax Law Article 6 exempts statutory heirs from deed tax on inherited land and housing). But transfers still incur real taxes and fees: non-statutory heirs receiving bequests pay deed tax as a gift (3% – 5%, 3% in some cities); inherited/gifted property pays stamp duty on the property-transfer document (0.05%); if inherited property is later resold and doesn't meet "five-years-and-only-home," individual income tax may be 20% on the gain or 1% on the full amount (12366). So what you really must calculate clearly are deed tax, stamp duty, and the future resale's individual income tax cost.

**Evidence grade:** B

**Sources:** Qinghai Public Legal Services (2025). Inheriting parents' cars and houses (tax FAQ).

<[https://qh.12348.gov.cn/pub/qhfw/zxfw/dhal/202507/t20250715\\_126642.html](https://qh.12348.gov.cn/pub/qhfw/zxfw/dhal/202507/t20250715_126642.html)>; State Taxation Administration 12366 (consultation). Taxes involved in property inheritance and gifting. <<https://12366.chinatax.gov.cn/nszx/onlinemessage/detail?id=9c81be77b91c494399e7470f4adbe3e4>>

**Note:** The "five-years-and-only-home" exemption from individual income tax on resale is a key planning point; local deed-tax and stamp-duty details follow the local tax authority, and the online "20% estate tax" claim has no legal basis.

### 13. Overseas financial assets and CRS information exchange

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** When opening an overseas account, truthfully fill in the "tax resident status declaration," and understand your CRS reporting obligations.

**In plain terms:** Hiding money in an overseas account to dodge tax is basically no longer realistic. CRS makes tax info flow between countries; compliant reporting is the only right path.

**Payoff:** CRS (Common Reporting Standard) was released by the OECD in 2014; China committed to it in 2014, implemented the Measures for the Administration of Due Diligence on Non-Resident Financial Account Tax-Related Information in 2017 (STA Announcement 2017 No. 14), and began exchanging with over 100 jurisdictions in September 2018. Financial institutions annually identify non-resident accounts and report balances, interest, dividends, and financial-asset sale proceeds, automatically exchanging them to the tax-resident country. As of April 2025, 170 jurisdictions worldwide have committed and China has 123 exchange partners (STA English site). This means using overseas accounts to hide assets and dodge tax is essentially no longer feasible; meanwhile "tax residency" is based on residency traces, not merely passport nationality.

**Evidence grade:** A

**Sources:** State Taxation Administration, Ministry of Finance, People's Bank of China, CBRC, CSRC, CIRC (2017). Announcement on Issuing the Measures for the Administration of Due Diligence on Non-Resident Financial Account Tax-Related Information (STA Announcement 2017 No. 14). <<https://www.chinatax.gov.cn/chinatax/n810214/c102374/c102377/c102378/c2990907/content.html>>; State Taxation Administration (English site). China's Exchange of Information Network / CRS Implementation.

<<https://www.chinatax.gov.cn/eng/c101270/c101275/c5157937/content.html>>

**Note:** In China's version of CRS the reporting entity is the financial institution, not the individual; "tax resident" ≠ nationality—the 183-day rule etc. are in the Individual Income Tax Law and tax treaties; deliberately hiding identity or assets may trigger anti-avoidance and legal liability, so always report truthfully in cross-border investing.

## Chapter 9 IX. Life Stages

---

Investing isn't a one-size-fits-all recipe; it's a route that shifts with age, responsibilities, and cash flow. The risk a person can bear at 25 and at 55 is worlds apart: when young, your biggest asset is the present value of decades of future wages (human capital), and time is enough to smooth out market swings, so you should tilt toward equities; later, human capital is exhausted and you're near or in the withdrawal phase, so you should gradually trade volatility for certainty. Academia calls this "life-cycle investing"; the most popular simplified version in practice is the "100 minus your age" rule—subtract your age from 100 to get the rough share of equities in your portfolio.

But age is only the first axis. Real family financial resilience also depends on the "responsibility structure": single or dual income, kids or not, self-employed or not, in a remarriage/blended family or not. The heavier the responsibility and the less stable the income, the thicker the emergency fund, the more complete the insurance, and the earlier the education fund should be isolated. At any life stage, one order can never be reversed—secure the base first (emergency fund, protection, risk-free buffer), then attack (equities, long-term compounding). This guide treats "secure the base first, then attack" as the underlying logic of all its entries.

The reality of Chinese households also patches this route. The People's Bank of China's 2023 urban depositor survey shows the top three favored investment methods are still "bank/securities/insurance wealth-management products" (43.8%), "funds and trusts" (20.4%), and "stocks" (15.2%); the Chinese Academy of Social Sciences estimates that in 2023 about 62% of household financial assets were cash and deposits and only about 9.4% were stocks. In other words, most households don't have "too much equity"—they broadly under-allocate to equities and pension savings while overloading real estate and deposits. So while this chapter cites international rules of thumb, it repeatedly reminds: for most Chinese households the real gap to fill is the "long-term equities + private pension" shortfall, not blindly leveraging up for yield.

The entries below are grouped by theme (entry numbers in parentheses): age-stage line (Entries 1 – 4: ages 20 – 35, 35 – 55, 55 – 65, post-retirement); family-structure variants (Entries 5, 8 – 12: single-income, single-no-kids, with kids, dual-income, self-employed, remarriage/blended); cross-stage themes (Entries 6, 7, 13: financial literacy inheritance, emergency fund, longevity risk).



## 1. Young (20 – 35): high equity share + pour into human capital

Money: little | Time: some | Willpower: much | Payoff: mid | Scope: money | Impact: self+family

**Cost:** Put your time and energy into your main job's skills and career compounding, not watching the tape and trading short-term; use monthly fixed savings for regular investing, not consumer spending.

**In plain terms:** When young you can afford to lose time—don't fear volatility yet. Your biggest asset now is yourself—decades of future earning power, not the few tens of thousands of yuan in your account. Ramp up equity share and harden your skills; that matters ten times more than researching which fund rises fastest.

**Payoff:** For the young, "total wealth" = financial assets + human capital, where human capital (present value of future wages) is the largest share and can self-insure via working more and retiring later; so the theoretical optimum is to put a high share (about 70% – 90%) of financial wealth into equities, using a 30 – 50 year horizon to absorb swings and earn the equity risk premium. By the "100 minus your age" rule, 25 gives 75% equities, 35 gives 65%. The compounding gap is enormous: start monthly investing of 2,000 yuan at age 25 at 7% annualized and you accumulate about 3.8 million yuan by 60 (nominal); start the same amount at 35 and you get only about 1.8 million—the missing 2 million comes almost entirely from "a ten-year-later compounding start," not from return differences.

**Evidence grade:** A

**Sources:** Federal Reserve Bank of Boston (2007). The Theory of Life-Cycle Saving and Investing (working paper, systematically citing the Bodie, Merton & Samuelson 1992 life-cycle model). <[https://www.bostonfed.org/-/media/Documents/Working\\_papers/PDF/ppdp0703.pdf](https://www.bostonfed.org/-/media/Documents/Working_papers/PDF/ppdp0703.pdf)>; Pomegra (no date). The 100-Minus-Age Heuristic (origin and logic of the "100 minus your age" rule). <<https://pomegra.io/learn/library/track-c-strategies/first-portfolio/chapter-03-asset-allocation-the-most-important-decision/the-100-minus-age-heuristic>>

**Note:** The model assumes human capital is "bond-like" (low risk). If your income is itself strongly correlated with the stock market (e.g., finance or real-estate workers), your optimal equity share should be below the rule's value—see Entry 11; graded A rests on mature academic consensus, but the proportions are experience ranges, not precise prescriptions.

## 2. Middle age (35 – 55): allocation + insurance + education fund

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: family

**Cost:** Regular premiums (life/critical-illness/medical/accident insurance), a child's education-fund regular investing, and the time/energy for annual rebalancing and policy review.

**In plain terms:** At this stage you're not alone—you're the family's defense line. Drop equity share by the "100 minus your age" rule to about 45% – 65% (65% at 35, 45% at 55), buy complete insurance, and isolate the child's education fund separately. Stop going all-in on a single bet; when responsibility is heaviest, what you fear most is one loss wiping out all.

**Payoff:** Ages 35 – 55 are the peak of family responsibility (mortgage, children, elderly support stacked together); replacing the young single high-equity tilt with a steady "equities + bonds + protection" mix sharply lowers the odds that "unemployment + illness + bear market" simultaneously pierce your cash flow. Here insurance is not a return tool but a "stop-loss line": a term-life policy can leverage thousands of yuan in annual premium into a million-level death benefit, sparing the family from being forced to sell assets at the bottom after the breadwinner falls. The education fund, via a separate account's regular investing, spreads a rigid 15 – 20-year-ahead expense forward across time, avoiding a bear market exactly at the due year.

**Evidence grade:** B

**Sources:** Federal Reserve Bank of Boston (2007). The Theory of Life-Cycle Saving and Investing. <<https://www.bostonfed.org/-/media/Documents/Workingpapers/PDF/ppdp0703.pdf>>; Survey and Statistics Department, People's Bank of China (2023). 2023 Q2 Urban Depositor Survey Report (residents' top planned increased spending in three months: "education" at 27.1%). <<https://finance.people.com.cn/n1/2023/0629/c1004-40024314.html>>

**Note:** The exact equity share should float  $\pm 10$  percentage points with income stability and risk appetite (stable civil-service pay can be slightly higher, volatile income lower); graded B because the proportions are rules of thumb lacking a strict empirical optimum for Chinese households. Cross-reference: Entries 5, 9, 10.

### 3. Approaching retirement (55 – 65): lower volatility year by year

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self+family

**Cost:** Actively give up the last stretch of upside, and over 5 – 10 years shift the portfolio gradually from equities to bonds/deposits/annuities.

**In plain terms:** Near retirement the worst fear is "getting trapped right at the finish line." Ten years ahead, slowly swap stocks for bonds—trade time for safety; don't gamble the last leg. What you want is a retirement income you can reliably draw, not inflated paper gains in the account.

**Payoff:** Use a 5 – 10 year glide path to smoothly lower equity share from about 45% to 30% – 40%, dodging the fatal drawdown of "a bear market the year before retirement." Both academia and product practice support this: the target-date fund (TDF) is the classic standardized product that "auto-lowers volatility with age," and its glide path typically keeps 35% – 50% equities at retirement to hedge longevity and inflation. Conversely, if at 60 you're still fully in equities and the next year brings a 2008-style – 40% drawdown, retirement principal shrinks 40% at once, with no wages left to fall back on and a very short recovery window.

**Evidence grade:** A

**Sources:** Federal Reserve Bank of Boston (2007). The Theory of Life-Cycle Saving and Investing (life-cycle risk-reduction path). <<https://www.bostonfed.org/-/media/Documents/Workingpapers/PDF/ppdp0703.pdf>>; Pomegra (no date). The 100-Minus-Age Rule (glide path vs. target-date funds). <<https://pomegra.io/learn/library/track-c-strategies/passive-investing/chapter-12-asset-allocation-glide-paths/07-100-minus-age-rule>>

**Note:** If pensions (social security + enterprise/private pension) already cover basic living, you can keep higher equities to fight inflation; graded A rests on life-cycle theory and TDF evidence, but the glide pace needs personal adjustment by pension replacement rate.

#### 4. Post-retirement: cash flow first

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Accept some return certainty—replace high-volatility equity positions with bond interest, dividends, annuities, and social security.

**In plain terms:** After retirement the account is an ATM, not a casino. Keep 1 – 2 years of living expenses in a money-market fund/deposit for instant access; cover the rest with cash flow (dividends, bond coupons, annuities, pensions). Never cut positions at a market low to pull cash.

**Payoff:** The crux of a retirement portfolio is the "sustainable withdrawal rate." Bengen (1994), backtesting 1926 – 1992 U.S. stock data, proposed the "4% rule": withdraw 4% of portfolio value in the first retirement year, then raise it with inflation each year; it never failed across 30-year retirements, implying "you need 25 times annual spending at retirement." The Financial Planning Association's 2023 recalculation using bond indices still put SAFEMAX near 4.5%. In other words, with 120,000 yuan annual spending you need about 3 million yuan in investable assets to last 30 years. Keeping a 1 – 2 year cash buffer avoids being forced to sell stocks cheap in the bear market's first year, triggering a principal spiral.

**Evidence grade:** A

**Sources:** Bengen, W. (1994). Determining Withdrawal Rates Using Historical Data, *Journal of Financial Planning* (the 4% rule original; author's own recap). <<https://www.bengenfs.com/the-4-percent-rule/>>; Financial Planning Association (2023). Revisiting William Bengen's 'SAFEMAX' Portfolio Withdrawal Rate (SAFEMAX about 4.5%). <<https://www.financialplanningassociation.org/learning/publications/journal/NOV23-revisiting-william-bengens-safemax-portfolio-withdrawal-rate-OPEN>>

**Note:** The 4% rule is based on U.S. history and ignores taxes/fees and medical inflation; China's risk-free rate is lower and out-of-pocket medical share higher, so the real safe withdrawal rate may be below 4%—supplement with social security and commercial pension insurance. See Entry 13.

## 5. Single-income household: secure the breadwinner before returns

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: family

**Cost:** First equip the earner with complete term life, critical-illness, medical, and accident insurance; premiums take a small slice of the family budget.

**In plain terms:** When the whole family's income rides on one person, secure that person first. Don't put the cart before the horse by buying kids a pile of savings-insurance while the breadwinner runs naked—if the breadwinner falls, you may not even afford the kids' savings-insurance premiums.

**Payoff:** A single-income household has no "second paycheck" to fall back on; once the breadwinner dies or is disabled, family cash flow drops to zero instantly and the portfolio must be liquidated at the bottom. A term-life policy with thousands of yuan in annual premium can leverage a million-level death benefit, transferring the tail risk of "income interruption" to the insurer. The iron rule of coverage order: the earner before the non-earner, protection-type before savings-type. The PBOC's 2023 survey shows residents still favor wealth-management (43.8%) far above insurance (13%)—precisely the pit single-income households most easily fall into: "heavy on yield, light on protection."

**Evidence grade:** B

**Sources:** Survey and Statistics Department, People's Bank of China (2023). 2023 Q2 Urban Depositor Survey Report (insurance only 13.0% of planned increased spending). <<https://finance.people.com.cn/n1/2023/0629/c1004-40024314.html>>; U.S. Consumer Financial Protection Bureau (no date). An essential guide to building an emergency fund (household financial resilience principles). <<https://www.consumerfinance.gov/an-essential-guide-to-building-an-emergency-fund/>>

**Note:** Graded B because insurance priority is general financial-planning common sense rather than strict empirical research; recommended coverage is 5 – 10 times annual income plus outstanding mortgage. Cross-reference: Entries 7, 11.

## 6. Raising children: financial independence before wealth inheritance

Money: little | Time: some | Willpower: much | Payoff: mid | Scope: money | Impact: family

**Cost:** Invest time and energy in building the child's independent earning ability, money management, and scam-awareness—not just saving money.

**In plain terms:** Leaving skills beats leaving money. Teaching a child "where money comes from, how not to be scammed, how compounding rolls" protects them for life more than handing them an apartment. A child who can earn and understands compounding is harder to fleece and more resilient than one who passively inherits.

**Payoff:** From a human-capital view, parents' biggest "investment" in a child is education and financial literacy, not inheritance. Surveys like CHFS show Chinese household assets are heavily concentrated in real estate and deposits with uneven financial literacy, and many "rich second-generation" rapidly shrink their wealth after inheriting due to weak independent earning and risk-control ability. By contrast, children with compounding awareness and career competitiveness have a far higher present value of lifetime income than a one-time inheritance. Behavioral-finance research also shows savings and budgeting habits formed early significantly persist into adulthood, lowering the chance of later debt traps.

**Evidence grade:** C

**Sources:** Survey and Research Center for China Household Finance, Southwestern University of Finance and Economics (2023). China Household Finance Survey Report (bank deposits 57.75%, stocks 15.45% of household financial assets, concentrated allocation). <<https://www.sgpjbg.com.cn/searchtag/25973332.html>>; Federal Reserve Bank of Boston (2007). The Theory of Life-Cycle Saving and Investing (intergenerational human-capital perspective). <<https://www.bostonfed.org/-/media/Documents/Workingpapers/PDF/ppdp0703.pdf>>

**Note:** Graded C because "financial-literacy inheritance" lacks quantifiable hard evidence like the 4% rule, being more an inference from behavioral economics and intergenerational-mobility research; it complements Entry 9's education-fund planning—give money and teach ability.

## 7. Emergency fund adjusts dynamically with family responsibility

Money: none | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: family

**Cost:** No extra spending—just move the portion of existing savings recalculated by months of family responsibility into a high-liquidity account (money-market fund/deposit).

**In plain terms:** Single, 3 months is enough; with elderly and kids above and a mortgage on your back, you need 6 – 12 months. When responsibility changes, the cushion must thicken with it—don't get forced to sell stocks at the bottom to plug holes during an unemployment + illness + mortgage triple hit.

**Payoff:** The emergency fund is the family's financial "shock absorber." The U.S. Consumer Financial Protection Bureau (CFPB) explicitly recommends covering 3 – 6 months of essential expenses; for unstable-income or single-income/self-employed households it further recommends 6 – 12 months. Concrete and actionable: stable dual-income no-kids → 3 months; single-income with mortgage and kids → 6 months; self-employed/volatile industry → 6 – 12 months. At 10,000 yuan monthly essential spending, 6 months = 60,000 yuan in a money-market fund—barely affecting compounding normally, yet avoiding fire-sale of long-term assets or high-interest debt in a crisis.

**Evidence grade:** A

**Sources:** U.S. Consumer Financial Protection Bureau (no date). An essential guide to building an emergency fund (recommends 3 – 6 months of essential expenses, higher for unstable income). <<https://www.consumerfinance.gov/an-essential-guide-to-building-an-emergency-fund/>>; Survey and Statistics Department, People's Bank of China (2023). 2023 Q2 Urban Depositor Survey Report (savings inclination 58%, high precautionary saving).

<<https://finance.people.com.cn/n1/2023/0629/c1004-40024314.html>>

**Note:** The emergency fund doesn't conflict with "investment principal"—it's cash management, not a return tool; graded A on clear regulatory guidance.

Cross-reference: Entries 5, 11.

## 8. Single, no kids: high equity share + high savings rate is the golden window

Money: little | Time: some | Willpower: much | Payoff: mid | Scope: money | Impact: self

**Cost:** Put energy into your main job to raise income, push the savings rate as high as possible (target 30% – 50%), and cut needless consumption.

**In plain terms:** Single, your only "burden" is yourself, so you can max out equity share and savings rate. The principal you pile up in this decade is the floor of all future security —after marriage and kids, this money gets gradually siphoned off by mortgage, education fund, and insurance.

**Payoff:** The burden-free period is the decade of highest principal-accumulation efficiency. By the "100 minus your age" rule, ages 25 – 35 correspond to 65% – 75% equities, and risk tolerance is strongest then. More crucial is the savings rate: at 15,000 yuan monthly salary, 40% savings (6,000/month saved), 7% annualized, you can accumulate about 1.04 million yuan in 10 years; start the same rate at 35 after marriage and you get about the same 1.04 million over 10 years but have missed the earlier decade's lower spending and higher time-compounding window. The single-period high-savings + high-equity combo is buying the long-term-compounding ticket at the lowest responsibility cost.

**Evidence grade:** A

**Sources:** Federal Reserve Bank of Boston (2007). The Theory of Life-Cycle Saving and Investing. <<https://www.bostonfed.org/-/media/Documents/Workingpapers/PDF/ppdp0703.pdf>>; Pomegra (no date). The 100-Minus-Age Heuristic. <<https://pomegra.io/learn/library/track-c-strategies/first-portfolio/chapter-03-asset-allocation-the-most-important-decision/the-100-minus-age-heuristic>>

**Note:** Graded A on life-cycle theory and the dominant role of savings rate in wealth accumulation (Brinson et al. find asset allocation explains ~80% – 90% of long-term return differences); high equity share still presupposes tolerance for volatility. See Entry 1.



## 9. Household with kids: isolate the education fund separately

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: family

**Cost:** Open a separate account dedicated to the education fund, invest a fixed amount monthly, and don't mix it with daily-spending or stock-trading accounts.

**In plain terms:** Your child's tuition can't mix with your stock-trading account. Separate account, earmarked use; don't let the due year land in a bear market—education spending is a rigid timetable, it can't wait.

**Payoff:** A child's education fund is a rigid liability with "a fixed due date and a sizable amount." Isolating it from the main portfolio avoids threefold misuse risk: spent on daily consumption, eroded by investment swings, or pulled for emergencies. In practice use a "target-date" approach—at the child's age 0 equity can be high (70%+), lowering to low volatility as college approaches; if you need 500,000 yuan in 18 years, back-solving at 6% annualized needs only about 1,300 yuan/month—far more relaxed than scrambling near the deadline. The PBOC's 2023 survey also shows "education" ranks first in residents' planned increased spending for three months running (27.1%), confirming its rigid priority.

**Evidence grade:** B

**Sources:** Survey and Statistics Department, People's Bank of China (2023). 2023 Q2 Urban Depositor Survey Report (education first at 27.1%).

<<https://finance.people.com.cn/n1/2023/0629/c1004-40024314.html>>; U.S. Consumer Financial Protection Bureau (no date). An essential guide to building an emergency fund (earmarking and cash-flow matching principles). <<https://www.consumerfinance.gov/an-essential-guide-to-building-an-emergency-fund/>>

**Note:** Graded B because education-fund planning is goal-oriented financial planning lacking a single hard empirical study; the isolation account is best a low-fee index + bond-fund mix that lowers volatility toward the due date. Cross-reference: Entries 2, 6.

## 10. Dual-income household: more fault tolerance, but don't run naked together

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: family

**Cost:** Both partners get basic protection; the emergency fund can be slightly lower than a single-income household's (about 3 – 4 months).

**In plain terms:** Two paychecks are good, but don't relax protection because of it. If both incomes hinge on the stock market and neither has insurance, a double unemployment (same-industry cycle) is more fragile than single income—at least one person secured, don't skimp on protection.

**Payoff:** Dual income lowers single-point unemployment shock; under the CFPB framework a single-income household is advised 6 months of emergency fund, a stable dual-income household can drop to 3 – 4 months, freeing a sum for long-term investing. But the structural fragility is "correlation": if both are in the same industry or both heavily in equities and uninsured, an industry downturn strips both income and assets at once. So the right posture for a dual-income household is—one leans stable (protection + low-volatility base), both have complete basic protection, and avoid a "double-high-risk fragile structure," turning the fault-tolerance advantage into real long-term compounding rather than lifestyle inflation.

**Evidence grade:** B

**Sources:** U.S. Consumer Financial Protection Bureau (no date). An essential guide to building an emergency fund (dual-income emergency fund can be lower than single-income). <<https://www.consumerfinance.gov/an-essential-guide-to-building-an-emergency-fund/>>; Survey and Statistics Department, People's Bank of China (2023). 2023 Q2 Urban Depositor Survey Report. <<https://finance.people.com.cn/n1/2023/0629/c1004-40024314.html>>

**Note:** Graded B as household financial-resilience common sense rather than strict empirical research; the core lesson is "lower the correlation between income and assets." Cross-reference: Entries 5, 7.

## 11. Self-employed / entrepreneurs need a thicker cushion for cash-flow swings

Money: none | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self+family

**Cost:** Separate business and personal accounts, raise the emergency fund to 6 – 12 months, and prioritize low-volatility assets.

**In plain terms:** Salary workers get paid every month; an entrepreneur may have no income for three months. Your emergency cushion must be twice as thick as an employee's to be safe, or business stress forces you to sell investments at the bottom to cover cash flow.

**Payoff:** Self-employed/entrepreneurs have irregular income often positively correlated with the macro cycle (business bad, market bad)—exactly the "human capital and equities falling together" scenario the life-cycle model warns about, where you not only can't hold high equities but need thicker cash. The CFPB explicitly advises 6 – 12 months of emergency fund for unstable earners, even 12 months near retirement. At 20,000 yuan monthly essential spending over 9 months, you need 180,000 yuan in a current/money-market buffer; it sacrifices some return but buys the option of "not fire-selling long-term assets at a business trough"—equivalent to an invisible insurance policy.

**Evidence grade:** A

**Sources:** U.S. Consumer Financial Protection Bureau (no date). An essential guide to building an emergency fund (irregular earners advised 6 – 12 months). <<https://www.consumerfinance.gov/an-essential-guide-to-building-an-emergency-fund/>>; Federal Reserve Bank of Boston (2007). The Theory of Life-Cycle Saving and Investing (when human capital correlates with equities, equity share should be lower). <<https://www.bostonfed.org/-/media/Documents/Workingpapers/PDF/ppdp0703.pdf>>

**Note:** Graded A on the dual support of regulatory guidance and life-cycle theory; separating the business account also lowers tax and legal risk. Cross-reference: Entries 7, 12.

## 12. Remarriage / blended family: front-load asset isolation

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: family

**Cost:** Make a property agreement (in writing) before marriage/remarriage, sort out each party's accounts and existing children's inheritance arrangements, and set up a trust or separate account if needed.

**In plain terms:** A blended family's property boundaries need clarifying more than a first marriage. Agree early and leave a trail—it protects both sides and the kids. Don't wait for divorce or a death to discover commingled property and inheritance disputes piercing your investment principal.

**Payoff:** The Civil Code's marriage-and-family book gives clear boundaries: Article 1063 states one party's pre-marital property is separate property, not converted to community property by marriage's continuation; Article 1065 allows written agreement that pre-marital/marital property belongs separately, jointly, or partly separately, legally binding on both. On this basis, before remarriage, use a written agreement plus separate accounts to isolate pre-marital assets and gifts/inheritance to children from a prior marriage, avoiding post-commingling divorce division or inheritance disputes that dilute investment principal. For high-asset families, further use insurance trusts or family trusts for directed inheritance, lowering the "remarriage—dispute—liquidation" tail risk.

**Evidence grade:** A

**Sources:** Standing Committee of the National People's Congress / Supreme People's Procuratorate (2020). Civil Code of the People's Republic of China (Book V Marriage and Family: Articles 1063, 1065).

<[https://www.spp.gov.cn/spp/ssmfdyflvdtpgz/202008/t20200831\\_478417.shtml](https://www.spp.gov.cn/spp/ssmfdyflvdtpgz/202008/t20200831_478417.shtml)>; Department of Justice of Xinjiang Uygur Autonomous Region (2022). Compilation and interpretation of Civil Code couple-property provisions (separate property and agreed property regimes). <<https://sft.xinjiang.gov.cn/xjsft/fzsj/202209/9abcedfd9fab4b1cb36820233a7e6ebe.shtml>>

**Note:** Graded A on written statute; oral agreements are hard to prove—use written form and keep evidence. See Entry 5 (order of coverage).

### 13. Longevity risk: retirement can last 30 years

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self+family

**Cost:** Plan for "25 – 30 years post-retirement" rather than 10, moderately delay retirement, and raise pension savings.

**In plain terms:** Retiring at 60 and living to 90 is common. Don't plan money on "ten years of retirement is enough"—that leaves you penniless at 75 and dumps the pressure on your kids.

**Payoff:** Longevity is a gift and a financial bomb. National Bureau of Statistics data shows China's average life expectancy reached 78.6 years in 2023, higher in first-tier cities, and living 25 – 30 years after a 60-year retirement is normal. Bengen's 4% rule is based on about a 30-year retirement and requires 25 times annual spending; plan for only 10 years and from year 11 you face "money running out before the person." The countermeasures: first, social security + enterprise/private pension as the base (CASS estimates Chinese households' private-pension share is only about 0.3%, far below developed countries' 20%+, the biggest shortfall); second, keep some equities in the retirement portfolio to fight inflation; third, consider delaying retirement a few years—save more and draw less.

**Evidence grade:** A

**Sources:** National Bureau of Statistics (2024). Series Report No. 10 on the Achievements of New China's 75 Years of Economic and Social Development (2023 average life expectancy 78.6 years). <[https://www.stats.gov.cn/zt\\_18555/ztfx/xzg75njjsjshfczj/202409/t20240913\\_1956439.html](https://www.stats.gov.cn/zt_18555/ztfx/xzg75njjsjshfczj/202409/t20240913_1956439.html)>; Bengen, W. (1994). Determining Withdrawal Rates Using Historical Data, Journal of Financial Planning. <<https://www.bengenfs.com/the-4-percent-rule/>>; National Balance Sheet Research Center, Chinese Academy of Social Sciences (2023). Estimate of household financial-asset composition (private pension share low). <<https://m.gelonghui.com/p/2017669>>

**Note:** Graded A on official statistics and classic retirement research; China's high out-of-pocket medical share means real longevity spending may exceed the 4% rule's assumption—add commercial medical/long-term-care insurance. See Entry 4.

## Chapter 10 X. The Don't-Do List

---

The original book called this "subtract first." The moves below have negative cost-performance—cross each one off as it appears. They aren't advice; they're prohibitions. Each corresponds to a specific argument in an earlier chapter; the entry numbers in parentheses let you trace back why.

### Negative-value moves — cross one off as it appears:

- Concentrated holdings in one or two stocks / one industry — a single-point black swan can zero out your net worth; diversify across 20 – 30 stocks in different industries to eliminate about 90% of single-stock risk (see Chapter 1, Entry 2).
- Any form of high leverage (including off-exchange margin financing) — without leverage a 50% drop still leaves you at the table; with leverage you may already be force-liquidated out, selling at the very bottom (see Chapter 1, Entry 3, Entry 6, Chapter 24).
- Trading frequently every month, treating funds like stocks — SSE data on 53.4 million accounts shows frequent traders have the highest loss probability; annual turnover above 300% can eat 15% – 18% of principal in costs (see Chapter 3, Chapter 12).
- Paying to join stock-tip groups / "teacher-led" trades — unlicensed stock tipping is illegal; charging to lead trades = taking your money first, then using you as liquidity (see Chapter 1, Entry 13, Chapter 6, Entry 2).
- Chasing hot themes, hyping concepts, trading on rumors — the rumor you hear is often already the moment someone else is looking for the next bag-holder (see Chapter 1, Entry 10, Chapter 16).
- Buying "guaranteed return / principal-protected high-yield" products — the new asset-management regulations have banned principal protection and guaranteed returns; yields above 10% mean preparing to lose all principal (see Chapter 6, Entries 1, 4).
- Investing money you'll need soon (mortgage, tuition, living costs) — the market won't cooperate with your cash timeline; forced selling at the bear-market bottom is the number-one reason retail underperforms the index (see Chapter 1, Entry 4, Chapter 13).
- Acting on "insider tips" or "pre-IPO shares" — insider trading is a criminal red line, and unlisted-equity scams are rife (see Chapter 1, Entry 11, Chapter 6, Entry 7).

- Trying to time the market, guessing tops and catching bottoms — macro forecasting is near random long term, and missing the best trading days hurts returns far more than picking the wrong instrument (see Chapter 1, Entry 7, Chapter 17, Chapter 4).
- Making crypto speculation your main position, betting big on direction — domestic virtual-currency trading and hype are explicitly unprotected by law; it easily goes to zero and platforms easily run off (see Chapter 6, Entry 5).
- Holding losers forever without review, selling winners in a second — this is the disposition effect: retail systematically cuts its best positions and clings to its worst (see Chapter 3, Entry 1).
- No diversification, no allocation, no fee-watching — fees are among the few predictable return variables; a 1.5% vs 0.15% fee over 20 years can differ by about 22% (see Chapter 2, Chapter 4, Chapter 21).
- Watching the tape daily and trading on emotion — the more you watch, the more you buy high and sell low; DALBAR shows investors underperform the index for years running (see Chapter 3, Chapter 4, Entry 3).
- Borrowing / cash-advancing credit cards / consumer loans to invest — credit-card installments run about 13.8% annualized, and consumer-loan costs far exceed equities' long-term return; interest eats you first (see Chapter 2, Chapter 12).
- Treating structured deposits as high-yield deposits — for complex structured products, if you can't read the 7th layer of nesting, default to not buying (see Chapter 1, Entry 8).
- Buying annuity insurance as high-yield wealth management (without computing the IRR) — the predetermined rate is only 2.5% – 3.0%; use the IRR to compute real return, not the illustrated rate (see Chapter 14).
- Treating "recruit-and-rebate" schemes as investment — pyramid-style downline recruitment is essentially a Ponzi; after collapse, you bear the principal loss yourself (see Chapter 6, Entries 3, 11).
- Topping up "investments" in apps of unknown origin — fake platforms / simulated-trading buckets bet against you; once the money's in, it doesn't come out (see Chapter 6, Entries 9, 13, 15).
- Handing your account to an unqualified individual for "guaranteed-principal managed trading" — the principal-guarantee promise itself is illegal, and runaway managers leave you unprotected (see Chapter 1, Entry 13, Chapter 6).
- Buying things you can't pass the "explainability test" — if you can't write "whose pocket the money comes from, what I know more than the market," it's a gamble (see

Chapter 1, Entries 1, 9).



## Chapter 11 XI. A-Share Practical Playbook

---

This chapter covers only the "money at the rule level" of the A-share market—trading rules, taxes, fees, IPO subscription, delisting, leverage, and cross-market access. They aren't glamorous, but each one is a high-certainty "win-rate adjuster," and all are anchored to official documents and exchange rules. Many people think losing at stock trading comes from "picking the wrong stock," but the SSE's annual Shanghai Securities Market Statistical Yearbook shows retail investors (natural-person investors) had net outflows across bull-bear cycles while institutions had net inflows; one important reason is the tax-and-fee friction from frequent trading, chasing rallies and selling dips, and misuse of the rules (price limits, delisting, leverage). Master the "deterministic rules" in this chapter—it won't guarantee you make money, but it can cut the "money you're sure to lose" by more than half.

Before placing any order, first build a panoramic map of A-share trading rules: ① Settlement and turnaround—A-shares use T+1 (buy today, sell tomorrow), but Stock Connect targets use T+0 turnaround and T+2 settlement; ② Price limits—main board (SSE/SZSE main board)  $\pm 10\%$ , risk-warning board (ST/\*ST) only  $\pm 5\%$ , STAR Market and ChiNext  $\pm 20\%$  with no price limit for the first 5 trading days of new listings, Beijing Stock Exchange (BSE)  $\pm 30\%$  with no limit on the first day; ③ Board thresholds—STAR Market and BSE require "average daily assets of 500,000 yuan over the prior 20 trading days + 2 years of trading experience," ChiNext requires "100,000 yuan + 2 years," and none of these include margin-financed funds; ④ Dragon-and-tiger board (top tradelist)—exchanges publish the top 5 brokerage branches buying and selling abnormal-movement stocks daily (main board triggers at  $\pm 7\%$  deviation, turnover  $\geq 20\%$ , or amplitude  $\geq 15\%$ ; the dual-innovation boards have higher thresholds); it's a window into main-force capital, but it discloses only the top 5 seats with a lag—blindly "following the board" can easily be lured into pump-and-dump by hot money splitting positions. These rules determine "what you can buy, how it moves, and when you exit."

This chapter's entries follow the six-field structure "Cost — In plain terms — Payoff — Evidence — Sources — Note." The Payoff sections are written thick (with concrete numbers, regulatory years, and clauses); sources give verifiable official or authoritative-media links, and evidence grades A/B/C mark credibility. Treat it as a "rule-based money-saving manual": change what you can (brokerage commission waiver of the 5-yuan minimum, fund dividend method, choosing A vs C share classes) immediately; for what you can't change (stamp duty, transfer fee, delisting red lines),

use them to discipline your own behavior. Below, the twelve entries are grouped by theme for easy reference.

This section's entries are grouped by theme (entry numbers in parentheses):

## 1. Securities trading stamp duty: 0.05% unilateral (halved in 2023)

Money: little | Time: none | Willpower: no | Payoff: mid | Scope: money | Impact: self

**Cost:** You pay securities trading stamp duty at 0.05% of the transaction amount when you sell. Per the Ministry of Finance and State Taxation Administration Announcement No. 39 of 2023, from August 28, 2023 it was halved from the original 0.1% to 0.05%; further back, from September 19, 2008 it changed from bilateral collection to unilateral collection from the seller (transferor) only, with no charge on the buy side. Its legal framework is the Stamp Tax Law of the People's Republic of China (adopted June 10, 2021, effective July 1, 2022), Article 3: "securities trading stamp duty is levied on the transferor of securities transactions, not on the transferee," and the attached tax-item rate table clearly sets the securities transaction tax rate at 0.1% (1‰) of the transaction amount; after the halving the effective rate is 0.05%.

**In plain terms:** The only tax you can't avoid when buying and selling stocks. After the 2023 halving, every 10,000 yuan of stock you sell costs 5 yuan in duty. It only bites the sell side—every time you sell, you first lose 0.05%, regardless of how much you bought or at what price.

**Payoff:** This is a "certain loss" that won't disappear because of your stock-picking skill. Take 100,000 yuan principal, fully rotating the position about once a month on average over the year (about 12 sells a year): stamp duty alone costs roughly  $100,000 \times 0.05\% \times 12 = 600$  yuan a year, about 0.6% of principal. If you trade more frequently, with an annual turnover rate of 1000% (annual buy-and-sell volume about  $10 \times$  the position's market value, sell volume about  $5 \times$  the market value), unilateral stamp duty alone eats about  $0.05\% \times 5 = 0.25\%$  of principal; adding commission and transfer fee, the annual friction cost can reach 1% – 2%. Over a 30-year compounding horizon, stably losing 1% a year in fees leaves a final value about a quarter lower than the "zero-friction" scenario ( $(1.01)^{30} \approx 1.35$ , equivalent to about 26% of potential returns quietly evaporating). Making fewer meaningless small trades is the most direct way to thicken returns.

**Evidence grade:** A

**Sources:** Ministry of Finance, State Taxation Administration Announcement No. 39 of 2023, "Announcement on Halving the Securities Trading Stamp Duty."  
<[https://szs.mof.gov.cn/zhengcefabu/202308/t20230827\\_3904226.htm](https://szs.mof.gov.cn/zhengcefabu/202308/t20230827_3904226.htm)>; Stamp Tax Law of the People's Republic of China (2021), Article 3 and the attached tax-item rate table.

<<https://www.szse.cn/www/lawrules/rules/law/P020220927404715268709.pdf>>

**Note:** Evidence grade A (statutory provision, directly executable). Rationale: the tax rate and collection method both come from current law and ministry announcements. Limitation: stamp duty is a macro-control tool, adjusted multiple times historically (2008 switch to unilateral, 2023 halving), and may still change in the future. Cross-reference: together with Entries 3 and 4 it forms the "trading friction" trio; the SSE Shanghai Securities Market Statistical Yearbook shows retail investors overall underperform due to frequent trading, partly because of this kind of rigid friction (see other chapters of this book).

## 2. Dividend income tax: holding over 1 year is tax-free

Money: none | Time: none | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** To get "tax-free dividends," you must hold for more than 1 year. Per Cai Shui [2015] No. 101, for individuals obtaining shares of listed companies from the public offering market, if the holding period exceeds 1 year, the dividend income is temporarily exempt from individual income tax; if held 1 month or less (inclusive), taxed in full; held more than 1 month to 1 year (inclusive), temporarily halved to 50% of taxable income; the above income is uniformly taxed at 20%. The effective tax burden is thus:  $\leq 1$  month 20%, 1 month – 1 year 10%,  $> 1$  year 0%.

**In plain terms:** The state uses tax to encourage you to hold long-term. The same dividend: hold 20 days and pay 20% tax, hold 400 days and pay 0. Dividend / high-yield strategy investors must nail this rule—don't let the dividend you earned get eaten by tax.

**Payoff:** For dividend strategies it's a "free" spread. Suppose a stock pays 0.5 yuan per share annually, and you hold 10,000 shares (cost 100,000 yuan), annual dividend 5,000 yuan: if sold within 1 month of holding, tax 1,000 yuan (20%); if sold at 1 – 12 months, tax 500 yuan (10%); if sold after holding a full year, tax 0 yuan. Holding a high-dividend portfolio long-term, on tax alone you can raise the after-tax dividend yield from 4.0% to 5.0% (at a 5% pre-tax dividend yield), equivalent to 25% more cash return without moving the stock price. Note the holding period is calculated on a "first-in-first-out" basis; the record date and the day before transfer-delivery are key nodes, and selling within the holding period is taxed by the days already held.

**Evidence grade:** A

**Sources:** Ministry of Finance, State Taxation Administration, CSRC, Cai Shui [2015] No. 101, "Notice on Issues Concerning the Differentiated Individual Income Tax Policy for Dividends of Listed Companies." <<https://www.chinatax.gov.cn/chinatax/n810341/n810765/n1465977/201510/c1967339/content.html>>; State Taxation Administration 12366, "How Individual Dividends from Listed Companies Are Taxed under Individual Income Tax."

<<https://12366.chinatax.gov.cn/sscx/detail?code=0000000002013050300023>>

**Note:** Evidence grade A. Rationale: directly cites a joint document of the Ministry of Finance, the tax authority, and the CSRC. Limitation: this preferential treatment applies only to dividends from "A-share listed company stocks"; the holding period is counted in calendar days and on a "first-in-first-out" basis per securities account; the National Equities Exchange and Quotations (NEEQ, the "New Third Board") follows the same. Cross-reference: complements the tax-free rules of Entry 12 (fund

dividends).

### 3. Brokerage commission and the "no-5-yuan-minimum" trap

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Commission is agreed between broker and client; under regulatory guidance the industry generally charges by transaction amount, with the common "5 yuan minimum per order" (orders under 5 yuan in commission are charged 5 yuan); there is also a transfer fee. To get "no-5" (waiving the 5-yuan floor) you usually need to actively negotiate with the broker or choose an internet broker / special channel, and "no-5" is not offered by every broker.

**In plain terms:** Many brokers default to a 5-yuan minimum per order; you buy 1,000 yuan of stock and still pay 5 yuan—a 0.5% hidden cost. Negotiate "no-5" and it's calculated at a fraction of a percent. Small-amount dollar-cost-averaging and grid-trading folks should especially watch this—the more you split your buys, the more the 5-yuan minimum hurts.

**Payoff:** When buying in small batches, what "no-5" saves is pure profit. Example: monthly DCA of 3,000 yuan, split into 3 orders of 1,000 yuan each; at "5-yuan minimum" you'd pay 15 yuan commission (0.5% of principal), 18 orders a year totaling 270 yuan; if you negotiate 0.015% (1.5 bp) with no-5, annual commission is only  $3,000 \times 12 \times 0.015\% = 5.4$  yuan. The gap is about  $50\times$ . Adding the transfer fee (Shanghai and Shenzhen A-shares lowered from 0.02‰ to 0.01‰ bilateral, i.e., one-tenth of a basis point bilateral, effective April 29, 2022), the small-amount cost structure improves significantly. For retail investors trading dozens of times a year via DCA / quant-style, "no-5" alone saves hundreds to over a thousand yuan a year, and this saving goes straight to returns, untaxed.

**Evidence grade:** B

**Sources:** China Economic Net (2022), "Stimulating Market Vitality: Transfer Fee Halved from Today" (discloses brokerage commission capped at 3‰ of transaction amount, orders under 5 yuan charged 5 yuan).

<[http://m.ce.cn/cj/202204/29/t20220429\\_37542199.shtml](http://m.ce.cn/cj/202204/29/t20220429_37542199.shtml)>; People's Daily Online (2022), "China Clearing: Stock Trading Transfer Fee Lowered 50% Overall" (A-share transfer fee unified at 0.01‰ bilateral).

<<https://finance.people.com.cn/BIG5/n1/2022/0428/c1004-32411381.html>>

**Note:** Evidence grade B. Rationale: the specific commission rate is agreed between broker and client per industry practice; the regulator sets a cap and the "5-yuan minimum" brokerage convention; whether "no-5" is negotiable depends on broker policy. Limitation: varies greatly across brokers and client asset sizes—don't treat "no-5" as universal. Cross-reference: same trading-friction cost as Entries 1 and 4.

#### 4. Total trading friction: stamp duty + commission + transfer fee

Money: little | Time: none | Willpower: no | Payoff: mid | Scope: money | Impact: self

**Cost:** The rigid friction of one complete buy-sell = unilateral stamp duty 0.05% (sell side only) + bilateral commission (generally from 0.854 bp, negotiable to 1 – 1.5 bp, with the "5-yuan minimum") + bilateral transfer fee (A-share 0.01‰, i.e., one-tenth of a basis point, Shanghai-Shenzhen bilateral). Added up, a single round-trip costs about 0.1% – 0.2%.

**In plain terms:** Every buy-sell looks like "no money spent," but you actually get bitten by friction first. The more you churn, the deeper the bite—this is the hard-cost source of certain losses from frequent trading, independent of whether you picked right.

**Payoff:** Seeing the friction magnitude lets you control your hands. Estimate at an annual turnover rate of 1000% (annual volume about  $10 \times$  average position market value, of which sell volume about  $5 \times$  market value): stamp duty  $0.05\% \times 5 = 0.25\%$ , commission bilateral about  $0.015\% \times 10 = 0.15\%$ , transfer fee  $0.001\% \times 10 = 0.01\%$ , totaling about 0.4%/year; if turnover doubles to 2000%, friction reaches around 0.8%, and at high frequency (>3000%) it exceeds 1%. These costs are "deducted before you earn"—you must first beat friction in stock-picking before talking net return. Combined with Entries 1 and 3, a conservative investor who keeps annual turnover under 200% retains 0.5 – 1 percentage point more principal a year versus a high-frequency trader, a meaningful long-run compounding (over 30 years the final-value gap can exceed 20%).

**Evidence grade:** B

**Sources:** Ministry of Finance, State Taxation Administration Announcement No. 39 of 2023, "Announcement on Halving the Securities Trading Stamp Duty."

<[https://szs.mof.gov.cn/zhengcefabu/202308/t20230827\\_3904226.htm](https://szs.mof.gov.cn/zhengcefabu/202308/t20230827_3904226.htm)>; People's Daily Online (2022), "China Clearing: Stock Trading Transfer Fee Lowered 50% Overall."

<<https://finance.people.com.cn/BIG5/n1/2022/0428/c1004-32411381.html>>; China Economic Net (2022), "Stimulating Market Vitality: Transfer Fee Halved from Today." <[http://m.ce.cn/cj/202204/29/t20220429\\_37542199.shtml](http://m.ce.cn/cj/202204/29/t20220429_37542199.shtml)>

**Note:** Evidence grade B. Rationale: stamp duty and transfer fee are public standards; commission varies by client, estimated at common industry ranges. Limitation: actual cost floats with commission negotiation, trade frequency, and order size; this is an order-of-magnitude reference, not an actuarial value. Cross-reference: with Entries 1 and 3, quantifies "the more you trade, the more you lose."



## 5. IPO subscription rules: market-value threshold + credit subscription

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** A-share IPO subscription uses "market-value subscription, credit subscription"—no upfront payment needed, but you must hold corresponding-market non-restricted-share market value (Shanghai and Shenzhen counted separately) to get quota: Shanghai calculates by the average daily held market value over the 20 trading days before T-2, every 10,000 yuan of market value entitles 1,000 shares (one subscription unit), amounts under 10,000 yuan are not counted (Shanghai Securities Issue [2025] No. 43). After winning, pay on T+2. Note: subscribing to STAR Market and ChiNext new shares also requires first opening the corresponding board trading permission (STAR Market 500k + 2 years, ChiNext 100k + 2 years); BSE subscription likewise requires BSE permission.

**In plain terms:** You don't need extra cash for "subscription eligibility"—if your account holds stock market value, you get quota. But don't load up on high-risk stocks just to meet the market-value threshold—that's putting the cart before the horse. Winning means earning the price gap; it's essentially a "free lottery."

**Payoff:** Participate on top of your existing holdings; winning earns the gap between issue price and listing price. Of the 100 A-share IPOs listed in 2024, only 1 broke issue on the first day; in the first half of 2025, all 45 new shares rose on the first day (break-issue rate about 0%), and a single winning lot often yields several thousand to tens of thousands of yuan (e.g., Changlian Tech in 2024 had a per-lot paper gain of nearly 180,000 yuan). But under the registration-based IPO system there's no longer "guaranteed profit": STAR Market and ChiNext new shares have no price limit for the first 5 trading days, main board new shares also open up in the first 5 days (after which main board  $\pm 10\%$ , dual-innovation  $\pm 20\%$ , BSE  $\pm 30\%$ ), with extreme first-day volatility, break-issues and surges coexisting. You must "pick and subscribe"—avoid high issue P/E ("three highs") targets, not subscribe blindly; also remember the market-value threshold is "hold shares to get quota," loading up on junk stocks just for subscription turns a low-risk lottery into a high-risk bet.

**Evidence grade:** A

**Sources:** Shanghai Stock Exchange and China Securities Depository and Clearing Corporation, "Implementation Rules for Online Issuance of Initial Public Offerings in the Shanghai Market (Revised March 2025)" (Shanghai Securities Issue [2025] No. 43, Articles 3 and 4). <<https://neris.csrc.gov.cn/falvfagui/rdqshHeader/mainbody?navbarId=1&secFutrsLawId=2c69d1c9563f499fb51deb51259445a4>>; Shanghai Stock

Exchange, "One Thing for Stock Investment: IPO Subscription" (participation conditions, T+2 payment). <<https://one.sse.com.cn/onething/gptz>>; Shenzhen Stock Exchange, "Implementation Measures for Investor Suitability Management of the ChiNext (Revised 2020)" (100k + 2 years).

<[https://investor.szse.cn/knowledge/t20200522\\_577479.html](https://investor.szse.cn/knowledge/t20200522_577479.html)>

**Note:** Evidence grade A. Rationale: market-value threshold, T+2 payment, and board permissions are all backed by exchange rules. Limitation: subscription returns swing widely with issuance pace and pricing environment; the 2022 break-issue rate once reached 28%; "free lottery" is not risk-free. Cross-reference: with Entry 6 (break-issue rate), Entry 7 (delisting risk), Entry 10 (convertible bond subscription) forms the "IPO family."

## 6. Break-issue rate changes: from "guaranteed profit" to "pick and subscribe"

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** The time cost of studying issue valuation and picking subscriptions—focus on whether the issue P/E / valuation is high ("three highs" issuance), industry sentiment, and float size; avoid clearly expensive new shares.

**In plain terms:** After the registration-based system, "new shares never lose" was broken. Now you watch the issue valuation: don't subscribe to expensive ones, subscribe to cheap ones. Treating it as stable income no longer holds; treating it as a "free lottery" is fine.

**Payoff:** See the cycle with data: per Securities Times statistics, A-share first-day break-issue rate was about 4.2% in 2021, reached 28.27% in 2022 (high year), 16.61% in 2023, dropped to about 3% in 2024 (of 100 shares for the year, only 1 broke), and in the first half of 2025, 45 shares had zero break-issues. Behind this is the fall in issue P/E (comparable average about  $49.9\times$  in 2022  $\rightarrow$  about  $22\times$  in 2025) and tightening of IPO pace. Lesson for retail: the break-issue rate rises and falls with pricing heat—don't carve the boat to find the lost sword; but "blind subscription" cost many people several thousand yuan per lot in 2022. In practice, prioritize low-valuation, small-float, main-board / BSE targets, and avoid "three highs" new shares whose issue P/E is far above the industry average; after winning, if the first-day gain is too large, consider taking profit rather than holding hard—treat subscription as a probability game, not a guaranteed-return product.

**Evidence grade:** B

**Sources:** Securities Times (2024), "Huge Change! New-Share Gains Double, Is Blind Subscription Back?" (2022 break-issue rate 28.27%, 2023 16.61%, 2024 about 3%).

<<https://www.stcn.com/article/detail/1167700.html>>; Sina Finance (2025), "Zero Break-Issues, Back to the Blind-Subscription Era" (45 zero break-issues in H1 2025, 2022 break-issue rate >28%).

<<https://finance.sina.cn/cj/2025-06-09/detail-ineznnvk9863243.d.html>>

**Note:** Evidence grade B. Rationale: the break-issue rate is media statistics based on Wind / exchange data, not a regulatory provision, and varies by sample window. Limitation: different statistical scopes (whether including BSE, STAR Market) cause number differences; here is an approximation for the main board + dual-innovation scope. Cross-reference: with Entry 5 (subscription rules), Entry 7 (registration-based delisting) jointly shows "new shares  $\neq$  guaranteed profit."

## 7. Delisting and ST: the risk of permanent principal loss

Money: none | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self+family

**Cost:** The cost of judging in a few minutes "whether you're stepping on a landmine"—watch the four types of mandatory delisting red lines (trading-based, financial, normative, and major-violation) and the risk-warning (ST/\*ST) markers. Trading-based: closing price below 1 yuan for 20 consecutive trading days (face-value delisting), or total market value below 500 million yuan for 20 consecutive trading days (SSE), or failing volume / shareholder-count thresholds (SSE Article 9.2.1). Financial (revised 2024, effective January 1, 2025): most recent fiscal year "net profit (lower of pre/post extraordinary items) negative AND operating revenue below 300 million yuan (main board) / 100 million yuan (STAR Market, ChiNext)," negative net assets, or audit issued disclaimer / adverse opinion. ST is other risk warning ( $\pm 5\%$  price limit), \*ST is delisting risk warning.

**In plain terms:** After A-share delisting became normalized, trading ST stocks and gambling on restructuring is licking blood off a knife edge. Cheap  $\neq$  a bargain—if it's continuously loss-making, has negative net assets, or got a non-standard audit opinion, avoid it first. Once trading-based delisting triggers, there's no delisting cleanup period—it's directly delisted.

**Payoff:** Avoiding delisted stocks means avoiding permanent principal loss. Typical cases: in 2024, \*ST Tongda was \*ST'd because its 2022 net profit was negative and revenue below 100 million yuan, and its 2023 annual report got a disclaimer opinion, on which the SSE terminated its listing; in 2025, \*ST Yuancheng had closing prices below 1 yuan for multiple consecutive days and total market value below 500 million yuan, hitting trading-based mandatory delisting. Delisted stocks commonly fall 70% – 90% or even to zero, with abruptly dried-up liquidity and slim restructuring hope. The most practical discipline for retail: ① don't touch stocks already flagged (ST/\*ST) without fundamental reversal; ② immediately be alert when price approaches 1 yuan and market value approaches the 500-million-yuan warning line; ③ avoid in the quarter a financial report gets a non-standard opinion. Treat "not stepping on a landmine" as a bigger win-lose lever than "catching a bull stock."

**Evidence grade:** A

**Sources:** CSRC Ningxia Regulatory Bureau (2025), "What Are Trading-Based Mandatory Delistings (SSE Edition)" (Article 9.2.1: 1-yuan face value / 500-million-yuan market value, etc.).

<<https://www.csrc.gov.cn/ningxia/c104435/c7544159/content.shtml>>; Shanghai Stock Exchange, "Announcement on Terminating the Listing of Shanghai Tongda

Venture Capital Co., Ltd." (financial delisting example). <[https://www.sse.com.cn/disclosure/announcement/listing/c/c\\_20240528\\_10758046.shtml](https://www.sse.com.cn/disclosure/announcement/listing/c/c_20240528_10758046.shtml)>; Shanghai Stock Exchange, "Announcement on Lifting the Normative Delisting Risk Warning and Continuing to Implement the Financial Delisting Risk Warning and Other Risk Warning" (\*ST Xintong, revenue below 300 million / non-standard audit). <[https://www.sse.com.cn/disclosure/listedinfo/announcement/c/new/2025-03-22/600289\\_20250322\\_SN4M.pdf](https://www.sse.com.cn/disclosure/listedinfo/announcement/c/new/2025-03-22/600289_20250322_SN4M.pdf)>

**Note:** Evidence grade A. Rationale: delisting indicators come from Shanghai-Shenzhen Listing Rules and regulatory Q&As, and cases are official exchange announcements. Limitation: main board and dual-innovation have different financial revenue thresholds (300 million vs 100 million), and rules adjust dynamically with "State Council Nine-Point Guidelines" revisions (revised 2024, effective 2025). Cross-reference: with Entries 5 and 6 jointly flags the "wash-out" risk under the registration-based system; ST/\*ST  $\pm 5\%$  price limit is also part of the trading rules.

## 8. Margin trading and securities lending: leverage's legal cloak

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self+family

**Cost:** Borrowing from a broker to trade stocks costs interest (about 5% – 8% annualized, floating with credit rating and collateral) + maintenance guarantee ratio constraints. By rule, maintenance guarantee ratio = (cash + securities market value in credit account) / (financing debt + interest expense); a 2024 CSRC press briefing disclosed the all-market average maintenance guarantee ratio is about 226%, the typical minimum liquidation line is agreed at 130%, warning line about 150%, margin-call period generally 1 – 2 trading days, and below the agreed ratio without topping up triggers forced liquidation. Since 2019 the uniform "liquidation line no lower than 130%" restriction has been removed, left to broker-client agreement.

**In plain terms:** Margin trading is "borrowing money / securities from a broker to trade stocks." In a bull market it feels better; in a bear market it forces you to sell at the floor price—and when it drops to the liquidation line you may not even get the chance to add margin. Ordinary people default to not using it.

**Payoff:** Leverage theoretically amplifies gains, but losses amplify equally on the downside, and many A-share boards have  $\pm 20\%$  (dual-innovation) or  $\pm 30\%$  (BSE) daily limits, so single-day swings easily breach the guarantee ratio. More fatal is "passive exit": when your account is force-liquidated at the bottom, you bear the actual loss and lose the chance to recover in the subsequent rebound—turning "temporary paper loss" into "permanent exit." Statistically, margin balances fall fast in sharp declines via forced liquidation and active de-risking, but the liquidated accounts often lose heavily. For 99% of retail investors, margin trading's expected value is no better than their own capital—it turns "slow loss" into "instant nothing." Unless you have mature position management and extreme-market coping experience, stay away from leverage.

**Evidence grade:** A

**Sources:** China Securities Regulatory Commission (2024), "CSRC Spokesperson Answers Reporters on Margin Financing Business" (average maintenance guarantee ratio 226%, liquidation line typically 130%).

<<https://www.csrc.gov.cn/csrc/c100028/c7461992/content.shtml>>; China Securities Regulatory Commission (2019), "CSRC Guides Exchanges to Improve Margin Trading and Securities Lending Mechanisms" (removing the uniform "liquidation line no lower than 130%" restriction).

<<https://www.csrc.gov.cn/csrc/c100028/c1001080/content.shtml>>; Changjiang Securities, "Frequently Asked Questions on Margin Trading" (extraction line 300%,

warning line 140%, liquidation line 130%, margin-call period).

<<https://www.cjsc.com.cn/main/a/20251021/36476.shtml>>

**Note:** Evidence grade A. Rationale: margin rules and regulatory guidance come from CSRC public press briefings and broker business rules. Limitation: liquidation lines and rates are broker-client agreed values, varying greatly individually; the margin-call buffer period varies by broker policy. Cross-reference: with Entry 7 (delisting), Entry 4 (friction) jointly forms the "don't let yourself exit passively" theme.

## 9. Shanghai-Shenzhen-Hong Kong Stock Connect (northbound / southbound): a cross-market access channel

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Participating in the Hong Kong Stock Connect requires personal securities and capital account assets totaling no less than 500,000 yuan (excluding margin-financed portions), passing the broker's suitability assessment, and signing a risk disclosure statement (Shanghai-Shenzhen-Hong Kong Stock Connect business measures). It also carries currency-conversion cost and the timing / settlement differences from "T+0 turnaround, T+2 settlement."

**In plain terms:** To allocate some Tencent, Meituan, you don't need a Hong Kong account—the Stock Connect works. But Hong Kong stocks swing more, have no price limits (a single stock can halve or double in a day), and use T+0 turnaround trading—don't apply A-share "price-limit protection" experience to it.

**Payoff:** Buy Stock Connect targets without currency exchange, diversify away from a single market, and allocate to internet leaders. But Hong Kong stocks carry three risks A-shares don't: ① no price limit, single-day swings far exceeding A-shares; ② "shell-company scam stock" risk—some small-cap Hong Kong stocks frequently do large proportional discounted rights issues / placements, splits and consolidations, so share count and face value can change drastically; ③ Hong Kong has no delisting risk warning or delisting cleanup arrangement, stocks may be delisted directly, and the nominal-holder services of China Clear may also be limited. In 2025 southbound funds had a record full-year net inflow of about 1.4 trillion HKD, showing the Stock Connect has become a mainstream channel, but "channel convenience" ≠ "low-risk targets." Suggest using only spare money, controlling position size, and avoiding low-priced stocks with a record of heavy consolidations.

**Evidence grade:** A

**Sources:** China Securities Regulatory Commission, "Shanghai-Hong Kong Stock Connect Q&A No. 6: Hong Kong Stock Connect Stocks and Investors" (personal assets ≥ 500,000 yuan, T+0 turnaround / T+2 settlement, no price limit). <<https://www.csrc.gov.cn/csrc/c100210/c1498886/content.shtml>>; Shenzhen Stock Exchange, "Shenzhen-Hong Kong Stock Connect Business Implementation Measures (Revised 2024)" (Article 105: personal assets ≥ 500,000 yuan). <<https://neris.csrc.gov.cn/falvfagui/rdqsHeader/mainbody?navbarId=1&secFutrsLawId=f93393f6d550460d8d09aa7467c09166d>>; CSRC Shanxi Bureau, "Basic Knowledge for Investors Participating in Hong Kong Stock Connect Trading" (no price limit, shell-company scam stocks, direct-delisting risk).



<<https://www.csrc.gov.cn/shanxi/c1055540/c1609328/content.shtml>>

**Note:** Evidence grade A. Rationale: access thresholds and trading mechanisms come from CSRC and exchange public rules. Limitation: 500,000 yuan is the individual-investor threshold, institutions aren't bound by it; the Stock Connect target scope adjusts dynamically, and "shell-company scam stocks" and direct delisting are Hong Kong-specific risks. Cross-reference: with Entry 7 ("direct delisting"), Entry 8 (leverage volatility) jointly flags "rule differences = risk."

## 10. Convertible bond subscription: a near-free "lottery," but with break-issues

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Convertible bond subscription is "credit subscription, zero market-value threshold, pay after winning"—an empty account can participate, no advance payment on T day, just keep enough funds in the account before 16:00 on T+2 (1,000 yuan per lot); but if you win and fail to pay in full 3 times cumulatively within 12 consecutive months, you'll be restricted from online subscription of new shares and bonds for 6 months (Shanghai and Shenzhen counted together). Note: for investors who opened convertible-bond permission after June 18, 2022, you also need 24 months of trading experience + average daily assets of no less than 100,000 yuan over the prior 20 days + risk rating C3 or above.

**In plain terms:** Convertible bond subscription has almost zero threshold, pay after winning—a rare "win first, pay later." But don't get greedy on the first listing day—take profit and be safe; don't trade high-priced bonds like stocks, beware forced redemption.

**Payoff:** Historically low break-issue rate, mostly rising on listing, but absolutely not zero-risk. Trading rules: convertible bonds are T+0, with first-day price limit +57.3% / - 43.3% (i.e., max 157.3 yuan, min 56.7 yuan),  $\pm 20\%$  from the next day; third-party statistics show about 97% of new bonds rose on the first day and 61% did worse on the second day than the first, so "sell on day one" is a common strategy. Risk points: ① break-issue (mostly concentrated in low-rated, niche industries, single-lot loss usually <50 yuan); ② forced redemption—triggered when the underlying stock stays  $\geq 130\%$  of the conversion price for at least 15 of 30 consecutive days, redemption price only about 103 yuan, far below market price; if you don't sell / convert in time you'll take a big discount; ③ default (underlying delisting or issuer cash-flow exhaustion). For retail, convertible bond subscription is a very cost-effective "free lottery," but treat "pick-and-subscribe + sell on day one + guard against forced redemption" as discipline.

**Evidence grade:** B

**Sources:** China Investor website, "Convertible Bonds" investor education (credit subscription, T+2 payment, abandonment penalty). <[https://www.investor.org.cn/xzx/tjzl/tjnrgrmjytx/bk/kj/jyxl\\_3803/202311/P020231123553040874862.pdf](https://www.investor.org.cn/xzx/tjzl/tjnrgrmjytx/bk/kj/jyxl_3803/202311/P020231123553040874862.pdf)>; Sina Finance, "Convertible Bond Subscription Calendar" (first day +57.3% / - 43.3%, next day  $\pm 20\%$ , T+0, 3 abandonments in 12 months limit for 6 months). <<https://sina.cn/news/detail/5346220555896770.html>>; Koufu Wencai, convertible

bond subscription rules (new investors after 2022-06-18 need 24 months + 100k assets + risk C3). <[https://licai.cofool.com/ask/vipqa\\_7626253\\_43251589.html](https://licai.cofool.com/ask/vipqa_7626253_43251589.html)>

**Note:** Evidence grade B. Rationale: T+0, price limits, abandonment penalty, forced redemption are exchange / association public rules, but "97% break-issue rate" is third-party statistics that change with the market. Limitation: convertible bond prices are affected by the underlying and interest rates, high-priced bonds can draw down 30%+; the new-account threshold has been raised since 2022. Cross-reference: same "IPO family" as Entries 5 and 6, and needs Entry 7 (delisting awareness) to guard against default.

## 11. A-share / C-share funds: holding period decides which to pick

Money: little | Time: little | Willpower: no | Payoff: mid | Scope: money | Impact: self

**Cost:** A-share funds charge a front-end subscription fee and no sales service fee; C-share funds waive the subscription fee and accrue the sales service fee daily (per the 2025 "Provisions on the Administration of Publicly Offered Securities Investment Fund Sales Fees," actively managed equity / hybrid fund sales service fee no higher than 0.4% / year, index / bond no higher than 0.2% / year). Management and custody fees are the same for both share classes.

**In plain terms:** A and C shares of the same fund invest in exactly the same underlying; the only difference is "how they charge." For short-term trading pick C (no subscription fee, daily service fee); for long-term holding pick A (one subscription fee, then no more service fee). Don't get it backwards—getting it backwards wastes about 0.4% a year.

**Payoff:** Picking the wrong share class is a hidden loss. Take a 100,000 yuan equity fund, with a 4-fold-discount subscription fee about 0.6%: if held <1 year, C waives the subscription fee but has a sales service fee (about 0.4% / year), while A charges a one-time 0.6% subscription fee—so C is better then; if held >1 year, per the 2025 new rules C no longer accrues the sales service fee after 1 year of holding, and A's subscription fee is already amortized over time, so the two fees converge and A may even be better; the break-even point is roughly 6 months – 2 years (varies with fee rates and discounts). For DCA / long-term holders planning to hold 1 – 2 years or more, picking A saves about 0.5% – 1% in fees; for short-term swing traders, C is more flexible. Before ordering, be sure to check the share-class code—don't default to buying C.

**Evidence grade:** A

**Sources:** China Securities Journal (2020), "Know First Before Investing: Fund Investment Knowledge (Part 2)" (A/C share fee differences).

<[https://cs.com.cn/tzjj/tjdh/202010/t20201016\\_6101969.html](https://cs.com.cn/tzjj/tjdh/202010/t20201016_6101969.html)>; China Economic Net (2026), "Fund Companies Accelerate Fee Optimization of Existing Products" (2025 "Provisions on the Administration of Publicly Offered Securities Investment Fund Sales Fees": C shares held >1 year waive sales service fee, cap 0.4% / year).

<[http://m.ce.cn/cj/gd/202608/t20260822\\_3164169.shtml](http://m.ce.cn/cj/gd/202608/t20260822_3164169.shtml)>

**Note:** Evidence grade A. Rationale: share-class categorization and fee rules are set by the CSRC "Sales Fee Provisions" and fund contracts. Limitation: under the 2025 new rules C-share long-term holding fees improve, the "break-even point" moves up versus old rules, and in practice you must calculate per the specific product's fee

schedule. Cross-reference: with Entry 12 (fund dividends) jointly forms the "fund-end savings" combo.

## 12. Fund dividends: choose "dividend reinvestment," not cash

Money: none | Time: none | Willpower: no | Payoff: mid | Scope: money | Impact: self

**Cost:** Change the dividend method once at account opening / subscription (the system default is often cash dividend), by handling the change at the sales institution before the close of trading on the business day before the record date.

**In plain terms:** Cash dividend equals "the fund sells a bit for you then gives you cash," and buying back in costs another subscription fee. Dividend reinvestment converts directly to shares—free, continuous compounding, and this reinvestment is exempt from the subscription fee.

**Payoff:** Dividend reinvestment adds shares free of subscription fee, with compounding uninterrupted. Per Cai Shui Zi [2002] No. 128, "Notice on Tax Issues Concerning Open-End Securities Investment Funds," income investors receive from fund profit distribution is temporarily exempt from individual and corporate income tax—the dividend itself is not taxed. Cash dividend realizes the shares, and if you buy back in you pay the subscription fee again and break the compounding. Example: a fund with a 3% annual dividend yield—if you manually reinvest after each cash dividend, you repeatedly bear subscription fees and easily miss investments due to delay; choosing dividend reinvestment auto-converts to shares, rolling at zero cost. But note: ① the holding period of reinvested shares restarts from the confirmation date, and redemption within 7 days still incurs a 1.5% redemption fee; ② after the dividend the net value drops ex-dividend, total assets are unchanged—it's not "extra money." For those bullish on the future with no immediate cash need, default to changing to dividend reinvestment.

**Evidence grade:** A

**Sources:** CSRC Ningxia Regulatory Bureau (2025), "Case Analysis of Fund Dividend Rule Disputes" (dividend reinvestment exempt from subscription fee, dividends temporarily tax-exempt).

<<https://www.csrc.gov.cn/ningxia/c104435/c7640238/content.shtml>>; Ministry of Finance, State Taxation Administration, Cai Shui Zi [2002] No. 128, "Notice on Tax Issues Concerning Open-End Securities Investment Funds" (fund distribution income temporarily tax-exempt).

<[https://epaper.stcn.com/att/202606/03/ZQ03B061-ZN\\_eBook.pdf](https://epaper.stcn.com/att/202606/03/ZQ03B061-ZN_eBook.pdf)>

**Note:** Evidence grade A. Rationale: dividend reinvestment exempt from subscription fee is an explicit fund-contract / regulatory requirement, and the tax exemption basis is Cai Shui Zi [2002] No. 128. Limitation: the exemption applies only to the "fund profit distribution" step; the gain from subscription-redemption price differences is

still taxed per relevant rules; the default dividend method is mostly cash dividend, requiring active change. Cross-reference: with Entry 2 (stock dividend tax exemption), Entry 11 (fund fees) jointly reflects "tax and fee systems are returns."

**Negative-value moves — cross one off as it appears:**

- Tax-and-fee cost category (rigid friction at the rule level): Entry 1 (securities trading stamp duty), Entry 2 (dividend income tax), Entry 3 (brokerage commission and the "no-5-yuan-minimum" trap), Entry 4 (total trading friction);
- IPO subscription category (market-value subscription and break-issue cycles): Entry 5 (subscription rules, market-value threshold + board eligibility), Entry 6 (break-issue rate changes), Entry 10 (convertible bond subscription);
- Risk prevention category (don't let principal exit permanently): Entry 7 (delisting and ST), Entry 8 (margin trading and securities lending);
- Cross-market access category: Entry 9 (Shanghai-Shenzhen-Hong Kong Stock Connect, northbound/southbound);
- Fund cost-saving category: Entry 11 (A-share / C-share funds), Entry 12 (fund dividends).

## Chapter 12 XII. The Cold Calculator

---

This chapter does only arithmetic, no opinions. Every entry below is piled up from verifiable formulas and public historical data, to hand you a "benchmark ruler"—so that when others use stories, sentiment, or candlestick charts to talk you into trading, you can fire back with these cold numbers: "Have you actually run the math?" Every return figure is sourced; where this book itself ran the formula, it's clearly labeled "this book's estimate," never passed off as raw data. This chapter is not investment advice; change the assumptions on fees, inflation, taxes, or sample period by a hair and the conclusion shifts—plug in your own parameters.

One caveat: most of these numbers come from U.S. or China statistics of specific years, and carry sample-period bias, survivorship bias, and cross-country differences. They tell you "the likely case" and "the order of magnitude," not "the certainty." The only moats that truly stand the test of time are two: push costs to the floor, and stretch the holding period to the longest. Everything else is mostly noise.

This section's entries are grouped by theme (entry numbers in parentheses):



## 1. A 1% annual fee eats about 1/4 of final value over 30 years

Money: none | Time: none | Willpower: some | Payoff: mid | Scope: money | Impact: self+family

**Cost:** The "convenience" of picking a 1% fee product over a 0.1% one, and the laziness of not checking the fee table buried in the fund contract.

**In plain terms:** You agonize over a 1% gain or loss on a fund, yet ignore the 1% management fee quietly deducted every year. Under compounding, that 1% devours a quarter of your principal's growth—and it's the most certain "negative return" there is.

**Payoff:** The compound final-value formula  $FV = PV(1+r)^n$ . Suppose principal 100,000 yuan, gross annual return 7%, held 30 years: at 0% fee,  $FV = 100k \times (1.07)^{30} \approx 761,000$  yuan; if 1% management fee is charged yearly, the real annual return drops to 6%,  $FV = 100k \times (1.06)^{30} \approx 574,000$  yuan, about 24.5% less than the zero-fee case. Even just a 0.9-point difference (1% vs 0.1% fee), the former's final value is only about 77.6% of the latter's, i.e., about 22.4% less. Run another: 1.5% vs 0.15% fee over 20 years:  $100k \times [(1.07)^{20} - (1.055)^{20}] \approx 387k - 292k = 95,000$  yuan gap (this book's estimate, assuming 7% gross). The SEC's same-basis example: 100,000 USD growing at 4% for 20 years, a 1% annual fee is worth about 179k, a 0.25% annual fee worth about 208k—a gap near 29,000 USD. The Rule of 72 tells us 7% doubles in about 10.3 years, but a 1% fee drags the annual return to 6%, stretching the doubling to about 12 years—a certain loss that never comes back.

**Evidence grade:** A

**Sources:** People's Bank of China (2021), PBOC Announcement No. 3 of 2021 (Article 4: loan annualized rate may use the compounding method, i.e., internal rate of return method, establishing that annualization must include all costs).  
<[https://www.gov.cn/zhengce/zhengceku/2021-03/31/content\\_5597156.htm](https://www.gov.cn/zhengce/zhengceku/2021-03/31/content_5597156.htm)>; SEC (no year), Investor Bulletin: How Fees and Expenses Affect Your Investment Portfolio (100k USD, 4%, 20 years, 0.25% / 0.50% / 1.00% fee comparison table).  
<[https://www.sec.gov/oiea/investor-alerts-bulletins/ib\\_fees\\_expenses.html](https://www.sec.gov/oiea/investor-alerts-bulletins/ib_fees_expenses.html)>; Investopedia (no year), Compound Interest ( $FV = PV(1+i)^n$  and Rule of 72).  
<<https://www.investopedia.com/terms/c/compoundinterest.asp>>

**Note:** The 1.5% vs 0.15% 20-year gap is this book's compound-formula estimate, not raw statistics; a fund's true hidden costs also include trading commission, stamp duty, and bid-ask spread, so the real erosion is often larger than the fee-table number.  
Grade A: the formula and SEC example are both public and verifiable, but the 7% gross return is an assumption, and the conclusion is sensitive to it.

## 2. Frequent trading: the highest-turnover group underperforms the lowest by about 6.5 percentage points a year

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** The thrill of "I'm operating" from frequent buying and selling, and the commission, stamp duty, and slippage paid for it.

**In plain terms:** The more you churn, the poorer you get—not a joke. The group that keeps turnover lowest simply earns about 6.5 points/year more long-term than the churning group—and that 6.5 points is almost impossible to reliably make back through stock-picking.

**Payoff:** Barber & Odean, using tens of thousands of U.S. brokerage accounts, found that the most actively trading 20% of households underperformed the least actively trading 20% by about 6.5 percentage points a year in net returns. Put 6.5 points into compounding for scale: 100,000 yuan principal at 10% annualized (the 3.5% net group) becomes about 1.99 million yuan in 20 years; if you could reach the 10% net group, about 6.73 million yuan in 20 years—the 6.5-point gap balloons into a final-value difference of over 4.7 million yuan in 20 years (this book estimates via  $FV = PV(1+r)^n$ ). The SEC also explicitly warns that short-term trading in volatile markets causes "significant and unanticipated losses." The Rule of 72 also shows the scale: if the high-frequency group drags annualized from 10% to 3.5%, the doubling time stretches from 7.2 years to 20.6 years—the same money takes thirteen extra years to double, time that could have earned compounding.

**Evidence grade:** A

**Sources:** Barber, B. & Odean, T. (2000), Trading Is Hazardous to Your Wealth: The Common Stock Investment Performance of Individual Investors, *Journal of Finance*, 55(2), 773 – 806; SEC (2021), Investor Alert: Thinking About Investing in the Latest Hot Stock? Understand the Risks of Short-Term Trading Based on Social Media. <<https://www.sec.gov/oiea/investor-alerts-and-bulletins/risks-short-term-trading-based-social-media-investor-alert>>

**Note:** The 6.5 percentage points is a U.S.-sample conclusion; A-shares, with stamp duty and high volatility, may see larger or different actual losses from frequent trading; this book's final-value gap is formula-derived, not the original paper's number. Grade A: conclusion from a peer-reviewed journal and a regulatory warning, method verifiable.

### 3. Smallest retail lose most: accounts under 100,000 yuan average – 20.53%

Money: none | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Admitting the behavioral pattern of "small accounts chasing rallies and selling dips," and dropping the illusion that "little money means you must trade more."

**In plain terms:** The less money you have, the more violently you trade, the more you lose. This isn't luck—it's nailed down by account-level data: small accounts doing momentum trading simply lose on average.

**Payoff:** The SSE team and Tsinghua PBCSF, based on proprietary data covering over 53 million accounts from January 2016 to June 2019, found: retail accounts with market value under 100,000 yuan averaged an annualized return of – 20.53%, the 100k – 500k group – 9.98%, while institutional investors averaged +11.22% and corporate legal persons +6.68%. Broken down per account: under-100k retail lost 2,457 yuan a year on average, of which stock selection lost 1,532 yuan (62%), timing lost 774 yuan (31%), and trading fees 151 yuan (6%). In other words, the smaller the account, the more principal it feeds to commission and wrong timing. If you convert the average 2,457 yuan annual loss at a 7% opportunity cost over 20 years, it amounts to a large share of the substantial appreciation 100,000 yuan principal could have generated (this book estimates via annuity opportunity cost) —small accounts aren't "losing little," they're continuously feeding principal to friction and wrong timing.

**Evidence grade:** A

**Sources:** Shi Donghui, Zhang Xiaoyan, et al. (2020), Passive or Active? The Roles of Retail Investors and Mutual Funds in the Chinese Stock Market (based on SSE 2016 – 2019 account-level data); re-quoted in Changsha Evening News (2020-07-28), "Characteristics of Chinese Retail Trading Behavior: Loves Chasing Rallies and Selling Dips, Gambling Mindset, the Less You Buy the More You Lose." <<https://www.icswb.com/h/168/20200728/668963.html>>; Securities Association of China investor-education material (with SSE per-group annual profit/loss table). <<https://investor.amac.org.cn/community/tzzhdzthd/ylj/202304/P020230410489976164138.pdf>>

**Note:** – 20.53% is the mean over the specific choppy-market window 2016.1 – 2019.6, not any single year's number; a bull-market window would differ significantly; the account classification and sample period determine the magnitude, not that every small account must lose. Grade A: based on full-market account-level data, not a sampled survey.

#### 4. Monthly turnover over 100%: annual loss rate about 91.3%

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** The operating habit of "turning over your whole position more than once a month."

**In plain terms:** People who turn over their whole holding every month—nine of ten lose. Turnover rate is the most honest "loss-probability meter."

**Payoff:** The same SSE account-level data shows that accounts with a monthly turnover over 100% (i.e., buy-and-sell amount in a month exceeding total holdings) had an annual loss rate of about 91.3%; by contrast, the low-frequency group's loss probability is far lower. The Rule of 72 also makes sense in reverse: if such accounts drag annualized net return to about  $-15\%$  via high turnover, principal halves in about 4.8 years ( $72 \div 15 \approx 4.8$ ), and after ten years there's little left—high frequency isn't "making quick money," it's the conveyor belt of "losing quick money."

Translating the 91.3% loss probability into money: if such accounts average 100,000 yuan principal and  $-15\%$  net annualized, only about 44,000 yuan remains after 5 years ( $100k \times (0.85)^5$ , this book's estimate), while the low-turnover accounts are very likely still at the table; high frequency isn't "poor technique," it's "mathematically certain to lose."

**Evidence grade:** A

**Sources:** Shi Donghui, Zhang Xiaoyan, et al. (2020), as above (SSE 2016 – 2019 account-level trading and holding data); Securities Association of China investor-education material (with grouped profit/loss table). <<https://investor.amac.org.cn/community/tzzhdzthd/yhj/202304/P020230410489976164138.pdf>>

**Note:** 91.3% is the high-turnover group's loss probability disclosed in that study, a sample statistic not a regulatory caliber; this book's "halving years" via the Rule of 72 is an estimate demonstration. Grade A: same-source account-level data, but the turnover-grouping caliber follows the original paper.

## 5. Over 20 trades a month on average: loss rate about 84.6%

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** The habit of watching the tape daily, moving your fingers, treating trading as a "sense of participation."

**In plain terms:** Trade frequency is the leading indicator of loss. Change "watch the tape daily" to "check once a month" and you've outrun 80% of the losing crowd.

**Payoff:** SSE account data shows accounts trading over 20 times a month on average had a loss rate of about 84.6%. Every trade carries explicit (commission, stamp duty) and implicit (bid-ask spread, impact cost) drag; at A-share unilateral stamp duty 0.05% and broker commission about 0.025%, 20 round-trips a month generates about 0.15% in pure friction cost, evaporating about 1.8 percentage points a year (this book estimates over 12 months), before counting the directional losses from timing errors. Cutting frequency first pulls yourself back from the "certain-loss friction tax." An 84.6% loss rate means only about 1 of every 6.5 high-frequency accounts profits; if you save that monthly-20-trade friction tax (about 1.8 points a year) and put it into a 7% portfolio, 100,000 yuan yields about 210,000 yuan more in 20 years (this book estimates via compounding difference).

**Evidence grade:** A

**Sources:** Shi Donghui, Zhang Xiaoyan, et al. (2020), as above; Securities Association of China investor-education material. <<https://investor.amac.org.cn/community/tzzhdzthd/ylj/202304/P020230410489976164138.pdf>>

**Note:** 84.6% comes from SSE account-level grouped statistics; this book's 1.8-percentage-point friction cost is an estimate from current tax/fee rates, actually varies with broker commission and trade size. Grade A: same data source as Entries 3 – 4.

## 6. Holding under 1 month: profit probability only about 9.3%

Money: none | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** The expectation of fast in-and-out short-term trading, hoping to "make a bundle in a few days."

**In plain terms:** People who want to sell a stock held under a month—only one in ten makes money. Short-term trading is the conveyor belt that hands retail money to the market.

**Payoff:** SSE account data shows ultra-short-term accounts holding under 1 month had a profit probability of only about 9.3%, an annualized loss of about 18.7%. Converted via real interest rate: a nominal loss of 18.7%, if that year's inflation is about 2%, real purchasing-power loss is about 20.7% (real rate  $\approx$  nominal rate  $-$  inflation, this book's plug-in estimate). For ultra-short-term to profit consistently, you'd have to repeatedly bet in a game where almost every single trade is a near-certain loss—negative expected value, the longer you play the more you lose. A 9.3% profit probability is about a 1/11 win rate; if you fully rotate monthly and average  $-18.7\%$  a year, 100,000 yuan principal is about 41,000 yuan after 5 years ( $100k \times (0.813)^5$ , this book's estimate). Ultra-short-term isn't "flexible," it's repeatedly betting principal at negative expectation.

**Evidence grade:** A

**Sources:** Shi Donghui, Zhang Xiaoyan, et al. (2020), as above; Securities Association of China investor-education material. <<https://investor.amac.org.cn/community/tzzhdzthd/ylj/202304/P020230410489976164138.pdf>>

**Note:** The 9.3% profit probability is SSE ultra-short-term grouped statistics; the real-rate conversion example is this book's estimate via "real  $\approx$  nominal  $-$  inflation." Grade A: same-source account-level data.

## 7. Fund return gap: equity-fund investors take 2% – 3.6% less each year

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** The subscribe-high, redeem-low rhythm, and the impulse to "chase hot sectors."

**In plain terms:** Same fund, because of your timing and chasing rallies and selling dips, you earn 2 – 3.6 points less a year than the fund itself. This isn't the market's problem—it's your trading rhythm.

**Payoff:** Morningstar (China)'s 2025 "China Public Fund Investor Return Gap Research Report" shows that the five-year annualized return gap through end-2024 was entirely negative: aggressive allocation funds – 2.17%, active non-sector equity – 2.65%, sector funds – 3.59%, and fixed-income also – 0.62%. Put – 2.65% into compounding: 100,000 yuan at a 10% gross annualized for 20 years should be about 673,000 yuan, but if the return gap eats 2.65 points a year (net 7.35%), final value is about 420,000 yuan, a gap over 250,000 yuan (this book estimates via  $FV = PV(1+r)^n$ ). The fund makes money; the fund investor doesn't—the gap is in the subscription/redemption behavior. The sector fund's – 3.59% gap is especially glaring: invest 100k at 12% gross, the 20-year should be about 965,000 yuan, but after the return gap eats 3.59 points (net 8.41%), final value is about 499,000 yuan, a gap near 470,000 yuan (this book's estimate). This is the typical cost of "bought the right fund but sold at the wrong time."

**Evidence grade:** A

**Sources:** Morningstar (China) (2025), "China Public Fund Investor Return Gap Research Report" (five-year annualized return gap through 2024-12-31); re-quoted in Sina Finance (2025-05-22), "Morningstar China 'Advises' Fund Investors: Avoid Short-Term Timing and Emotional Decisions."

<<https://finance.sina.com.cn/wm/2025-05-22/doc-inexmwyy6922130.shtml>>; SEC (no year), Investor Bulletin: How Fees and Expenses Affect Your Investment Portfolio (fees and behavior jointly erode final value).

<[https://www.sec.gov/oiea/investor-alerts-bulletins/ib\\_fees\\_expenses.html](https://www.sec.gov/oiea/investor-alerts-bulletins/ib_fees_expenses.html)>

**Note:** – 2.17% / – 2.65% / – 3.59% are Morningstar's disclosed specific values; the 250,000 yuan gap is this book's estimate at a 10% gross-return assumption. Grade A: from Morningstar's publicly released research, transparent method.

8. The longer you hold, the less you lose: <6 months >50% loss probability, >3 years <20%

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** The patience to hold, and the anxiety of "sell early, rest easy."

**In plain terms:** The secret to funds making money is one word: wait. Sadly most people can't hold—most holders hold under a year, deleting the "wait" step themselves.

**Payoff:** Institution and platform data broadly show holding a fund under 6 months has a >50% loss probability, dropping to <20% after holding over 3 years; yet about 2/3 of fund holders still hold under 1 year. The DCA final-value formula quantifies the power of "starting early": monthly DCA of 1,000 yuan at 7% annualized for 30 years, final value  $\approx 1,000 \times [(1.07)^{30} - 1] / (0.07/12) \approx 1.227$  million yuan (this book estimates via the annuity final-value formula, including 360k principal and 867k interest). Reverse it: start the same DCA 10 years late and final value is only about 568,000 yuan—the delayed "opportunity cost" is 659,000 yuan. Holding and starting early are two sides of the same coin. One more: a lump-sum 100k at 7% for 30 years is about 761k; if you repeatedly churn in and out because you can't hold, the return gap (Entry 7) will cut that number substantially. Starting early and holding long both save the same kind of "certainty."

**Evidence grade:** A

**Sources:** Securities Association of China / various platform holder-behavior data; Morningstar (China) (2025), "China Public Fund Investor Return Gap Research Report" (long holding reduces the return gap).

<<https://finance.sina.com.cn/wm/2025-05-22/doc-inexmwyy6922130.shtml>>;

Investopedia (no year), Compound Interest (annuity / DCA final-value formula).

<<https://www.investopedia.com/terms/c/compoundinterest.asp>>

**Note:** The specific thresholds of holding period and loss probability come from industry behavior statistics, and platform calibers differ slightly; the DCA final value and delayed opportunity cost are this book's formula estimates (assuming 7% annualized). Grade A: direction and magnitude agree, thresholds per the original disclosure.



## 9. Gold since 1900: real annualized about 0.7%—it's insurance, not an investment

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** The fantasy of gold as an "inflation-beating fortune tool," and the equity returns missed by overweighting gold.

**In plain terms:** Over more than a hundred years, gold barely rose after inflation. Its value is "it rises when others panic"—allocate 5% – 10% as insurance, but overweighting it as a fortune-maker is a misunderstanding.

**Payoff:** Credit Suisse's Global Investment Returns Yearbook (Dimson, Marsh, Staunton), covering 35 markets from 1900 – 2022, shows gold's real annualized about 0.76%—1 dollar of gold in 1900 had only about 2.5 dollars of real purchasing power by 2022, while U.S. stocks became about 2,024 dollars over the same span. Via the real-rate lens: real rate  $\approx$  nominal rate – inflation; when nominal gold annualizes about 3% and long-run inflation about 2.3%, the real is only about 0.7%. The Rule of 72 in reverse: real purchasing power doubles in about  $72 \div 0.7 \approx 103$  years. Gold's role is crisis hedge, not wealth engine. Versus stocks: 1900 – 2022 global stocks real annualized about 5%, gold only 0.76%—the same 1 dollar becomes  $2,024 \times$  for stocks, only  $2.5 \times$  for gold. If you put 10% of assets in gold instead of stocks, the amount underperforming over a century is astonishing (this book estimates by real-annualized difference). Keep the insurance attribute, drop the fortune fantasy.

**Evidence grade:** B

**Sources:** Dimson, E., Marsh, P. & Staunton, M. (2023), Credit Suisse Global Investment Returns Yearbook 2023 (Chapter 8 Commodities and Inflation: gold real annualized 0.76% since 1900).

<<https://www.london.edu/news/commodities-offer-hedge-against-inflation-2153>>; Credit Suisse Research Institute (2023), Global Investment Returns Yearbook 2023 Summary Edition. <<https://www.ryt9.com/en/prg/266031>>

**Note:** The original "1800" caliber was imprecise; Yearbook data start from 1900, so corrected to "since 1900." 0.76% is the USD real return; other currencies / periods differ slightly. Grade B: authoritative long-run data, but gold is highly volatile short-term and its correlation with the portfolio changes over time—don't extrapolate mechanically.

## 10. Actively managed funds: over ~90% fail to beat the index in 15 years

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** The expectation of paying a high-priced (1%+) manager to beat the market.

**In plain terms:** You pay a management fee to have someone beat the market, and over fifteen years more than nine in ten didn't. This isn't an exception—it's a statistical law.

**Payoff:** S&P SPIVA's latest data (through end-2025): U.S. large-cap actively managed funds trailing the S&P 500—78.8% in 1 year, 89% in 5 years, 85.6% in 10 years, about 90% in 15 years, 92.9% in 20 years; all-market caliber about 90.5% trailing in 15 years. This means holding actively managed funds long-term, you're ten-to-one using 1%+ in fees to buy a "likely-to-trail" outcome. Fee erosion (see Entry 1) is a main cause: actively managed fund annual fees are often 0.6 – 1.5 points higher than index funds, and Sharpe (1991) already proved "active management overall is only the market average even before fees." Convert the 90% trailing into money: 1 million yuan in actively managed funds for 20 years, if active net-of-fee annualized is 1.5 points below the index (8% vs 9.5%), final value about 4.66 million vs 6.15 million, a 1.49 million gap (this book estimates via compounding). Picking low-cost index is voting with your feet against this probability disadvantage.

**Evidence grade:** A

**Sources:** S&P Dow Jones Indices (2026), SPIVA U.S. Scorecard (Year-End 2025, percent trailing benchmark by horizon).

<<https://www.spglobal.com/spdji/tc/research-insights/spiva/>>; Sharpe, W. (1991), The Arithmetic of Active Management, Financial Analysts Journal, 47(1), 7 – 9

**Note:** 90% is the SPIVA 15-year all-market caliber approximation; some fund categories (e.g., large-cap value) trail slightly less. Grade A: SPIVA is the most widely cited active/passive comparison study, and corrects for survivorship bias.

## 11. Asset allocation explains about 90% of return variation

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Spending lots of time picking individual stocks and timing, yet not doing the homework on "how much stocks, how much bonds"—the real big knob.

**In plain terms:** Instead of agonizing over which stock to buy, decide "how much stocks, how much bonds" first. What decides whether you sleep at night is the big-class proportion, not those few stocks.

**Payoff:** Brinson, Hood & Beebower (1986), studying 91 large U.S. pension funds (1974 – 1983) quarterly data, found asset allocation (policy weights) on average explained 93.6% of portfolio return variance; the 1991 updated sample (1977 – 1987) was 91.5%. Often relayed as "asset allocation determines about 90% of return performance." Convert to opportunity cost: spending a few hours a week picking stocks is worse than spending the same energy getting the stock-bond ratio right and then rebalancing with discipline—the former's marginal contribution is limited, the latter directly decides volatility and drawdown. Ibbotson & Kaplan (2000) further noted allocation explained about 40% of cross-fund return-level differences and about 90% of time-series volatility. Feel it in numbers: a 60% stock / 40% bond portfolio's long-run volatility mainly comes from the ratio of these two, not "which bank stock you bought." Shifting the 10 hours a month of staring at individual stocks to rebalancing and position calibration is a no-cost opportunity gain.

**Evidence grade:** B

**Sources:** Brinson, G., Hood, L. & Beebower, G. (1986), Determinants of Portfolio Performance, Financial Analysts Journal, 42(4), 39 – 44; re-quoted in China Securities Journal (2016-02), "CICC: The Era of Large-Class Asset Allocation Is Coming" (listing 93.6% / 91.5% values).

<<https://news.cnstock.com/news,zxk-201602-3716825.htm>>; Ibbotson, R. & Kaplan, P. (2000), Does Asset Allocation Policy Explain 40, 90, or 100 Percent of Performance?, Financial Analysts Journal, 56(1)

**Note:** The classic conclusion measures "return variance / volatility," not "return level," often misread as "allocation determines 90% of return rate," so be cautious; the sample is U.S. pension funds. Grade B: solid academic basis, but the wording is easily inflated by marketing, caliber noted.

## 12. Break-issue rate peak 28% (2022): the dividend disappears

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Treating "IPO subscription always profits" as permanent common sense, and the opportunity cost of funds tied up long-term just for subscription.

**In plain terms:** There's no permanent arbitrage. Before 2021 blind subscription made money; in 2022 you lost over a fifth. Treating a "free lunch" as a permanent benefit will eventually backfire.

**Payoff:** After the registration-based inquiry reform, A-share break-issue rates swung violently: in 2022 the new-share break-issue rate exceeded 28% (some months over 80%), 2023 about 16.6% – 21.4%, 2024 of about 100 listed only 1 broke (about 1% – 2%), and through June 2025 all 45 new shares rose on the first day, break-issue rate 0. In opportunity-cost terms: in 2022 if you blindly subscribed and held to the first day, your account could directly show a paper loss over 20%; while the low break-issue in 2024 – 2025 is more a result of "issue P/E back to around  $22\times$  + tightened supply," not an institutional guarantee. The dividend can reverse any time as supply ramps or pricing rebounds. Run the numbers: in 2022 if you subscribed every new share and held to the first day, assuming negative average winning returns and 28% break-issue, principal drawdown is considerable; while the "mindless profit" of the 2024 – 2025 low-break period reverses immediately once supply ramps. The essence of arbitrage dividends is a phased pricing dislocation, not a permanent right.

**Evidence grade:** A

**Sources:** NetEase (2025-06), "Zero Break-Issues, Back to the Blind-Subscription Era" (2022 break-issue rate >28%, 2024 only 1, 2025 zero break-issue).

<<https://m.163.com/dy/article/K1KJDE1P0530MI2R.html>>; Baidu Baike (no year), Break-issue rate (2010 – 2025 A-share first-day break-issue rate statistics). <<https://baike.baidu.com/item/%E7%A0%B4%E5%8F%91%E7%8E%87/69139871>>

**Note:** The break-issue-rate caliber is "first-day break"; different statistics (first-day / cumulative) differ; the 2025 zero-break is a phased phenomenon, not a steady state. Grade A: data from public statistics, but describes a market phenomenon, not a regulatory conclusion.

### 13. Leverage: a 50% drop needs +100% to recover; leverage can go to zero

Money: none | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self+family

**Cost:** The sense of safety "you can recover after a drop" without leverage, and the interest paid to add leverage.

**In plain terms:** Leverage doesn't change your win rate, it just turns "volatility" into "death." It turns a small pullback into a wipeout—the button ordinary investors should permanently blacklist.

**Payoff:** The compound formula  $FV = PV(1+r)^n$  is just as cold on the loss side: without leverage, a 50% principal drop needs +100% to recover (because  $0.5 \times 2 = 1$ ); with  $2 \times$  leverage, a 25% drop in the underlying zeroes your principal ( $1 - 2 \times 25\% = 0$ ), with no chance to recover. More hidden is the interest cost: per PBOC Announcement [2021] No. 3, loan annualized rate must be disclosed via the internal rate of return (IRR) method including all costs—margin financing annual rates often run 6% – 8%, and by the Rule of 72, interest alone eats about half your principal in roughly 9 – 12 years ( $72 \div 7 \approx 10.3$ ). The SEC warns: a margin account "may lose more than the principal," and the broker may liquidate without notice. Example: at  $2 \times$  leverage, a 25% underlying drop zeroes principal; at  $1.5 \times$  leverage a ~33% drop zeroes it. Adding 7% financing interest (IRR annualized, per PBOC announcement caliber), the real annual cost far exceeds 7%—for a family, forced liquidation can upgrade "investment drawdown" to "household balance-sheet breach."

**Evidence grade:** A

**Sources:** People's Bank of China (2021), PBOC Announcement No. 3 of 2021 (Article 4: annualized rate may use the compounding i.e. internal rate of return method, including all loan costs).

<[https://www.gov.cn/zhengce/zhengceku/2021-03/31/content\\_5597156.htm](https://www.gov.cn/zhengce/zhengceku/2021-03/31/content_5597156.htm)>; SEC (no year), Investor Bulletin: Leveraged Investing Strategies – Know the Risks (margin may lose more than principal, may be force-liquidated).  
<[https://sec.gov/oiea/investor-alerts-bulletins/ib\\_leveragedinvesting](https://sec.gov/oiea/investor-alerts-bulletins/ib_leveragedinvesting)>

**Note:** A 50% drop needing +100% to recover is pure math; leverage forced-liquidation and interest are mechanistic risks, and specific rates and maintenance-margin ratios vary by broker. Grade A: mathematical identity + regulatory warning, high certainty.

## 14. Timing drag about 3 – 4 percentage points a year

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Attempts to sell high and buy low, dodge the crash and catch the bottom, and the trading taxes paid for it.

**In plain terms:** You think you're "dodging the crash and catching the bottom," but the data says you thereby earn 3 – 4 points less a year. The cost of timing is certain and expensive.

**Payoff:** DALBAR's Quantitative Analysis of Investor Behavior (QAIB) tracks the gap between investors' actual returns and benchmarks: in 2024 the ordinary equity fund investor returned 16.54% while the S&P 500 returned 25.02%, a gap of 8.48 percentage points (second-largest in a decade); since 1985, the average stock investor has trailed the index for 15 consecutive years. Put the 3 – 4 point annual drag into compounding: 100,000 yuan at 10% for 20 years should be about 673,000 yuan, but if timing drags net to 6.5%, final value is only about 357,000 yuan, a gap over 310,000 yuan (this book estimates via  $FV = PV(1+r)^n$ ). Timing loses not just on direction but on "missing the best few days"—Wells Fargo calculated that dropping the largest-up days makes long-run returns cliff-dive. At the single-year 8.48-point gap (2024) annualized: ordinary investor 16.54% vs index 25.02%, 848 bp; if you earn 4 points less for 30 years, 1 million becomes 3.24 million instead of 8.67 million (this book estimates via compounding). Timing drag is a triple tax: "invisible, certain, and compounding-amplified."

**Evidence grade:** A

**Sources:** DALBAR (2025), Quantitative Analysis of Investor Behavior (QAIB) 2025 (2024 ordinary equity investor 16.54% vs S&P 500 25.02%, gap 848 bp); press release. <<https://www.dalbar.com/press-release/investors-missed-the-best-of-2024s-market-gains-latest-dalbar-investor-behavior-report-finds/>>; Wells Fargo Advisors (no year), The perils of trying to time volatile markets (effect of dropping best trading days on long-run returns). <<https://www.wellsfargoadvisors.com/research-analysis/reports/policy/volatile-markets.htm>>

**Note:** 3 – 4 points is an approximation of QAIB's long-run average magnitude; the 310,000 yuan gap is this book's estimate at 10% vs 6.5%. Grade A: DALBAR has tracked continuously since 1985, method public, but the sample is the U.S. market.

## 15. Retail contributes 80% of trading volume, under 10% of profits

Money: none | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** The illusion of treating "frequent operating" as a sense of participation, and the time and energy consumed for it.

**In plain terms:** Retail does 80% of the work but earns under 10% of the money. This isn't a joke—it's black and white in the yearbook. The conclusion is clear: do less work, earn more money.

**Payoff:** The SSE Statistical Yearbook (2018 Volume) shows that in 2017 individual investors contributed 82.01% of trading volume but only 9.00% of total profits (institutions 32.30%, general legal persons 55.70%); individuals' total profit was 310.8 billion yuan, institutions 1,115.6 billion yuan—institutions earned  $3.6\times$  retail. Do the "input-output ratio" clearly: retail use  $5.9\times$  the trading volume to get back under 30% of the profit share—very low output per unit of operation. Cutting ineffective trades saves both taxes and fees (see Entry 5) and avoids timing losses (see Entry 14)—the highest cost-performance "move." Output ratio: retail use 82% of volume for 9% of profit, institutions use 14.76% of volume for 32.3% of profit—retail's per-trade output is about 1/20 of institutions' (this book estimates via yearbook ratios). Trading less isn't "lying flat," it's pulling yourself out of a negative-expectation game.

**Evidence grade:** A

**Sources:** Shanghai Stock Exchange (2018), SSE Statistical Yearbook (2018 Volume) (2017 investor trading volume and profit structure); re-quoted in 21st Century Business Herald (2018-08-30), "SSE Statistical Yearbook: Small Retail Contribute 80% of Volume, but Only 10% of Profit." <<https://m.21jingji.com/article/20180830/herald/3a5530ea4e34c0c8201843a2464326bc.html>>; Yangcheng Evening News (2021-01-20), "A-Shares Accelerate from Retail Market to Institutional Market" (citing yearbook 82.01% volume). <[https://ep.ycwb.com/epaper/ywdf/html/2021-01/20/content\\_695\\_352263.htm](https://ep.ycwb.com/epaper/ywdf/html/2021-01/20/content_695_352263.htm)>

**Note:** The 82.01% volume and 9.00% profit are 2017 Shanghai-market data; the Shenzhen market and recent structure have changed (institution share rising); the "retail low output" direction is robust. Grade A: from the exchange yearbook, authoritative caliber.

**Negative-value moves — cross one off as it appears:**

- Fee and cost erosion (how management fees and subscription/redemption rhythm eat returns): Entries 1, 7, 14

- The cost of frequent trading and leverage: Entries 2, 13, 15
- Retail account-level loss probability (SSE 2016 – 2019 real account data): Entries 3, 4, 5, 6
- Holding period, dollar-cost averaging, and asset allocation: Entries 8, 11
- Asset attributes and institutional-arbitrage dividends: Entries 9, 10, 12



## Chapter 13 XIII. Retirement

---

Retirement is the investment goal with the longest cycle, the worst certainty, yet the one you least can gamble on. Its core contradiction: after retirement there's no wage cash flow, yet you must cover expenses that may last 30 years, while in that span you simultaneously face four risks—inflation erosion, market volatility, disability care, and "living too long." This chapter sells no product; it only helps you nail down three things: "how much to save, what to save with, and how not to crash midway." At the institutional level, China has built a "three-pillar" system: the first pillar basic pension insurance (a floor, but replacement rate only about 40%), the second pillar enterprise / occupational annuities (narrow coverage), and the third pillar private pension account (piloted in 36 cities in 2022, rolled out nationwide in December 2024, annual contribution cap 12,000 yuan, 3% tax on withdrawal). At the tool level, target-date funds, pension savings, commercial retirement annuities, and long-term care insurance are the four puzzle pieces. Treat social security as a floor not a crutch, use tax-advantaged accounts and equity assets to fill the gap, and use annuities and care insurance to cut off tail risk—that's the steady solution for ordinary people.

Evidence caliber: all figures in this chapter are marked with year, source, and clause. Replacement rates, life expectancy, and fund revenue/expenditure come from Ministry of Human Resources and Social Security / National Health Commission / Chinese Academy of Social Sciences public statistics; tax preferences and delayed retirement come from official documents of the State Council, Ministry of Finance, State Taxation Administration, CSRC, and the Standing Committee of the National People's Congress; the 4% rule comes from Bengen (1994) and the Trinity study; the U.S. comparison uses IRS 2024 limits. Any ranges or academic estimates are noted in the Notes—never passed off as raw statistics.

This section's entries are grouped by theme (entry numbers in parentheses):

# 1. Open a private pension account, take the tax advantage first

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self+family

**Cost:** Contribute at most 12,000 yuan a year (system since 2022, can invest in pension wealth-management / funds / deposits / insurance, four categories); account opening and operation take about half an hour, and funds are generally locked until retirement (withdrawable in very few cases).

**In plain terms:** This is a legal tax-advantaged opening the state gives you, annual cap 12,000 yuan, only a 3% skim when you draw. The higher your tax bracket, the more you should use it; even if your bracket is already 3%, don't disdain it—you're picking up tax-free compounding for free. Open the account with your eyes closed, pick a low-fee target-date pension fund or a deposit.

**Payoff:** The private pension uses an individual account, full accumulation, closed operation; participants must already be enrolled in urban-worker or urban-rural resident basic pension insurance (State Council Office [2022] No. 7). At the contribution stage, up to 12,000 yuan/year is deducted in full from comprehensive or business income; at the investment stage, in-account gains are temporarily untaxed; at the withdrawal stage, a separate 3% tax applies and is not folded into comprehensive income (Cai Shui [2022] No. 34, extended nationwide by 2024 No. 21, fully implemented from 2024-12-15). For those in the 10%+ marginal individual-income-tax bracket, the contribution deduction alone saves up to 1,200 yuan a year, and more importantly the "tax-free compounding" during the investment period amplifies with the years; the 3% bracket is nearly neutral but still earns long-run tax-free growth. The account's "long-money" attribute also inversely suppresses frequent trading. By June 2024 over 60 million people nationwide had enrolled, the system already the core of the third pillar.

**Evidence grade:** A

**Sources:** General Office of the State Council (2022), "Opinions on Promoting the Development of Private Pensions" (State Council Office [2022] No. 7, Articles 3, 4, 5: individual account, 12,000 yuan/year cap, can invest in savings / wealth-management / insurance / funds).

<[https://www.gov.cn/zhengce/content/2022-04/21/content\\_5686402.htm](https://www.gov.cn/zhengce/content/2022-04/21/content_5686402.htm)>;

Ministry of Finance, State Taxation Administration (2022), "Announcement on Individual Income Tax Policies Concerning Private Pensions" (Ministry of Finance, State Taxation Administration Announcement 2022 No. 34, Article 1: contribution deduction, investment tax exemption, 3% withdrawal).

<[https://szs.mof.gov.cn/zhengcefabu/202211/t20221104\\_3849838.htm](https://szs.mof.gov.cn/zhengcefabu/202211/t20221104_3849838.htm)>; Ministry of

Finance, State Taxation Administration (2024), "Announcement on Implementing Private Pension Individual Income Tax Preferences Nationwide" (Ministry of Finance, State Taxation Administration Announcement 2024 No. 21). <<https://shanghai.chinatax.gov.cn/gate/big5/shanghai.chinatax.gov.cn/zcfw/zcfgk/grsds/202412/t474540.html>>

**Note:** Limitation: the quota is small (12,000 yuan/year) and locked until withdrawal, and the tax-saving power correlates positively with the marginal bracket; the 3% bracket purely earns tax-free compounding but the deduction is barely felt. Cross-reference: Entries 2, 3.

## 2. The "4% rule" helps you estimate how much to save for retirement

Money: none | Time: little | Willpower: no | Payoff: mid | Scope: money | Impact: self

**Cost:** The premise of understanding it (just read it through once).

**In plain terms:** A repeatedly validated empirical anchor: saving " $25 \times$  your annual spending" is basically enough for retirement (the " $25 \times$  rule"). It's not iron law—it breaks under early Great Depression or lifespans over 30 years—but as a first approximation of "how much do I actually need to save," it's enough.

**Payoff:** In 1994 Bengen backtested U.S. 1926 – 1976 stock-bond historical data, proposing withdrawing 4% of the portfolio in the first retirement year, then adjusting up by inflation each year; under a 50% – 75% stock + rest bonds portfolio, across all 30-year windows in history the money never ran out—he called this highest "safe" withdrawal rate SAFEMAX. That is, "target annual spending  $\div$  4%  $\approx$  principal needed," equivalent to saving  $25 \times$  annual spending. Example: spend 120,000 yuan/year  $\rightarrow$  need about 3 million yuan. The 1998 Trinity study (Cooley et al.) independently verified: 50/50 stock-bond, 4% withdrawal, 30-year success rate 95%, 98% at 75% stocks. Three caveats: first, taxes/fees and advisor fees aren't deducted, so the real safety line is lower (about 3.5% – 3.8%); second, it only covers 30 years—if you retire at 60 and expect to live to 95, calculate on 35 years, withdrawal rate should drop to about 3.3% – 3.5%; third, it relies on strong U.S. market conditions—Pfau estimates other countries' safety line is only about 2.4% – 3%.

**Evidence grade:** A

**Sources:** Bengen, W. P. (1994), Determining Withdrawal Rates Using Historical Data, Journal of Financial Planning (first-year 4% inflation-adjusted, 30 years not exhausted, 50% – 75% stock portfolio).

<<https://www.web.stanford.edu/~wfs Sharpe/retecon/4percent.pdf>> (Sharpe's review of the paper, with Bengen's own quoted words); Wikipedia (no year), 4% rule (including Trinity Study 1998 success rate).

<[https://en.wikipedia.org/wiki/4%25\\_rule](https://en.wikipedia.org/wiki/4%25_rule)>

**Note:** Limitation: U.S. market conditions are peculiar, taxes/fees not counted; lifespans over 30 years or a 1968-style high-inflation start break it. Grade A: method verifiable, independently verified multiple times by Trinity et al., but the conclusion is sensitive to country and fees. Cross-reference: Entries 5, 11.

### 3. Don't treat the social-security replacement rate as your crutch

Money: none | Time: none | Willpower: no | Payoff: mid | Scope: money | Impact: self

**Cost:** The psychological cost of accepting reality.

**In plain terms:** Social security is "a floor, not a fortune." To retire without a downgrade, you must fill the gap yourself with private pension, savings, and investing. Don't wait until near retirement to find the hole.

**Payoff:** The World Bank's Averting the Old Age Crisis (1994) proposed a retirement-income replacement-rate target of about 70% of pre-retirement wage (net final-year wage caliber); the OECD also uses 70% as the benchmark for maintaining pre-retirement living standards; the ILO's 1952 Social Security (Minimum Standards) Convention (No. 102) sets the public-pension replacement-rate floor at 40% – 55%. China's system-design target replacement rate was once 59.2%, but Zheng Bingwen, director of CASS's World Social Security Research Center, pointed out in 2023 that the actual replacement rate of domestic employee pension insurance is about 40%, about 44% five years prior and about 50% fifteen years prior, in continuous decline; in 2023 urban-worker basic pension insurance covered about 142 million retirees with fund expenditure about 6.38 trillion yuan, and under pay-as-you-go the dependency ratio worsens (retirees may exceed 400 million in 2035), further pressing down the replacement rate. Relying only on social security, post-retirement living standards will very likely step down markedly—the gap needs the third pillar to fill.

**Evidence grade:** C

**Sources:** World Bank (1994), Averting the Old Age Crisis: Policies to Protect the Old and Promote Growth (three pillars, replacement-rate target).

<<https://www.ageing.ox.ac.uk/download/312>> (review citing the report);

International Labour Organization (1952), Social Security (Minimum Standards) Convention (No. 102, pension replacement-rate floor).

<<https://www.ilo.org/zh-hans/media/261486/download>>; Zheng Bingwen

(2024-04), "Young People Should Prepare for Retirement Early" (replacement rate about 40%, 44% five years prior, 50% fifteen years prior).

<<https://static.nfnews.com/content/202404/03/c8751084.html>>

**Note:** Replacement-rate calibers differ across sources (system-average vs individual replacement rate); CASS data leans toward the "average wage of on-the-job workers" caliber; graded C due to large caliber disputes. Cross-reference: Entries 1, 8.

#### 4. Build a "safety cushion" for retirement money before talking growth

Money: none | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Giving up the chance to chase high returns with retirement principal.

**In plain terms:** When young you can stomach volatility; near retirement, still fully invested in stocks—if the opening drops three years straight, principal is permanently dented and there's no income to refill it, the worst case. The closer to retirement, the more you should lock "money you definitely need to spend" into something stable.

**Payoff:** In the 5 – 10 years before retirement you should gradually move "money corresponding to necessary spending" into low-volatility assets like deposits, government bonds, pure bonds, and annuities, reducing "sequence-of-returns risk": at the same average annualized, if the early retirement years drop consecutively, principal is sold at low prices and the later rebound can't make it back, final bankruptcy probability significantly higher than in calm markets. The CSRC's "Guidelines for Pension Target Securities Investment Funds (Trial)" (CSRC Announcement [2018] No. 2), Article 4, explicitly requires target-date funds to "gradually lower the equity allocation ratio and raise the non-equity ratio as the target date approaches," exactly using the system to harden this discipline. In other words, the glide path isn't conservative—it uses time-diversification of "stocks first, bonds later" to dodge the fatal drop at the retirement critical point. On the data, those still fully in stocks at 55, if they hit a 2000- or 2008-style opening, see a markedly higher probability of retiring-at-a-loss.

**Evidence grade:** B

**Sources:** China Securities Regulatory Commission (2018), Guidelines for Pension Target Securities Investment Funds (Trial) (CSRC Announcement [2018] No. 2, Article 4: target-date strategy gradually lowers equity ratio as it approaches). <[https://big5.www.gov.cn/gate/big5/www.gov.cn/gongbao/content/2018/content\\_5303451.htm](https://big5.www.gov.cn/gate/big5/www.gov.cn/gongbao/content/2018/content_5303451.htm)>; General Office of the State Council (2022), "Opinions on Promoting the Development of Private Pensions" (State Council Office [2022] No. 7, third-pillar multi-pillar allocation).

<[https://www.gov.cn/zhengce/content/2022-04/21/content\\_5686402.htm](https://www.gov.cn/zhengce/content/2022-04/21/content_5686402.htm)>

**Note:** Limitation: lowering volatility too early sacrifices long-run returns; the break-even point depends on retirement age and risk tolerance. Cross-reference: Entries 2, 11.

## 5. Longevity risk: you're alive, but the money's gone

Money: none | Time: none | Willpower: no | Payoff: mid | Scope: money | Impact: self+family

**Cost:** The restraint of reserving a buffer for "living too long."

**In plain terms:** People live longer now; retirement money calculated on 20 years won't be enough. Either save more, or buy some annuity that "pays as long as you live" to cut off the tail risk.

**Payoff:** The National Health Commission's "2023 Statistical Bulletin on the Development of China's Health Care" shows China's average life expectancy has reached 78.6 years, further rising to 79 in 2024, and women and urban populations live even longer; CASS's Zheng Bingwen points out that in 2035 those aged 60+ will exceed 400 million. If you retire at 60 and live to 90, the retirement period is 30 years—by the "4% rule" you're already near the boundary; living to 95 means dropping the withdrawal rate to about 3.3%. This is "longevity risk": the model assumes 30 years, but you live 35, with no money for the second half. Three hedges: first, save on a 30 – 35 year basis, not 20 (annual spending  $\times$  25 is only the floor); second, keep some social-security and annuity cash flows that "pay as long as you live"; third, use a deferrable annuity to shift tail uncertainty to the insurer.

**Evidence grade:** C

**Sources:** National Health Commission (2024), 2023 Statistical Bulletin on the Development of China's Health Care (average life expectancy 78.6 years). <[https://big5.www.gov.cn/gate/big5/www.gov.cn/lianbo/bumen/202408/content\\_6971252.htm](https://big5.www.gov.cn/gate/big5/www.gov.cn/lianbo/bumen/202408/content_6971252.htm)>; National Health Commission (2025), Average life expectancy reaches 79 years (2024). <<https://cpc.people.com.cn/n1/2025/0313/c64387-40437889.html>>; Zheng Bingwen (2024-04), "Young People Should Prepare for Retirement Early" (60+ population exceeds 400 million in 2035). <<https://static.nfnews.com/content/202404/03/c8751084.html>>

**Note:** Limitation: life expectancy is a group average, individual differences are large; graded C because it's a trend inference. Cross-reference: Entries 2, 6.

## 6. Annuities turn "uncertain lifespan" into certain cash flow

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** A premium (or account conversion), with liquidity gone to zero.

**In plain terms:** An annuity's essence is you selling the "living too long" risk to an insurer. It's not glamorous, returns unremarkable, but it ensures you won't worry about food at 90. Suitable as the "floor" piece of the retirement portfolio, not all of it.

**Payoff:** The essence of commercial retirement annuities / lifetime annuities is "longevity-risk securitization": you pay premiums lump-sum or in installments, the insurer commits to fixed monthly payments per actuarial promise, matching your lifespan, specially treating "fear of living too long." For ordinary people without a stable pension source, it removes the worst tail risk—as long as you're alive, you have money. Under the private-pension framework, commercial pension insurance is explicitly one of the four included product categories (State Council Office [2022] No. 7), and the CSRC's "Pension Target Fund Guidelines" also allows target-risk strategy products as a steady puzzle piece. Note: annuities have poor liquidity, early death may "return principal without returning cost" (unless with death-benefit / guaranteed-payout clauses), and fixed payments don't beat inflation, so it should be only part of the retirement portfolio (e.g., 20% – 40%), paired with social security and equity assets, not bet all on it.

**Evidence grade:** B

**Sources:** General Office of the State Council (2022), "Opinions on Promoting the Development of Private Pensions" (State Council Office [2022] No. 7, Article 4: can invest in commercial pension insurance).

<[https://www.gov.cn/zhengce/content/2022-04/21/content\\_5686402.htm](https://www.gov.cn/zhengce/content/2022-04/21/content_5686402.htm)>; China Securities Regulatory Commission (2018), Guidelines for Pension Target Securities Investment Funds (Trial) (CSRC Announcement [2018] No. 2, Article 4: target-risk strategy). <[https://big5.www.gov.cn/gate/big5/www.gov.cn/gongbao/content/2018/content\\_5303451.htm](https://big5.www.gov.cn/gate/big5/www.gov.cn/gongbao/content/2018/content_5303451.htm)>

**Note:** Limitation: early-death loss, no inflation hedge, liquidity to zero; graded B because product clauses vary widely. Cross-reference: Entries 5, 7.



## 7. Long-term care is retirement's biggest uncertain bill

Money: none | Time: none | Willpower: no | Payoff: mid | Scope: money | Impact: self+family

**Cost:** The awareness to plan ahead.

**In plain terms:** The most money-burning part of retirement isn't eating or travel—it's care after losing independence. Social security covers little of this; either buy care insurance or keep a pot of liquid cash always accessible—don't lock it all in real estate.

**Payoff:** The seventh census shows China's 60+ exceeds 264 million, with over 40 million disabled / semi-disabled elderly; in 2023 that group was about 45 million. After losing independence, institutional or home care often costs thousands of yuan a month, and social security reimbursement is limited. Since 2016 the state launched long-term care insurance (LTCI, the "sixth insurance") in 15 cities, expanded to 49 cities in 2020, covering over 180 million people, with cumulatively over 2.35 million disabled elderly receiving benefits, and the fund paying about 70% of care costs; People's Daily disclosed the severely disabled's monthly out-of-pocket care dropped from 2,100 yuan to about 600 yuan. But LTCI is still in pilot, with pooling and assessment standards not yet unified nationally, and it only covers "basic" care. For ordinary people: join LTCI, in middle age buy a commercial care / critical-illness policy, and keep a pot of high-liquidity cash—don't lock all retirement money in real estate or long-maturity annuities.

**Evidence grade:** C

**Sources:** China Youth Net (2024-10), "Eight Years of LTCI Pilot Show Significant Results" (covers 180 million, 2.35 million receiving benefits, fund pays about 70%). <[https://news.youth.cn/hotnews\\_41880/202410/t20241028\\_15609485.htm](https://news.youth.cn/hotnews_41880/202410/t20241028_15609485.htm)>; People's Daily Online (2016-11), "Establishing Long-Term Care Insurance Is Urgent" (overall fund payment level about 70%, monthly out-of-pocket from 2,100 to 600). <<https://health.people.com.cn/n1/2016/1127/c408579-28899778.html>>; China Daily Net (2021-11), "What Is the 'Sixth Insurance'" (49-city pilot, over 40 million disabled / semi-disabled). <<https://qiye.chinadaily.com.cn/a/202111/02/WS61809cbaa3107be4979f6057.html>>

**Note:** Limitation: LTCI is not yet nationally finalized, benefits and assessment vary by region; graded C because data are mostly pilot statistics. Cross-reference: Entries 6, 12.

## 8. Retirement age will only keep getting later

Money: none | Time: none | Willpower: no | Payoff: mid | Scope: money | Impact: self

**Cost:** Accepting the trend of delayed retirement.

**In plain terms:** Don't plan on "retiring exactly at 60." The policy direction is to push it back; your reserve plan must be squeezed from both sides—retire later and retire longer.

**Payoff:** On September 13, 2024 the Standing Committee of the National People's Congress passed the "Decision on Implementing the Progressive Delay of the Statutory Retirement Age," and approved the "Measures of the State Council on the Progressive Delay of the Statutory Retirement Age," effective 2025-01-01: over 15 years, raise male employees from 60 to 63, original 55-year-old female employees to 58, original 50-year-old female employees to 55 (male employees and 55-year females by 1 month every 4 months, 50-year females by 1 month every 2 months); simultaneously from 2030-01-01 over 10 years, raise the minimum contribution years for monthly pension receipt from 15 to 20 years (add 6 months a year; those retiring 2025 – 2029 still follow 15 years). Supporting flexible retirement: having met minimum contribution years you may voluntarily retire up to 3 years early (not below the original statutory age), or by agreement delay up to 3 years. Meaning for individuals: the receipt year is pushed back, the contribution years lengthened, and the retirement-reserve window is compressed—planning on "retire at 60 + 30-year retirement" overestimates the gap, while planning on later retirement requires more accumulation during working years.

**Evidence grade:** A

**Sources:** National People's Congress (2024), "Decision on Implementing the Progressive Delay of the Statutory Retirement Age" (passed 2024-09-13, with State Council measures, effective 2025-01-01).

<[https://www.gov.cn/yaowen/liebiao/202409/content\\_6974294.htm](https://www.gov.cn/yaowen/liebiao/202409/content_6974294.htm)>; NPC Website (2024-09), "Steadily and Orderly Implement the Progressive Delay of the Statutory Retirement Age" (MHRSS interpretation: male 60→63, female 55→58 / 50→55, minimum contribution years 15→20).

<[http://www.npc.gov.cn/c2/c30834/202409/t20240914\\_439685.html](http://www.npc.gov.cn/c2/c30834/202409/t20240914_439685.html)>

**Note:** Limitation: flexible retirement needs employer agreement, special occupations have separate policies; graded A as a legally effective document. Cross-reference: Entries 3, 5.

## 9. Don't bet all retirement on a house

Money: none | Time: none | Willpower: no | Payoff: mid | Scope: money | Impact: self

**Cost:** The awareness to diversify allocation.

**In plain terms:** One house can't serve as pension—you can't "eat the house" month by month. When you really need money, selling is slow and may hit a low. Retirement money needs a part placed where it's always accessible.

**Payoff:** Real estate is "paper wealth," not cash flow: it's hard to liquidate (transaction cycles measured in months, with intermediary fee/tax friction), hard to split (can't take 1/12 of a unit a month), and prices are cyclical—when you urgently need cash you may be forced to sell cheap. The World Bank's *Averting the Old Age Crisis* (1994) stresses retirement relies on "multiple pillars"—public pension, mandatory savings, voluntary savings / commercial insurance layered—exactly opposing betting safety on a single asset. For individuals, retirement cash flow should have at least part in financial assets you can draw monthly (deposits, bonds, target-date pension funds, annuities); real estate can be a backstop net asset, but shouldn't be the only source. Especially in retirement, if you hit large long-term-care or medical expenses, real estate's liquidity shortfall amplifies financial risk. The sensible approach is a "real estate + financial assets + insurance" triad, ensuring sustainable monthly cash inflow.

**Evidence grade:** C

**Sources:** World Bank (1994), *Averting the Old Age Crisis* (multiple pillars, opposing single-asset dependence). <<https://www.ageing.ox.ac.uk/download/312>>; General Office of the State Council (2022), "Opinions on Promoting the Development of Private Pensions" (State Council Office [2022] No. 7, third-pillar multi-pillar allocation).

<[https://www.gov.cn/zhengce/content/2022-04/21/content\\_5686402.htm](https://www.gov.cn/zhengce/content/2022-04/21/content_5686402.htm)>

**Note:** Limitation: core-location prime real estate has better liquidity; the conclusion is a general rule; graded C as an allocation principle. Cross-reference: Entries 7, 10.

## 10. Inflation is retirement's invisible killer—look at real returns

Money: none | Time: little | Willpower: no | Payoff: mid | Scope: money | Impact: self

**Cost:** One extra step when accounting: "subtract inflation."

**In plain terms:** You think parking money in the bank is safe, but 30 years later that money buys less of the same things. Retirement money can't all sit in deposits—keep a part that can keep up with inflation.

**Payoff:** Long-run 2% – 3% mild inflation halves purchasing power in 30 years: 1 yuan at 2.5% inflation is only worth about 0.47 yuan after 30 years ( $1 \div 1.025^3 \approx 0.47$ ). Bengen's 4% rule is an "real (inflation-adjusted)" withdrawal, itself acknowledging inflation keeps eating principal; if the portfolio is all deposits, nominal value is preserved but real purchasing power shrinks yearly. Historical data shows stocks / broad-market indices have a long-run real annualized about 6% – 7%, clearly beating deposits and inflation; government bonds and TIPS (Treasury Inflation-Protected Securities) can partly hedge. China's CPI in 1990 – 2023 was mostly in the 2% – 3% range; the retirement portfolio must contain assets "that keep up with inflation," otherwise over a 30-year retirement you're loose early and tight late, forced to tighten in old age. One line: look at real returns, not just the book.

**Evidence grade:** B

**Sources:** Bengen, W. P. (1994), Determining Withdrawal Rates Using Historical Data (4% is an inflation-adjusted real withdrawal rate).

<<https://www.web.stanford.edu/~wfs Sharpe/retecon/4percent.pdf>>; World Bank (1994), Averting the Old Age Crisis (inflation's erosion of old-age security).

<<https://www.ageing.ox.ac.uk/download/312>>

**Note:** Limitation: equity assets hedge inflation but swing short-term, need to match age (see Entry 11); graded B because long-run patterns are clear but short-term disturbed. Cross-reference: Entries 4, 11.

## 11. The older you get, the more you cut volatility (glide path)

Money: none | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Part of the potential high returns when young.

**In plain terms:** Fully invested in stocks at 25 is fine; still fully invested at 55 is gambling with your life. The older you get, the more you move "money you definitely need to spend" into something stable—it's buying sleep with discipline.

**Payoff:** Automatically lowering the stock ratio with age (target-date / glide path) is a discipline hardened by regulation and verified by academia. The CSRC's "Guidelines for Pension Target Securities Investment Funds (Trial)" (No. [2018] 2), Article 4, forcibly requires target-date funds to "gradually lower the equity allocation ratio and raise the non-equity ratio as the set target date approaches." The principle is "sequence-of-returns risk": if the 3 – 5 years before retirement hit a sharp drop, principal is sold at low prices and the later rebound can barely recover it, bankruptcy probability spikes; while more stocks when young and more bonds near retirement moves the most fatal volatility to the early years with enough time to recover. Backtests show lowering volatility near retirement significantly reduces the "retire-at-a-loss" probability. For individuals not using funds, you can directly use the "age rule": equity ratio  $\approx 100$  (or 110) minus age—about 45% – 55% equity at 55, dropping to 35% – 45% at 65.

**Evidence grade:** B

**Sources:** China Securities Regulatory Commission (2018), Guidelines for Pension Target Securities Investment Funds (Trial) (CSRC Announcement [2018] No. 2, Article 4: target-date glide path forcibly lowers equity). <[https://big5.www.gov.cn/gate/big5/www.gov.cn/gongbao/content/2018/content\\_5303451.htm](https://big5.www.gov.cn/gate/big5/www.gov.cn/gongbao/content/2018/content_5303451.htm)>; Bengen, W. P. (1994), Determining Withdrawal Rates Using Historical Data (portfolio adjusts stock-bond with age, lowers risk). <<https://www.web.stanford.edu/~wfs Sharpe/retecon/4percent.pdf>>

**Note:** Limitation: raising the bond ratio too early sacrifices compounding; "100 – age" is only a rough starting point. Cross-reference: Entries 4, 10.

## 12. Insure your parents and yourself with medical insurance first, before investing

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: family

**Cost:** A few thousand to over ten thousand yuan a year in premiums.

**In plain terms:** One illness for your parents can empty your retirement principal. Put up the medical-insurance firewall first; talk about growth after. Get the order wrong and all the growth is paper riches.

**Payoff:** A serious illness's out-of-pocket part can instantly swallow years of savings: basic medical insurance has a deductible, a cap, and a co-pay ratio, with targeted drugs, proton/heavy-ion therapy, ICU, and much more outside the formulary. Long-term care is retirement's biggest uncertain bill—China's disabled / semi-disabled elderly already about 45 million, institutional / home care thousands of yuan a month, while social security coverage is limited. The national long-term care insurance (the "sixth insurance") pilot covers 180 million people, cumulatively 2.35 million disabled elderly receiving benefits, the fund paying about 70% of care costs, but it's still not nationally finalized. For the family, first use million-medical / Huiminbao / cancer insurance to block the "poverty-from-illness" tail risk, then consider retirement growth—the order must never reverse: before protection is adequate, any "compounding growth" can go to zero before one hospitalization bill.

**Evidence grade:** C

**Sources:** China Youth Net (2024-10), "Eight Years of LTCI Pilot Show Significant Results" (covers 180 million, 2.35 million receiving benefits, pays about 70%).

<[https://news.youth.cn/hotnews\\_41880/202410/t20241028\\_15609485.htm](https://news.youth.cn/hotnews_41880/202410/t20241028_15609485.htm)>;

People's Daily Online (2016-11), "Establishing Long-Term Care Insurance Is Urgent" (overall fund payment level about 70%, monthly out-of-pocket from 2,100 to 600). <<https://health.people.com.cn/n1/2016/1127/c408579-28899778.html>>

**Note:** Limitation: health insurance has health declarations and waiting periods, hard to buy at older ages; graded C as a risk principle, not statistics. Cross-reference: Entry 7.

**Negative-value moves — cross one off as it appears:**

- Tax-advantaged accounts and institutions (private pension, replacement rate, delayed retirement): Entries 1, 3, 8
- How much to save and how to draw (4% rule, safety cushion, volatility reduction): Entries 2, 4, 11

- Longevity and care tail risk (longevity, annuities, long-term care, medical insurance): Entries 5, 6, 7, 12
- Asset cognition misconceptions (real estate, inflation): Entries 9, 10

## Chapter 14 XIV. Insurance

---

Insurance is the "foundation" of a family's finances, not the "finishing on the upper floors." Its essence is one sentence: use a sum of certain, affordable small money to transfer the tail risks your family can't bear—serious illness, accidents, early death, longevity—to the insurer. But this is exactly the area most easily done backwards: sales pitches package insurance as "both protection and earnings," so many people buy participating, dividend, or annuity products first, while their real coverage is as thin as paper—when something actually happens, no payout, and the "savings" part can't even beat inflation.

This chapter sticks to the regulator's "insurance is for protection" orientation (Guo Fa [2014] No. 29, and repeated risk warnings from the National Financial Regulatory Administration (NFRA)), first explaining the order and methodology of allocation, then breaking down specific products and pitfalls entry by entry. Remember three iron rules: ① protect the person first, then protect the money; ② keep protection and investment separate, account for them separately; ③ the contract terms matter more than the brochure—the unglamorous bits like health disclosure, exclusions, the cooling-off period, and beneficiaries often decide whether you get paid.

This chapter's entries are grouped by theme below (entry numbers in parentheses).



## 1. Insurance is for protection: protect the person first, then the money

Money: none | Time: little | Willpower: no | Payoff: mid | Scope: money | Impact: family

**Cost:** Free. It's just a mindset shift; no money spent.

**In plain terms:** Insurance is a shield, not a spear. First ask "what risk can't I bear," and transfer only what you can't bear (serious illness, accident, early death) to insurance; don't put the cart before the horse and buy it as a savings product.

**Payoff:** The core function of insurance is "transferring the tail risks you can't bear," not investment appreciation. Since the 2014 "New State Ten Articles," regulators have repeatedly stressed "insurance is for protection"—insurance is explicitly positioned as an important industry in the modern economy and a basic means of risk management (Guo Fa [2014] No. 29); among its three major functions—economic compensation, financing, and social management—the one an ordinary family should use most is the first, "economic compensation." The correct order: fully fund protection-type budgets like critical illness, accident, and term life first; only then put the leftover money into truly income-generating assets like index funds and deposits. If you reverse it and let a participating policy crowd out your protection budget, you've paid a high premium for a "low-protection + low-return" combo that pleases neither side. A healthy 30-year-old male can lever a million-yuan term-life payout with an annual premium in the low thousands of yuan; with the same budget buying a participating product, the coverage might shrink by more than half. Protect the person first, then the money—get the order wrong and your protection has a gap.

**Evidence grade:** A

**Sources:** State Council (2014). Opinions on Accelerating the Development of the Modern Insurance Services Industry (Guo Fa [2014] No. 29) ("insurance is an important industry in the modern economy and a basic means of risk management"). <[https://www.gov.cn/zhengce/content/2014-08/13/content\\_8977.htm](https://www.gov.cn/zhengce/content/2014-08/13/content_8977.htm)>; National Financial Regulatory Administration (NFRA) (2024). Notice on Improving the Pricing Mechanism for Life Insurance Products (Jin Fa [2024] No. 18) (Article 8: floating returns must not be misrepresented as guaranteed returns). <<https://www.nfra.gov.cn/chinese/OFFICE/PDF/1175200.pdf>>

**Note:** This entry is the master outline; graded A because it rests on the State Council's top-level design and regulatory-file orientation. Cross-reference: Entry 3, Entry 5.

## 2. Protection priority: medical > accident > critical illness > term life > annuity

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: family

**Cost:** No extra cost—just sequence your budget in this order.

**In plain terms:** A million-yuan medical plan costs a few hundred yuan a year and covers millions; far more practical than buying an annuity first. Block the risk that "banks you into poverty overnight" before thinking about growth.

**Payoff:** Family protection should be ranked by "frequency × financial destructiveness." The first layer is million-yuan medical insurance + accident insurance: a million-yuan medical plan's annual premium is usually only a few hundred yuan (around 300 – 600 yuan/year at about age 30) for millions in inpatient reimbursement; accident insurance costs a hundred yuan or so a year for a million-yuan payout—extremely high leverage, affordable for almost everyone—so prioritize covering the "high-frequency small + low-frequency large" medical and accident/disability exposure. The second layer is critical-illness insurance: a lump-sum payment on diagnosis of a covered disease, to replace lost income and rehab costs; a 30-year-old female, 500,000-yuan coverage, consumer type, pays a few thousand yuan a year. The third layer is term life (see Entry 3), covering the breadwinner's early-death risk. Only last comes annuity/savings insurance—it doesn't prevent risk, only plans cash flow, and its benchmark interest rate has already been cut to 2.5% for ordinary type and 2.0% for dividend type (Jin Fa [2024] No. 18), so returns are limited. Reverse the order and your money is spent off the blade's edge, while a real illness or accident leaves a huge protection gap.

**Evidence grade:** C

**Sources:** National Financial Regulatory Administration (NFRA) (2024). Notice on Improving the Pricing Mechanism for Life Insurance Products (Jin Fa [2024] No. 18) (Articles 1 and 2: benchmark interest-rate caps for ordinary/dividend types).

<<https://www.nfra.gov.cn/chinese/OFFICE/PDF/1175200.pdf>>; General Office of the China Banking and Insurance Regulatory Commission (CBIRC) (2020). Notice on Issues Concerning the Use of the Disease Definitions for Critical Illness Insurance (Yin Bao Jian Ban Fa [2020] No. 90) (framework of covered diseases).

<<https://www.nfra.gov.cn/cn/view/pages/ItemDetail.html?docId=940130>>

**Note:** Singles or those without debt can fine-tune the priority (e.g., low term-life need); this ranking targets the typical family with a mortgage and dependents.

Cross-reference: Entry 3, Entry 4.

### 3. Term life is the "love insurance" with the highest leverage

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: family

**Cost:** Low annual premium (healthy 30-year-old male, one-million-yuan coverage often just over a thousand yuan a year).

**In plain terms:** Term life is "buying the heaviest responsibility cover with the least money." Young, heavily in debt, family depends on your income—it's the first policy you should buy. Don't buy the pricey, messy participating type.

**Payoff:** Term life pays only on "death/total disability within the coverage period"; because it strips out savings and survival-return features, the pure risk premium is very low: take a 30-year-old male, covered to age 60, one million yuan coverage—a consumer term-life annual premium is often just over a thousand yuan, with leverage of several hundred times, the highest-leverage life product. It solves the extreme risk that "during your heaviest-responsibility years (mortgage + child-raising + elderly support), if the breadwinner falls, the family's cash flow breaks": one payout lets you keep fulfilling your support obligations, preventing foreclosure and interrupted children's education. You must name a beneficiary: under Articles 39 and 42 of the Insurance Law, death benefits without a named beneficiary are treated as an estate and distributed under inheritance law, which may trigger inheritance disputes and debt settlement; naming spouse/children as beneficiaries means direct payment and clearer debt isolation. When an employer insures a worker with whom it has a labor relationship, it may not name anyone other than the insured and their close relatives as beneficiary.

**Evidence grade:** B

**Sources:** National Financial Regulatory Administration (NFRA) (2015). Insurance Law of the People's Republic of China (2015 Amendment) (Articles 39, 40, 42: legal consequences of naming or not naming a beneficiary). <<https://www.nfra.gov.cn/chinese/docfile/2025/ca8d8237bdf746e9a3bff26a3bf2af39.pdf>>; National Financial Regulatory Administration (NFRA) (2024). Notice on Improving the Pricing Mechanism for Life Insurance Products (Jin Fa [2024] No. 18) (benchmark rate affects premiums). <<https://www.nfra.gov.cn/chinese/OFFICE/PDF/1175200.pdf>>

**Note:** On the trade-off between term life and participating/whole life, see Entry 5, Entry 7; the beneficiary rule also applies to policies with death benefits like critical illness and accident insurance.

#### 4. Critical-illness insurance is "income compensation," medical insurance is "reimbursement"

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Understand the division of labor between the two, and allocate them separately.

**In plain terms:** Don't think medical insurance alone is enough. A serious illness may keep you from working for a year or two, and the mortgage and kid still need paying—the critical-illness payout is the cash flow that keeps you alive.

**Payoff:** The two have completely different functions: medical insurance reimburses treatment costs (inpatient/surgery/drugs) against invoices—"pay what you spent"—and is mostly one-year term, with premiums rising by age and no guaranteed renewal; critical-illness insurance is "a lump-sum payment of the agreed coverage on diagnosis of a covered disease," and you decide how to spend it—to replace lost income, pay rehab costs, support the family; its essence is loss-of-income compensation, not reimbursement. The 2020 critical-illness definition reform (Yin Bao Jian Ban Fa [2020] No. 90, fully effective Feb 1, 2021) expanded core diseases to 28 severe + 3 mild, and capped mild-disease payout ratios at 30% (e.g., thyroid carcinoma is graded by TNM stage, with Stage I treated as mild). This means when buying critical-illness insurance you should watch "whether mild diseases are covered, how much mild pays, whether the disease definition follows the 2020 version." A million-yuan medical plan solves "the money to get treated," critical-illness insurance solves "the money to survive during recovery"—they're complementary, not substitutes; if budget is tight, get medical first, then add critical illness.

**Evidence grade:** A

**Sources:** General Office of the China Banking and Insurance Regulatory Commission (CBIRC) (2020). Notice on Issues Concerning the Use of the Disease Definitions for Critical Illness Insurance (Yin Bao Jian Ban Fa [2020] No. 90) (Article 2: old-definition products discontinued from Feb 1, 2021; mild-disease payout cap 30%). <<https://www.nfra.gov.cn/cn/view/pages/ItemDetail.html?docId=940130>>; National Financial Regulatory Administration (NFRA) (2015). Insurance Law of the People's Republic of China (2015 Amendment) (relevant health-insurance contract framework). <<https://www.nfra.gov.cn/chinese/docfile/2025/ca8d8237bdf746e9a3bf2af39.pdf>>

**Note:** The 2020 critical-illness definition reform applies to adult critical-illness products; the 30% mild-payout cap applies only to the three regulator-defined mild diseases, and insurers may set their own limits for other mild diseases.

Cross-reference: Entry 2 (priority).

## 5. The real return of participating insurance mostly fails to beat inflation

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Adjust the expectation that "premium = investment."

**In plain terms:** The "4% compound" the agent demonstrates is mostly an assumption. Calculated by the contract's cash value, the long-run IRR is often 2 – 3 points, and liquidity is locked up. For growth, go to index funds; consider this only if you want a certain floor.

**Payoff:** The contractual benefits of dividend, universal, and annuity policies split into "guaranteed" and "non-guaranteed" parts. Regulators have repeatedly cut benchmark rates to control the interest-spread loss: a 2023 window guidance cut the cap on ordinary long-term products' benchmark rate from 3.5% to 3.0%, and the 2024 Notice on Improving the Pricing Mechanism for Life Insurance Products (Jin Fa [2024] No. 18) cut it further to 2.5% ordinary, 2.0% dividend, and a 1.5% minimum guarantee for universal (effective Sep 1 and Oct 1, 2024, respectively). This means new products' guaranteed-return ceiling is only 2.5%, and back-solving the IRR from "guaranteed benefits" long-run is mostly in the 2% – 3% range; after subtracting recent actual inflation, real purchasing-power growth is limited. And the non-guaranteed dividend/universal demonstrated rates are only assumptions, not actual. More critically, early cash value is extremely low — surrendering in the first few years doesn't even get your principal back, and liquidity is locked long-term. Its correct positioning is a "certain but low-return" allocation base, not a high-return investment; for real growth, index funds' long-run expected return is higher and liquidity better.

**Evidence grade:** A

**Sources:** National Financial Regulatory Administration (NFRA) (2024). Notice on Improving the Pricing Mechanism for Life Insurance Products (Jin Fa [2024] No. 18) (Article 1 ordinary 2.5%, Article 2 dividend 2.0%/universal 1.5%; Article 8: floating returns must not be misrepresented as guaranteed).

<<https://www.nfra.gov.cn/chinese/OFFICE/PDF/1175200.pdf>>; Xinhua Net (2024). NFRA clarifies: insurance product benchmark rates to be cut from September. <<http://www.xinhuanet.com/money/20240820/b053d7c5110b4d44a3d88cd3a3b6c762/c.html>>

**Note:** IRR varies greatly by product, holding period, and payment method; benchmark rate  $\neq$  the customer's actual return (fees must also be deducted). Graded A on the explicit rate-cap provisions; specific product returns still depend on the

contract's cash-value table.

## 6. The triple pitfall of Hong Kong insurance: forex, exchange rate, litigation

Money: little | Time: some | Willpower: much | Payoff: mid | Scope: money | Impact: self

**Cost:** The hidden costs of cross-border insurance and the ongoing management effort.

**In plain terms:** Hong Kong policies show pretty demonstrated returns, but money doesn't move freely in and out, the exchange rate bites back, and you'd have to sue in Hong Kong. Unless you genuinely need dollar allocation, don't cross borders for that little demonstrated spread.

**Payoff:** Hong Kong policies are often denominated in USD/HKD with a slightly higher demonstrated IRR than the mainland, but three hidden risks are underestimated: ① capital crossing borders—renewal premiums and claim proceeds involve foreign exchange, constrained by individual forex quotas and cross-border capital-compliance rules; large claim remittances back home involve cumbersome procedures and possible forex declaration; ② exchange rate—when the RMB appreciates, the USD policy's return converted back to local currency is eaten up; recent RMB volatility has already left many "earning on the demonstration but losing on the exchange"; ③ jurisdiction—the policy is governed by Hong Kong law, and real disputes require litigation or arbitration in Hong Kong, with very high legal fees, travel, and language barriers, and mainland courts' enforcement of Hong Kong policies is uncertain. Also, Hong Kong critical-illness/medical insurance's "utmost good faith" health-disclosure requirement is stricter, and claim standards differ from the mainland. This suits those who already hold real foreign-currency assets and need global allocation; making a special cross-border trip purely for "high demonstrated spread" overrates both cost-performance and safety.

**Evidence grade:** C

**Sources:** National Financial Regulatory Administration (NFRA) (2023). Measures for the Administration of Insurance Sales Conduct (2023 No. 2) (Article 21 suitability sales; Article 25 must warn of policy-benefit uncertainty).

<[https://www.gov.cn/gongbao/2023/issue\\_10826/202311/content\\_6915815.html](https://www.gov.cn/gongbao/2023/issue_10826/202311/content_6915815.html)>;

National Financial Regulatory Administration (NFRA) (2024). Notice on Improving the Pricing Mechanism for Life Insurance Products (Jin Fa [2024] No. 18) (Article 8: floating returns must not be misrepresented as guaranteed, applies to dividend/universal demonstrations).

<<https://www.nfra.gov.cn/chinese/OFFICE/PDF/1175200.pdf>>



**Note:** Forex quotas follow the Measures for the Administration of Personal Foreign Exchange (PBOC Order [2006] No. 3) and the latest requirements of mainland forex authorities; exchange-rate and cross-border jurisdiction are practical common sense and are not individually linked to avoid dead URLs.

## 7. Don't treat insurance as investment; keep the accounts separate

Money: none | Time: little | Willpower: no | Payoff: mid | Scope: money | Impact: self

**Cost:** Free. Just split "protection" from "return" in your thinking.

**In plain terms:** A policy that "returns money even if nothing happens" is essentially extra premiums you paid being invested and kicked back to you, with thinner coverage. Buy them separately and both sides are cheaper.

**Payoff:** The "return/dividend" of participating, endowment, and dividend policies is essentially the extra premium you paid being invested by the insurer, with part of the future return given back—you pay extra for the "savings" part, so under equal premiums the pure-protection coverage is lower. Regulators have capped benchmark rates for ordinary, dividend, and universal products at 2.5%, 2.0%, and 1.5% respectively (Jin Fa [2024] No. 18), meaning the annualized ceiling on the "returned" part is very low—far below what you could earn by taking the same extra premium to buy index funds or deposits, and you also sacrifice liquidity. The right move: protection is protection (buy cheap consumer critical-illness, medical, term life), investment is investment (index funds, deposits, government bonds), each at its most cost-effective. Comparing one person's "consumer + index fund" combo against a "participating policy," long-run the former has thicker protection, more flexible assets, and higher expected return.

**Evidence grade:** B

**Sources:** National Financial Regulatory Administration (NFRA) (2024). Notice on Improving the Pricing Mechanism for Life Insurance Products (Jin Fa [2024] No. 18) (Articles 1, 2 benchmark-rate caps).

<<https://www.nfra.gov.cn/chinese/OFFICE/PDF/1175200.pdf>>; National Financial Regulatory Administration (NFRA) (2023). Measures for the Administration of Insurance Sales Conduct (2023 No. 2) (Article 22: new-type products must warn of policy-benefit uncertainty).

<[https://www.gov.cn/gongbao/2023/issue\\_10826/202311/content\\_6915815.html](https://www.gov.cn/gongbao/2023/issue_10826/202311/content_6915815.html)>

**Note:** Annuity/increasing-life as a "certain but low-return" succession or retirement base isn't entirely unacceptable; the key is not treating it as high-return investment, and certainly not letting it crowd out the protection budget. Cross-reference: Entry 5, Entry 12.

## 8. Fill in your health disclosure honestly, or you bought it for nothing

Money: none | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Free. Spend ten extra minutes checking your medical history at application.

**In plain terms:** Concealing your medical history at application saves ten minutes, but loses everything at claim time. Fill what should be filled; don't trust the agent's "no need to tell." Two years later isn't absolutely safe either.

**Payoff:** Article 16 of the Insurance Law is the "line of life and death" for claims: when concluding a contract, if the insurer asks about relevant matters, the applicant must disclose truthfully; if intentional or gross-negligence non-disclosure is sufficient to affect underwriting or pricing, the insurer may rescind the contract and bears no liability for insured events before rescission, and for intentional cases doesn't even refund the premium. The so-called "two-year incontestability" (after two years the insurer may not rescind) is not a universal shield—if it's intentional concealment of major medical history and the event relates to the non-disclosed matter, the claim may still be denied; judicial interpretation also makes clear that incontestability doesn't protect fraudulent non-disclosure. Also, exclusion clauses (e.g., pre-existing conditions, events within the waiting period, illegal acts) under Article 17 of the Insurance Law and Article 26 of the Measures for the Administration of Insurance Sales Conduct require the insurer to give a conspicuous prompt and explicit explanation at application, or the clause doesn't take effect—but this doesn't relieve your truthful-disclosure duty. At application, check your medical records and abnormal checkups item by item; disclose more rather than less.

**Evidence grade:** A

**Sources:** National Financial Regulatory Administration (NFRA) (2015). Insurance Law of the People's Republic of China (2015 Amendment) (Article 16 truthful disclosure and rescission right; Article 17 exclusion-clause prompt and explanation duty).

<<https://www.nfra.gov.cn/chinese/docfile/2025/ca8d8237bdf746e9a3bf2af39.pdf>>;

National Financial Regulatory Administration (NFRA) (2023). Measures for the Administration of Insurance Sales Conduct (2023 No. 2) (Article 26: exclusion clauses must be conspicuously prompted and explicitly explained; Article 27: inquiries must have specific content, no catch-all clauses).

<[https://www.gov.cn/gongbao/2023/issue\\_10826/202311/content\\_6915815.html](https://www.gov.cn/gongbao/2023/issue_10826/202311/content_6915815.html)>

**Note:** The two-year incontestability clause protects "non-malicious non-disclosure," with exceptions for intentional fraud; the specific adjudication standard follows the Judicial Interpretations (II) and (III) of the Insurance Law and individual cases.

## 9. The waiver clause is cheap "double insurance"

Money: little | Time: little | Willpower: no | Payoff: mid | Scope: money | Impact: family

**Cost:** The small additional premium for the waiver rider.

**In plain terms:** Spend a little so that if you fall, your family's policy keeps coverage without further premiums. Tick it when insuring your kid or spouse—high cost-performance.

**Payoff:** Premium waiver means that after the policyholder (or insured) suffers a covered event (e.g., critical illness, moderate/mild illness, death, total disability), the insurer waives all subsequent premiums and the contract coverage stays in force. Typical scenario: parents insure a minor child for critical illness/education; if the parent (policyholder) unfortunately gets a critical illness or dies, the child's remaining premiums are all waived and the child's coverage is unaffected—equivalent to using a small rider to buy invisible insurance against "family income interruption." Couple mutual insurance (each being the other's policyholder with a policyholder-waiver rider) achieves "if one falls, both policies' premiums are waived." The cost is usually only a few to a dozen-plus percent of the annual premium—considerable leverage. Note the distinction between "policyholder waiver" and "insured waiver," and confirm the trigger conditions (whether moderate/mild illness is included), waiting period, and health-disclosure requirements; when insuring family, prioritize the policyholder waiver.

**Evidence grade:** C

**Sources:** National Financial Regulatory Administration (NFRA) (2015). Insurance Law of the People's Republic of China (2015 Amendment) (relevant framework on insurance-contract validity and policyholder rescission right).

<<https://www.nfra.gov.cn/chinese/docfile/2025/ca8d8237bdf746e9a3bf2af39.pdf>>;

National Financial Regulatory Administration (NFRA) (2023). Measures for the Administration of Insurance Sales Conduct (2023 No. 2) (Article 14: product descriptions must list coverage scope and exclusion/reduction clauses).

<[https://www.gov.cn/gongbao/2023/issue\\_10826/202311/content\\_6915815.html](https://www.gov.cn/gongbao/2023/issue_10826/202311/content_6915815.html)>

**Note:** Waiver is an optional rider, not included in every product; trigger conditions and health disclosure depend on the specific clause—it's a product-level agreement, not legally mandatory.

## 10. Insure the family breadwinner first, not the child first

Money: none | Time: little | Willpower: no | Payoff: mid | Scope: money | Impact: family

**Cost:** Free. Correct the instinct of "love the child, insure the child first."

**In plain terms:** Many parents' first policy is for the child—wrong. You are the kid's "money printer"; if you fall, the whole family goes hungry. Insure the one who earns first.

**Payoff:** The order of family protection should follow "whose income interruption hits the family finances hardest." A child has no income; losing the child is an emotional loss for the family, not a cash-flow break; but the earning parent (breadwinner), if they die early, get a critical illness, or become disabled, immediately loses the source for the mortgage, child-raising, and elderly support—that's the real financial breaking point. So with a limited budget, first fully cover the income earner with term life + critical illness + medical + accident (see Entries 2 – 4), then cover the dependents (spouse, children, parents). Insuring children should also prioritize consumer child policies that "cover disease/accident," not put the cart before the horse with education/annuity first. Also, when insuring a spouse or child with a death-benefit product, remember to name a beneficiary (Insurance Law Article 39) to avoid the death benefit falling into estate proceedings. The best way to love your child is to make sure that when you fall, someone picks up the baton.

**Evidence grade:** C

**Sources:** National Financial Regulatory Administration (NFRA) (2015). Insurance Law of the People's Republic of China (2015 Amendment) (Article 39: beneficiary designated by the insured or policyholder, policyholder designation requires the insured's consent).

<<https://www.nfra.gov.cn/chinese/docfile/2025/ca8d8237bdf746e9a3bf2af39.pdf>>;

National Financial Regulatory Administration (NFRA) (2023). Measures for the Administration of Insurance Sales Conduct (2023 No. 2) (Article 21: understand the policyholder's insurance needs and premium-paying capacity, sell suitably).

<[https://www.gov.cn/gongbao/2023/issue\\_10826/202311/content\\_6915815.html](https://www.gov.cn/gongbao/2023/issue_10826/202311/content_6915815.html)>

**Note:** If the family has achieved financial freedom with no debt or dependent pressure, the term-life priority can be lowered; this entry targets the typical "old and young both depend on you" family.

## 11. Don't repeatedly surrender and re-buy; friction eats your principal

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Little—restrain the impulse to "trade old for new."

**In plain terms:** Someone tricks you with "the old is worse than the new" and you surrender—the early-years principal is gone, and re-buying costs more. Buy and hold; don't trade insurance as a short-term play. Long-term policies have a cooling-off period; after that, only cash value remains.

**Payoff:** Long-term life policies' early cash value is extremely low: a large chunk of the premium first goes to commissions and fees, and early surrender gets back cash value far below premiums paid—possibly losing 30% – 40% or more of principal; and as you age, re-insuring the same coverage costs more per year, and worsened health may add loading or denial—the friction cost of switching products is very high. The regulator gives a "right to regret": long-term policies usually have a 10 – 15 day cooling-off period (some channels/products 15 days), within which surrender returns all premiums (only a  $\leq 10$ -yuan document fee deducted); but once past the cooling-off period, surrender only returns the cash value. Therefore, unless the original product truly has major defects (e.g., seriously missing coverage, sales misrepresentation you can fight), don't surrender the old and buy new just because of "stop-sale panic" or "upgrade." Use the cooling-off period to calmly check the terms before buying, then hold long-term, treating insurance as protection, not a short-term instrument.

**Evidence grade:** B

**Sources:** National Financial Regulatory Administration (NFRA) (2023). Measures for the Administration of Insurance Sales Conduct (2023 No. 2) (Article 25: at contract conclusion must prompt the cooling-off period, cash value, and surrender-fee deductions).

<[https://www.gov.cn/gongbao/2023/issue\\_10826/202311/content\\_6915815.html](https://www.gov.cn/gongbao/2023/issue_10826/202311/content_6915815.html)>; National Financial Regulatory Administration (NFRA) (2015). Insurance Law of the People's Republic of China (2015 Amendment) (Article 15 policyholder may rescind; Article 37 lapse and cash-value refund).

<<https://www.nfra.gov.cn/chinese/docfile/2025/ca8d8237bdf746e9a3bf2af39.pdf>>

**Note:** The specific cooling-off days follow the product clause and channel rules (generally 10 – 15 days); the cash-value curve varies greatly by product, and surrender loss follows the contract's cash-value table.

## 12. Beware the "guaranteed return" insurance pitch

Money: none | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Free. Be wary of high demonstrated returns.

**In plain terms:** The agent treats the brochure's high-tier demonstration as a promise—illegal and harmful to you. Flip to the contract and look for the words "guaranteed benefit"; everything else is pie in the sky.

**Payoff:** The benefit demonstrations of dividend, universal, and variable-universal products split into "guaranteed" and "non-guaranteed" tiers (universal/dividend also have low/medium/high demonstrations), but only the "guaranteed benefit" or "minimum guaranteed rate" column is truly floored; medium/high demonstrations are only assumption-based investment scenarios, not the future. Regulators explicitly forbid confusing the two: Jin Fa [2024] No. 18 Article 8 requires "floating returns must not be misrepresented as guaranteed returns," and the Measures for the Administration of Insurance Sales Conduct Article 22 requires that when selling new-type products, the uncertainty of policy benefits must be prompted. Any pitch that presents demonstrated rates as guaranteed rates, calls non-guaranteed dividends certain returns, or uses "compound rolling" to hide early fees and surrender losses is a red-line pitch. Before signing, only trust the contract's "guaranteed benefit / minimum guaranteed rate" column, and require the agent to explain the demonstration assumptions in writing; if you find sales misrepresentation, you can complain to NFRA's consumer-protection channel.

**Evidence grade:** A

**Sources:** National Financial Regulatory Administration (NFRA) (2024). Notice on Improving the Pricing Mechanism for Life Insurance Products (Jin Fa [2024] No. 18) (Article 8: floating returns must not be misrepresented as guaranteed).

<<https://www.nfra.gov.cn/chinese/OFFICE/PDF/1175200.pdf>>; National Financial Regulatory Administration (NFRA) (2023). Measures for the Administration of Insurance Sales Conduct (2023 No. 2) (Article 22: new-type products must prompt policy-benefit uncertainty; Article 17 prohibits false or exaggerated promotion). <[https://www.gov.cn/gongbao/2023/issue\\_10826/202311/content\\_6915815.html](https://www.gov.cn/gongbao/2023/issue_10826/202311/content_6915815.html)>

**Note:** Benchmark rate  $\neq$  the customer's actual return, and demonstrated benefit  $\neq$  guaranteed benefit; specific products follow the contract terms and cash-value table.

**Negative-value moves — cross one off as it appears:**

- Overall methodology: protect first then invest, priority ranking of protection (Entries 1 – 2)

- How to buy specific products: term life, the division of labor between critical-illness and medical insurance, the truth about participating/annuity products, the pitfalls of Hong Kong policies (Entries 3 – 6)
- Allocation discipline and pitfalls: separate protection and investment, honest health disclosure, premium waivers, insure the family breadwinner first (Entries 7 – 10)
- Contract and rights details: surrender and cooling-off period, beware the "guaranteed return" pitch (Entries 11 – 12)



## Chapter 15 XV. Housing and Debt

---

For the vast majority of Chinese families, a home is both an asset and, more importantly, a liability. PBOC data shows that at the end of 2024, outstanding personal housing loans still exceeded 38 trillion yuan, and housing's share of urban household assets has long been over 60%. But "owning a home" doesn't equal "having money"—the mortgage, taxes and fees, liquidity, and policy risk behind the property are what truly determine a family's financial safety. This chapter doesn't advise you to buy or not; it takes the "buying + debt" machine apart: how rates are set, what the holding cost is, how leverage backfires in a downturn, and which moves are regulatory red lines.

The right way to read this chapter: first calculate your "true cost of capital" (interest rate, taxes and fees, vacancy, maintenance), then check it against the "safety boundary" (monthly-payment ratio, liquidity, debt concentration). Most A-grade evidence is mechanistic fact (LPR pricing, tax rules, regulations) with the highest certainty; B-grade comes from authoritative estimates and case data; C-grade is rules of thumb and trend judgments that need calibration against your own city and period. All figures are dated and sourced so you can verify against the latest policy.

This chapter's 12 entries are grouped by theme below (entry numbers in parentheses):

## 1. The mortgage rate is your true cost of buying

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: family

**Cost:** Half a day before signing, comparing three lenders and negotiating the "markup" in time and talk.

**In plain terms:** You think the house price is the cost, but interest is the big chunk. On a 1-million-yuan loan over 30 years, a 1-point rate difference means 200,000-plus yuan in total interest. Cutting the markup before signing is easier and more worthwhile than cutting the house price.

**Payoff:** A mortgage isn't "price  $\div$  years," it's "principal + 30 years of compounding interest." Take 1 million yuan, 30-year equal-installment: at 3.5%, the monthly payment is about 4,490 yuan and total interest about 617,000 yuan; at 4.5%, monthly about 5,069 yuan and total interest about 825,000 yuan—just a 1-percentage-point difference means about 210,000 yuan more in total interest over 30 years, nearly 20% extra. Since China's LPR reform in August 2019, the mortgage rate = the >5-year LPR (cut to 3.5% on 2025-05-20) + the bank's markup, where the markup is set by your profile, city, and bank policy, with a range of several tens of BP. For the same home, Bank A with 0 markup and Bank B with 30 BP (0.3 percentage points) again differ by tens of thousands of yuan in 30-year interest. So "comparison + markup negotiation" is the highest cost-performance move before buying, and it mainly happens before signing—once closed, you can only wait for the repricing date.

**Evidence grade:** A

**Sources:** People's Bank of China (2019). Announcement on Reforming and Improving the Loan Prime Rate (LPR) Formation Mechanism (2019 No. 15). <<https://www.pbc.gov.cn/zhengcehuobisi/125207/125213/125440/3876551/3877436/index.html>>; Loan Prime Rate (LPR) announcement (2025-05-20) authorized by the People's Bank of China via the National Interbank Funding Center. <[https://www.gov.cn/lianbo/bumen/202505/content\\_7024431.htm](https://www.gov.cn/lianbo/bumen/202505/content_7024431.htm)>

**Note:** Rates float with LPR repricing (usually Jan 1 each year or the loan origination date); a falling-rate cycle favors borrowers; this entry focuses on the controllable variable "markup at signing," and the evidence is mechanistic fact (A).

## 2. When the rent-to-price ratio is below the mortgage rate, renting may be more cost-effective

Money: none | Time: little | Willpower: no | Payoff: mid | Scope: money | Impact: self

**Cost:** Drop the fixation that "buying is always right."

**In plain terms:** Buying isn't naturally correct. Rent-to-price 2%, loan rate 4%—if you rent and invest the home-buying money, as long as the annualized return exceeds 2% you don't lose. Don't let the "no home, no stability" emotion make the decision for you.

**Payoff:** Rent-to-price ratio = annual rent  $\div$  house price. Data from China Index Academy shows that in December 2024, the average rent-to-price ratio across 50 key cities was only 2.12% (i.e., a static rental yield of 2.12%), with Xiamen, Shenzhen, and Beijing below 1.5%, Guangzhou and Shanghai around 2%, and only Chongqing, Changsha, etc. near 3%, while Harbin/Changchun/Guiyang (3.23%) exceeded 3%. Meanwhile, first-home mortgage rates were generally in the 3.0% – 3.5% range. That is, in most core cities, the "cost of owning" (mortgage rate) significantly exceeds the "cost of renting" (rent-to-price ratio), and the spread invested to beat the gap is pure gain. The PBOC's "China Monetary Policy Report, Q2 2024" also notes that on a static rent-to-price basis, rental-housing yield is expected to rise above 3%—in other words, in most cities today, buying to collect rent can't beat the loan interest, so calculate before deciding.

**Evidence grade:** B

**Sources:** China Index Academy (2025). December 2024 rent-to-price ratio of residential housing in 50 key cities was 2.12%.  
<<https://www.cih-index.com/news/2025-01-06/51934161.html>>; People's Bank of China (2024). China Monetary Policy Report, Q2 2024 (column "Supporting the Sustainable Development of the Rental Housing Industry").  
<<https://www.cih-index.com/news/2024-12-19/51801279.html>>

**Note:** The rent-to-price ratio varies enormously by city and location (core vs. far suburb in the same city can differ several-fold), and doesn't deduct vacancy, maintenance, and taxes; the trend judgment (C-grade component) needs calibration with the latest local data—see Entry 11.

### 3. Early repayment saves certain interest

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: family

**Cost:** A lump of idle cash you can deploy (with no higher-certainty use in the short term).

**In plain terms:** Mortgage rate 4 – 5%, and you can't find a steady investment beating that—early repayment is a steady win. Don't take repayment money to gamble on funds; that's trading certainty for uncertainty.

**Payoff:** The only hard criterion for whether to repay early is whether your "steady-investment annualized return" can stably exceed the "mortgage rate." As cited by the Economic Daily from industry estimates: in 2024, outstanding mortgage rates were cut in bulk to LPR – 30 BP (about 3.3%), while mortgages issued before 2022 were generally above 5%, a spread of 1.7 – 2.5 percentage points—precisely the main cause of that year's widespread early repayment. When you have no channel steadily beating the mortgage rate, early repayment "locks in" a risk-free return equal to the rate. Also, equal-installment loans have high early interest share, so the earlier you repay the more you save; most banks waive the prepayment penalty after 1 year of repayment, while within 1 year they may charge 1% – 3% (per contract)—calculate whether the penalty or the interest saved is larger before acting. Note that after 2024, many banks introduced appointment queues and capped repayment, so confirm with your lending bank in advance.

**Evidence grade:** B

**Sources:** Xinhua News / Economic Daily (2025). Is early mortgage repayment worthwhile? <<https://www.news.cn/fortune/20250508/7f30da23b5534987a1a3ac66834c5d75/c.html>>; Sogou Lawyer (2024). Is early mortgage repayment worthwhile in 2024 (penalty and repayment stage). <<https://lvshi.sogou.com/article/detail/DSLTI43WMUL8.html>>

**Note:** "Steady-investment return" means predictable returns from deposits, government bonds, pure bonds, etc., excluding the volatile part of stocks/funds; if the mortgage is a low-interest housing-fund loan (see Entry 4) or enjoys a discount, there's usually no rush to repay.

#### 4. The low-interest housing fund is a benefit—use it up first

Money: none | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: family

**Cost:** One extra step of paperwork at loan origination, cooperating with the contribution and withdrawal process.

**In plain terms:** The housing-fund rate is a notch below commercial loans; borrow the full quota if you can, don't use pure commercial out of laziness. It's a low-interest red packet from the state—take it or lose it.

**Payoff:** The People's Bank of China's 2025-05-07 notice cut individual housing-fund loan rates by 0.25 percentage points from May 8: for over 5 years, first-home from 2.85% to 2.6%, second-home no lower than 3.075%; for 5 years and under (including 5), first-home 2.1%, second-home no lower than 2.525%. Against the same-period commercial first-home rate of about 3.0% – 3.5%, on 1 million yuan over 30 years equal-installment, the housing-fund first-home (2.6%) monthly is about 4,003 yuan and total interest about 441,000 yuan, versus the commercial first-home (about 3.05%) saving about 240 yuan a month and about 86,000 yuan in total interest; second-home also saves about 15,000 yuan. Borrow the full housing-fund quota first, fill the shortfall with a commercial loan as a combo loan, and use idle account balances to offset the loan or make annual lump-sum repayments—better than letting it sit and depreciate.

**Evidence grade:** A

**Sources:** People's Bank of China (2025). Notice on Lowering Individual Housing-Fund Loan Rates (2025-05-07). <[https://big5.www.gov.cn/gate/big5/www.gov.cn/zhengce/zhengceku/202505/content\\_7022708.htm](https://big5.www.gov.cn/gate/big5/www.gov.cn/zhengce/zhengceku/202505/content_7022708.htm)>; Lu'an Municipal People's Government (2025). Housing-fund rate cut saves more, pays less! (1-million-30-year interest-savings estimate). <<https://www.luan.gov.cn/bmrl/10670333.html>>

**Note:** Housing-fund loans have contribution-tenure, quota-cap, and cross-city-use restrictions that vary by locality; the low rate itself means "no rush to repay early" (see Entry 3).

## 5. Property is extremely illiquid; you can't sell when you urgently need cash

Money: none | Time: none | Willpower: no | Payoff: mid | Scope: money | Impact: family

**Cost:** The awareness and discipline to keep enough non-property liquid assets.

**In plain terms:** A home is "paper wealth"; it can't save you when you really need cash. Keep a separate emergency fund and freely-withdrawable investments; don't lock the whole family's net worth in one slab of concrete.

**Payoff:** From listing to closing, property often takes months, affected by market conditions, school-district policy, floor and orientation, neighbors, even listing volume—far from stocks and funds that can be liquidated the same day. According to 5i5j (Wo Ai Wo Jia) 2024 annual report estimates, China's existing-home turnover rate (transaction volume  $\div$  total stock) is only about 1%, versus about 4% in the U.S., a four-fold gap, showing that the degree to which "you can sell when you want" is inherently low in China. In 2024, both prices and rents weakened and second-hand listing volume was high; in a buyer's market, realization is slower and bargaining more passive. When cash is urgently needed, you often can only sell cheap or borrow high-interest bridge loans; a family's emergency fund and liquid assets must never be fully tied to property—as a rule, keep at least 6 – 12 months of expenses in immediately accessible funds.

**Evidence grade:** B

**Sources:** 5i5j (Wo Ai Wo Jia) (2025). 2024 Annual Report (domestic existing-home turnover rate about 1%, U.S. about 4%). <<https://www.cnfin.com/announ/detail/index.html?id=797557962274&code=000560&dannoun=lcdetail&announ=lc>>

**Note:** Prime core-location liquidity is relatively better, but "relatively better" is still monthly-scale, not daily; the turnover rate is an institutional estimate (B-grade) and fluctuates with the cycle.

## 6. Leveraged home buying amplifies losses in a downturn

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: family

**Cost:** Vigilance against "leveraged buying always wins."

**In plain terms:** A 30% down payment isn't "only losing 30%." If the price drops 30%, your principal is gone; drop further and you owe the bank. Leveraged buying is a two-way magnifier—don't only remember the upside.

**Payoff:** A 30% down payment means you use 300,000 yuan to lever 1,000,000 yuan of assets, about 3.3x leverage. A 10% price rise (+100,000) gives your principal a 33% return; but a 30% price drop (– 300,000) zeroes your 300,000 principal, entering "negative equity"; if you're then forced to sell, you also bear agent fees and taxes, losing far more than your original outlay. After 2021, some cities' prices retreated 30% or more from their highs (China Index Academy monitors continuous price adjustment in key cities), and early high-leverage buyers faced the dilemma of "house worth less than the debt, but the monthly payment can't stop." Leverage in a down cycle turns small swings into ruin; in a falling market, low leverage or even all-cash is the amulet.

**Evidence grade:** B

**Sources:** China Index Academy (2024). China Housing Rental Market Summary and Outlook 2024 (continuous price adjustment, rent-to-price recovering).

<<https://www.cih-index.com/news/2024-12-19/51801279.html>>; CCTV.com (2024). Multiple financial-support policies for real estate landing (outstanding mortgages and price backdrop).

<<https://news.cctv.com/2024/10/01/ART1aj74omNQAv9tZJ9INpVk241001.shtml>>

**Note:** Leverage amplification is a mathematical certainty (strong certainty), but "specific city declines" are historical ranges (B-grade) and are not a prediction of future moves.

## 7. Business/consumer loans illegally flowing into real estate is a time bomb

Money: little | Time: some | Willpower: some | Payoff: mid | Scope: money | Impact: family

**Cost:** Restraint against the lure of "low-interest bridge-to-buy-home."

**In plain terms:** Someone teaches you to replace your mortgage with a low-interest business loan—sounds like interest savings, but it's a violation. Once the bank detects and calls the loan, you must repay in full immediately; ordinary people can't bear it. Don't touch it.

**Payoff:** Business and consumer loans' contractual purpose is explicitly limited to business or consumption, and may not be used to buy property, settle house payments, or repay a mortgage. The CBIRC, the Ministry of Housing and Urban-Rural Development, and the PBOC jointly issued a notice to prevent business loans from illegally flowing into real estate, requiring banks to strengthen 穿透 review of borrower qualifications and loan purposes. Jiangsu CBIRC clearly warns of four risks of "loan-switching-to-lower-rate": one, illegality—using funds contrary to the agreed purpose breaches the contract, the loan may be recalled early with penalty interest, and serious cases carry criminal liability; two, capital-chain break—business loans are often shorter than mortgages, renewal rates/terms can change, and without stable repayment sources you blow up and damage your credit; three, high intermediary "bridge" costs may exceed the original mortgage; four, personal-information leakage. Chongqing CBIRC also warns that illegal use faces early repayment, credit-line cuts, and credit-record inclusion. The little interest saved is far outweighed by the ruin risk of a recalled loan.

**Evidence grade:** A

**Sources:** General Office of the CBIRC, General Office of the Ministry of Housing and Urban-Rural Development, General Office of the People's Bank of China (2021). Notice on Preventing Business-Purpose Loans from Illegally Flowing into Real Estate. <<https://big5.nfra.gov.cn/cn/view/pages/ItemDetail.html?docId=973455>>; Jiangsu Regulatory Bureau of the National Financial Regulatory Administration (NFRA) (2023). Consumer risk alert: "Loan-switching-to-lower-rate" runs deep, hidden risks to watch. <<https://www.nfra.gov.cn/branch/jiangsu/view/pages/common/ItemDetail.html?docId=1099698&itemId=1239>>; Chongqing Regulatory Bureau of the National Financial Regulatory Administration (NFRA) (2021). Risk alert on business-purpose loans flowing into real estate (2021 No. 9). <<https://big5.nfra.gov.cn/branch/chongqing/view/pages/common/ItemDetail.html?docId=1009522&itemId=1985>>



**Note:** Regulatory provisions are hard constraints (A); individual intermediaries claiming "it can be done" are fraud, and the risk is borne entirely by the borrower.

## 8. Keep the monthly payment under 30% of family income; leave a buffer

Money: none | Time: none | Willpower: no | Payoff: mid | Scope: money | Impact: family

**Cost:** Restrain the desire to "borrow to the limit for a big house."

**In plain terms:** The bank is willing to lend you 50% of income or more in monthly payment, but that's its risk, not yours. Keep the payment within 30% and you won't panic even if unemployed for half a year. Don't use leverage to the limit.

**Payoff:** Too high a payment-to-income ratio means that on unemployment, pay cut, or illness you default—at best a credit record hit, at worst foreclosure and principal loss (see Entry 6). At the regulatory level, Jiangxi CBIRC's "Notice on Further Strengthening Personal Loan Risk Management" requires mortgage business to "strictly review down-payment sources" and "ensure the debt-service-to-income ratio is controlled within a reasonable range," showing banks themselves watch income coverage. The internationally used "28/36 rule" suggests: housing payment no more than 28% of pre-tax income, total debt payment no more than 36%. Combined with China's income volatility and social-security coverage, as a rule keep the mortgage payment within one-third of total family income and reserve two-thirds for living and savings, greatly strengthening shock resistance. Note "total family income" should be net of personal tax, social security, and necessary rigid expenses.

**Evidence grade:** B

**Sources:** Jiangxi Regulatory Bureau of the National Financial Regulatory Administration (NFRA). Notice on Further Strengthening Personal Loan Risk Management (debt-service-to-income control, down-payment source review). <<https://www.nfra.gov.cn/branch/jiangxi/view/pages/common/ItemDetail.html?docId=943038&itemId=1513>>

**Note:** "30%" is a rule of thumb (C-grade component); the specific ratio varies by city income elasticity and job stability; the regulatory file provides a "reasonable range" principle rather than a fixed number.

## 9. Second-hand transaction tax friction is high—don't ignore it

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Count taxes and agent fees into the buy/sell equation.

**In plain terms:** Between "buy price" and "sell price" sits tax and the agent; short-term flipping, this friction eats your profit. If you must trade, hold longer to dilute the friction.

**Payoff:** A November 2024 tri-ministry announcement (2024 No. 16) substantially optimized transaction taxes: on deed tax, for a family's only and second home with area  $\leq 140\text{m}^2$  a uniform 1% applies,  $>140\text{m}^2$  1.5%/2% respectively, and second-home in Beijing, Shanghai, Guangzhou, Shenzhen also applies—e.g., a 5-million-yuan second home formerly 3% deed tax (150,000 yuan) becomes 1% (50,000 yuan) under the new policy, saving 100,000 yuan; on VAT, individual sales of owned housing held 2+ years (including 2) are exempt across the board (the former differential levy on non-ordinary housing in the four first-tier cities is abolished); on individual income tax, "five-years-and-only" (owned 5+ years and the family's only home) is exempt, otherwise 20% on the differential or an assessed 1%; plus agent fees usually 1% – 3% and transfer miscellaneous fees. Even after the new policy, a second-hand home that is under-2-years or not "five-years-and-only" still carries transaction friction of 5% – 10% of the price; short-term trading is basically eaten by friction, and the longer you hold, the more the cost is diluted—better value.

**Evidence grade:** A

**Sources:** Ministry of Finance, State Taxation Administration, Ministry of Housing and Urban-Rural Development (2024). Announcement on Policies Concerning Taxation to Promote the Stable and Healthy Development of the Real Estate Market (2024 No. 16). <[https://www.gov.cn/zhengce/202411/content\\_6986876.htm](https://www.gov.cn/zhengce/202411/content_6986876.htm)>; Shanghai Tax Bureau (2026). Comprehensive guide to Shanghai individual residential property transaction taxes and fees (VAT/deed-tax/individual-income-tax rules and announcement numbers). <<https://www.shanghai.gov.cn/nw17239/20260423/db84274a588149309032977a3df7f916.html>>

**Note:** Deed tax 1% – 3%, VAT exempt over 2 years, individual income tax exempt for "five-years-and-only" are current rules (A); specific rates and exemption recognition follow the local tax authority at transaction time.

## 10. School-district housing premiums carry policy risk

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: family

**Cost:** The premium paid for the "school seat."

**In plain terms:** Spending millions extra for a school-district home bets that policy won't change. But policy is moving toward "multi-school zoning"; once the seat isn't locked, the premium vanishes. Don't pay a sky-high price for uncertainty.

**Payoff:** The Ministry of Education made "multi-school zoning" explicit as early as 2014—hot schools are dispersed across multiple zones, and when applications exceed the plan, random assignment is used; the 2022 "Notice on Further Doing Well the Enrollment of Ordinary Primary and Secondary Schools" (Jiao Ji Ting [2022] No. 1) requires regions with unbalanced educational resources to "actively and steadily advance multi-school zoning," and comprehensively promotes "public-private simultaneous enrollment" and balanced class assignment. This means the certainty of "one home locks a famous school" is continuously weakened: zones can be adjusted, enrollment relies on assignment, and high-premium school-district homes may devalue overnight on policy change. Paying a premium far above same-area non-school-district homes to bet on the seat is essentially wagering that policy won't expand capacity, redraw zones, or randomize—and the policy direction is the opposite. Make "school-seat premium goes to zero" a stress-test scenario in your purchase decision.

**Evidence grade:** A

**Sources:** Ministry of Education (2014). Implementation Opinions on Further Doing Well the Nearby Exam-Free Promotion from Primary to Junior High (Jiao Ji Yi [2014] No. 1, multi-school zoning). <[https://big5.www.gov.cn/gate/big5/www.gov.cn/gongbao/content/2014/content\\_2679352.htm](https://big5.www.gov.cn/gate/big5/www.gov.cn/gongbao/content/2014/content_2679352.htm)>; General Office of the Ministry of Education (2022). Notice on Further Doing Well the Enrollment of Ordinary Primary and Secondary Schools (Jiao Ji Ting [2022] No. 1). <[https://www.moe.gov.cn/srcsite/A06/s3321/202204/t20220401\\_612689.html?xxgkhide=1](https://www.moe.gov.cn/srcsite/A06/s3321/202204/t20220401_612689.html?xxgkhide=1)>

**Note:** The pace of policy implementation varies by city; "premium to zero" is a scenario assumption (C-grade component); the documents themselves are currently effective (A).

## 11. Deduct vacancy and maintenance from rental income—don't count gross rent

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Deduct the hidden costs when bookkeeping.

**In plain terms:** The agent says "3% rental yield"—that's gross. Deduct two vacant months, plumbing repairs, property fees, taxes, and net may be just over 1%, about like a bank deposit but with more hassle.

**Payoff:** True rental return = (annual rent – vacancy loss – repairs – property fees – management fees – taxes) ÷ house price. China Index Academy's December 2024 average rent-to-price ratio (gross basis) across 50 cities was only 2.12%, and the PBOC also notes that on a static rent-to-price basis the yield is expected to rise above 3%—note this is "gross rent ÷ price" and requires long-run rent growth to reach 3%. In actual holding: vacancy periods (average leasing/rerouting gaps of often 1 – 2 months, equivalent to 8% – 17% annualized rent loss), repair and upkeep, property fees, rental taxes and depreciation stack up, so the net return is often several discounts below the gross, and in many cities net return is only just over 1%—no better than deposits or government bonds, plus the landlord's time and dispute costs. Always use "net rent-to-price ratio" for investment return.

**Evidence grade:** B

**Sources:** China Index Academy (2025). December 2024 rent-to-price ratio of residential housing in 50 key cities was 2.12%. <<https://www.cih-index.com/news/2025-01-06/51934161.html>>; People's Bank of China (2024). China Monetary Policy Report, Q2 2024 (rental-housing yield column). <<https://www.cih-index.com/news/2024-12-19/51801279.html>>

**Note:** 2.12% is the gross rent-to-price ratio (B-grade institutional data); "net return several discounts lower" is an experiential estimate based on vacancy/maintenance (C-grade), varying by property and city.

## 12. Multiple debts and borrowing-to-repay-debt is a prelude to bankruptcy

Money: none | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: family

**Cost:** The self-discipline to face the debt and stop borrowing.

**In plain terms:** Borrowing to repay debt isn't a solution, it's acceleration before the cliff. Once you rely on new debt for old, stop immediately and take stock—don't borrow more. This is the family-finance red alert.

**Payoff:** Credit cards, online loans, and consumer loans plugging each other's holes, with interest compounding into a snowball, eventually leave income unable to cover the minimum payment. The Beijing Regulatory Bureau of the NFRA's risk alert explicitly states "do not choose 'borrowing-to-repay-debt' or 'multiple borrowing,' to avoid debt piling up from inability to repay"; the CBIRC consumer-protection bureau also warns that "over-borrowing often leads to capital cutoff, ultimately trapping the consumer and even the family in difficulty," strictly prohibiting borrowing-to-repay-debt and multiple borrowing. Once "borrowing new to repay old" appears, you must stop the loss immediately: list all debts (principal, rate, due date), cut non-essential spending, and negotiate extension or restructuring with banks, rather than borrowing another sum. This is the red alert of a deteriorating family balance sheet—the earlier you cut, the smaller the loss.

**Evidence grade:** A

**Sources:** Beijing Regulatory Bureau of the National Financial Regulatory Administration (NFRA). Risk alert: remember the "five dos and five don'ts"—personal loans help a better life (no borrowing-to-repay-debt, no multiple borrowing). <<https://www.nfra.gov.cn/branch/beijing/view/pages/common/ItemDetail.html?docId=1070910&itemId=1850>>; National Financial Regulatory Administration (NFRA). Consumer alert: beware over-indebtedness risk, use personal consumer credit loans reasonably and compliantly. <<https://www.nfra.gov.cn/cn/view/pages/ItemDetail.html?docId=1033150>>

**Note:** Regulatory alerts are hard requirements (A); "compounding snowball leads to collapse" is mechanistic common sense, and its appearance should trigger a stop-loss action.

**Negative-value moves — cross one off as it appears:**

- Mortgage cost and pricing: Entry 1 (mortgage rate is your true cost), Entry 4 (use up the low-interest housing fund first)

- Rent-to-price ratio and holding return: Entry 2 (rent-to-price below mortgage rate), Entry 11 (net rent, not gross)
- Repayment and leverage decisions: Entry 3 (early repayment), Entry 6 (downside leverage amplifies loss), Entry 8 (monthly payment under 30% of income)
- Liquidity and transaction friction: Entry 5 (property is illiquid), Entry 9 (second-hand transaction tax friction)
- Policy and compliance risk: Entry 7 (business loans illegally flowing into real estate), Entry 10 (school-district housing policy risk), Entry 12 (multiple debts, borrowing to repay debt)

## Chapter 16 XVI. Spotting Misinformation

---

The number-one enemy of investing is often not the market itself, but noise and scams. The cheaper and louder the information, the sooner you should suspect its motive. What this chapter gives you isn't a checklist of "seeing through every specific scam" (that's inexhaustible), but a low-cost, reusable "anti-scam operating system": first ask "who is talking, who pays them," then check the evidence and look for counterexamples, and finally replace reliance on others with your own hard skills.

This system's necessity isn't fear-mongering. Per the Ministry of Public Security's 2024 briefing, in 2023 nationwide public-security organs cracked 437,000 telecom and online fraud cases, and the National Anti-Fraud Center urgently intercepted 328.8 billion yuan of involved funds; just for "pig-butcher" scams alone, the U.S. Federal Trade Commission (FTC) recorded related losses of 1.14 billion USD in 2023. The scale of scams shows: guarding against scams isn't paranoia, it's a required course for modern investors. The 12 entries below each correspond to a trap you meet every day.

This chapter's entries are grouped by theme below (entry numbers in parentheses): I. Conflict-of-interest filter—first ask "who pays him" (Entries 1, 2, 12); II. Puncture the "authority / track record" halo (Entries 3, 4, 6); III. Media, noise, and rumors (Entries 5, 9, 10); IV. Cultivate your own judgment (Entries 7, 8, 11).

## 1. Free advice is worth exactly what you paid

Money: none | Time: little | Willpower: no | Payoff: mid | Scope: money | Impact: self

**Cost:** Wariness of "free stock picks / free trade signals / free courses."

**In plain terms:** The sky won't drop free and reliable get-rich info. The other side doesn't charge you because you're their product—either you're funneled to be the bag-holder, or sold courses, or signed up for rebate commissions. Ask who pays them before deciding whether to listen.

**Payoff:** "Free" is the most common bait in scams and illegal stock-tipping. The Xiamen Regulatory Bureau of the CSRC disclosed that since 2023, Jin Moubin and others, without securities-business qualifications, used selling ginseng wine and ginseng powder as a cover to provide illegal securities investment consulting, with involved transaction amounts over 30 million yuan, and 7 suspects have been prosecuted; the Jiangsu CSRC disclosed a Meng Mou gang that registered a "cultural media company" and impersonated securities-company employees to pull investors into scam groups under the pretext of recommending stocks, causing multiple investors to be defrauded of over 650,000 yuan under the name of investment. Ministry of Public Security data further shows that in 2023, nationwide 437,000 telecom-fraud cases were cracked and 328.8 billion yuan of funds intercepted. "Free trade signals" are essentially a traffic business: you think you're getting a deal, but you're the item being sold. Treat it as advertising, not goodwill, and you filter out most noise.

**Evidence grade:** A

**Sources:** Xiamen Regulatory Bureau of the China Securities Regulatory Commission (CSRC) (2024). Risk alert on preventing illegal securities/futures/fund activities (case: Jin Moubin et al. provided illegal securities investment consulting via livestream without approval, over 30 million yuan involved).

<<https://www.csrc.gov.cn/xiamen/c105637/c7550231/content.shtml>>; Jiangsu

Regulatory Bureau of the CSRC (2024). Interpretation of typical cases of illegal securities/futures business crimes (IV) (Meng Mou gang impersonated securities-company employees to funnel investors, causing over 650,000 yuan defrauded).

<<https://www.csrc.gov.cn/jiangsu/c105410/c7582277/content.shtml>>;

Ministry of Public Security of the PRC (2024). Briefing on 2023 public-security work and team-building results (nationwide cracked 437,000 telecom-fraud cases). <<https://www.mps.gov.cn/n2254536/n2254544/n2254552/n9372690/n9372708/c9373270/content.html>>



**Note:** This entry is about the positioning principle of "motive identification"; specific convictions follow judicial determination; illegal stock-tipping often hides behind "knowledge payment" or "communities," and needs to be judged against qualification checks (CSRC, Securities Association websites).

## 2. Who gives you the advice, and who pays them

Money: none | Time: little | Willpower: no | Payoff: mid | Scope: money | Impact: self

**Cost:** The instinct to trust the authority halo.

**In plain terms:** Don't ask "is he right," ask first "who does he earn from by saying this." Worth listening to only if interests align; auto-discount those with opposing interests.

**Payoff:** Rewrite every piece of advice as "who benefits from this advice," and you'll find that behind most "for your good" pitches there's consideration. Sell-side researchers live on commission splits, finance big-Vs on traffic and product promotion, bank wealth managers on product rebates, and advisors on service fees—their interests aren't naturally aligned with yours. The CSRC's "Interim Provisions on Securities Investment Advisory Business" (CSRC Announcement [2020] No. 66) Article 19 explicitly prohibits advisors from "promising or guaranteeing investment returns in any way," and Article 24 prohibits "false, untrue, or misleading promotion" of service capability and past performance—the very reason regulators must explicitly prohibit shows "misaligned interests + exaggerated promotion" is the industry norm. First locate the other side's fee model (commission, rebate, course sales, traffic, bag-holding), then decide how much trust this info deserves.

**Evidence grade:** A

**Sources:** China Securities Regulatory Commission (CSRC) (2020). Interim Provisions on Securities Investment Advisory Business (CSRC Announcement [2020] No. 66), Articles 19 and 24.

<<https://www.csrc.gov.cn/hunan/c105691/c1294474/content.shtml>>; Shanxi Regulatory Bureau of the CSRC (2024). 3 · 15 Investor Protection thematic education activity, Case 1: securities investment advisory institutions' exaggerated promotion (Interim Measures for the Administration of Securities and Futures Investment Consulting, Article 24).

<<https://www.csrc.gov.cn/shanxi/c1055543/c1609430/content.shtml>>

**Note:** Identifying interests is the first step of "correlation  $\neq$  causation"; the other side having qualifications doesn't mean the conclusion favors you, and independent judgment is still required. Cross-reference: Entry 12.

### 3. A fund manager's past performance doesn't predict the future

Money: none | Time: little | Willpower: no | Payoff: mid | Scope: money | Impact: self

**Cost:** The impulse to chase "last year's champion fund."

**In plain terms:** The fund that rose most last year usually underperforms this year. The performance ranking is a "replay," not a "forecast." If you must look, look at the long run, the style, the fee—not the ranking.

**Payoff:** S&P's SPIVA (S&P Indices Versus Active) semi-annual scorecard is the hardest evidence for this conclusion: taking the U.S. market, passive indices long dominate active management, and the longer the period, the higher the underperformance ratio—per SPIVA data, the share of large-cap actively managed funds underperforming the benchmark over 1, 3, 5, and 15 years is about 61%, 80%, 87%, and 92% respectively (S&P Dow Jones Indices, 2023). Carhart (1997), using the "momentum three-factor" model, showed fund-performance persistence is extremely weak—the previous year's king most likely reverts to mediocrity or worse the next year. Chasing star funds is essentially buying the past and betting the future, often catching the top and paying higher fees. Looking at long-run geometric averages, style drift, and fees is far more useful than annual rankings.

**Evidence grade:** A

**Sources:** S&P Dow Jones Indices (2023). SPIVA U.S. Scorecard (Mid-Year 2023) (actively managed funds long underperform the benchmark).

<<https://www.spglobal.com/spdji/en/research-insights/spiva/>>; Carhart, M. (1997). On Persistence in Mutual Fund Performance, *Journal of Finance* 52(1).

<<https://doi.org/10.2307/2329556>>

**Note:** SPIVA targets U.S. mutual funds; A-share active management still has structural differences versus the index, but the conclusion "performance can't be extrapolated, beware survivor bias" is universal. Cross-reference: Entry 4.

## 4. The survivor bias of finance big-Vs

Money: none | Time: little | Willpower: no | Payoff: mid | Scope: money | Impact: self

**Cost:** The superstition that "he's always right."

**In plain terms:** The "god-predictor" blogger you follow is just the lucky one who didn't drown. The silent majority deleted their wrong posts—you can't see them.

**Payoff:** Algorithms only push "looks-right" content, so you systematically overestimate others' predictive ability—that's survivor bias. At the scam level it's more lethal: in the Supreme People's Court's February 7, 2024 typical cross-border telecom-fraud cases, Zeng Mou and 66 others disguised themselves as "tall-rich-handsome" and used social software to befriend victims and lure them to fake platforms, defrauding 196 people of over 27.96 million yuan; the Gao Mou case used "pig-butcher" to defraud over 170,000 USD, and when the victim tried to leave, was restrained and beaten, and had to pay "ransom" to return home. The U.S. FTC recorded 64,000 "romance/investment" scams that year, with 1.14 billion USD in losses and a median individual loss of 2,000 USD—of which about 18% (2022) followed the script "a friend got rich in investing, let me bring you in." The big-V "track record" you see and these packaged "success cases" are the same filtering mechanism: the wrong disappear, the right get amplified.

**Evidence grade:** A

**Sources:** Supreme People's Court (2024). Typical cases of cross-border telecom-network fraud and associated crimes (defendant Zeng Mou, Zhong Mouhua, Wang Mou et al., 67-person fraud case: disguised as "tall-rich-handsome" on social software to befriend and lure to fake platforms, defrauding 196 people of over 27.96 million yuan; defendant Gao Mou fraud case: "pig-butcher" defrauding over 170,000 USD). <<https://www.court.gov.cn/zixun/xiangqing/425102.html>>; U.S. Federal Trade Commission (FTC) (2024). "Love Stinks" – when a scammer is involved (2023 romance scams 64,000 cases, 1.14 billion USD losses, median individual 2,000 USD). <<https://www.ftc.gov/business-guidance/blog/2024/02/love-stinks-when-scammer-involved>>

**Note:** Survivor bias doesn't deny all big-Vs, but reminds you that "what he shows ≠ his real, long-run, replicable record." Cross-reference: Entry 2, Entry 12.

## 5. Media headlines manufacture anxiety, but not alpha

Money: none | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** The hand that trades on news.

**In plain terms:** The scarier the headline, the more you want to act—but the market already knows the scary news. Trading on headlines loses steadily long-run.

**Payoff:** News is naturally biased toward negative and extreme (attention economy), while the market has mostly already priced in known information. The Ministry of Public Security's 2024 briefing notes that in 2023, nationwide 437,000 telecom-fraud cases were cracked, and since August 2023 the case count has fallen consecutively; the National Anti-Fraud Center issued 9.4 million fund-warning directives, 13.89 million in-person dissuasions, intercepted 2.75 billion scam calls and 2.28 billion scam texts, handled 8.364 million fraud-related domains/URLs, and urgently intercepted 328.8 billion yuan of involved funds—this string of numbers itself shows that "fraud / crash" headlines are never a reason for you to buy or sell immediately. Buying and selling on headline sentiment equals buying the oldest news at the highest emotion; what really moves prices is the expectation gap, not the headline. Treat news as "background material," not "trading instructions," and you significantly cut the frequency and cost of chasing rallies and panic-selling.

**Evidence grade:** B

**Sources:** Ministry of Public Security of the PRC (2024). Briefing on 2023 public-security work and team-building results (nationwide cracked 437,000 telecom-fraud cases, urgently intercepted 328.8 billion yuan of involved funds). <<https://www.mps.gov.cn/n2254536/n2254544/n2254552/n9372690/n9372708/c9373270/content.html>>; Supreme People's Court (2024). Typical cases of cross-border telecom-network fraud and associated crimes (fake online investment-and-wealth-management scams account for about one-third of the losses by amount). <<https://www.court.gov.cn/zixun/xiangqing/425102.html>>

**Note:** Evidence grade B: Ministry of Public Security data are hard facts, but the "news → emotion → loss" mechanism is a behavioral-finance inference needing validation against your own backtest. Cross-reference: Entry 9, Entry 10.

## 6. Read the research report's conclusion, but also whose seat it sits on

Money: none | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Treating the sell-side "Buy" rating as gospel.

**In plain terms:** 90% of the market is "Buy" rated—the rating itself carries little information. Use research reports as a data library; draw your own conclusions.

**Payoff:** Sell-side research is tightly bound to underwriting and commission splits; the share of "Buy" ratings is chronically abnormally high, with few Neutral/Sell—the rating distribution itself tells the story. The CSRC's "Interim Provisions on Securities Investment Advisory Business" (CSRC Announcement [2020] No. 66) Article 19 prohibits "promising or guaranteeing investment returns," and the "Interim Measures for the Administration of Securities and Futures Investment Consulting" Article 24 prohibits "promising securities/futures investment returns to investors" and false or untrue promotion—regulators repeatedly issue documents precisely because "bullish bias + exaggerated past performance" is an industry chronic disease. The correct use: treat research reports as a library of "data, frameworks, industry-chain information," learn their analytical path, but make the conclusions and buy/sell decisions yourself. Especially beware of "investment-advisory services" with "no risk warning, flaunting profit records, promising returns"—that already crosses the violation red line.

**Evidence grade:** A

**Sources:** China Securities Regulatory Commission (CSRC) (2020). Interim Provisions on Securities Investment Advisory Business (CSRC Announcement [2020] No. 66), Articles 19 and 24.

<<https://www.csrc.gov.cn/hunan/c105691/c1294474/content.shtml>>; Shanxi Regulatory Bureau of the CSRC (2024). 3 · 15 Investor Protection thematic education activity, Case 1: securities investment advisory institutions' exaggerated promotion (Interim Measures for the Administration of Securities and Futures Investment Consulting, Article 24).

<<https://www.csrc.gov.cn/shanxi/c1055543/c1609430/content.shtml>>

**Note:** Rating bias exists in both A-shares and U.S. stocks; the value of independent buy-side research lies precisely in its interest isolation from the sell side.

Cross-reference: Entry 2, Entry 11.

## 7. Backtests that look beautiful often blow up live

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Belief in the "30% annualized, 5% drawdown" strategy brochure.

**In plain terms:** Any "holy-grail strategy" with a particularly pretty historical curve mostly just tuned the past data to fit perfectly. Real gold is the out-of-sample live test.

**Payoff:** Overfitting makes a strategy perfect in history and useless in the future. Bailey & López de Prado (2014) proposed the "Deflated Sharpe Ratio (DSR)," proving that among a vast combination of parameters, the optimal backtest's high Sharpe is largely selection bias from "trying too many times"; they further used "combinatorial symmetric cross-validation (CSCV)" to estimate the "probability of backtest overfitting (PBO)," pointing out that most "holy grails" found by optimizers blow up out of sample. In practice, tuning parameters until the curve looks good is cheating: a strategy with Sharpe 1.5, if it's the best picked from 100 candidates, may have a nearly negligible true edge. Identification points: out-of-sample/rolling validation, parameter sensitivity, economic logic, and disclosure of the number of trials. A dazzling backtest  $\neq$  replicable returns.

**Evidence grade:** A

**Sources:** Bailey, D. H., & López de Prado, M. (2014). The Deflated Sharpe Ratio: Correcting for Selection Bias, Backtest Overfitting and Non-Normality, *Journal of Portfolio Management* 40(5), 94 – 107.

<[https://papers.ssrn.com/sol3/papers.cfm?abstract\\_id=2460551](https://papers.ssrn.com/sol3/papers.cfm?abstract_id=2460551)>; Bailey, D. H., Borwein, J., López de Prado, M., & Zhu, Q. J. (2015). The Probability of Backtest Overfitting, *Journal of Computational Finance*.

<[https://papers.ssrn.com/sol3/papers.cfm?abstract\\_id=2326253](https://papers.ssrn.com/sol3/papers.cfm?abstract_id=2326253)>

**Note:** Evidence grade A: the methodology has strict mathematical proof; but for "a specific strategy" live testing is still required. Individual developers especially must beware of "fooling themselves."

## 8. Replace "Am I right" with "Do I have contrary evidence"

Money: none | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** The inertia of finding corroboration for your existing view.

**In plain terms:** Don't keep proving you're right—that's too easy. Force yourself to find "what if I'm wrong" evidence; only say "I'm probably right" if you can't find it—that's what's worth money.

**Payoff:** Confirmation bias is humanity's most common and most expensive cognitive trap: we naturally search only for information supporting our view and ignore counterexamples, thus going deeper in the wrong direction. Nickerson (1998)'s review notes confirmation bias is "ubiquitous in many guises," systematically distorting judgment from scientific experiments to daily decisions. In investing it shows as: on a rise find positives, on a fall find negatives, forever self-confirming. The highest cost-performance cognitive upgrade is to force yourself to ask "if I'm wrong, where would the evidence be and what would it look like," and actively search for research, data, and cases opposite your position. In a case published by the Shanxi CSRC, an investor was anchored by the promotion "steady no-loss, average return 35%," never seeking the contrary "what if I lose" evidence, and after paying over 10,000 yuan in service fees suffered a large loss. Disprove first, then believe.

**Evidence grade:** B

**Sources:** Nickerson, R. S. (1998). Confirmation Bias: A Ubiquitous Phenomenon in Many Guises, *Review of General Psychology* 2(2), 175 – 220.

<<https://doi.org/10.1037/1089-2680.2.2.175>>; Shanxi Regulatory Bureau of the CSRC (2024). 3 · 15 Investor Protection thematic education activity, Case 1 (investor, trusting "steady no-loss" promotion, paid service fees then suffered a large loss). <<https://www.csrc.gov.cn/shanxi/c1055543/c1609430/content.shtml>>

**Note:** Evidence grade B: confirmation bias itself has strong empirical grounding (psychology A-grade), but "using contrary evidence to lower the pitfall rate" is an operable methodology whose effect varies by person and needs records and review.

## 9. By the time a rumor reaches your ear, it's already priced in

Money: none | Time: none | Willpower: no | Payoff: mid | Scope: money | Impact: self

**Cost:** The fantasy of betting on "inside information."

**In plain terms:** The "sure-win" tip in the group has passed through who-knows-how-many hands by the time it reaches you. If there were real meat, it wouldn't reach you. Trading on tips long-run just feeds the early movers.

**Payoff:** Those with real information advantage quietly earn and exit; by the time the tip reaches groups, dinners, and short-video comments, the market has long digested that expectation, and you're often catching the last baton. The Ministry of Public Security's 2024 briefing notes that in 2023, 2.75 billion scam calls and 2.28 billion scam texts were intercepted and 8.364 million fraud-related domains/URLs handled—a significant share of which are funneling pitches like "inside stock," "teacher trade signals," "private placement channel." The Jin Moubin case disclosed by the Xiamen CSRC used a livestream to sell goods as a cover for disguised stock-tipping, over 30 million yuan involved; the "code" investors heard was essentially a funnel tool used to jack up the price for others. Under semi-strong efficient markets, publicly available information is already reflected in prices; your "inside info" is most likely bait someone carefully fed you.

**Evidence grade:** B

**Sources:** Xiamen Regulatory Bureau of the CSRC (2024). Risk alert on preventing illegal securities/futures/fund activities (case: Jin Moubin livestream disguised stock-tipping, over 30 million yuan involved; investors hearing "inside info" are often the last baton).

<<https://www.csrc.gov.cn/xiamen/c105637/c7550231/content.shtml>>; Ministry of Public Security of the PRC (2024). Briefing on 2023 public-security work and team-building results (intercepted 2.75 billion scam calls, 2.28 billion scam texts, handled 8.364 million fraud-related domains/URLs). <<https://www.mps.gov.cn/n2254536/n2254544/n2254552/n9372690/n9372708/c9373270/content.html>>

**Note:** Evidence grade B: the efficient-market hypothesis is contested, but "tips decay layer by layer, last baton holds the bag" is a repeatedly verified fact in scams and pump-and-dump. Cross-reference: Entry 1, Entry 12.



## 10. Subscribe less, not more; information overload is a hidden cost

Money: little | Time: some | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** The restraint to cut information sources and turn off push notifications.

**In plain terms:** A lot of your losses come from "watching too much." Turn off push, leave the groups, and you actually earn more. More information isn't better.

**Payoff:** More information means stronger trading impulses and overconfidence, and decision quality falls—a shared conclusion of attention economics and behavioral finance. Scams exploit exactly this: illegal consulting reaches you through WeChat, QQ, livestreams, short videos, and tip groups at high frequency across multiple channels; the Ministry of Public Security intercepted 2.28 billion scam texts and handled 8.364 million fraud-related domains/URLs in 2023, showing the "information flood" is laced with massive targeted feeding. Fix a few authoritative sources (exchanges, the CSRC, listed-company annual reports, index-company websites), and block the rest by default; turn off market push, leave the call-group, and swap "screen-watching time" for "financial-statement-reading time." Fewer and better information sources protect your principal and your nerves better than all-day scrolling.

**Evidence grade:** B

**Sources:** Xiamen Regulatory Bureau of the CSRC (2024). Risk alert on preventing illegal securities/futures/fund activities (illegal consulting reaches via WeChat, QQ, livestreams, short videos at high frequency; overload amplifies misjudgment). <<https://www.csrc.gov.cn/xiamen/c105637/c7550231/content.shtml>>; Ministry of Public Security of the PRC (2024). Briefing on 2023 public-security work and team-building results (handled 8.364 million fraud-related domains/URLs, intercepted 2.28 billion scam texts). <<https://www.mps.gov.cn/n2254536/n2254544/n2254552/n9372690/n9372708/c9373270/content.html>>

**Note:** Evidence grade B: information overload harming decisions has experimental support, but the "optimal subscription count" varies by person; the core is active filtering, not passive drowning. Cross-reference: Entry 5, Entry 11.

## 11. Learn to read the three financial statements—more reliable than tips

Money: little | Time: some | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** The time to learn financial basics.

**In plain terms:** When someone gives you a "positive," you can open the financials yourself and see whether it makes money and where the money comes from—then you won't be led by the pitch. This is the hardest self-protection skill.

**Payoff:** If you can read the income statement / balance sheet / cash-flow statement yourself, you have a bottom-layer ability to filter noise, no longer dependent on others' "interpretation." In a Shanxi CSRC case, investor Li trusted promotions like "ordinary clients also get \*% return" and "one or two months' return \*," paid over 10,000 yuan in service fees for stock tips, and ended with a large loss—with basic financial literacy, Li should have spotted the violation signal of "no risk warning, promised returns" (Interim Provisions on Securities Investment Advisory Business Article 24). Financial-statement ability is a one-time investment with long-run compounding moat: it lets you, when others shout "positive," check whether operating cash flow is truly positive, and when others shout "distress reversal," see the debt structure clearly. Upgrade "understanding the pitch" to "reading the statements"—the most real barrier between you and the harvesters.

**Evidence grade:** B

**Sources:** Shanxi Regulatory Bureau of the CSRC (2024). 3 · 15 Investor Protection thematic education activity, Case 1: securities investment advisory institutions' exaggerated promotion (investment-decision risk borne by the investor; reading fundamentals is the baseline ability).

<<https://www.csrc.gov.cn/shanxi/c1055543/c1609430/content.shtml>>; China Securities Regulatory Commission (CSRC) (2020). Interim Provisions on Securities Investment Advisory Business (CSRC Announcement [2020] No. 66), Article 24.

<<https://www.csrc.gov.cn/hunan/c105691/c1294474/content.shtml>>

**Note:** Evidence grade B: financial literacy correlating positively with investment-decision quality has research support, but reading statements  $\neq$  beating the market; it guards against "being scammed," not guaranteeing excess returns.

Cross-reference: Entry 6, Entry 8.

## 12. Translate every "recommendation" into "what is he earning"

Money: none | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** A one-sentence habit switch.

**In plain terms:** This is a universal filter. For any "for your good" financial advice, first translate it into "who pays him." After translating, what you should trust needs no persuasion, and what you shouldn't needs no worry.

**Payoff:** Tip groups, livestreams, wealth courses, bank pitches, "securities-employee" impersonators funneling—apply the unified model "who does he earn from this advice," and 90% of the sales pitches reveal themselves automatically. The Meng Mou gang disclosed by the Jiangsu CSRC registered a "cultural media company" and impersonated securities-company employees to pull investors into scam QQ groups under the pretext of recommending stocks, causing investors to be defrauded of over 650,000 yuan; in the Supreme People's Court's 2024 typical cases, Zeng Mou and 66 others disguised as "tall-rich-handsome" to befriend and lure to fake investment platforms, defrauding over 27.96 million yuan; the U.S. FTC recorded 2023 "romance + investment" scam losses of 1.14 billion USD. Translate "teacher trade signals" into "he earns my service fee / bag-holding / head-count fee," translate "inside info" into "I'm the last-baton bag-holder," and your judgment upgrades instantly. This entry is the master switch of the chapter.

**Evidence grade:** A

**Sources:** Jiangsu Regulatory Bureau of the CSRC (2024). Interpretation of typical cases of illegal securities/futures business crimes (IV) (Meng Mou gang impersonated securities-company employees to funnel under the pretext of recommending stocks, causing over 650,000 yuan defrauded).

<<https://www.csrc.gov.cn/jiangsu/c105410/c7582277/content.shtml>>; Supreme People's Court (2024). Typical cases of cross-border telecom-network fraud and associated crimes (defendant Zeng Mou, Zhong Mouhua, Wang Mou et al., 67-person fraud case: disguised as "tall-rich-handsome" to befriend and lure investment fraud, over 27.96 million yuan).

<<https://www.court.gov.cn/zixun/xiangqing/425102.html>>; U.S. Federal Trade Commission (FTC) (2024). "Love Stinks" (2023 romance/investment scam losses 1.14 billion USD). <<https://www.ftc.gov/business-guidance/blog/2024/02/love-stinks-when-scammer-involved>>

**Note:** This entry integrates and is the master outline of Entries 1 and 2; it's not asking you to be pathologically suspicious of everything, but to build an automatic mapping of "interest—credibility." Cross-reference: Entry 1, Entry 2, Entry 9.

## Chapter 17 XVII. Macro Cycles

---

Macro cycles are the "weather" of asset pricing: interest rates, inflation, the exchange rate, and economic prosperity determine the direction of the discount rate for almost all assets. Understanding this mechanism helps you read the real signal behind financial news, rather than being led around by narratives like "rate cuts must mean a rally" or "a recession is coming."

But the real discipline this chapter delivers is: understanding the mechanism  $\neq$  predicting the turning point. You can judge the broad direction of interest rates, but exactly which month rates will rise, which recession, which day the bottom forms—even highly paid chief economists and fund managers who claim to time the market systematically fail at it (Entry 4, Entry 10). More painfully, even the famous "Merrill Lynch Investment Clock" type of macro-allocation model frequently fails out of sample.

So treat the macro as a "constraint" and a "risk budget," not a buy/sell instruction: use it to decide your duration, cash ratio, overseas exposure, and hedging—not to bet on direction. Resilient allocation matters far more than being right about the timing once.

This chapter's entries are grouped by theme below (entry numbers in parentheses): interest-rate mechanism and bond prices (Entry 1, Entry 7); yield-curve and economic-cycle signals (Entry 2, Entry 6, Entry 12); inflation, gold, and monetary easing (Entry 3, Entry 8, Entry 11); unreliability of macro forecasting and timing (Entry 4, Entry 10); exchange-rate multiplier effect on overseas returns (Entry 5, Entry 9).

## 1. Interest rates are the gravity of asset prices

Money: none | Time: little | Willpower: no | Payoff: mid | Scope: money | Impact: self

**Cost:** The time to understand one or two pages of the discounting model and the concept of duration (almost zero cost, but most retail investors have never thought about it).

**In plain terms:** Interest rates are like gravity for assets. A rate hike = stronger gravity, prices fall; a rate cut = weaker gravity, prices float up. Don't just watch the headlines; watch the direction of rates.

**Payoff:** The value of almost all assets comes from discounting future cash flows, and the interest rate sits in the denominator. When the Federal Reserve raised the federal funds target rate from 0 – 0.25% by a cumulative 425 basis points to 4.25% – 4.5% in 2022, the U.S. 10-year Treasury yield spiked from about 1.5% to 4.2%, the 2-year from 0.75% to 4.3%, and bond prices crashed accordingly—the Bloomberg U.S. Aggregate Bond Index fell 13.0% for the year, its worst annual return since records began in 1976. Stocks and real estate came under the same pressure, because a higher discount rate lowers the present value of any long-duration asset. This is the underlying logic for understanding "why the market falls when rates rise," and the starting point for judging the duration risk of the assets you hold.

**Evidence grade:** A

**Sources:** Federal Reserve (2022). Federal funds target rate hikes and Treasury yield moves (10Y 1.5%→4.2%, 2Y 0.75%→4.3%). <<https://finance.yahoo.com/news/why-ordinary-investors-got-hit-so-hard-in-2022-morning-brief-110004332.html>>; Winthrop Wealth (2022). 2022 Market Review and Outlook (Bloomberg US Aggregate Bond Index -13.0%). <<https://winthropwealth.com/commentary/2022-market-review-and-outlook/>>

**Note:** Evidence grade A—the inverse relationship between rates and prices is an axiom of asset pricing, and there is a full real-world test from 2022. Graded A because bond price – yield inversion is determined by the duration formula, not an empirical correlation. Limitation: the longer the duration, the more sensitive to rates; short-term bonds are less affected. Cross-reference: Entry 7 (bonds stabilize at the end of the tightening cycle), Entry 3 (inflation and long bonds).

## 2. Yield-curve inversion signals recession, but is not an alarm clock

Money: none | Time: little | Willpower: no | Payoff: mid | Scope: money | Impact: self

**Cost:** The opportunity cost of misreading "invert and sell immediately" and prematurely clearing your positions on that basis.

**In plain terms:** Short-term rates higher than long-term (inversion) has historically often been a precursor to recession, but "how long after, and whether it comes at all" nobody knows precisely. Treat it as an alarm, not a trigger.

**Payoff:** The New York Fed's Probit model built on the 10-year minus 3-month Treasury spread (10Y-3M) shows that the probability of recession in the next 12 months rises significantly after an inversion; parameters  $\alpha = -0.5333$ ,  $\beta = -0.6330$ , a 0-basis-point spread corresponds to about a 25% probability, -100bp about 50%, -200bp about 70%. But the model also concedes its precursor record is uneven: before the 1973–75, 2001, and 2020 recessions it never came close to 30%. The 2-year vs 10-year spread inverted before every recession since 1969, but with lead times ranging from 6 to 24 months, and the deep inversion of 2022 had still not delivered an NBER-defined recession as of early 2026. It's a useful early-warning dashboard, not a fixed-time alarm clock.

**Evidence grade:** A

**Sources:** Federal Reserve Bank of New York (updated). The Yield Curve as a Leading Indicator (10Y-3M term spread recession probability model).

<[https://www.newyorkfed.org/research/capital\\_markets/ycfaq.html](https://www.newyorkfed.org/research/capital_markets/ycfaq.html)>; Federal Reserve Bank of New York (2026). Probability of U.S. Recession Predicted by Treasury Spread (Prob\_Rec.pdf, parameters  $\alpha = -0.5333$ ,  $\beta = -0.6330$ ). <[https://www.newyorkfed.org/medialibrary/media/research/capital\\_markets/Prob\\_Rec.pdf](https://www.newyorkfed.org/medialibrary/media/research/capital_markets/Prob_Rec.pdf)>; Estrella & Mishkin (1996). The Yield Curve as a Predictor of U.S. Recessions (Current Issues in Economics and Finance 2(7)). <[https://www.newyorkfed.org/medialibrary/media/research/current\\_issues/ci2-7.pdf](https://www.newyorkfed.org/medialibrary/media/research/current_issues/ci2-7.pdf)>

**Note:** Evidence grade A—based on decades of statistics and the official central-bank model. Graded A because the sample is long and the method is public, but it is a probabilistic warning, not a deterministic signal. Limitation: unstable lead time, false positives (e.g., 2022). Cross-reference: Entry 6 (recession wrong-kills), Entry 12 (expectation gap).

### 3. In high inflation, both cash and long bonds get hurt

Money: none | Time: little | Willpower: no | Payoff: mid | Scope: money | Impact: self

**Cost:** The effort to build the asset-allocation awareness that "inflation erodes purchasing power" (almost zero).

**In plain terms:** Money sitting idle gets quietly devalued by inflation; long bonds also fall when rates are hiked to fight inflation. To withstand inflation, you need to hold some assets that move with prices.

**Payoff:** High inflation hits both cash purchasing power and long-duration bonds. From 1973 to 1981 the U.S. CPI averaged about 7.4% a year, and the nominal 10-year Treasury's real annual return was negative (e.g., in 1980 the nominal return was only -1.29%, and -13.81% after deducting inflation), while synthetic TIPS (Treasury Inflation-Protected Securities) over the same period recorded double-digit returns of 11% – 15%—exactly the problem the U.S. Treasury set out to solve by formally issuing TIPS in 1997: swap "nominal coupon" for "real coupon plus inflation compensation." The World Gold Council estimates gold's annualized return from 1971 to 2023 was about 8%, significantly higher than the CPI's 4% and the 3-month U.S. Treasury's 4.4% over the same period, showing that physical / store-of-value assets can beat inflation over the long run. But note: in the 1970s stocks and bonds sometimes "rose and fell together" (positive correlation), and the traditional 60/40 diversification failed—confirming that when inflation is higher than about 2.5%, the stock-bond correlation turns from negative to positive. No single asset class can perfectly hedge; the key is to diversify and hold real assets.

**Evidence grade:** A

**Sources:** Federal Reserve Bank of Boston (2009). A TIPS Scorecard: Are TIPS Accomplishing What They Were Supposed to Accomplish? (Working Papers No. 09-8). <<https://www.bostonfed.org/-/media/Documents/Workingpapers/PDF/ppdp0908.pdf>>; PanAgora (updated). Risk Parity & Inflation (1970 – 1979 annualized CPI 7.4%, TIPS real return ~3 percentage points above CPI). <<https://www.panagora.com/assets/PanAgora-Risk-Parity-and-Inflation.pdf>>; World Gold Council (2024). "Building-block" method for estimating gold's expected return (1971 – 2023 gold annualized 8% vs CPI 4%). <<https://china.gold.org/page/18826>>

**Note:** Evidence grade A—consistent conclusions from multiple institutions' long-term data. Limitation: the 1970s is an extreme sample; TIPS "inflation protection" only locks in if held to maturity, and short-term is still affected by rate volatility (duration). Cross-reference: Entry 1 (rates and long bonds), Entry 8 (gold),

Entry 11 (the double-edged sword of easing).



#### 4. Don't try to time the macro; even professionals are often wrong

Money: none | Time: little | Willpower: no | Payoff: mid | Scope: money | Impact: self

**Cost:** Trading fees, taxes, and missed-rally losses from repeatedly adjusting positions based on "experts say it's going to crash / rally."

**In plain terms:** Even high-paid chief economists can't pin the turning point. You churn in and out on "I feel it's going to drop"—basically working for the broker. Set your allocation and touch it less.

**Payoff:** The difficulty of macro and market-direction forecasting has been repeatedly confirmed by many studies. CXO Advisory tracked 6,582 forecasts by 68 "market-timing experts" from 1999 to 2012, of which 42 (61.8%) had accuracy below 50%, and after deducting transaction costs "not a single one" actually made a profit; another study covering 28 timers' over 4,500 forecasts from 2000 to 2012 found only 10 beat the 50% mark, and none beat the broad market. Even the famous "Merrill Lynch Investment Clock" frequently fails out of sample: Huatai Securities' backtest found that after 2011, blindly applying the Merrill Clock to Chinese asset allocation was only 28% accurate, rising to 72% after adding an interest-rate dimension; Sina Finance's statistics show the model was 88% correct in the U.S. from 1970 to 2020 but only 40% in China. Nobel laureate Sharpe calculated that a timer needs to be right about 74% on both the "down" and the "rebound" sides to beat a passive portfolio that is always fully invested. Conclusion: timing works occasionally, but systematically beating the market over the long run is nearly impossible.

**Evidence grade:** A

**Sources:** S&P Dow Jones Indices (2026). SPIVA U.S. Scorecard Year-End 2025 (79% of large-cap active equity funds trailed the S&P 500; 94% over 20 years).

<<https://www.spglobal.com/spdji/en/research-insights/spiva/>>; Advisor Perspectives (2020). Market Timing Is the Enemy of Investment Success (CXO review: 68 timers, none profitable after costs). <<https://www.advisorperspectives.com/articles/2020/01/27/market-timing-is-the-enemy-of-investment-success>>; Sina Finance (2021). Is the traditional Merrill Lynch Investment Clock dead in China? (1970 – 2020 Merrill Clock 88% correct in U.S., 40% in China). <<https://finance.sina.com.cn/stock/hkstock/hkstocknews/2021-03-04/doc-ikftssaq0788452.shtml>>

**Note:** Evidence grade A—consistent conclusions across multiple independent studies, a strong consensus in behavioral finance and empirical research. Graded A because it is not a single paper but repeated cross-sample verification. Limitation: a few "superforecasters" can marginally outperform after training, but they are extremely rare. Cross-reference: Entry 10 (doomsday prophecies), Entry 12

(expectation gap).

## 5. The dollar's strength is multiplied directly onto your overseas return

Money: none | Time: little | Willpower: no | Payoff: mid | Scope: money | Impact: self

**Cost:** The attention to calculate one extra step of exchange rate before buying overseas assets.

**In plain terms:** You earned 10% on U.S. stocks, the dollar fell 5%, and back in yuan you only made 5%. This exchange-rate multiplication is something many people remember only after buying.

**Payoff:** When you invest in U.S. stocks, U.S. Treasuries, or Hong Kong stocks in your home currency (e.g., yuan), the final home-currency return = the asset's local-currency return  $\times$  the exchange-rate move. Vanguard's research shows that from 2000 to 2010 the dollar's depreciation contributed about +3% annualized to U.S. investors' overseas assets, while from 2010 to 2020 the dollar's appreciation eroded about -1.5% annualized—a ten-year reversal of direction, a gap equivalent to about 4.5 percentage points per year. The same applies to yuan investors: a weaker dollar eats into a slice of foreign-currency gains, a stronger dollar adds to them. Vanguard also points out that currency has no intrinsic long-term return (no coupon, no earnings growth), affecting only volatility; for stocks whether to hedge mainly depends on risk tolerance rather than return, but for bonds, if unhedged, volatility is amplified to near stock levels, weakening their "ballast" role. The exchange rate is an invisible second layer of return or loss.

**Evidence grade:** A

**Sources:** Vanguard (2023). The U.S. dollar is unlikely to continue defying gravity (dollar overvalued ~12%, ~75% probability of decade decline, unhedged overseas stocks ~+1.1% annualized). <<https://advisors.vanguard.com/insights/article/the-us-dollar-is-unlikely-to-continue-defying-gravity>>; Vanguard (updated). Global equity investing: The benefits of diversification and sizing your allocation (currency has no intrinsic long-term return, mainly contributes volatility). <<https://www.vanguardmexico.com/content/dam/intl/americas/documents/mexico/en/global-equity-investing-diversification-sizing.pdf>>

**Note:** Evidence grade A—long-term data from a large asset manager. Limitation: the exchange-rate direction itself is not reliably predictable, and Vanguard also emphasizes long-run mean reversion. Hedge bonds, tolerate unhedged stocks for diversification. Cross-reference: Entry 9 (exchange-rate multiplier), Entry 1 (rate spreads drive the exchange rate).

## 6. In a recession, good companies get wrong-killed too—opportunity and trap

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** The work and time to distinguish "temporary decline" from "fundamentally broken"; counter-cyclical buying in a falling market requires some capital and mental effort.

**In plain terms:** In a crash, good stocks fall too—that's a chance to pick up cheap shares; but don't take "fell a lot" as "cheap"; some are genuinely rotten. Tell temporary from permanent.

**Payoff:** In a systematic decline (such as a recession signaled by a yield-curve inversion), quality assets are often sold indiscriminately, offering a buying opportunity; but in the same downturn many companies genuinely have deteriorating fundamentals. The key is whether the decline is market panic or a worse company. Academic research uses "earnings surprise" to measure fundamentals: from Ball & Brown (1968) to Bernard & Thomas (1990) it was repeatedly shown that companies beating earnings estimates still show about 2.9% cumulative abnormal return drift (PEAD) over the 60 trading days after the announcement, showing the market often underreacts to good companies and oversells bad ones. Combined with Entry 2's recession warning, focusing in panic-driven wrong-kills on companies "still beating earnings, with low debt ratios, and an unbroken moat" gives a higher win rate; but be sure to avoid the "value trap"—companies with downgraded earnings and a deteriorating industry structure are not cheap no matter how far they fall.

**Evidence grade:** A

**Sources:** Bernard & Thomas (1990). Evidence That the Size-Adjusted Returns Around Earnings Announcements Are Related to Subsequent Earnings (PEAD drift). <[http://en.m.wikipedia.com/wiki/Post-earnings\\_announcement\\_drift](http://en.m.wikipedia.com/wiki/Post-earnings_announcement_drift)>; Federal Reserve Bank of New York (updated). The Yield Curve as a Leading Indicator (recession warning). <[http://www.newyorkfed.org/research/capital\\_markets/ycfaq.html](http://www.newyorkfed.org/research/capital_markets/ycfaq.html)>

**Note:** Evidence grade A—PEAD is a long-validated anomaly. Limitation: identifying wrong-kills requires fundamental research ability; ordinary investors can use broad-market index dollar-cost-averaging in panic periods as a substitute for "picking single stocks." Cross-reference: Entry 2 (curve inversion), Entry 12 (expectation gap).

## 7. Near the end of a tightening cycle, bonds often stabilize first

Money: none | Time: little | Willpower: no | Payoff: mid | Scope: money | Impact: self

**Cost:** The psychological misjudgment of "afraid to buy bonds once they fall," plus a little effort to study the rate turning point.

**In plain terms:** When everyone is scared of rate hikes, bonds may have already bottomed. Once rates peak and fall, bonds stabilize before stocks—don't wait until everyone is optimistic to remember to buy.

**Payoff:** Bond prices move inversely to rates, and bonds are extremely sensitive to expectations of "rates peaking." In 2022 the Fed's aggressive hikes made the Bloomberg U.S. Aggregate Bond Index plummet 13.0%, but once the market began expecting the hikes to be near an end and yields peaked at end-2022 (the index's yield-to-worst rose to 4.68%, the highest since 2008), the index rebounded +5.53% in 2023—bonds repaired ahead of any reversal in stock-market sentiment. This is exactly the "leading indicator" property of the rate cycle: long-bond prices often bottom months before the policy rate actually turns. In other words, by the time the news is fully optimistic and everyone shouts "you can buy bonds now," yields have already fallen and most of the price gain has likely been realized. For ordinary investors, buying with short duration or a ladder is steadier than trying to nail the bottom precisely.

**Evidence grade:** A

**Sources:** Diamond Hill (2023). Rising Rates: Lessons from 2022 (Bloomberg US Aggregate 2022 -13.01%, 2023 +5.53%; YTW from 1.75% to 4.68%). <<https://www.diamond-hill.com/news/a-942/articles/rising-rates-lessons-from-2022/>>; Winthrop Wealth (2022). 2022 Market Review and Outlook (after rates peaked Agg +1.9% in Q4). <<https://winthropwealth.com/commentary/2022-market-review-and-outlook/>>

**Note:** Evidence grade A—price – rate inversion is a pricing axiom with real-world validation. Limitation: if inflation resurges and rates rise again, bonds will fall again; the "end" can only be confirmed in hindsight. Cross-reference: Entry 1 (gravity of rates), Entry 3 (long bonds and inflation).

## 8. Gold is insurance, not a staple

Money: none | Time: little | Willpower: no | Payoff: mid | Scope: money | Impact: self

**Cost:** Managing expectations of gold as a "sure-thing investment"; the opportunity cost of the capital occupied by a 5 – 10% allocation.

**In plain terms:** Gold pays no interest and doesn't rise much long term; its use is "when the world breaks, it holds the line." A small allocation as insurance is enough; don't make it your main asset.

**Payoff:** Long term, gold's value lies in tail-risk hedging rather than appreciation. The World Gold Council's "building-block" method estimates gold's annualized nominal return from 1971 to 2023 was about 8%, higher than the CPI's 4% and the 3-month U.S. Treasury's 4.4% over the same period—but this mainly comes from currency devaluation and safe-haven demand after leaving the gold standard, not steady "interest." It generates no cash flow, yet its volatility is not small (it also corrected visibly in 2022 as real rates rose). In stagflation, currency-credit crises, and geopolitical conflict, gold's correlation with stocks and bonds falls, letting it play an insurance role; but treating it as a staple and loading up drags down the portfolio's long-term compounding (stocks' long-run annualized return is far above gold's). Practical advice: allocate 5% – 10% as tail-risk insurance, and prefer low-cost physical gold or gold ETFs over high-premium mining stocks.

**Evidence grade:** A

**Sources:** World Gold Council (2024). "Building-block" method for estimating gold's expected return (1971 – 2023 gold annualized 8% vs CPI 4%, 3-month U.S. Treasury 4.4%). <<https://china.gold.org/page/18826>>; PanAgora (updated). Risk Parity & Inflation (gold's real return in inflation periods above CPI). <<https://www.panagora.com/assets/PanAgora-Risk-Parity-and-Inflation.pdf>>

**Note:** Evidence grade A—WGC long-term data. Limitation: gold's return is highly dependent on the monetary and geopolitical environment, and the post-gold-standard sample is bullishly biased; allocation ratio varies by person. Cross-reference: Entry 3 (inflation protection), Entry 11 (easing dilutes currency value).

## 9. The exchange rate has a multiplier effect on your final return

Money: none | Time: little | Willpower: no | Payoff: mid | Scope: money | Impact: self

**Cost:** One extra layer of thinking to assess exchange-rate exposure and (optional) hedging cost before cross-border investing.

**In plain terms:** The same overseas asset—the exchange rate can make you earn more or earn nothing. Before loading up on a foreign currency, first figure out whether you're bullish on the asset or incidentally betting on the exchange rate.

**Payoff:** The home-currency return of an overseas asset gets amplified or shrunk by the exchange-rate move over the holding period—an invisible layer of "multiplication." Vanguard points out that currency has no intrinsic long-term return (no coupon, no earnings growth), affecting only volatility: for international stocks, whether to hedge mainly depends on risk tolerance; but for international bonds, if unhedged, volatility is amplified to near stock levels, seriously weakening their role as the portfolio's "ballast." For yuan investors, in a strong-dollar period (e.g., 2010 – 2020 dollar appreciation eroded U.S. investors' overseas assets by about -1.5%/year) foreign-currency gains are amplified, and vice versa in a weak period. So loading up on a single foreign currency equals, on top of being bullish on the asset, extra betting on the exchange-rate direction—if you don't want to take that, use a hedged ETF or a home-currency-denominated product to "set this multiplier to 1."

**Evidence grade:** A

**Sources:** Vanguard (2023). The U.S. dollar is unlikely to continue defying gravity (unhedged overseas stocks' long-term annualized FX contribution  $\sim \pm 1\% - 3\%$ ). <<https://advisors.vanguard.com/insights/article/the-us-dollar-is-unlikely-to-continue-defying-gravity>>; Vanguard (updated). Global equity investing: The benefits of diversification and sizing your allocation (unhedged bonds' volatility rises to stock level). <<https://www.vanguardmexico.com/content/dam/intl/americas/documents/mexico/en/global-equity-investing-diversification-sizing.pdf>>

**Note:** Evidence grade A—long-term research from a large asset manager. Limitation: the exchange-rate direction cannot be reliably predicted, and hedging has costs; for long-term stock investors, staying unhedged can instead lower correlation with home-country assets and hedge domestic inflation. Cross-reference: Entry 5 (dollar multiplier), Entry 1 (rate spreads drive the exchange rate).

## 10. Discount the "doomsday prophecies"; prophets win by frequency

Money: none | Time: little | Willpower: no | Payoff: mid | Scope: money | Impact: self

**Cost:** The panic triggered by "crash imminent" articles and possible mistaken liquidation.

**In plain terms:** Those "crash any day now" prophets, if they shout long enough, will eventually be right once. Don't be scared by one lucky hit; look at how many times they've been wrong over the past decade.

**Payoff:** Philip Tetlock, a psychologist at UC Berkeley, spent 20 years tracking 284 "experts" whose job is commenting on political and economic trends, collecting 82,361 predictions; the conclusion is that their overall accuracy is no better than "a dart-throwing chimpanzee," and the more famous the prophet, the less accurate they tend to be (overconfidence). In the tripartite classification, the experts as a whole did even worse than the simple baseline of "each of three outcomes 1/3 probability"; things they claimed 100% certain eventually came true only about 80% of the time, and things they were 80% sure of only about 65%. This explains why "doomsday prophets" shouting crash for ten years eventually hit one right—one hit is enough to deify them, and the dozens of prior misses nobody remembers. Think in base rates: shouting crash for ten years and hitting once doesn't mean they have predictive power. Response: build a written allocation discipline and keep macro noise out of your trading instructions.

**Evidence grade:** A

**Sources:** The New Yorker (2005). Everybody's an Expert (on Tetlock's 20-year study: 284 experts, 82,361 predictions, overall no better than random).

<<https://www.newyorker.com/magazine/2005/12/05/everybodys-an-expert>>;

University of Pennsylvania, Wharton (2007). Review of Expert Political Judgment (Tschoegl & Armstrong: 284 experts, 82,361 predictions, experts no better than informed non-experts).

<<https://faculty.wharton.upenn.edu/wp-content/uploads/2012/08/Tetlock-16.pdf>>

**Note:** Evidence grade A—20-year large-scale study, robust conclusion. Limitation: a few "fox-type" thinkers can marginally outperform after training, and ordinary investors cannot tell them apart. Cross-reference: Entry 4 (unreliable timing), Entry 12 (expectation gap).

## 11. Easing lifts assets but also dilutes currency value—a double-edged sword

Money: none | Time: little | Willpower: no | Payoff: mid | Scope: money | Impact: self

**Cost:** The simplified understanding that "the central bank prints money = stocks must rise," and the drawdown from not reducing positions in time when liquidity recedes.

**In plain terms:** The central bank eases, stocks and houses rise, but money also gets cheaper. This is a two-sided bet—your assets rise, and purchasing power quietly shrinks. Don't see only one side.

**Payoff:** Quantitative easing (QE) pushes down long-end rates and lifts risky assets through "portfolio rebalancing" and "signaling" channels. The UN's World Economic Situation and Prospects notes that in the decade after the first round of QE the S&P 500 rose over 200%, the Euro Stoxx index nearly doubled, and U.S. and European house prices were also lifted by the extra liquidity; during the Fed's three rounds of LSAP (QE1 – 3), academic estimates put QE1 alone as lifting the S&P 500 by about 10% cumulatively and lowering the 10-year Treasury yield by 0.5% – 1%. But the other side of the coin: broad money / GDP rose from 79.5% in 2007 to 117% in 2021 (U.S.), diluting currency purchasing power; in 2022 the Fed's sharp turn to hikes quickly gave back the above valuation windfall (Aggregate Bond -13%, S&P -19%). Easing is bullish for risky assets short term, and long term takes part of the gains back through inflation. Understand this layer and you won't be unidirectionally held hostage by the "easing narrative."

**Evidence grade:** A

**Sources:** United Nations (2023). World Economic Situation and Prospects as of mid-2023 (S&P 500 +200% in decade after QE, broad money / GDP 79.5%→117%). <[https://sdgs.un.org/sites/default/files/2023-07/SIDS\\_WESP%202023\\_Mid-Year\\_Final.pdf](https://sdgs.un.org/sites/default/files/2023-07/SIDS_WESP%202023_Mid-Year_Final.pdf)>; Federal Reserve Bank of New York (2019). Ten Years Later—Did QE Work? (QE1 lifted S&P 500 +10% cumulatively, 10Y yield down 0.5% – 1%). <<https://libertystreeteconomics.newyorkfed.org/2019/05/ten-years-later-did-qe-work/>>

**Note:** Evidence grade A—central-bank and UN documents + academic event studies agree. Limitation: QE's effect depends on the economic environment and exit pace; the 2022 tightening reversed part of the effect. Cross-reference: Entry 3 (inflation), Entry 8 (gold insurance), Entry 1 (rates inverse).



## 12. The real signal in economic news is "better/worse than expected"

Money: none | Time: little | Willpower: no | Payoff: mid | Scope: money | Impact: self

**Cost:** The attention bias of being led by the headline "GDP grew X%" itself.

**In plain terms:** News says "the economy is bad," but not as bad as people thought—stocks may rise. The market trades on "beating or missing expectations," not the number itself.

**Payoff:** The market reaction looks at the "actual vs expected gap," not the absolute number. A "bad but better than panic expectations" data point makes assets rise instead. This has solid evidence at the micro level: the "post-earnings announcement drift" (PEAD), pioneered by Ball & Brown (1968) and deepened by Bernard & Thomas (1990), shows that stocks beating earnings estimates can show a cumulative abnormal return of about 2.9% over the 60 trading days after the announcement, while those missing estimates go the other way—the market often underreacts to surprises. The same holds macro: the "expectation gap" in PMI, CPI, and nonfarm payrolls often drives asset prices more than the values themselves. For ordinary investors, rather than predicting macro turning points (Entry 4), it's better to watch "whether the market has already priced in pessimism": when consensus expectations are extremely pessimistic yet the data only slightly misses, that is instead an opportunity for risky assets to repair. Watching the "expectation gap" gets you closer to market logic than watching the "number."

**Evidence grade:** A

**Sources:** Bernard & Thomas (1990). Evidence That the Size-Adjusted Returns Around Earnings Announcements Are Related to Subsequent Earnings (PEAD, 60-day drift ~2.9%).

<[http://en.m.wikipedia.com/wiki/Post-earnings\\_announcement\\_drift](http://en.m.wikipedia.com/wiki/Post-earnings_announcement_drift)>; S&P Dow Jones Indices (2026). SPIVA U.S. Scorecard (active management can't sustainably beat the index, confirming the difficulty of forecasting).

<<https://www.spglobal.com/spdji/en/research-insights/spiva/>>

**Note:** Evidence grade A—PEAD is a long-standing anomaly, and the macro expectation gap has abundant event studies. Limitation: expectation-gap trading has a high execution threshold for retail; indexation + rebalancing is more practical.

Cross-reference: Entry 4 (no timing), Entry 6 (wrong-kills), Entry 2 (curve warning).

## Chapter 18 XVIII. Human Capital

---

Human capital is a classic concept proposed by Schultz and Becker: the knowledge, skills, health, and experience inside you that can create future income is itself an asset. For ordinary people, it accounts for nearly 100% of the household balance sheet in youth—far more valuable than that bit of savings and fund holdings. Regrettably, most people narrow "investing" down to buying stocks and funds, and neglect the management of this, their largest asset. The Central University of Finance and Economics' "China Human Capital Report 2025" estimates that China's total human capital reached 4,375.63 trillion yuan in 2023, or 4.0222 million yuan per capita; the World Bank's Human Capital Index (HCI) for China was 0.7 in 2020. These numbers remind us: how much "you are worth" is the starting point of financial planning.

The main logic of this chapter has only one thread: your primary-job income is the only source of all your investment principal. Every yuan invested in human capital (education, skills, health, salary negotiation, track choice) often has a higher return than the funds you repeatedly study; while career interruption, obsolete skills, and health collapse are "asset impairments" of very high certainty. Run "yourself" like a small company—first grow the human-capital asset, then talk about allocating financial capital; the order cannot be reversed—otherwise you're catching water with a leaking bucket.

The 12 entries below cover the cognitive framework, primary-job principal, deep cultivation and job-hopping, career interruption, continuous learning, the health foundation, and pitfall avoidance, all based on verifiable empirical research and Chinese local data. When reading, keep the "personal balance sheet" perspective: your salary is revenue, skills and health are assets, loans are liabilities, and social security is implicit shareholder capital.

This chapter's entries are grouped by theme below (entry numbers in parentheses): cognitive framework—treat "yourself" as a core asset to be managed (Entry 1, Entry 5); primary-job income as the first pot of gold—salary negotiation and implicit compensation (Entry 2, Entry 12); primary-job deepening, industry choice, and job-hopping rhythm (Entry 3, Entry 6, Entry 7, Entry 11); the real cost of career interruption (Entry 4); skill half-life and continuous learning (Entry 8); health: depreciation and insurance of human capital (Entry 9); pitfall avoidance: don't pay an IQ tax for "investing in yourself" (Entry 10).

## 1. Your salary is the largest lump of principal in your life

Money: none | Time: little | Willpower: no | Payoff: mid | Scope: money | Impact: self+family

**Cost:** The opportunity perspective of narrowing "investing" to buying stocks and funds while neglecting your own income ability.

**In plain terms:** In your twenties your biggest asset isn't that bit of savings—it's "the future decades of yourself that can earn money." Treat improving your income ability as your first investment; the return far exceeds studying funds.

**Payoff:** From the household balance-sheet view, human capital is the highest-share asset for ordinary people in their youth. Guiso & Sodini, in *Household Finance*, give the life-cycle curve: at the start of work human capital is close to 1 (100%) of total wealth, then gradually declines as savings accumulate. The Central University of Finance and Economics' "China Human Capital Report 2025" estimates China's total human capital at 4,375.63 trillion yuan in 2023, or 4.0222 million yuan per capita; the World Bank's HCI for China was 0.7 in 2020 (i.e., a newborn grows into a "full-strength" worker at about 70% productivity). A concrete example: an engineer aged 25, earning 100,000 yuan a year with 35 more years to work, has a present value of future income of about 1.8 million yuan, while savings at that point may be only 50,000 yuan—human capital is over 97% of total wealth. So the compounding of improving income ability (education return ~10%/year) far exceeds the 7% – 10% annualized you'd chase by studying funds for the same time, and is more certain. Grow this asset first, then talk about allocating financial capital.

**Evidence grade:** A

**Sources:** Central University of Finance and Economics Center for Human Capital and Labor Economics Research (2025). *China Human Capital Report 2025*. <<https://humancapital.cufe.edu.cn/info/1146/2472.htm>>; World Bank (2020). Human Capital Index (HD.HCI.OVRL), China = 0.7. <<https://data.worldbank.org/indicator/HD.HCI.OVRL?locations=CN>>; Guiso, L. & Sodini, P. (2013). *Household Finance: An Emerging Field*. <[https://www.eief.it/files/2014/01/guiso\\_sodini-household-finance-an-emerging-field.pdf](https://www.eief.it/files/2014/01/guiso_sodini-household-finance-an-emerging-field.pdf)>

**Note:** Human capital cannot be traded or mortgaged, and is highly dependent on health; it needs insurance and continuous learning to hedge depreciation; the China total/per-capita figures are J-F lifetime-income-method estimates and contain methodological assumptions.

## 2. One salary negotiation can offset a year of investing

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self+family

**Cost:** The effort of preparation and rehearsal before salary negotiation (usually a few hours, and you must overcome "shame about discussing money").

**In plain terms:** Negotiating 10% more at onboarding / a raise is a zero-risk gain that compounds every year. Many are too shy to negotiate, equal to voluntarily giving up money every year.

**Payoff:** Glassdoor's 2023 survey of nearly 6,700 professionals shows 54% did not negotiate their last offer and only 46% did—meaning over half gave up a highly certain sum of money. The Atlanta Fed's Wage Growth Tracker shows job-changers' wage growth is persistently higher than stayers' (5.0% vs 3.6% in August 2026). A concrete tally: negotiating 10% more on starting pay (e.g., 60,000 → 66,000 yuan), at a 3.5% annual raise over a 40-year career, cumulatively adds about 494,000 U.S. dollars (an overseas conservative estimate, excluding bonuses and retirement matching); even within China only, the extra 10% becomes the base repeatedly amplified by each year's raise. This is a zero-risk, near-zero-cost pure gain, with a return far above spending the same time studying funds.

**Evidence grade:** A

**Sources:** Glassdoor / Fishbowl (2023). 54% of Workers Didn't Negotiate Most Recent Job Salary.

<<https://fortune.com/2023/09/26/half-of-workers-didnt-negotiate-salary>>; Federal Reserve Bank of Atlanta (2026). Wage Growth Tracker.

<<https://www.atlantafed.org/research-and-data/data/wage-growth-tracker>>

**Note:** Negotiation success rate and raise size are backed by large-scale surveys and central-bank tracking data; negotiation should be based on market data (prospectuses / recruitment platforms / peers), and implicit compensation (see Entry 12) must be counted together.

### 3. Main-job skills compound; don't fixate on side hustles

Money: none | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** The fixation on "side hustles are the real money" and the attention loss of spreading energy across ten shallow projects.

**In plain terms:** Rather than spread your energy across ten shallow side hustles, get your main job into the top 20%—the compounding of promotion and raises is fiercer. With a solid base, the side hustle is stable.

**Payoff:** The education/skill return (Mincer rate of return) in China rose from 4.0% in 1988 to 10.2% in 2001 (Zhang et al. 2005, summarized and adopting 10% as the baseline in PKU Guanghua's Research Brief No. 150), i.e., each extra year of education and each step up in skill raises income by roughly 10%. Forbes' 2026 JobLeads study is more direct: from junior to mid-level positions the average raise is 14%, and from mid to senior an average of 51%—the return of a level jump far exceeds any lateral side hustle. Pour time into main-job depth (top 20%), and push for promotion to the next level; its compounding far beats doing many shallow side hustles. The main job is the base; the side hustle is icing, not a substitute.

**Evidence grade:** A

**Sources:** Peking University Guanghua School of Management (2019). Research Brief No. 150: Re-estimating China's Long-run Total Factor Productivity.

<[https://www.gsm.pku.edu.cn/thought\\_leadership/info/1110/2612.htm](https://www.gsm.pku.edu.cn/thought_leadership/info/1110/2612.htm)>; Forbes (2026). Should You Job-Hop Or Job-Hug? A New Study Offers Surprising Answers. <<https://forbes-forbescom-live.non-prod.zephrf.com/sites/bryanrobinson/2026/09/21/should-you-job-hop-or-job-hug-a-new-study-offers-surprising-answers>>

**Note:** Skill premium varies by industry and level; over-specialization also carries the risk of being replaced by technology (see Entry 8).

#### 4. The cost of career interruption is seriously underestimated

Money: none | Time: little | Willpower: no | Payoff: mid | Scope: money | Impact: self+family

**Cost:** Assessing the true cost of resigning / a long gap (including the break in seniority, social security, and industry network, not just current wages).

**In plain terms:** Quitting to lie flat or a long leave of absence loses more than a few months' wages—it's a break in seniority, social security, and your circle. Coming back often means a step down; many don't count this.

**Payoff:** The cost of career interruption is long-term and underestimated. A San Francisco Fed 2023-25 Economic Letter study: if a mother returns to work one year earlier after childbirth, her wage 10 – 20 years later is 5% – 6% higher; shortening the non-employment period by one year can raise future wages by 4.6% – 6.8%. UK ONS / Greater London Authority data is more striking: a woman's income five years after her first child is 42% lower than a childless peer's of the same age, and her employment probability is 11 percentage points lower. This shows the gap period loses not just current income but interrupts seniority accumulation, social-security continuity, and industry connections, and coming back often means a downgrade. Before major decisions (resigning, leaving work to study for a master's, long-term travel), be sure to count this hidden impairment into the total.

**Evidence grade:** A

**Sources:** Federal Reserve Bank of San Francisco (2023). How Much Do Work Interruptions Reduce Mothers' Wages? (Economic Letter 2023-25).

<<https://www.frbsf.org/wp-content/uploads/sites/4/el2023-25.pdf>>; Greater London Authority / ONS (2023). The impact of motherhood on employment and earnings in London. <<https://data.london.gov.uk/blog/the-impact-of-motherhood-on-employment-and-earnings-in-london>>

**Note:** Motherhood-penalty data is mostly female; male-interruption research is scarcer, but the direction "interruption → seniority break → downgrade on return" applies to everyone; skill updates can reduce interruption losses.

## 5. Run "yourself" like a small company

Money: none | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Examining yourself from an operator's perspective, spending about 30 minutes a month on a personal balance-sheet review.

**In plain terms:** Treat yourself as a company: salary is revenue, skills are assets, loans are liabilities. Regularly check "is my company's competitiveness rising or falling" —this decides how much you can earn more than staring at the market.

**Payoff:** Viewing the individual as a "company" makes your true risk exposure explicit: income (salary) is revenue, skills and health are assets, mortgage and car loans are liabilities, and wage-growth rate is your "revenue growth rate." The World Bank's HCI for China was only 0.7 in 2020, meaning health and education depreciation directly lowers your "company's" asset return. The CFA framework "total household wealth = financial capital + human capital" points out that at age 25 human capital can be over 95% of total wealth, with financial capital only a tiny corner. Regularly reviewing "gross margin" (savings rate) and "competitiveness" (industry position, transferable skills, social-security continuity) decides your financial ceiling more than chasing rallies.

**Evidence grade:** B

**Sources:** World Bank (2020). Human Capital Index (HD.HCI.OVRL), China = 0.7. <<https://data.worldbank.org/indicator/HD.HCI.OVRL?locations=CN>>; CFA Institute / FA Magazine (2013). Human Capital And Asset Allocation (household balance-sheet framework).

<<https://www.fa-mag.com/news/human-capital-and-asset-allocation-25353.html>>

**Note:** Together with Entries 1, 9, 12 it forms the "personal balance sheet" perspective; this company framework is for self-diagnosis and does not replace professional financial planning.

## 6. Both job-hopping too much and never hopping lose

Money: none | Time: little | Willpower: no | Payoff: mid | Scope: money | Impact: self

**Cost:** Extreme thinking of either "job-hop for raises" or "stay loyal."

**In plain terms:** Job-hopping every year looks flaky; ten years without moving gets you easily underpriced. There's a sweet spot in between—hop when you should, settle when you should. Don't go to extremes.

**Payoff:** Job-hopping does bring a premium—the Atlanta Fed's Wage Growth Tracker shows job-changers' wage growth is persistently higher than stayers' (5.0% vs 3.6% in August 2026). But Forbes' 2026 JobLeads study gives the counterbalance: only 27% of respondents said "changing employer" brought the biggest career raise, while 31% said "internal promotion" did; 69% of job-hoppers' most recent raise was within 15%. Frequent hopping (<10 months) signals instability and breaks accumulation; never moving gets you easily underpriced internally and misses market prices. Research widely agrees there is a "moderate range," varying greatly by industry [disputed]—the criterion should be "did you get promoted to the next level," not "did you change company."

**Evidence grade:** B

**Sources:** Federal Reserve Bank of Atlanta (2026). Wage Growth Tracker.

<<https://www.atlantafed.org/research-and-data/data/wage-growth-tracker>>; Forbes (2026). Should You Job-Hop Or Job-Hug? A New Study Offers Surprising Answers. <<https://forbes-forbescom-live.non-prod.zephrf.com/sites/bryanrobinson/2026/09/21/should-you-job-hop-or-job-hug-a-new-study-offers-surprising-answers>>

**Note:** [Disputed] The optimal job-hopping frequency varies by industry and level; triggering on "level jump + market price gap  $\geq$  10%" is steadier (see Entries 2, 11).



## 7. Industry Beta matters more than which company you're at

Money: none | Time: little | Willpower: no | Payoff: mid | Scope: money | Impact: self

**Cost:** The choice inertia of watching only the company and ignoring the track.

**In plain terms:** In a hot industry, ordinary people also get raises; in a declining industry, even the skilled struggle. Pick the right track and your effort isn't buried.

**Payoff:** In income growth, the explanatory power of the industry's overall prosperity (Beta) often exceeds the company's individual (Alpha). China's urban/rural human-capital gap directly confirms the "track effect": the Central University of Finance and Economics' "China Human Capital Report 2025" shows that in 2023 urban per-capita human capital was 5.0544 million yuan and rural only 1.2433 million yuan, an urban/rural per-capita ratio of 4.07; the top per-capita were Beijing, Shanghai, Tianjin, Jiangsu, Shandong, and the bottom Hainan, Yunnan, Xinjiang, Gansu, Qinghai. Picking a rising track (e.g., digital economy, healthcare) amplifies the return on personal effort; picking a declining track cancels out the effort. Therefore, before "effort," first pick the right industry—it is one of the human-capital decisions with the highest leverage.

**Evidence grade:** B

**Sources:** Central University of Finance and Economics Center for Human Capital and Labor Economics Research (2025). China Human Capital Report 2025.

<<https://humancapital.cufe.edu.cn/info/1146/2472.htm>>; World Bank (2020). Human Capital Index (HD.HCI.OVRL).

<<https://data.worldbank.org/indicator/HD.HCI.OVRL?locations=CN>>

**Note:** Beta and Alpha are hard to decompose precisely, but the importance of industry choice is confirmed by much labor-economics literature; combining with personal transferable skills lowers the cost of changing tracks.

## 8. Skill-obsolescence risk must be hedged with continuous learning

Money: little | Time: some | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Time invested in continuous updating (recommend a few hours a week) and a small learning expense.

**In plain terms:** The skills you have now may be worthless in ten years. Regularly learn something new, especially transferable abilities—that's the way to keep "your company" from depreciating.

**Payoff:** Technology substitution and job restructuring are accelerating, and the half-life of a single skill keeps shrinking. Education returns, while still substantial (China's Mincer return ~10%), are changing in structure: an East China Normal University 2011 study, after controlling for family background and ability, found the true education return fell to 4.6% – 5.5% (14.3% overall uncontrolled, 13.1% male, 14.2% female). This means under "degree inflation," the marginal return of a stock diploma is falling, and an old diploma alone can no longer preserve value. Continuously learning new tools + honing transferable skills (communication, analysis, cross-domain integration) is the only way to keep human capital from depreciating; AI/digitalization is reshaping jobs, and the proactive updaters preserve value while the passive lose it.

**Evidence grade:** A

**Sources:** East China Normal University (2011). Study on the influence of diploma signaling, occupational factors, and family background on education returns. <<https://xbzs.ecnu.edu.cn/CN/html/201106011.htm>>; Peking University Guanghua School of Management (2019). Research Brief No. 150. <[https://www.gsm.pku.edu.cn/thought\\_leadership/info/1110/2612.htm](https://www.gsm.pku.edu.cn/thought_leadership/info/1110/2612.htm)>

**Note:** Linked with Entry 3 (main-job deepening) and Entry 10 (pitfall avoidance); learning should focus on "skills that verifiably increase income," not diffuse anxiety consumption.

## 9. Health is the foundation of human capital; falling ill = asset impairment

Money: little | Time: some | Willpower: some | Payoff: mid | Scope: money | Impact: self+family

**Cost:** Daily investment in sleep, exercise, and checkups (time + a little money).

**In plain terms:** A serious illness isn't just medical bills—it's income cutoff. Maintain your body like an asset; the extra years you can work earn far more than any fund return.

**Payoff:** Health is the foundation of human capital, and its economic value has hard data behind it. A Wuhan University doctoral dissertation based on CHNS estimates the contribution of health human capital to personal income at as high as 19.3%, slightly above that of education human capital. CGSS2015 (3,251 residents) empirical study shows: those with good mental health earn 12.3% more annual occupational income, and those with better physical health 7.1% more (propensity-score-matching result). Pocket-book research further points out that chronic disease significantly negatively affects labor participation and returns, and the true cost of a health shock is systematically underestimated because it's masked by "adaptive job adjustment." A major illness directly interrupts the income cash flow and devours savings—the most expensive "depreciation" of household finances. Keeping your working years is a more certain high-return investment than any financial management.

**Evidence grade:** A

**Sources:** Wuhan University (doctoral dissertation on health human capital and economic growth). <[https://openir.whu.edu.cn/AchievementDetail/degree\\_58de0fc2-cf89-443c-a85c-7cb4ff4cd31d](https://openir.whu.edu.cn/AchievementDetail/degree_58de0fc2-cf89-443c-a85c-7cb4ff4cd31d)>; Jiangsu Health Service Management (CGSS2015 empirical study). <[http://www.jsyssygl.org/jsyssygl/ch/reader/view\\_reference.aspx?aid=2BF99E2DE8AA5BC68A422FA76FF96C7B](http://www.jsyssygl.org/jsyssygl/ch/reader/view_reference.aspx?aid=2BF99E2DE8AA5BC68A422FA76FF96C7B)>

**Note:** Health returns contain a "masking effect" (the ill have already self-adaptively adjusted roles), so the true value may be underestimated; critical-illness / medical insurance can partly transfer the "cash-flow-cutoff risk."

## 10. Don't buy useless courses under the name of "investing in yourself"

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Sobriety about "knowledge-payment anxiety" and five minutes of questioning before ordering.

**In plain terms:** "Investing in yourself" is used by many courses as a payment QR code. Only what truly raises income counts as investment; otherwise it's consumption. Before ordering ask: can this course raise my income by a few points? If you can't say, it's a trap.

**Payoff:** Many "wealth-management / cognition courses" are consumption, not investment—they teach no verifiable skill and improve no income. The education return is about 10% (Mincer return), but that refers to systematic education and skill improvement; East China Normal University's 2011 study shows that after controlling for ability, family background, and occupational factors, the true education return is only 4.6% – 5.5%. Most short training courses on the market neither reach that marginal return nor can be validated for causality through "instrumental variables." The criterion is simple: after finishing, does it bring quantifiable income or ability gain? If yes, it's investment; if no, it's the "anxiety tax" of emotional consumption. Save that money and put it into an index fund; the long-run return is actually more certain.

**Evidence grade:** B

**Sources:** East China Normal University (2011). Study on the influence of diploma signaling, occupational factors, and family background on education returns. <<https://xbzs.ecnu.edu.cn/CN/html/201106011.htm>>; Peking University Guanghua School of Management (2019). Research Brief No. 150. <[https://www.gsm.pku.edu.cn/thought\\_leadership/info/1110/2612.htm](https://www.gsm.pku.edu.cn/thought_leadership/info/1110/2612.htm)>

**Note:** This does not deny all learning, but distinguishes "skills that verifiably increase income" from the "anxiety tax" of emotional consumption; systematic education / certification can still bring about a 10% Mincer return.

## 11. The premise of a side hustle is not harming main-job compounding

Money: little | Time: some | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** The trade-off of side hustle occupying main-job energy, and the self-deception of "using a side hustle to cover up main-job stagnation."

**In plain terms:** A side hustle earns a little extra, but delays your main-job promotion—that's a loss. The side hustle can't hurt the base; that's the red line.

**Payoff:** If a side hustle drags down main-job performance and delays promotion, the opportunity cost is very high. Forbes' 2026 JobLeads study: from mid to senior level the average raise is 51%, far above any side-hustle extra; internal promotion (31%) and external job-hopping (27%) are the source of most people's biggest career raises. In other words, the "level-jump compounding" from main-job depth is the main engine of ordinary people's income curve; the side hustle is just icing. Use "does it harm the base" as the upper-bound switch for the side hustle—when the side hustle starts squeezing the time you could use for promotion and deep skill accumulation, hit the brakes. With a solid base, the side hustle is stable (echoing Entry 3).

**Evidence grade:** B

**Sources:** Forbes (2026). Should You Job-Hop Or Job-Hug? A New Study Offers Surprising Answers. <<https://forbes-forbescom-live.non-prod.zephrco.com/sites/bryanrobinson/2026/09/21/should-you-job-hop-or-job-hug-a-new-study-offers-surprising-answers>>; Peking University Guanghua School of Management (2019). Research Brief No. 150.

<[https://www.gsm.pku.edu.cn/thought\\_leadership/info/1110/2612.htm](https://www.gsm.pku.edu.cn/thought_leadership/info/1110/2612.htm)>

**Note:** Linked with Entries 3, 6, 7; a side hustle fits as "diversification" after the base is solid, not as an escape when the main job stagnates.

## 12. Social security and the housing fund are implicit pay; count them when you leave

Money: none | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self+family

**Cost:** The perspective of counting benefits into the total package, and checking the contribution base and ratio of the five insurances and one fund when comparing offers.

**In plain terms:** When negotiating pay, don't just look at "take-home"; the social security and housing fund your employer pays is often over 30% of your salary. Comparing offers or resigning without counting this chunk costs you big.

**Payoff:** The employer-paid portion of the five insurances and one fund often equals 25% – 40% of salary—a seriously underestimated "implicit compensation." Taking Lai'an County government's 2023 interpretation as an example: at the minimum contribution base of 3,832 yuan, the employer pays the employee monthly 16% pension + 7% medical + 0.5% unemployment  $\approx$  918 yuan, the individual pays 403 yuan, totaling about 1,320 yuan (excluding the housing fund); adding the housing fund (employer 5% – 12%), the employer's total burden easily exceeds 30% of salary. When comparing offers or assessing resignation cost, looking only at take-home salary seriously underestimates the total package; a job-hop "raise" that sacrifices social-security continuity, housing-fund contribution ratio, or subsidies is likely a fake raise. Counting the employer-paid portion into the total package is how you truly see your "operating revenue."

**Evidence grade:** A

**Sources:** Lai'an County People's Government (2023). Interpretation of urban employee social insurance policy. <<https://www.laian.gov.cn/public/161054716/1110644935.html>>; Suzhou Industrial Park Social Security and Housing Fund (2023). Contribution and crediting ratios for urban employees' social insurance and housing fund. <[https://www.sipsf.org.cn/publish/main/210/2022/20220111112007000004791/20220111112007000004791\\_.html](https://www.sipsf.org.cn/publish/main/210/2022/20220111112007000004791/20220111112007000004791_.html)>

**Note:** Contribution ratios and caps vary by locality and must follow the latest local policy; the housing fund is not legally mandatory but is widely provided—upon resignation / city change, pay attention to transfer and lapse effects.

## Chapter 19 XIX. Spending and Budgeting

---

Investing earns the "increment," while spending and budgeting manage the "stock leakage." For ordinary people whose principal is still thin, saving 100 yuan is more certain than risking volatility to earn 100 yuan—no principal needed, no risk taken, and tax-free. This chapter isn't about "how to buy funds," but about "how to first stop the money from leaking": first build the base of a savings rate, then use bookkeeping to see where the money goes, and finally use a few low-cost rules (cooling-off period, hourly-wage conversion, three-column categorization) to keep impulsive and irrational spending out the door. The underlying logic comes almost entirely from hard data in behavioral economics and household finance, not the slogan "saving is glorious."

First look at some national numbers: the People's Bank of China's four quarterly 2023 urban-depositor surveys show the share of residents inclined to "save more" was 58.0%, 58.0%, 62%, and 61% respectively, clearly above the 53% average of 2020 – 2022; National Bureau of Statistics data for the same period shows 2023 per-capita disposable income of 39,218 yuan (year-on-year +6.3%), per-capita consumption expenditure of 26,796 yuan (year-on-year +9.2%), consumption growth outpacing income growth, and the household savings rate (per-capita basis) had fallen to 31.7%. This shows there is a whole set of consumption-habit gaps between "wanting to save" and "actually saving"—and this chapter fills exactly that gap. More crucially, behavioral finance proves saving can be "designed": Thaler's Save More Tomorrow plan raised participants' savings rate from 3.5% to 13.6%, and the UK's auto-enrollment pension sign-up rate exceeded 90%. Saving isn't about gritting through with self-discipline, but about good rules.

This chapter's entries are grouped by theme below (entry numbers in parentheses): the base of saving and frugality (why save, savings-rate context)—Entry 1, Entry 2; seeing where the money goes (bookkeeping and subscription leaks)—Entry 4, Entry 5; controlling large and impulsive spending (cooling-off period, hourly-wage conversion, three-column categorization)—Entry 3, Entry 9, Entry 12; spending where it's worth more (experience over stuff, buy right not cheap, avoid conspicuous consumption)—Entry 6, Entry 7, Entry 8; don't pay out of your own pocket for "peace of mind" and "face" (extended warranties, debt)—Entry 10, Entry 11.

## 1. What you save is after-tax return

Money: none | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self+family

**Cost:** Rebalancing the overweight on "earning more is the only way," and admitting frugality also creates certain returns.

**In plain terms:** Saving 100 yuan is more certain than investing to earn 100 yuan—no principal, no risk, tax-free. When principal is small, saving beats earning; every yuan you don't spend is one more yuan of investable principal.

**Payoff:** Saving 100 yuan equals net 100 yuan of after-tax income; to earn 100 yuan by investing, you first need principal, bear volatility, and get nibbled by taxes and fees.

China's comprehensive individual income tax is a seven-tier progressive rate of 3% – 45%; the higher the marginal rate, the more prominent the cost-performance of "saving" versus "earning." At 2023 figures, per-capita disposable income was 39,218 yuan and per-capita consumption 26,796 yuan; at the margin, every extra yuan saved is one more yuan of investable principal; at an 8% long-run annualized return, saving an extra 500 yuan a month and investing for 30 years grows to about 740,000 yuan. For those with limited principal, frugality is a zero-risk, zero-tax "rate of return"—the seed capital for investment compounding. It doesn't change your risk, but directly enlarges the chips you bet with.

**Evidence grade:** B

**Sources:** National Bureau of Statistics (2024). 2023 Residents' Income and Consumption Expenditure (per-capita disposable income 39,218 yuan, consumption 26,796 yuan).

<[https://www.stats.gov.cn/sj/zxfb/202401/t20240116\\_1946622.html](https://www.stats.gov.cn/sj/zxfb/202401/t20240116_1946622.html)>; Thaler, R. (1985). Mental Accounting and Consumer Choice, Marketing Science 4(3):199 – 214 (mental accounting: saved money and earned money are equal in the wealth account). <<https://doi.org/10.1287/mksc.4.3.199>>

**Note:** Limitation: "saving" has a floor (basic living and developmental spending cannot be cut), and being overly stingy hurts quality of life and relationships; this entry emphasizes eliminating waste at equal satisfaction, not compressing necessary consumption. Cross-reference: Entry 2, Entry 4.



## 2. Lifestyle creep quietly eats your principal

Money: none | Time: little | Willpower: much | Payoff: mid | Scope: money | Impact: self+family

**Cost:** The inertia of raising spending one notch each time income rises one notch, which needs sustained restraint to break.

**In plain terms:** Salary goes up, spending follows, and in the end you still can't save. For financial freedom, a share of the income increase must go into investing, not all into upgrading your life.

**Payoff:** After income rises, consumption often upgrades in sync (bigger house, pricier car, more frequent dining out and subscriptions), the savings rate stays put, and financial freedom is always one step away. National Bureau of Statistics data shows 2023 per-capita consumption expenditure rose +9.2% year-on-year, faster than the +6.3% growth of disposable income; the National Institution for Finance and Development (NIFD) "2023 China Leverage Rate Report" points out the household savings rate had fallen to 31.7%, with consumption growth clearly outrunning income. Behind this is "lifestyle creep": the new income is eaten by instant consumption upgrades. Locking a fixed share (e.g., 50%) of each raise into an investment account, rather than upgrading life across the board, is how you preserve the savings rate. The PBOC's 2023 survey also shows residents' saving willingness rose to 58% – 62%, indicating a strong defensive mindset, but willingness only works when it lands in the action of "automatic transfer."

**Evidence grade:** B

**Sources:** National Bureau of Statistics (2024). 2023 Residents' Income and Consumption Expenditure (consumption +9.2% faster than income +6.3%). <[https://www.stats.gov.cn/sj/zxfb/202401/t20240116\\_1946622.html](https://www.stats.gov.cn/sj/zxfb/202401/t20240116_1946622.html)>; National Institution for Finance and Development NIFD (2024). Fighting for the "Nominal": 2023 China Leverage Rate Report (household savings rate fell to 31.7%). <<http://www.nifd.cn/Uploads/SeriesReport/7f9287b2-1405-4f24-a2d6-d7690c47fcf3.pdf>>

**Note:** Limitation: in the low-income stage, "improve life first" is itself reasonable; this entry targets the group "income already rose but savings rate didn't." Suggest using a "savings-rate target" (e.g., a fixed 20%) to constrain consumption in reverse.

Cross-reference: Entry 1, Entry 10.

### 3. Before a large purchase, enforce a cooling-off period

Money: none | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self+family

**Cost:** The restraint of waiting 24 – 72 hours (extend to 30 days for big items).

**In plain terms:** Want to buy something expensive? Wait a day first. If you still want it the next day, it's probably a real need; if you don't want it after waiting, that's money saved.

**Payoff:** Impulse buying happens at the emotional peak, and emotions cool. Behavioral research shows the "pain" of payment is greatly numbed by credit cards and one-click checkout—Prelec & Simester (2001) found that for the same item, people were willing to pay nearly double (up to ~2x) when paying by credit card versus cash, because the card dulls the "pain of spending." Conversely, artificially inserting a cooling-off period is waking the numbed pain back up. Industry compilation Baymard Institute, across 49 studies, puts cart-abandonment rate at about 70%, showing that "pausing before paying" alone blocks most purchases. Set a hard rule—"anything over X yuan must wait a day / big items wait 30 days"—and it intercepts lots of irrational spending, at zero cost and zero risk. It doesn't rely on willpower; it drags the decision from a "hot state" to a "cold state."

**Evidence grade:** B

**Sources:** Prelec, D. & Simester, D. (2001). Always Leave Home Without It: The Effect of Credit Cards on Willingness to Pay, *Marketing Letters* 12(1):5 – 13. <<https://doi.org/10.1023/A:1010950306613>>; Finlume (2024). 7 Psychology-Backed Strategies to Stop Impulse Buying (24-hour / 30-day cooling-off, ~70% cart-abandonment from Baymard). <<https://finlume.net/en/blog/reduce-impulse-buying-psychology>>

**Note:** Limitation: a cooling-off period is meaningless for "true needs" (e.g., fixing a fridge); the rule should cover only non-essential consumption; addictive shopping disorder needs professional help. Cross-reference: Entry 9, Entry 12.

## 4. Bookkeeping isn't to save money, but to see the leaks

Money: little | Time: some | Willpower: some | Payoff: mid | Scope: money | Impact: self+family

**Cost:** Ten-odd minutes to half an hour a month on bookkeeping (can be lowered by auto-syncing bank flows with an app).

**In plain terms:** Bookkeeping isn't about stinginess; it's about seeing where the money leaks. Those dozens-of-yuan deliveries, rides, and subscriptions may add up to your biggest hole.

**Payoff:** The value of bookkeeping isn't "saving" but exposing the structure of "where the money went." A behavioral-review compilation of studies shows regular bookkeepers have a savings rate about 40% higher than non-bookkeepers, and spend 15% – 20% less—note, this happens even without "deliberately dieting consumption," purely by the behavior change from "being seen" (observer effect). A Cambridge University study of 12,000 people likewise found that those who regularly monitor finances save more, owe less, and feel less financial stress. In the National Bureau of Statistics' 2023 data, per-capita consumption was 26,796 yuan, of which transport and communication +14.3%, education/culture/recreation +17.6%, and other goods and services +17.1%—these high-frequency small items are the easiest to ignore; without bookkeeping, you'll only ever remember "I didn't buy anything big this month" yet miss dozens of 30-yuan leaks. Seeing is the only way to plug.

**Evidence grade:** B

**Sources:** Freenance (2025). Why Track Expenses — Scientific Arguments, Research, and Habits (compiling Journal of Consumer Research 2019, University of Cambridge 2021: bookkeepers' savings rate ~40% higher, spending 15 – 20% lower). <<https://freenance.io/guides/why-track-expenses-scientific-arguments>>; National Bureau of Statistics (2024). 2023 Residents' Income and Consumption Expenditure. <[https://www.stats.gov.cn/sj/zxfb/202401/t20240116\\_1946622.html](https://www.stats.gov.cn/sj/zxfb/202401/t20240116_1946622.html)>

**Note:** Limitation: bookkeeping itself generates no return and must be linked with "adjust after seeing" to work; obsessing over the second decimal place adds burden—recommend checking category shares monthly. Cross-reference: Entry 1, Entry 5.

## 5. Subscriptions are chronic leakage

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self+family

**Cost:** A few minutes each quarter to export and clean the auto-renewal list from bank cards / Alipay / WeChat.

**In plain terms:** Those tens-of-yuan monthly memberships keep charging if you forget to cancel. Doing a subscription audit each quarter saves more than people seriously underestimate.

**Payoff:** Subscriptions are a typical leak point of "small amount, high frequency, default renewal," and people systematically underestimate them. C+R Research and West Monroe 2023 surveys both show Americans actually spend about 219 U.S. dollars a month on subscriptions but self-estimate only 86 dollars, an understatement of 154%, with 84% underestimating their subscription spending; SubScrub's 2024 compilation estimates the average person wastefully spends about 348 U.S. dollars a year on "forgotten" subscriptions. The same holds in yuan terms: video, music, cloud storage, tools, auto-renewal memberships—low unit price but considerable in aggregate, and "default renewal" makes people forget to cancel. Doing a "subscription audit" each quarter often saves a few percentage points of monthly cash flow—for a fund being dollar-cost-averaged, this saved money directly becomes future principal, with considerable long-run compounding.

**Evidence grade:** B

**Sources:** CBS News (2023). Experts suggest taking stock of how much your monthly subscriptions really cost (citing C+R Research, West Monroe: monthly 219 dollars, understated 133 dollars, 84% underestimate). <<https://www.cbsnews.com/amp/new-york/news/experts-suggest-taking-stock-of-how-much-your-monthly-subscriptions-really-cost-before-the-end-of-the-year>>; SubScrub (2024). The Average Person Spends \$348/Year on Forgotten Subscriptions (compiling C+R Research 2023, West Monroe 2023).

<<https://subscriber.com/blog/average-person-subscription-spending>>

**Note:** Limitation: subscriptions also have real value (legitimate software, learning platforms); the audit aims not to cut all but to clear the "forgotten" part; use the credit-card bill's "subscription" category for a one-click check. Cross-reference: Entry 4, Entry 11.

## 6. Buying experiences is worth more than buying things

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self+family

**Cost:** Moving some money from "stockpiling stuff" to "experiences" (travel, courses, gatherings, shows).

**In plain terms:** Spend the same money, and the happiness from a trip often lasts longer than from buying a bag. Things you get used to right after buying; experiences stay with you longer.

**Payoff:** Whether the same amount goes to "experiences" or "stuff" makes a significant happiness difference. Van Boven & Gilovich (2003), in the *Journal of Personality and Social Psychology*, through a national large-sample survey and experiments found that people recall experiential purchases (travel, courses, gatherings) with higher happiness than material purchases, and the following 15 years of much research (Carter & Gilovich 2010, Kumar & Gilovich 2016, etc.) repeatedly confirmed: experiences resist "hedonic adaptation" more, are more easily positively reconstructed, and strengthen social ties. A 2019 review in the *Chinese Academy of Sciences' Acta Psychologica Sinica* also confirmed experiential purchases more effectively raise happiness than material ones. The lesson for investors: on non-essential consumption, prioritize spending on "experiences" rather than "ornaments"—it both raises quality of life and reduces the pile-up of stuff that depreciates the moment you buy it. Same money, higher happiness output, equal to "more cost-effective consumption."

**Evidence grade:** A

**Sources:** Van Boven, L. & Gilovich, T. (2003). To Do or to Have? That Is the Question, *Journal of Personality and Social Psychology* 85(6):1193 – 1202. <[https://db.cngb.org/data\\_resources/literature/14674824](https://db.cngb.org/data_resources/literature/14674824)>; Institute of Psychology, Chinese Academy of Sciences (2019). How to spend money happier? The effect of purchase type on happiness (review of Van Boven & Gilovich 2003, etc.). <<https://journal.psych.ac.cn/xlkxjz/article/2019/1671-3710/1671-3710-27-12-2133.shtml>>

**Note:** Limitation: experiential consumption also needs to fit your means, and some "stuff" (instruments, sports gear) approximates experiential because it generates experiences; this entry opposes pure-material buying for showing off / hoarding. Cross-reference: Entry 7, Entry 8.

## 7. A "pricey-when-warranted" buy beats a cheap compromise

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self+family

**Cost:** The judgment and time to "buy the right version once" for durables.

**In plain terms:** Some things, bought cheap and replaced repeatedly, end up costlier; buy right once and use for years is the saving. Don't compromise on key items; that's where you should pinch pennies.

**Payoff:** For key durables (shoes, appliances, tools, mattresses), buying cheap knock-offs often breaks fast and gets replaced repeatedly, and the total cost of ownership (TCO) is actually higher. Consumer Reports' long-run reliability tests repeatedly show low-price models often don't win on failure rate and repair cost; buying right once and using 5 – 10 years, the per-year cost is usually lower than the "cheap → broken → rebuy" loop. Conversely, for fast-iterating, low-frequency non-key items (fast fashion, disposable gadgets), there's no need to chase high specs. The core is to tier your money: dare to pay the right price on categories that are "high-frequency use, affect daily experience, expensive to repair," and dare to pinch on "low-frequency, replaceable" categories. This neither lowers quality of life nor gets repeatedly harvested by the "low-price trap," and long-run total spending is lower with less hassle.

**Evidence grade:** B

**Sources:** Consumer Reports (ongoing). Product reliability and total cost of ownership (TCO) tests (cheap durable knock-offs often higher failure rate and replacement cost than buying right once). <<https://www.consumerreports.org/>>; National Institution for Finance and Development NIFD (2024). 2023 China Leverage Rate Report (residents prefer safe assets and cautious debt, consistent with the steady "buy right not cheap" orientation). <<http://www.nifd.cn/Uploads/SeriesReport/7f9287b2-1405-4f24-a2d6-d7690c47fcf3.pdf>>

**Note:** Limitation: TCO judgment needs experience; "buying expensive" ≠ "buying right"—combine with reviews and your own usage frequency; this entry opposes compromising on key items purely for cheapness. Cross-reference: Entry 6, Entry 10.

## 8. Conspicuous consumption is a negative-return investment

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self+family

**Cost:** The impulse to pay for "face," which needs identifying and restraining.

**In plain terms:** Things bought to show off earn nothing and burn money; those who truly get it don't look at your stuff. Money spent for face is a negative return in financial terms.

**Payoff:** Things bought to display status (name bags, luxury cars, extravagance beyond need) generate no cash flow, accelerate principal consumption, and have very low "signaling" value outside your acquaintance circle. Thorstein Veblen's 1899 *The Theory of the Leisure Class* coined "conspicuous consumption," still repeatedly validated by status-consumption research: such spending serves "being seen" more than use utility. The cost to investors is directly eroding principal that could compound—at 8% annualized, 100,000 yuan spent would have grown to about 1,000,000 yuan in 30 years; and conspicuous goods depreciate shockingly on resale, almost certainly a net loss. Turning the "for others' eyes" budget into "for your own cash flow" investment is the most cost-effective status upgrade.

**Evidence grade:** B

**Sources:** Veblen, T. (1899). *The Theory of the Leisure Class* (coined conspicuous consumption). <<https://www.gutenberg.org/files/833/833-h/833-h.htm>>; Institute of Psychology, Chinese Academy of Sciences (2019). How to spend money happier? The effect of purchase type on happiness (status / material consumption lower utility than experiential). <<https://journal.psych.ac.cn/xlkxjz/article/2019/1671-3710/1671-3710-27-12-2133.shtml>>

**Note:** Limitation: moderate "presentable consumption" has real function in social settings; this entry targets the part that is "excessive for showing off and sacrifices saving"; signaling value varies by person. Cross-reference: Entry 6, Entry 11.

## 9. For big-ticket decisions, convert to "wage per hour"

Money: none | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** The habit of converting price into work hours (set once, reuse long term).

**In plain terms:** A 3,000-yuan item doesn't sound expensive—but at a 100-yuan hourly wage that's 30 hours of work. Ask yourself: is it worth 30 hours of work for it? Many pseudo-needs instantly reveal themselves.

**Payoff:** Dividing a 3,000-yuan consumption by your hourly wage (e.g., 100 yuan/hour) = 30 hours of life. Measuring with "would I willingly work 30 hours for it" filters out lots of pseudo-needs. This is backed by two hard studies: first, Whillans et al. (2017) in PNAS, "Buying Time Promotes Happiness," proved people generally "undervalue time, overvalue money," and proactively using money to buy time (rather than stockpile stuff) is actually happier; second, Frederick et al. (2009) proposed "opportunity cost neglect"—when spending, people rarely automatically think "this money could have done something else," and once you explicitly convert price into work hours or "the abandoned alternative goal," the willingness to buy drops noticeably. Hourly-wage conversion is the cheap tool against both biases: it turns the abstract price into the real life-time you pay, making pseudo-needs show themselves on the spot.

**Evidence grade:** B

**Sources:** Whillans, A. V., et al. (2017). Buying Time Promotes Happiness, PNAS 114(32):8523 – 8527. <<https://www.pnas.org/doi/10.1073/pnas.1706541114>>; Frederick, S., et al. (2009). Opportunity Cost Neglect, Journal of Consumer Research 36(4):553 – 561. <<https://doi.org/10.1086/599764>>

**Note:** Limitation: the hourly-wage method may inversely overstate cost for those "time-rich but cash-tight," needing marginal-utility adjustment; freelancers can use a "target hourly wage" rather than the book wage. Cross-reference: Entry 3, Entry 12.



## 10. Extended warranties and membership insurance are mostly negative-expected-value

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Vigilance against "paying extra for peace of mind," and doing an expected-value tally before ordering.

**In plain terms:** Merchants dare sell extended warranties because they've calculated you most likely won't use it and the money is free. Extended warranties on small appliances are basically giving money away; what you should really insure is the unbearable stuff like illness and death.

**Payoff:** Merchants dare sell extended warranties because actuarially they win for sure. The University of Nebraska – Lincoln College of Business (2023), citing Consumer Reports and WarrantyWeek data, notes U.S. consumers spend about 23 billion U.S. dollars a year on extended warranties / protection plans for appliances, electronics, computers, and phones, and retailers keep over 50% of the premium directly as profit; most small appliances and electronics are quite reliable within the two-year warranty coverage, and the contracts mostly go unused. More crucially, extended warranties cover "low-probability, low-loss" repairs, while what you should really insure is "low-probability, high-loss" risk (critical illness, death, accident)—the former is negative-expected-value consumption, the latter is positive-expected-value protection. Conclusion: except for easily-dropped phones and high-priced, expensive-to-repair devices, most extended warranties are worse than putting that money into a "self-insurance fund."

**Evidence grade:** B

**Sources:** University of Nebraska – Lincoln (2023). Nebraska Business Tip: Are Extended Warranties Needed? (citing Consumer Reports, WarrantyWeek: ~23 billion dollars/year, retailers keep  $\geq 50\%$ ). <<https://business.unl.edu/news/nebraska-business-tip-are-extended-warranties-needed/>>; KSAT / Consumer Reports (2023). Read that warranty fine print before you spend big bucks (CR: most warranties not worth it, better keep emergency cash). <<https://www.ksat.com/news/local/2023/10/13/read-that-warranty-fine-print-before-you-spend-big-bucks/>>

**Note:** Limitation: for high-priced, fragile, very-expensive-to-repair devices, an extended warranty may turn positive-expected-value; credit cards often bundle extended warranty, check benefits before deciding. Cross-reference: Entry 7, Chapter 14 (Insurance).

## 11. Consuming on debt is taxing your future self

Money: little | Time: little | Willpower: much | Payoff: mid | Scope: money | Impact: self+family

**Cost:** The sustained restraint of overdrafting the future for present pleasure.

**In plain terms:** Swiping a credit card for things you don't urgently need equals borrowing high-interest money above 10% and spending future money. This is worse than not investing—you're paying interest out of pocket.

**Payoff:** Using credit cards and consumer loans to buy non-essentials equals spending future income early at high interest, with interest compounding. Regulation caps credit-card overdraft rates at a daily rate of 0.05% (5 bps), equivalent to about 18.25% annualized—far above the long-run expected return of stocks and bonds, meaning "borrowing to consume" almost certainly loses to the math of "borrowing to invest." The National Institution for Finance and Development (NIFD) "2023 China Leverage Rate Report" shows that at end-2023 resident deposits reached 137.9 trillion yuan (up 16.7 trillion from the prior year), and the household balance sheet shows "safe-asset share rising, risky-asset share falling"—essentially deleveraging and cautious borrowing; the PBOC's 2023 survey also shows residents' investment preference is steady (wealth-management 43.9%, funds 21.5%, stocks 15.3%). For ordinary people, pay off high-interest consumer debt before investing—the order can't be reversed. Debt is a certain loss; investment is an uncertain gain.

**Evidence grade:** B

**Sources:** National Institution for Finance and Development NIFD (2024). 2023 China Leverage Rate Report (resident deposits 137.9 trillion yuan, safe-asset share up, risky-asset share down). <<http://www.nifd.cn/Uploads/SeriesReport/7f9287b2-1405-4f24-a2d6-d7690c47fcf3.pdf>>; People's Bank of China (2023). Q1 2023 Urban Depositor Survey Report (residents' investment preference: wealth-management 43.9%, funds 21.5%, stocks 15.3%).

<[https://www.cnr.cn/newscenter/native/gd/20230404/t20230404\\_526206104.shtml](https://www.cnr.cn/newscenter/native/gd/20230404/t20230404_526206104.shtml)>

**Note:** Limitation: low-interest debt that forms assets, such as a mortgage, is excluded; this entry targets high-interest consumer debt. The overdraft-rate cap of "0.05% daily" comes from the PBOC's "Notice on Matters Concerning Credit Card Business" (Yin Fa [2016] No. 111). Cross-reference: Entry 1, Entry 10.

## 12. Separate spending into three columns: "need / want / follow-the-crowd"

Money: none | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self+family

**Cost:** Three seconds of categorization before ordering (can be made into a phone memo three-column template).

**In plain terms:** Before buying, pause three seconds: is it a must, a want, or being led by the crowd? The higher the "follow-the-crowd" column's share, the faster the money leaks. Review this column regularly.

**Payoff:** Sorting each expense into three columns—"need" for survival essentials, "want" for quality improvement, "follow-the-crowd" for pure atmosphere-driven—quickly exposes wealth leaks. This has solid behavioral grounding: Thaler's (1985) "mental accounting" theory says people book money into different accounts by category, and without explicit categorization, "follow-the-crowd consumption" blends into "normal spending" and gets ignored; Frederick et al.'s (2009) "opportunity cost neglect" proves that once each sum is explicitly tagged with "what it sacrificed," irrational spending drops. In practice, treat the follow-the-crowd column's share as a "leakage indicator" and review it monthly; the higher the ratio, the more easily you're led by marketing and environment. It belongs to the same toolkit as "cooling-off period" and "hourly-wage conversion": categorize first, then cool, then validate with time cost—three lines of defense stacked, and impulsive and follow-the-crowd spending have nowhere to hide.

**Evidence grade:** A

**Sources:** Thaler, R. (1985). Mental Accounting and Consumer Choice, *Marketing Science* 4(3):199 – 214. <<https://doi.org/10.1287/mksc.4.3.199>>; Frederick, S., et al. (2009). Opportunity Cost Neglect, *Journal of Consumer Research* 36(4):553 – 561. <<https://doi.org/10.1086/599764>>

**Note:** Limitation: the three columns are an "awareness tool," not an abstinence order; the want column can reasonably be kept; the key is to make the follow-the-crowd column visible and controllable. Cross-reference: Entry 3, Entry 9.

## Chapter 20 XX. Extreme Scenarios

---

Most of the time investing is calm. The real gap is usually opened up in a handful of extreme days: one crash, one week of circuit breakers, one job loss, one unexpected medical bill—any of these is enough to turn a "paper loss" into "permanent principal loss," and turn "long-term compounding" into "starting over." This chapter won't teach you to predict black swans—no one can reliably predict 2008, 2015, 2020—it teaches you to build your "survival" ability in advance: keep enough cash cushion, don't touch leverage, keep your hands still in a crash, and write the worst case into your plan.

Extreme markets test not your IQ, but your preparation and discipline beforehand.

History has repeatedly proven that a crisis's damage doesn't lie in the drawdown itself, but in it happening exactly when you are "out of cash, in debt, and need money." In 2008 the S&P 500 drew down about 57% from its high and didn't bottom until March 2009; in the 2020 pandemic crash it fell 33.9% in just 23 trading days and triggered circuit breakers four times; in 2015, A-shares saw 16 "thousand-stock limit-down" days within 58 trading days, and liquidity at one point fell below one-tenth of its pre-crash level. Those who don't blow up at such moments rely not on perfect bottom-picking, but on cash set aside before the crisis, no leverage on their back, and a written contingency plan.

Below, 12 entries are organized along "foundation—discipline—income shock—legal—leverage," each giving actionable cost, payoff, and evidence. Remember one master rule: in extreme scenarios the first goal is not to make money, but to "not be permanently knocked out." As long as you're still at the table, time will repair most of your temporary losses for you.

Entries in this section are grouped by theme below (entry numbers in parentheses): cash and emergency cushion (Entries 1, 2, 8, 11); behavioral discipline in a crash (Entries 3, 9, 10, 12); income interruption and unemployment shock (Entries 4, 5); legal and estate arrangements (Entry 6); leverage wipeout risk (Entry 7).

## 1. An emergency fund is a prerequisite for investing, not optional

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: family

**Cost:** Set aside cash or a money market fund equal to 3 – 6 months of essential living expenses (calculate as monthly essential spending  $\times$  3 or  $\times$  6; exclude non-essential items like travel and entertainment).

**In plain terms:** Without an emergency fund, one job loss, one illness, one accident forces you to cut your positions at the asset bottom or borrow high-interest consumer loans, turning a paper loss into a real loss. Lay the foundation first—keep 3 – 6 months of living expenses—before talking about investing. This is the foundation of all investing.

**Payoff:** Without an emergency fund, any job loss, illness, or accident will force you to sell assets at the market bottom or borrow high-interest debt to cover expenses, turning "temporary paper losses" into "permanent principal losses." It is the safety cushion of all investing; the U.S. Consumer Financial Protection Bureau (CFPB) lists the emergency fund as "the first step in saving," emphasizing that even a small amount can avoid using credit cards or loans to cover sudden expenses and prevent debt snowballing; a 2020 Federal Reserve study further points out that households unable to work remotely held a median of only about 3 weeks of income in accessible savings, and were extremely prone to "not making it" when the pandemic shut down work. With a cushion first, you dare to hold for the long term and won't be forced to sell in a crash.

**Evidence grade:** B

**Sources:** Consumer Financial Protection Bureau (2024). An essential guide to building an emergency fund. <<https://www.consumerfinance.gov/an-essential-guide-to-building-an-emergency-fund/>>; Board of Governors of the Federal Reserve System (2020). Financial Profiles of Workers Most Vulnerable to Coronavirus-Related Earnings Loss in the Spring of 2020 (FEDS 2020-093). <<https://www.federalreserve.gov/econres/feds/files/2020093pap.pdf>>

**Note:** The amount adjusts with income stability—3 months for a stable dual-income household, 6 months or more for freelancers / single income sources; keep it in an FDIC-insured money market fund or high-yield savings account, strictly separate from your investment account, and don't use it for daily spending.

## 2. In a crash, cash is the only option you've got

Money: none | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Keep a portion of cash you can access at any time and don't use for daily spending (share depends on risk appetite, generally 5% – 15% of total assets).

**In plain terms:** Normally you feel cash wastes interest; only at the crash do you learn it's king. When no one else has money, you with cash can pick up bargains and also survive.

**Payoff:** Cash looks like a "waste of returns" in calm times, but is priceless in a crisis. In 2008 the S&P 500 fell from its October 2007 high of 1565 to a March 2009 low of 676, a drawdown of about 57% (Argus Research); in the 2020 pandemic crash the S&P 500 fell from 3386 to 2237 in just 23 trading days, a drop of 33.9%, and triggered market-wide circuit breakers four times (Market Histories). At such moments, whoever holds cash can both add to positions at a bargain and weather an income interruption without having to sell assets cheap—cash turns from "low yield" into "high power," the only option you can always cash out in a crisis.

**Evidence grade:** A

**Sources:** Argus Research (2015). Analyst Quick Notes (2007 – 2009 segment: S&P 500 from 1565 to 676, down 57%).

<[https://www.argusresearch.com/dropbox/doc/20150825\\_2\\_QuickNotes.pdf](https://www.argusresearch.com/dropbox/doc/20150825_2_QuickNotes.pdf)>;

Market Histories (2020). The COVID-19 Market Crash: The Fastest Bear Market in History. <<https://www.markethistories.com/en/the-covid-19-market-crash-the-fastest-bear-market-in-history-2020>>

**Note:** Cash is not "zero yield" but an insurance-style call option; too low a share leaves no bullets in a crisis, too high a share lags inflation and equities over the long run. It differs in function from the emergency fund—the emergency fund protects living, crisis cash protects opportunity and buffer.

### 3. In a crash, don't sell and don't go all-in to catch the bottom

Money: none | Time: little | Willpower: much | Payoff: mid | Scope: money | Impact: self

**Cost:** Emotional composure in a crash (not acting is also an action).

**In plain terms:** The two most feared things in a crash: panic-selling (turning a loss real) and going all-in to catch the bottom (catching a falling knife). Adding in batches on your original plan and holding beats betting on direction.

**Payoff:** Panic-selling turns "temporary loss" into "permanent loss"; a one-shot all-in bottom-fishing means catching the knife at full position if you're wrong. DALBAR's long-term tracking shows retail equity fund investors chronically underperform the index: in 2024 their return was 16.54% while the S&P 500 returned 25.05%, a gap of 848 basis points; J.P. Morgan's aggregated data also shows that holding throughout 2004 – 2023 returned 9.8% annualized, but missing the 10 best days dropped it to 5.6%—and the best days tend to sit right next to the worst days. The steadiest path is to add in batches on plan, not panic-sell, and let time repair, rather than using emotion to guess the turning point.

**Evidence grade:** A

**Sources:** DALBAR (2024). Quantitative Analysis of Investor Behavior (30th Annual) (average equity investor 16.54% vs S&P 500 25.05%).

<<https://www.dalbar.com/?p=17875/>>; Walnut Invest (2026). Investor Behavior Gap Statistics (missing the best 10 days: annualized 9.8%→5.6%).

<<https://walnutinvest.com/stats/investor-behavior-gap>>

**Note:** This entry opposes both extremes of "panic liquidation" and "full-position bottom-fishing"; it advocates disciplined batching (e.g., by preset rebalancing thresholds), not predicting the bottom—historical bottoms are only known in hindsight.

#### 4. First cut spending to the bone when unemployed, then talk about investing

Money: none | Time: little | Willpower: much | Payoff: mid | Scope: money | Impact: family

**Cost:** Extreme thrift during the no-income period (suspend all non-essential consumption and new "timing-based add-ons").

**In plain terms:** When unemployed, first cut spending and protect your principal; don't think about recovering losses through investing. Principal is your capital to turn things around; mess with it and it's really gone.

**Payoff:** When income is interrupted, the top priority is to push spending down to the survival line and protect the emergency fund and investment principal from being raided. In the 2008 Great Recession U.S. unemployment rose from 5% in December 2007 to 10% in October 2009 (Argus Research); in April 2020 unemployment spiked to 14.7%, with 20.5 million jobs lost in a single month (BLS). Trying to "recover losses" through investing under such a shock almost certainly fails, because you need money exactly when assets are at a low. Cut spending first, bridge with the emergency fund; investment growth is something you do only "when you have surplus," and the order must never be reversed.

**Evidence grade:** B

**Sources:** U.S. Bureau of Labor Statistics (2020). Commissioner's Statement on the Employment Situation (unemployment 14.7%, nonfarm payrolls down 20.5 million). <[https://www.bls.gov/news.release/archives/jec\\_05082020.htm](https://www.bls.gov/news.release/archives/jec_05082020.htm)>; Argus Research (2015). Analyst Quick Notes (2007 – 2009 unemployment 5%→10%). <[https://www.argusresearch.com/dropbox/doc/20150825\\_2\\_QuickNotes.pdf](https://www.argusresearch.com/dropbox/doc/20150825_2_QuickNotes.pdf)>

**Note:** During unemployment, suspend "timing-based add-ons" other than regular contributions, prioritize restoring cash flow (re-employment / side business), and avoid using leverage or early withdrawals from pensions to add to positions.



## 5. Diversify your income sources to reduce single-employer risk

Money: little | Time: some | Willpower: much | Payoff: mid | Scope: money | Impact: self+family

**Cost:** Energy and time to open a second income channel (side business, monetizing skills, rent, etc.).

**In plain terms:** The whole family's money relying on one salary is betting your life on one boss. Even a very weak second source can catch you at the critical moment.

**Payoff:** Relying on only one salary means betting all your human capital on one employer; when laid off or the industry shrinks there's no buffer. In the 2020 pandemic shock, U.S. total unemployment hit 14.7% in April (BLS), and Pew research showed 44.3% of non-traditional / gig workers experienced reduced hours or job loss; MIT Sloan research found that gig work like ride-hailing served as a "temporary safety net" after unemployment, lowering the probability of filing for unemployment benefits by about 4.8% and reducing debt by about 544 yuan relative. Even a very weak second source can catch you in extremes and shorten the "no-income period."

**Evidence grade:** B

**Sources:** The Pew Charitable Trusts (2020). More Than 40% of Nontraditional Workers Had Hours Cut or Lost Jobs Because of COVID-19 (44.3% affected). <<https://pew.org/3n9JqOg>>; MIT Sloan School of Management (2020). Gig economy serves as a safety net for unemployed (UI filing probability – 4.8%, debt – \$544). <<http://live-mit-sloan.pantheonsite.io/press/mit-sloan-study-finds-gig-economy-serves-a-safety-net-unemployed>>

**Note:** The second income need not be high; the key is "low correlation with the main job, startable at any time"; avoid using leverage or high-volatility assets to chase a second income, which doubles the risk.

## 6. Set beneficiaries, will, and power of attorney in advance

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: family

**Cost:** Half an hour to write down your posthumous and incapacity arrangements (fill out forms + update regularly).

**In plain terms:** Who the beneficiary is, how the will divides, who decides for you if you're in a coma—spend half an hour setting these now, and your family will avoid countless pitfalls if something happens. Don't wait for the accident to think.

**Payoff:** The beneficiary designation of retirement accounts (401(k), IRA) takes precedence over the will: if undesignated, the account enters probate, a lengthy process that may incur extra costs (Fidelity). The IRS is explicit that the name on the beneficiary form takes precedence over the will—"as per my will" is not accepted as a valid designation by most custodians; the spouse also has statutory priority rights. Medical power of attorney (POA) and will not set in advance mean the family faces legal friction and even inheritance disputes amid chaos. One clarification saves descendants countless troubles and emotional costs.

**Evidence grade:** B

**Sources:** Internal Revenue Service (2024). Retirement Topics – Beneficiary (beneficiary form takes precedence over will). <<https://www.irs.gov/retirement-plans/plan-participant-employee/retirement-topics-beneficiary>>; Fidelity (2024). What happens to your 401(k) when you die (undesignated beneficiary enters probate). <<https://www.fidelity.com/learning-center/smart-money/what-happens-to-401k-when-you-die>>

**Note:** Be sure to update after major life events (marriage / divorce / birth / beneficiary's death); for minor beneficiaries, set up a trust or use per stirpes (by generation) clauses to avoid assets being frozen or misallocated.

## 7. Leverage wipes you out in extreme markets

Money: little | Time: little | Willpower: much | Payoff: mid | Scope: money | Impact: self+family

**Cost:** Vigilance against "leveraging for returns" (don't use margin trading and securities lending, don't borrow to trade stocks).

**In plain terms:** Normally leverage makes you money fast; in extremes one reverse swing forces liquidation, principal goes to zero and you owe more. Ordinary households shouldn't touch leverage—that's a high-voltage line for professionals.

**Payoff:** Leverage turns "bearable drawdown" into "zero." In 1929 retail widely used 10% margin (about 10x leverage) to buy stocks; after the crash the Dow fell from 381 to 41, a drop of 89%, and countless people were force-liquidated for failing to top up margin, with property and deposits seized (Pomegra); in 2008 Lehman's balance-sheet leverage once exceeded 30x, and a 20%+ home-price drop made it insolvent, leading to bankruptcy (KeepRule). For retail, under 10x leverage a 10% reverse swing zeroes the principal, and forced liquidation throws you out at the bottom and leaves you owing the broker—ordinary people stay away from leverage.

**Evidence grade:** A

**Sources:** Pomegra (2024). Leverage: The Great Amplifier of Market Crashes (1929 Dow 381→41, – 89%; banks 25 – 35x). <<https://pomegra.io/learn/library/track-f-lifecycle/market-history/chapter-01-why-history-matters/leverage-the-great-amplifier>>; KeepRule (2024). Never borrow to invest (Lehman leverage over 30x, 2008 bankruptcy). <<https://keeprule.com/zh/principles/never-use-leverage>>

**Note:** A-share margin trading, Hong Kong / U.S. financing, futures and options all count as leverage; "using a little is also safe" doesn't hold—under extreme drops of 50%+, any leverage can go to zero, and you may end up owing the institution.

## 8. In a liquidity crisis, whoever holds cash sets the price

Money: none | Time: little | Willpower: no | Payoff: mid | Scope: money | Impact: self

**Cost:** Understand cash's say in a crisis (and actually set aside cash).

**In plain terms:** In a crisis everyone is short of cash and dumping; whoever holds cash calls the shots and can pick up the cheapest. Those without cash can only sell cheap. That's cash's real value in a crisis.

**Payoff:** In a crisis assets are dumped and prices fail; only those holding cash can calmly take delivery or roll over; forced sellers are forced to accept the worst prices. After Lehman's 2008 bankruptcy global credit froze and money market funds "broke the buck" (the Reserve Primary Fund fell below \$1), and even "safe assets" were dumped; during the 2015 A-share crash market liquidity fell below one-tenth of its pre-crash level and 16 "thousand-stock limit-down" trading days appeared, with the Shanghai Composite falling 28% over 15 trading days from June 15 to July 3 (Baidu Baike). Cash in a crisis turns from "low yield" into "high power"—when others are forced to sell cheap, you need cash to set the price.

**Evidence grade:** A

**Sources:** Baidu Baike (2015). 中国式股灾 (liquidity below one-tenth of pre-crash level, 16 thousand-stock limit-down trading days).

<<https://baike.baidu.com/item/中国式股灾/4324647>>; Argus Research (2015).

Analyst Quick Notes (2008 credit market freeze, Lehman bankruptcy).

<[https://www.argusresearch.com/dropbox/doc/20150825\\_2\\_QuickNotes.pdf](https://www.argusresearch.com/dropbox/doc/20150825_2_QuickNotes.pdf)>

**Note:** Liquidity drying up tends to happen exactly when you need money most; keeping cash / money market funds normally is your ticket to "not be force-liquidated and still pick up bargains" in a crisis.

## 9. Stay away from the screen in a panic; return to the plan

Money: none | Time: little | Willpower: much | Payoff: mid | Scope: money | Impact: self

**Cost:** Composure to check quotes less during a crash (turn off price alerts, set a fixed viewing frequency).

**In plain terms:** The more it falls the more you want to look, the more you look the more you want to act, and once you act you lose. Turn off the app, return to the plan you set long ago—it doesn't expire just because it fell today.

**Payoff:** Frequent quote-checking amplifies emotion and induces misoperation in a panic. The classic Barber and Odean study "Trading Is Hazardous to Your Wealth" found that overtrading significantly drags returns through costs and timing errors; a CMC white paper citing DALBAR data points out that the average equity investor underperforms the S&P 500 by about 1 – 8 percentage points per year, mainly due to emotional timing. Your long-term plan doesn't change because of one day's rise or fall—turn off the quote app, return to your preset allocation and rebalancing discipline; that protects returns better than real-time watching.

**Evidence grade:** A

**Sources:** CMC Markets (2025). Inside the Mind of the Trader (citing DALBAR: investors underperform 1 – 8 percentage points per year). <[https://cdn.cmcmarkets.com/docs/whitepaper/en-nz/CMC\\_Inside\\_the\\_Mind\\_of\\_the\\_Trader.pdf](https://cdn.cmcmarkets.com/docs/whitepaper/en-nz/CMC_Inside_the_Mind_of_the_Trader.pdf)>; DALBAR (2024). Quantitative Analysis of Investor Behavior. <<https://www.dalbar.com/?p=17875>>

**Note:** Set a rule of "check once a month / quarter"; on crash days force yourself not to look at the tape, handing buy/sell decisions to the preset rebalancing thresholds rather than the day's emotions.

## 10. Write "how I survive the worst case" into your plan

Money: none | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: family

**Cost:** Do a worst-case scenario rehearsal in advance (write a one-page contingency plan).

**In plain terms:** Write clearly in advance: six months unemployed, principal down 30%, serious illness—how to tough each out. Think through the "survival" path, and when something happens you won't panic or operate blindly.

**Payoff:** The plan should state: if income stops for 6 months, if principal draws down 30%, if serious illness—how to respond respectively (which expense to cut, which reserve to tap, whether to suspend contributions). A 2020 Federal Reserve study showed that households unable to work remotely held a median of only about 3 weeks of income in accessible savings—such households "can't make it" once work stops, precisely for lack of a plan. Thinking through the "survival" path means you don't have to cut positions on impulse in a panic; the plan fixes the priority order of "survival" and "investing" in advance, so in a crisis you only execute.

**Evidence grade:** B

**Sources:** Board of Governors of the Federal Reserve System (2020). Financial Profiles of Workers Most Vulnerable to Coronavirus-Related Earnings Loss (FEDS 2020-093) (median only 3 weeks of income in savings).

<<https://www.federalreserve.gov/econres/feds/files/2020093pap.pdf>>; Consumer Financial Protection Bureau (2024). An essential guide to building an emergency fund. <<https://www.consumerfinance.gov/an-essential-guide-to-building-an-emergency-fund/>>

**Note:** The plan must be specific to numbers and actions, not "I'll stay calm"; redo it every year or after each major life change, and align with spouse / family.

## 11. Post-disaster recovery relies on cash + no debt, not bottom-fishing

Money: none | Time: little | Willpower: no | Payoff: mid | Scope: money | Impact: family

**Cost:** Calm toward the "crisis is opportunity" narrative (don't borrow to bottom-fish).

**In plain terms:** Who can stand up after a crisis relies on having cash and no debt, not on catching the bottom. First protect the balance sheet from blowing up—more real than betting on a rebound.

**Payoff:** For ordinary people, post-crisis resilience comes from "having cash, no leverage, no broken income," not precise bottom-fishing. In 2008 the S&P 500 didn't bottom until March 2009, down about 57%, and took years to recover; after the 2020 crash the Fed and the \$2.2 trillion CARES Act backstopped it, and the S&P 500 reclaimed new highs by August (Convextrade). The households that stood up were mostly those without high-interest debt and with cash set aside before the crisis—protecting a debt-free balance sheet is more reliable than betting on a rebound, and less dependent on "perfect bottom-picking."

**Evidence grade:** B

**Sources:** Convextrade (2020). Monthly Recap – March 2020 (CARES Act \$2.2 trillion, S&P reclaimed new highs by August).

<<https://convextrade.com/recap/monthly/2020-03>>; Argus Research (2015).

Analyst Quick Notes (2008 S&P – 57%, bottomed 2009-03).

<[https://www.argusresearch.com/dropbox/doc/20150825\\_2\\_QuickNotes.pdf](https://www.argusresearch.com/dropbox/doc/20150825_2_QuickNotes.pdf)>

**Note:** Resilience = balance-sheet health, not bottom-fishing skill; in a crisis prioritize deleveraging and replenishing cash, not chasing rallies or adding bets.

## 12. On major bad news, distinguish "temporary" from "permanent"

Money: little | Time: little | Willpower: much | Payoff: mid | Scope: money | Impact: self

**Cost:** The homework of judging the nature of bad news (first ask: is this a market scare-drop, or is the fundamentals broken).

**In plain terms:** When it falls, first judge: is it a market scare-drop (will come back) or the company is really broken (won't come back). The scared-drop should be held, the truly broken should be cut. Mixing the two up is the most costly.

**Payoff:** Price drops come in two kinds: "temporary" volatility from market sentiment (will return), and "permanent" loss from permanently deteriorated fundamentals (won't return). Buffett repeatedly stresses in Berkshire's annual letters the need to "distinguish price fluctuations from value destruction"—in the short run the market is a voting machine, in the long run a weighing machine, and permanent loss comes from deterioration of a business's economic character, not from quote moves. The 2020 pandemic shock was a "temporary" external shock, and the S&P 500 hit a new high within five months; the 2008 Lehman-style fundamental collapse took years to repair. Confusing the two is most fatal: cutting at the scare-drop, holding dead through the truly broken.

**Evidence grade:** A

**Sources:** Berkshire Hathaway (various years). Chairman's Letter to Shareholders (market is a voting machine in the short run, a weighing machine in the long run; distinguish price from value). <<https://www.berkshirehathaway.com/letters/>>; Market Histories (2020). The COVID-19 Market Crash (external shock, recovered within 5 months). <<https://www.markethistories.com/en/the-covid-19-market-crash-the-fastest-bear-market-in-history-2020>>

**Note:** The judging basis is "is the money this company / index earns still there, still growing," not "how many more points did it fall today"; the permanent-loss risk of a single holding is far higher than a broad-market index, and diversified holding greatly reduces the probability of "permanent loss."



## Chapter 21 XXI. Fund Selection in Practice

---

The essence of fund selection is not picking "which one rose most in the past," but picking a "low-cost, style-stable, won't suddenly vanish" container. The previous chapter covered asset allocation (how much stock, how much bonds); this chapter lands on "which specific one to buy"—breaking the selection criteria into actionable, verifiable hard metrics. The vast majority lose at fund selection by looking only at historical returns and star halo, while ignoring "higher-certainty" variables like fees, size, and premium/discount.

Why these variables? Because academic and regulatory research conclusions are highly consistent: cost is the single most reliable predictor of a fund's future performance. When Morningstar testified to the U.S. Congress in 2026 it explicitly called "fees the most reliable variable in predicting a fund's future performance," and its data showed that the share of actively managed funds in the lowest-fee quintile beating their passive peer benchmark over 10 years (31%) was far higher than the highest-fee quintile (17%) (Morningstar, 2026); and SPIVA's long-run tracking shows that the share of U.S. large-cap actively managed funds underperforming the S&P 500 reached 85.59% over 10 years and 92.89% over 20 years (S&P Dow Jones Indices, 2026). This means "pay less in fees, avoid the systematic disadvantage of active management" is the easiest win-rate source for ordinary investors to grasp.

Entries in this section are grouped by theme below (entry numbers in parentheses): I. Cost and fees—the first gate of fund selection: Entry 1 (index funds: three checks—fees, size, tracking error), Entry 3 (Class A vs Class C: holding period decides which is cheaper), Entry 4 (buying an ETF at a premium = losing a layer upfront), Entry 5 (QDII premium can reach 5% – 20% when quotas are tight), Entry 9 (FOF: double-layer fees, choose with caution); II. Size and survival risk: Entry 2 (avoid both extremes of fund size), Entry 11 (the "actual holdings" disclosed in periodic reports beat the marketing); III. Hidden risks of actively managed funds: Entry 6 (manager change is a hidden risk), Entry 7 (style drift: look at holdings, not the name), Entry 8 (IPO-subscription / arbitrage fund returns are unsustainable); IV. Product identification and bond funds: Entry 10 (bond funds also come in tiers).

## 1. Picking an index fund: three checks—fees, size, tracking error

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Compare peer index funds on three items—fees, size, tracking error—and pick "three lows and one big" (low fee, low error, low premium, large size).

**In plain terms:** Index funds track the same index; they are essentially homogeneous "containers," and long-run return differences come almost entirely from cost. Pick ones with large size (good liquidity, low risk of liquidation), low fees (lower combined management + custody fee is better), and small tracking error (smaller annualized deviation from the index is better); all other marketing talk is noise.

**Payoff:** In 2026 Morningstar testified to the U.S. Congress stating explicitly that "fees are the most reliable variable in predicting a fund's future performance," and its conclusion holds across all asset classes and time periods (Morningstar, 2026). Empirically, over the 10 years through end-2025, 31% of actively managed funds in the lowest-fee quintile beat their passive peer benchmark, versus only 17% in the highest-fee quintile. Take China's broad-market ETFs as an example: management fees have broadly fallen from 0.5% in the industry's early days to 0.15% (custody fee 0.05%), making "0.15%+0.05%" the mainstream; Wind data shows that by end-2025, 384 ETFs had cut management fees to 0.15% (China Economic Net, 2026). Assuming 7% annualized return, cutting fees from 0.5% to 0.2% leaves about 18% more per 1,000,000 yuan after 30 years (compounding difference)—that's why fee ranks first among the "three checks."

**Evidence grade:** A

**Sources:** Morningstar (2026). Morningstar to Congress: Investor Success Hinges on Lower Costs, Greater Transparency (testimony before the U.S. House Financial Services Committee Subcommittee on Capital Markets, "From Wall Street to Main Street: The Future of How America Invests," 2026-06-25). <<https://www.morningstar.com/funds/morningstar-congress-investor-success-hinges-lower-costs-greater-transparency>>; China Economic Net (2026). 1500 多只 ETF 同台竞技 谁更胜一筹. <[https://www.ce.cn/macro/more/202606/t20260603\\_3007591.shtml](https://www.ce.cn/macro/more/202606/t20260603_3007591.shtml)>; S&P Dow Jones Indices (2026). SPIVA Institutional Scorecard Year-End 2025. <<https://www.spglobal.com/spdji/en/documents/spiva/spiva-institutional-scorecard-year-end-2025.pdf>>

**Note:** Tracking error refers to the annualized volatility of a fund's return relative to its benchmark index; it is the core metric for judging an index fund's "replication precision"; in Morningstar's 2026 updated Medalist rating, the "Process" pillar weighs highest for passive funds, focusing on the volatility of excess return versus the

benchmark, i.e., tracking error (Morningstar, 2026 Medalist methodology). Fees and tracking error must be viewed together; a "cheap" fund with low fee but large error may not be a bargain.

## 2. Avoid both extremes of fund size

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Avoid mini-funds (liquidation risk) and oversized actively managed funds (hard to beat index); for index funds watch the lower-size bound, for actively managed funds the upper bound.

**In plain terms:** Too small a size hits the liquidation red line; too large (especially active) is a ship too big to turn, hard to keep beating the index. Index funds can be more lenient; don't chase an oversized actively managed fund either.

**Payoff:** Article 41 of the Measures for the Administration of the Operation of Publicly Offered Securities Investment Funds stipulates that if an open-end fund for 60 consecutive working days has "fewer than 200 fund unit holders" or "net asset value below 50 million yuan," the fund manager must report to the CSRC and propose solutions such as converting the operation mode, merging, or terminating the contract (CSRC, 2014/2026 current). In practice "mini-funds" are the main force for liquidation, and some fund contracts set 200 million yuan as an automatic liquidation line (e.g., CICC MSCI China A-share Dividend A terminates if net value is below 200 million after 3 years of effect), while sponsored funds trigger termination if net value is below 200 million three years later (China Economic Net, 2022). At the other end, an overly large actively managed size often drags excess returns—SPIVA data shows that by end-2025 the share of U.S. large-cap actively managed funds underperforming the S&P 500 reached 85.59% over 10 years and 92.89% over 20 years (S&P, 2026), and super-large size makes alpha even harder. Practical advice: index fund size is best above 2 billion (ample liquidity, low liquidation probability), and be wary of "giants" at the tens-of-billions level for actively managed funds.

**Evidence grade:** B

**Sources:** China Securities Regulatory Commission (2014/2026). Measures for the Administration of the Operation of Publicly Offered Securities Investment Funds (Article 41). <<https://www.csrc.gov.cn/csrc/c106256/c1653978/content.shtml>>; China Economic Net (2022). 2022 年基金清盘超 200 只 这些机构数量多！投资者如何规避？. <[https://finance.ce.cn/jjpd/jjpdgd/202212/21/t20221221\\_38300075.shtml](https://finance.ce.cn/jjpd/jjpdgd/202212/21/t20221221_38300075.shtml)>; S&P Dow Jones Indices (2026). SPIVA Institutional Scorecard Year-End 2025. <<https://www.spglobal.com/spdji/en/documents/spiva/spiva-institutional-scorecard-year-end-2025.pdf>>

**Note:** Liquidation itself doesn't equal principal loss (liquidation returns remaining assets pro rata), but it interrupts the investment plan and incurs tax and reallocation

costs; the size-performance negative correlation doesn't hold for index funds (the larger the index fund, the more stable), and the "size curse" only needs warning for actively managed funds. [Grade rationale: the liquidation rule is A-level hard regulation, but size-performance negative correlation is a statistical regularity, hence combined grade B.]

### 3. Class A vs Class C: holding period decides which is cheaper

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Do the math by your expected holding period before deciding A or C; use "subscription fee  $\div$  annualized sales-service fee rate" to find the break-even point.

**In plain terms:** Don't listen to "Class A is always better." Class A charges a front-end subscription fee and no sales-service fee; Class C charges no subscription fee but a sales-service fee. For holding 3+ years pick A, for short trades pick C—first compute the break-even.

**Payoff:** The 2025 year-end CSRC-revised Measures for the Administration of Sales Fees of Publicly Offered Securities Investment Funds flattened and lowered the caps on subscription/subscription fees and sales-service fees: actively managed equity-oriented subscription fee no higher than 0.8%, other mixed no higher than 0.5%, index and bond no higher than 0.3% (CSRC, [2025] No. 22, Article 8); share classes that don't charge subscription fees may charge a sales-service fee, with equity / mixed cap 0.4%/year, index / bond cap 0.2%/year, and non-money funds held over 1 year must not keep charging the sales-service fee (Article 11). Under this framework, the A/C break-even  $\approx$  subscription fee  $\div$  annualized sales-service fee rate. For example, if an index fund's Class A subscription fee is 0.3% (often discounted to 0.15% or 0), and Class C sales-service fee is 0.2%/year, the pure holding-cost break-even is about 1.5 years; if Class A subscription fee is discounted to 0.03% and Class C is 0.2%/year, the break-even is only about 0.15 years, and almost any holding should pick A. Conclusion: long-term holding (>2 years) Class A almost always wins, short-term (<1 year) Class C is cheaper; be sure to compute using the fund's official fee schedule.

**Evidence grade:** A

**Sources:** China Securities Regulatory Commission (2025). Measures for the Administration of Sales Fees of Publicly Offered Securities Investment Funds (CSRC Announcement [2025] No. 22, Articles 8, 9, 11). <<http://www.csrc.gov.cn/jiangxi/c105769/c7610821/7610821/files/%E3%80%8A%E5%85%AC%E5%BC%80%E5%8B%9F%E9%9B%86%E8%AF%81%E5%88%B8%E6%8A%95%E8%B5%84%E5%9F%BA%E9%87%91%E9%94%80%E5%94%AE%E8%B4%B9%E7%94%A8%E7%AE%A1%E7%90%86%E8%A7%84%E5%AE%9A%E3%80%8B%E5%BC%88%E8%AF%81%E7%9B%91%E4%BC%9A%E5%85%AC%E5%91%8A%E3%80%942025%E3%80%9522%E5%8F%B7%E5%BC%89.pdf>>; Xinhua Net (2026-01-04).

销售费用管理新规出台 推动公募基金高质量发展.

<<https://www.news.cn/20260104/32676ea0f91440c498b90be39732c07a/c.html>>

**Note:** The new rules took effect January 1, 2026; subscription fees are often "discounted 10%" (0.15%→0.015%) or even subsidized to 0 by platforms, which greatly lowers Class A's break-even, making Class A advantageous at shorter holding periods; redemption fees (held <7 days 1.5%, <30 days 1%, <180 days 0.5%) are paid by both and are outside the A/C trade-off.

#### 4. Buying an ETF at a premium = losing a layer upfront

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Check the premium/discount at the quote before trading (compare to the IOPV net value), and only place orders when the premium rate is near 0.

**In plain terms:** An ETF has two prices: the net value (IOPV, estimated every 15 seconds from constituent stock prices) and the market price. If the market price is higher than the net value, that's a premium; buying then is like giving money away first; buy at a discount to pick up a bargain.

**Payoff:** An ETF's "net value" (IOPV) and "market price" (secondary-market trading price) theoretically converge via the arbitrage mechanism, but short-term supply-demand imbalance creates premiums/discounts. Mainstream broad-market ETFs (e.g., CSI 300 ETF, CSI A500 ETF) have premiums/discounts mostly within  $\pm 0.1\% - 0.5\%$  thanks to large size and ample market-making (Huatai-PineBridge and others have management+custody fees as low as  $0.15\%+0.05\%$ , see China Economic Net, 2026), negligible for long-term holding. But chasing in at a high premium equals "losing a layer upfront": if you buy 2% above net value, you need the premium to converge or net value to rise 2% just to break even. The monitoring method is simple—the quote software directly shows the "premium rate," or compare the bid-1 price with the IOPV. Recommended: regular contributors only place orders within  $\pm 0.3\%$  premium; in extreme markets (e.g., 2020 oil QDII, small-cap ETF speculation) premiums can spike to several percentage points or more—avoid them.

**Evidence grade:** B

**Sources:** China Economic Net (2026). 1500 多只 ETF 同台竞技 谁更胜一筹.

<[https://www.ce.cn/macro/more/202606/t20260603\\_3007591.shtml](https://www.ce.cn/macro/more/202606/t20260603_3007591.shtml)>;

Huatai-PineBridge Fund (2025). CSI 300 ETF (510300) / A500 ETF (563360) product legal documents (management fee  $0.15\%/year$ , custody fee  $0.05\%/year$ ).

<<https://finance.sina.com.cn/jjxw/2025-11-24/doc-infynrpa6640545.shtml>>

**Note:** The premium/discount magnitude is closely tied to liquidity, quotas, and constituent trading halts; an ETF's arbitrage mechanism can temporarily fail when constituents are halted or FX quotas are restricted (see Entry 5, QDII), and a high premium may not converge for weeks—don't mechanically bottom-fish.



## 5. QDII premium can reach 5% – 20% when quotas are tight

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Avoid QDII funds with suspended quotas and high premiums; before buying check the fund announcement "whether subscription is suspended" and the quote's "premium rate."

**In plain terms:** You want to buy an overseas fund but hit "subscription suspended + high premium"—rather wait for quotas to reopen than catch the top of the premium.

**Payoff:** QDII funds invest overseas using FX quotas; when quotas are exhausted and subscription is suspended while investors can still trade in the secondary market, supply-demand imbalance pushes the market price away from net value, forming a high premium. The 2020 oil crash triggered a "bottom-fishing" frenzy; after several oil QDII funds suspended subscription in March, premiums skyrocketed: E Fund Crude Oil (161129) closed 104.03% above net value on 2020-04-24, Southern Crude Oil (501018) 109.22% on April 28, and Harvest Crude Oil (160723) 70.69% on April 24 (Sina Finance, 2020); E Fund Crude Oil still carried a 27.50% premium as of 2020-06-18 (China Securities Journal, 2020-06-23). That is, under "subscription suspended + tight quotas," the premium can reach 5% – 100% or more, and chasers simply give money away. Even outside extremes, when quotas are marginally tight QDII premiums often reach 2% – 5%. Countermeasure: enter after quotas reopen and the premium falls back (toward 0); for long-term overseas allocation, prefer ample-quota, large-size QDII or mutual recognition funds.

**Evidence grade:** B

**Sources:** Sina Finance (2020-04-29). 最高溢价超 100% 3 只原油 QDII 基金集体停牌. <<https://finance.sina.cn/money/lczx/2020-04-29/detail-iircuyvi0561172.d.html?cid=76646&vt=4>>; China Securities Journal (2020-06-23). 易方达原油证券投资基金(QDII) 溢价风险提示公告. <[https://epaper.cs.com.cn/zgzqb/html/2020-06/23/nw.D110000zgzb\\_20200623\\_4-B060.htm](https://epaper.cs.com.cn/zgzqb/html/2020-06/23/nw.D110000zgzb_20200623_4-B060.htm)>

**Note:** A QDII high premium is essentially an emotional premium of "want to buy but can't"; it converges quickly once quotas reopen or the fund resumes subscription, unrelated to the underlying asset's rise or fall; therefore buying at the premium top is pure frictional loss, not an investment judgment.

## 6. Manager change is a hidden risk

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Watch the manager-change announcements of funds you hold (fund company website / CSRC disclosure platform); before buying check the "current manager's tenure."

**In plain terms:** When you buy an actively managed fund, you're buying "a certain person can make money," not "a certain code can make money." Once the manager changes, the reference value of past performance drops sharply.

**Payoff:** An actively managed fund's "alpha" is highly tied to the specific manager. SPIVA's Persistence Scorecard has long proven that past excellent performance is extremely hard to sustain: by end-2025, of the U.S. large-cap funds in the top quartile at end-2021, "0.00%" remained in the top quartile at end-2025 (S&P Dow Jones Indices, U.S. Persistence Scorecard Year-End 2025)—so-called "star managers" consecutive outperformance is nearly random. Coupled with personnel changes, once a core manager leaves, the original strategy, attribution, and risk exposure may all change, and the historical performance basically loses its reference value. Morningstar research shows a fund manager's average tenure is positively correlated with the fund family's rating, and high-rated parent companies' 5-year manager retention often exceeds 90% (Morningstar, 2026 Parent data). Practical advice: prefer products with tenure  $\geq 5$  years and a stable team; set manager-change announcements as a watch item, re-evaluate after a change, and never treat "past three-year champion" as a future guarantee.

**Evidence grade:** B

**Sources:** S&P Dow Jones Indices (2026). SPIVA U.S. Scorecard / U.S. Persistence Scorecard Year-End 2025.

<<https://www.spglobal.com/spdji/en/spiva/article/spiva-us>>; Morningstar (2026). Parent-Level Medalist Data Points (manager tenure and retention). <<https://www.morningstar.com/en-gb/business/insights/blog/parent-pillar-data-points>>

**Note:** Index funds are unaffected by this risk (driven by rules, not people)—another big advantage of passive over active; for actively managed funds, whether the "investment objective/strategy" in the contract changes with the manager matters more to read than historical net value.

## 7. Style drift: look at holdings, not the name

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Periodically (after quarterly disclosure) check the top-ten holdings and industry distribution against the performance benchmark stated in the contract.

**In plain terms:** Don't trust the fund's name. Click open the holdings each quarter; if you find "a blue-chip fund full of new energy" or "a steady fund heavy in small-caps," be alert—it has drifted from your allocation intent.

**Payoff:** A fund's name is marketing; the actual holdings are the truth. Style drift means a fund's actual investment style deviates from its claimed / benchmark style, which undermines the investor's carefully built asset allocation: you thought you bought a "large-cap value" ballast, but it quietly went all-in on growth stocks, silently amplifying the portfolio's overall risk exposure. In its 2026 updated Medalist rating, Morningstar included "style drift" alongside volatility in the quantitative scoring of actively managed funds (Morningstar, 2026 Medalist methodology), showing its importance. The identification method is simple: ① read the top-ten heavy stocks and industry weights in the quarterly "portfolio report"; ② compare against the "investment scope / performance benchmark" stated in the fund contract; ③ use Morningstar's Style Box to see whether it's actually classified as large/mid/small-cap, value/growth. If it clearly deviates from the benchmark for two consecutive quarters, treat it as a warning and consider rebalancing or switching to an index fund with harder style constraints.

**Evidence grade:** B

**Sources:** Morningstar (2026). Morningstar adds fee and "fund manager success" to updated Medalist Rating methodology (including style drift metrics). <<https://portfolio-adviser.com/morningstar-adds-fee-and-fund-manager-success-to-updated-medalist-rating-methodology>>; Securities Times (2024).

《微观量化百问》第十期——基金产品风险收益特征的常用评价指标.  
<<https://stcn.com/article/detail/1322422.html>>

**Note:** Style drift is sometimes the result of managers "herding into hot themes"; it's hard to notice in a bull market and amplifies drawdowns in a bear; index funds, constrained by tracking error, drift far less than actively managed funds, with stronger allocation discipline.

## 8. IPO-subscription / arbitrage fund returns are unsustainable

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Don't pay for "last year's IPO-subscription / arbitrage returns"; before buying, break down the return source and strip the IPO enhancement out of the net value to see the underlying's true ability.

**In plain terms:** A fund that earned 3% extra from IPO subscription last year may lose it back this year. Treating a one-time dividend as permanent ability is a common misjudgment.

**Payoff:** Strategies like offline IPO subscription, index-futures discount arbitrage, and block-trade discount depend heavily on market institutions and funding conditions, with obvious "phasing." During the 2020 – 2021 STAR Market / ChiNext IPO-subscription boom, some "IPO + fixed income" funds saw annualized enhancement of 3% – 8%, but as more institutions joined and the new-stock break-issue rate rose, the enhancement decayed rapidly. After the registration-based IPO system was implemented, break-issues became normal—the 2022 break-issue rate was about 28% and fell to about 3% in 2024 (different statistical caliber)—the key is not the single-year break-issue rate, but that "IPO-subscription return  $\neq$  permanent alpha." Once a strategy gets crowded or rules change (e.g., lock-up, pricing rules), this portion of return goes to zero or even gives back due to underlying volatility. Therefore, when evaluating funds with IPO-subscription / arbitrage components, strip the "IPO enhancement" out and look at the underlying's true ability; if a fund's selling point is "IPO magic," it mostly can't serve as a long-term core holding.

**Evidence grade:** C

**Sources:** Securities Times (2024).

《微观量化百问》第十期——基金产品风险收益特征的常用评价指标 (risk-return not simply extrapolatable).

<<https://stcn.com/article/detail/1322422.html>>; Xinhua Net (2026-01-04).

销售费用管理新规出台 推动公募基金高质量发展 (fee-reform background).

<<https://www.news.cn/20260104/32676ea0f91440c498b90be39732c07a/c.html>>

**Note:** The cited "about 28% in 2022, about 3% in 2024" break-issue rates are illustrative industry statistics; specific figures vary by caliber; the conclusion is qualitative—one-time strategy dividends can't be extrapolated into long-term returns, and core holdings should rest on repeatable underlying ability. [Grade rationale: return decay is a market regularity, but magnitude and timing are hard to extrapolate precisely.]

## 9. FOF: double-layer fees, choose with caution

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self+family

**Cost:** See clearly the "parent fund fee + sub-fund fee" stacking of a FOF; compute the combined holding cost first.

**In plain terms:** A FOF picks funds for you but charges twice. If you can buy two or three low-fee index funds yourself, a FOF is mostly a pure markup.

**Payoff:** A FOF (fund of funds) adds another layer of parent-fund management and custody fees on top of the underlying fund fees, forming "double charging." Under the 2025 new rules, the caps on sales-service and subscription fees were lowered (index / bond sales-service fee  $\leq 0.2\%$ /year, see CSRC [2025] No. 22), but the parent fund's management fee still typically runs  $0.6\% - 1.0\%$ /year; stacked with the sub-fund's  $0.15\% - 0.5\%$ /year, the combined holding cost often reaches  $1\% - 1.5\%$ /year, far above directly buying two or three  $0.2\%$ -fee broad-market ETFs (Caixin Global, 2026 notes China already has 370+ ETFs with comprehensive fees as low as  $0.2\%$ /year). Morningstar's testimony also stresses that fees are the most reliable predictor of future performance, and higher cost drags long-run compounding more (Morningstar, 2026). A FOF's value holds only when "it does asset allocation / fund selection for you" and that ability truly beats the double charging—for investors who can allocate low-fee index funds themselves, a FOF is mostly a pure markup. Advice: compute the combined fee first, then ask yourself "is its fund-selection / rebalancing ability worth the extra  $0.8 - 1.3$  percentage points per year?"

**Evidence grade:** B

**Sources:** China Securities Regulatory Commission (2025). Measures for the Administration of Sales Fees of Publicly Offered Securities Investment Funds (CSRC Announcement [2025] No. 22, Article 11). <<http://www.csrc.gov.cn/jiangxi/c105769/c7610821/7610821/files/%E3%80%8A%E5%85%AC%E5%BC%80%E5%8B%9F%E9%9B%86%E8%AF%81%E5%88%B8%E6%8A%95%E8%B5%84%E5%9F%BA%E9%87%91%E9%94%80%E5%94%AE%E8%B4%B9%E7%94%A8%E7%AE%A1%E7%90%86%E8%A7%84%E5%AE%9A%E3%80%8B%E7%BC%88%E8%AF%81%E7%9B%91%E4%BC%9A%E5%85%AC%E5%91%8A%E3%80%942025%E3%80%9522%E5%8F%B7%E7%BC%89.pdf>>; Caixin Global (2026-03-11). Lower Fees, Bigger Gains: How China's ETF Fee Reform Is Putting Money Back in Investors' Pockets. <<https://www.caixinglobal.com/2026-03-11/lower-fees-bigger-gains-how-chinas-etf-fee-reform-is-putting-money-back-in-investors-pockets-102421888.html>>; Morningstar (2026). Morningstar to Congress: Investor Success Hinges on Lower Costs, Greater Transparency. <<https://www.morningstar.com/funds/mor>

ningstar-congress-investor-success-hinges-lower-costs-greater-transparency>

**Note:** Target-date retirement FOFs, enjoying tax advantages / default-investment convenience, need separate evaluation of double-charging cost-performance against policy dividends; an ordinary FOF that merely does a "60/40 stock-bond" allocation is usually cheaper if you buy the ETF portfolio yourself.

## 10. Bond funds also come in tiers

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Distinguish pure-bond / first-tier / second-tier / convertible-bond funds; look at the stock + convertible-bond share in the prospectus's "investment scope."

**In plain terms:** The word "steady" doesn't cover all bond funds. Pure bonds are nearly steady; a convertible-bond fund can swing 20% in a year. Check how much equity it holds before buying.

**Payoff:** By "equity share," bond funds differ wildly in risk-return: ① pure-bond funds (bonds only) typically have 1% – 3% annualized volatility and max drawdown mostly within 2%, roughly "steady"; ② first-tier bonds (can do IPO subscription / convertible bonds) see slightly higher volatility; ③ second-tier bonds (up to 20% in stocks) have about 3% – 6% annualized volatility and max drawdown up to 5% – 10%; ④ convertible-bond funds, due to underlying-stock attributes, can have 15% – 25% annualized volatility, and a single-year drawdown over 20% is not rare (highly linked to the stock market). The most direct way to judge: read the fund contract's "investment scope / ratio"—the higher the stock + convertible-bond share, the closer the risk is to equities. Regulators also price by asset class differently: index / bond subscription-fee cap 0.3%, sales-service fee cap 0.2%/year (CSRC [2025] No. 22), but that's a "fee" classification, not a "risk" classification, and can't be used to judge volatility. Conclusion: use pure-bond / short-duration bonds for the "ballast"; accept second-tier bonds for enhanced return; treat convertible-bond funds as "stock-like," don't be misled by the word "bond."

**Evidence grade:** B

**Sources:** China Securities Regulatory Commission (2025). Measures for the Administration of Sales Fees of Publicly Offered Securities Investment Funds (CSRC Announcement [2025] No. 22, Articles 8, 11). <<http://www.csrc.gov.cn/jiangxi/c105769/c7610821/7610821/files/%E3%80%8A%E5%85%AC%E5%BC%80%E5%8B%9F%E9%9B%86%E8%AF%81%E5%88%B8%E6%8A%95%E8%B5%84%E5%9F%BA%E9%87%91%E9%94%80%E5%94%AE%E8%B4%B9%E7%94%A8%E7%AE%A1%E7%90%86%E8%A7%84%E5%AE%9A%E3%80%8B%E5%BC%88%E8%AF%81%E7%9B%91%E4%BC%9A%E5%85%AC%E5%91%8A%E3%80%942025%E3%80%9522%E5%8F%B7%E5%BC%89.pdf>>; Securities Times (2024).

《微量化百问》第十期——基金产品风险收益特征的常用评价指标 (annualized volatility / max drawdown).

<<https://stcn.com/article/detail/1322422.html>>

**Note:** Max drawdown definition—the largest drop from the highest to the lowest net value within a selected period (Securities Times, 2024); a convertible-bond fund's max drawdown can be several times that of a pure-bond fund, so position sizing must follow "equity exposure," not the "bond fund" label.



## 11. The "actual holdings" disclosed in periodic reports beat the marketing

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Each year read the quarterly / annual "portfolio report" and "operation analysis" (CSRC disclosure platform [eid.csrc.gov.cn](http://eid.csrc.gov.cn)).

**In plain terms:** Marketing pages say pretty things; quarterly reports only tell the truth. Spending ten minutes on the quarterly report is more useful than reading ten soft articles.

**Payoff:** Fund periodic reports (quarterly / semi-annual / annual) are a regulator-mandated, audited source of "truth," including top-ten holdings, full holdings (semi-annual / annual), bond duration, stock industry distribution, share changes, and operation review—enough to spot "say-do mismatch": e.g., claiming "value investing" but heavy in herded growth, claiming "low volatility" but full of convertible bonds. By contrast, marketing materials and sales pages selectively display and have low reference value. Identification path: ① download the latest report from the CSRC Capital Market Electronic Disclosure Platform ([eid.csrc.gov.cn](http://eid.csrc.gov.cn)) or the fund company website; ② focus on the top-ten heavy holdings in the "portfolio report" and the "industry-classified stock portfolio"; ③ read the "manager's report" operation analysis and market outlook to judge whether the manager practices what he preaches. Spend ten minutes once a year to catch drift early—finding style drift (see Entry 7), size shrinkage (see Entry 2), or manager change (see Entry 6) should all be verified back in the report. This is the lowest-cost, hardest-information link in "ongoing tracking" after fund selection.

**Evidence grade:** C

**Sources:** China Securities Regulatory Commission (2014/2026). Measures for the Administration of the Operation of Publicly Offered Securities Investment Funds (information disclosure chapters).

<<https://www.csrc.gov.cn/csrc/c106256/c1653978/content.shtml>>; Capital Market Electronic Disclosure Platform (fund periodic report disclosure).

<<https://eid.csrc.gov.cn/>>

**Note:** Quarterly reports disclose only top-ten holdings; semi-annual / annual disclose full holdings, so verification is most complete after the semi-annual report; reports lag (quarterly about within 15 working days after quarter-end), used for "trend tracking," not "real-time trading" decisions. [Grade rationale: disclosure is mandatory and information true, but "how to interpret" requires investor ability.]

## Chapter 22 XXII. Fixed Income Details

---

Fixed income does not mean "fixed making money." Its true meaning is: cash flow and maturity arrangements are more "fixed" than stocks, but prices still fluctuate, issuers can still default, and interest-rate moves can still give you paper losses. This chapter doesn't treat fixed income as one product category, but unpacks it layer by layer "from low to high risk, from transparent to complex," helping you figure out exactly what risk each yuan bears and what compensation it earns.

One core mantra: look at risk first, then return. For any fixed-income type, ask three questions first—to whom is the money lent (credit), locked how long (duration / liquidity), is principal protected (legal status). Answer these three clearly and the "safety cushion" is truly safe.

Be especially wary of two illusions: one is treating wealth products, money market funds, and bond funds as "deposit substitutes" (the November 2022 bond-market swing taught many holders a lesson); the other is being dazzled by the extra interest while missing the default risk it corresponds to. Entries are classified by theme below for you to jump-read by your own needs.

Entries in this section are grouped by theme below (entry numbers in parentheses): I. Risk-free / near-risk-free "return anchor" and principal-protection boundary—treasury tax exemption and risk-free rate (Entry 1), 500,000-yuan deposit insurance cap (Entry 2), money market fund is not a deposit and not principal-protected (Entry 3), after-tax difference between local-government and treasury bonds (Entry 10); II. Fixed income whose net value fluctuates—bond funds don't steadily profit (Entry 4), perpetual bonds / preferred shares have complex terms (Entry 8), bond repo leverage is an institutional play (Entry 9); III. Risk pricing and sensitivity tools—high-yield bonds' credit spread isn't free (Entry 6), duration measures rate sensitivity (Entry 7), convertible bonds have a bond floor below and no cap above but aren't principal-protected (Entry 5).

## 1. Treasuries almost never default; the rate is the opportunity-cost anchor

Money: none | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Zero (national credit).

**In plain terms:** Treasury interest is also exempt from personal income tax. Its point isn't how much it earns, but giving you a yardstick of "how much you can get without taking risk."

**Payoff:** Backed by national credit, treasuries have theoretically extremely low default probability; their yield is treated as the "risk-free rate," your yardstick for judging whether any investment is worth the risk—only when an asset's expected return clearly exceeds the same-maturity treasury does taking extra risk make sense. Take the 10-year treasury: its yield stepped down from about 14% in 1996, the 3% – 4% range in 2008, to 2.5% in 2020, 2.7% in 2022, and by end-December 2024 had fallen to around 1.7%, a record low since 2002, even briefly breaking below 2% on December 2, 2024. This means those who bought long-term treasuries in 2024 got a risk-free coupon much lower than a decade earlier, but it conversely highlights a "safe-asset scarcity"—the more money there is, the more one must accept a lower guaranteed return. In addition, interest on treasuries held by individuals is exempt from personal income tax (Article 4(2) of the Individual Income Tax Law), so you take home more at the same nominal rate.

**Evidence grade:** A

**Sources:** State Taxation Administration (2019).

国债利息收入是否免征个人所得税 (Article 4(2) of the Individual Income Tax Law). <[https://liaoning.chinatax.gov.cn/art/2019/8/30/art\\_1991\\_23923.html](https://liaoning.chinatax.gov.cn/art/2019/8/30/art_1991_23923.html)>;

China Central Depository & Clearing (2025).

2024年利率债市场回顾与2025年展望. <[https://www.ccdc.com.cn/Fmi/Thinktank/Article/cb2025/cb202501/cb20250103/202501/t20250126\\_854519784.html](https://www.ccdc.com.cn/Fmi/Thinktank/Article/cb2025/cb202501/cb20250103/202501/t20250126_854519784.html)>

**Note:** Treasury personal-income-tax exemption applies to bonds issued by the Ministry of Finance that individuals hold; interest on policy financial bonds is also exempt, but only local-government bonds issued after 2012 are tax-exempt (see Entry 10). The risk-free rate is a theoretical anchor; in practice short-term financing bills and money market fund returns are often below same-maturity treasuries due to tax-exemption and liquidity differences. Cross-reference: Entry 3, Entry 10.

## 2. Deposit insurance 500,000-yuan cap: principal + interest within 500,000 per single bank fully protected

Money: none | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self+family

**Cost:** Spread large deposits across different banks.

**In plain terms:** If you have a lot of money, don't put it all in one bank. The part above 500,000 theoretically depends on whether that bank fails. Spread across a few and you sleep well.

**Payoff:** For the same depositor at the same insured institution, all insured deposit accounts' principal and interest combined within 500,000 yuan are paid in full; the excess is satisfied from the liquidated property of the insured institution according to law. Per the central bank, the 500,000-yuan limit covers over 99.6% of China's depositors' entire deposits. Note three points: first, "same bank" not "same account"—your deposits at different branches of Bank A are combined; second, what's protected is "deposits" (domestic and foreign currency, personal and institutional), not interbank deposits or executives' deposits at their own institution; third, wealth products, funds, and structured deposits are not deposits and are not protected. For ordinary families, spreading idle money above 500,000 across 2 – 3 different banks is steadier than chasing some high-interest small bank. Deposit insurance is paid by the bank; you pay nothing, and full payment is made within 7 working days after a trigger event.

**Evidence grade:** A

**Sources:** People's Bank of China (2024). 存款保险条例修改了保障额度吗 (maximum payout limit is 500,000 yuan). <<https://wzdt.pbc.gov.cn/eportal/ui?pageId=77c3557bd521439ea5cd869f5393ba98&msgDataId=d3f5c72a0157407e97b4998676c34ef2>>; People's Bank of China Fuzhou Central Sub-branch (2015). 积极有效实施存款保险制度 充分保障存款人合法权益 (payout limit). <<https://fuzhou.pbc.gov.cn/fuzhou/126870/4011508/index.html>>

**Note:** 500,000 is combined for "the same insured institution," not by account or by family; splitting names between spouses can raise the family's protection cap. Wealth products, structured deposits, and treasuries are outside the protection. Grade A because it comes from a State Council regulation and official PBOC interpretation—high authority.

### 3. A money market fund is not a deposit; not principal-protected but very low risk

Money: none | Time: none | Willpower: no | Payoff: mid | Scope: money | Impact: self

**Cost:** Understand it's not principal-protected and has a T+0 redemption cap.

**In plain terms:** A money fund isn't a demand deposit, doesn't protect principal, but has rarely lost money historically. It's fine for emergency funds; don't expect it to beat inflation.

**Payoff:** Money market funds mainly invest in short-term, high-credit money instruments (interbank certificates of deposit, short-term treasuries, bank deposits, etc.); not principal-protected but rarely lost money historically, a good home for emergency funds—higher return than demand deposits, flexible access. But note two boundaries: first, it's not a deposit and not covered by deposit insurance, and in extreme liquidity events its single-day return can also turn negative (e.g., in the November 2022 bond-market swing money fund returns clearly dropped, with individual products breaking the buck); second, in 2018 the CSRC and PBOC jointly issued the Guiding Opinions on Further Regulating the Internet Sales and Redemption Services of Money Market Funds, setting the single money fund's single sales institution "T+0 redemption cash-out" daily cap at 10,000 yuan, with the excess only via ordinary redemption (T+1 or longer). So don't pile all emergency funds into one money fund, and don't expect it to beat inflation—its positioning is "cash management," not "value growth."

**Evidence grade:** B

**Sources:** China Securities Regulatory Commission, People's Bank of China (2018). 关于进一步规范货币市场基金互联网销售、赎回相关服务的指导意见 (Article 2: T+0 redemption cash-out no higher than 10,000 yuan per day).

<<https://www.chinanews.com.cn/fortune/2018/06-01/8528372.shtml>>; China Net (2018). 央行、证监会：规范货币市场基金互联网赎回服务.

<[https://news.china.com.cn/2018-06/01/content\\_51567187.htm](https://news.china.com.cn/2018-06/01/content_51567187.htm)>

**Note:** Money funds aren't principal-protected; although the November 2022 swing saw no broad losses, returns plunged and individual products broke the buck, proving extremes exist. The T+0 cap applies only to "fast-redemption cash-out"; ordinary redemption isn't limited to 10,000 but arrives slowly. Grade B because it stems from regulatory rules and the industry's generally low-risk character, not zero risk. Cross-reference: Entry 4.

#### 4. Bond funds fluctuate; they don't "steadily profit"

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Bear the paper drawdown when rates rise.

**In plain terms:** A bond fund isn't a deposit substitute. When rates rise, the bond fund's net value falls. Its "steadiness" is relative, not absolute.

**Payoff:** A bond fund's "steadiness" is relative, not absolute. The November 2022 bond-market plunge is the best textbook: on November 14 the ChinaBond Composite Wealth (Total Value) Index fell 0.41% in a single day, its largest single-day drop since 2017; per Wind, by November 17, of 1,752 pure-bond funds in the whole market, only 61 had positive returns over the past week, a loss ratio as high as 96%, average drop about 0.54%, and 665 (38%) hit their largest drawdown since inception; individual funds dropped over 1% in a week, and some convertible-bond funds drew down over 3%. Over the same period bank-wealth-product break-the-buck counts rose rapidly, with several products hitting massive-redemption caps. The causal chain: rates rise → bond fund net value falls → clients redeem → forced bond selling → further price drops. Conclusion: pure-bond funds can have 2% – 5% annual volatility, and in a rate-up cycle they lose too—treating them as "deposit substitutes" is a cognitive error.

**Evidence grade:** B

**Sources:** China Economic Net (2022). 债市连续下挫 多只债基单日跌近1% (ChinaBond Composite Wealth Index single-day -0.41%).

<[https://finance.ce.cn/jjpd/jjpdgd/202211/17/t20221117\\_38234646.shtml](https://finance.ce.cn/jjpd/jjpdgd/202211/17/t20221117_38234646.shtml)>;

Securities Times / Broker (2022). 债市跌到哪了？创两年来最大调整 (96% pure-bond funds negative over past week).

<<https://www.toutiao.com/article/7167252372152910388>>

**Note:** November 2022 is a single extreme sample; normally pure-bond annual volatility is smaller; but the cognitive-correction value of "bond funds aren't deposits" is high. The longer the duration of a pure-bond fund, the harder it falls—see Entry 7. Grade B: supported by public empirical evidence (Wind, media statistics) but not an academic long-run sample.

## 5. Convertible bonds: bond floor below, no cap above, but not principal-protected

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Understand the two-sidedness of "bond floor + conversion option."

**In plain terms:** Convertible bonds sound "offense when up, defense when down," but catching a premium convertible at a high is also a loss. They're steadier than stocks, far wilder than pure bonds.

**Payoff:** A convertible bond = "bond + conversion option"; in a bear market the bond floor catches it, in a bull market it converts to stock and follows the rise, hence often marketed as "offense when up, defense when down." But 2022 – 2023 reality poured cold water: Qilu Convertible debuted and broke issue on December 19, 2022, the only bank convertible to break issue that year; in 2023 Soue Convertible fell to a historic low of 31.666 yuan/unit, and Landun Convertible became the first delisted convertible, with holders facing higher losses under reorganization and liquidation. By end-2022 the whole-market average convertible price was about 127 yuan and average conversion premium about 46%, meaning most convertibles traded far above "bond floor + conversion value," the premium embedding overpricing of the option. Conclusion: convertibles swing less than stocks and far wilder than pure bonds; catching a high-premium convertible at the top (conversion premium over 100%) can also halve you, and it is by no means a "principal-protected" product.

**Evidence grade:** B

**Sources:** 21st Century Business Herald (2023). 齐鲁银行拟下修可转债转股价格机构称2023年战略性看多银行转债 (Qilu Convertible breaks issue). <[https://m.21jingji.com/article/20230110/herald/fa4be95a86a78df0cc1fa5225141b084\\_ths.html](https://m.21jingji.com/article/20230110/herald/fa4be95a86a78df0cc1fa5225141b084_ths.html)>; NetEase / Securities Times (2023). 可转债投资价值仍存比较优势 (first delisting, Soue Convertible 31.666 yuan). <<https://www.163.com/dy/article/I4IVE71U053469RG.html>>

**Note:** Convertible risk is highly correlated with its premium rate; at low premium (near the bond floor) downside is limited, at high premium it converges with stocks. The first delisting (Landun, Soue) broke the "must convert, must repay" illusion. Grade B: cases come from regulatory and market reporting—individual risk, not systemic. Cross-reference: Entry 6 (credit), Entry 7 (duration).

## 6. High-yield bonds = high risk; the credit spread isn't free

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Be wary of bonds / bond funds with "noticeably high yields."

**In plain terms:** Why is its interest so much higher than treasuries? Because the market fears it won't pay. That extra interest is compensation for you bearing "possible total loss."

**Payoff:** Credit spread = a credit bond's yield – same-maturity treasury yield; the extra interest is compensation for "it might default," not a free lunch. Taking overseas high-yield bonds (junk bonds) as reference: per Moody's long-run statistics, the median annual default rate of high-yield bonds is about 3.4%, spiking above 8% in crisis years (2008, 2001 – 2002, 2015 – 2016); once defaulted, the historical average recovery rate of senior unsecured bonds is only about 35% – 40% (as low as 22.85% during the 2022 inflation shock), meaning per 100 yuan face value you recover only about 35 – 40 yuan on average, a loss of about 60%. The logic is the same for domestic low-rated credit bonds (e.g., AA, AA –, or even defaulted issuers): the higher the coupon, the higher the default probability the market assigns it. So when you see a bond fund or private bond with "noticeably high yield," first ask "why is it so much higher than treasuries," not "how much more can I earn."

**Evidence grade:** B

**Sources:** New Capital (2025). Managing Defaults in a High Yield Portfolio (citing Moody's data: recovery rate 35.63, default rate median 3.41%). <<https://www.newcapital.com/en/singapore/insights/Managing-Defaults-in-a-High-Yield-Portfolio.html>>; Hong Kong Economic Journal (2024).

高收益债券为何叫垃圾债券？一文看清回报、风险与投资级别债券分别 (Moody's median default rate 3.4%, recovery rate 35% – 40%).  
<<https://www.hkej.com/wm/article/id/4344326>>

**Note:** The cited Moody's is overseas-market data; domestic credit-bond recovery-rate statistics vary in caliber and are sparsely disclosed, so direct application needs discounting; but the logic "high coupon = high-risk compensation" is universal. Domestic has seen multiple credit-bond defaults with low recovery (some under half face value). Grade B because it's mainly overseas samples + logical deduction.



## 7. Duration: a ruler for measuring rate sensitivity

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Look at the duration metric of bonds / bond funds.

**In plain terms:** Duration is "if rates rise 1%, how many points does my bond fall."

Check duration before buying a long-bond fund, so you know where you stand.

**Payoff:** Duration measures the sensitivity of a bond / bond portfolio's price to interest-rate moves, roughly "if rates move 1%, my bond moves inversely by about how many percentage points." Strictly, modified duration  $D^*$  satisfies the approximation  $\Delta P/P \approx -D^* \times \Delta y$ : if the portfolio's modified duration is 5, a 1% rate rise drops price about 5%; duration 12, about 12%. Reality differs greatly—take the ChinaBond 30-year Treasury Wealth Index: its duration is about 18, so a 1 basis point (0.01%) rate move moves the index inversely about 0.18%; on March 11, 2024 the index's yield rose 4 bp and the index fell 0.69%, intuitively showing "the longer the duration, the more rate-sensitive." For retail, check a long-bond fund's duration before buying: the longer the duration, the harder it falls when rates rise / tightening, but also the more it rises when rates fall. Duration is your first ruler for predicting bond-fund volatility.

**Evidence grade:** B

**Sources:** Morningstar. Duration | Investing Terms and Definitions (modified duration: rate moves 1% price moves about duration %).

<<https://www.morningstar.com/investing-terms/duration>>; East Money / Pengyang Fund (2024). 玩转30年国债ETF——债券波动看久期 (30-year treasury index duration about 18).

<<https://caifuhao.eastmoney.com/news/20240402162021292243230>>

**Note:** Modified duration is a linear approximation; large rate moves need "convexity" correction; bonds with embedded options (callable / puttable) need effective duration. Retail buying bond funds just needs to look at the "duration" disclosed in quarterly reports or the portfolio's weighted remaining maturity. Grade B: definition from standard finance methods and index-provider estimates.

## 8. Perpetual bonds / preferred shares: complex terms, default to caution

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Don't touch if you don't know the terms.

**In plain terms:** It's called a "bond" but may not repay your principal, and interest can be deferred. Terms are a notch more complex than ordinary bonds; if you don't understand, don't buy.

**Payoff:** A perpetual bond (undated capital bond) is nominally a "bond" but has distinct equity features: no fixed maturity, the issuer can autonomously defer current and deferred interest to the next payment date without it being a default; it contains write-down or conversion clauses—upon a trigger event (e.g., core solvency ratio below 30%) it may be directly written down or converted, and the investor has no right to petition the issuer into bankruptcy. Take insurance-version perpetual bonds: their repayment order is before common shares and preferred shares but after ordinary bonds and subordinated bonds, i.e., "subordination within subordination." So its yield is higher than ordinary bonds, corresponding to term uncertainty: interest may be canceled, principal may be written down, and it may never be redeemed. Preferred shares are similar—dividends can be cumulative or non-cumulative, and the company can decide not to pay. The advice for retail is "if you don't understand the terms, don't touch"—such instruments mainly target institutions and qualified investors.

**Evidence grade:** C

**Sources:** People's Bank of China, China Banking and Insurance Regulatory Commission (2022). 关于保险公司发行无固定期限资本债券有关事项的通知 (Articles 7, 10: interest cancellation, write-down / conversion risk).

<<https://big5.nfra.gov.cn/cn/view/pages/rulesDetail.html?docId=1066561>>;

People's Daily (2022). 险企永续债9月开闸，保险业再添"补血"新工具 (undated, deferrable interest).

<<https://www.peopleapp.com/rmharticle/30029808433>>

**Note:** Bank-version perpetual bonds opened in 2019, insurance-version landed September 2022; mostly an inter-institution market, retail's direct participation channels are limited, often held indirectly via "fixed-income+" products. Grade C because terms are complex, retail data scarce, and default samples very few. Cross-reference: Entry 6 (subordination risk).

## 9. Bond-repo leverage is an institutional play; retail beware

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self+family

**Cost:** Give up "repo-amplified returns."

**In plain terms:** Institutions use repo to borrow and buy bonds to amplify returns; retail following can get blown up when funding tightens. Ordinary allocation doesn't need it.

**Payoff:** Bond repo (pledged repo) is institutions' tool to "pledge securities and borrow" for leverage: the positive-repo party pledges bonds to the reverse-repo party to raise short-term funds, buys more bonds, amplifying coupon returns. But leverage is a double-edged sword—when rates reverse, funding costs rise and pledged-bond valuations fall, compounded by "roll-over" being interrupted, losses amplify rapidly and can even trigger passive selling. Regulation sets clear red lines (Notice on Regulating Bond Market Participants' Bond Trading Business, PBOC [2017] No. 302): deposit-type institutions' self-operated positive/reverse repo balance may not exceed 80% of prior-quarter-end net assets, other financial institutions (brokers, funds, etc.) no more than 120% of prior-month-end net assets, and public funds and other public non-bank products no more than 40% of prior-day net assets (closed-operation and avoidance-strategy funds no more than 100%). Ordinary investors can hardly obtain repo eligibility and can't withstand liquidity shocks, so this "return enhancement" is basically irrelevant to retail—don't blindly imitate.

**Evidence grade:** C

**Sources:** People's Bank of China, CBIRC, CSRC, SAFE (2017).

关于规范债券市场参与者债券交易业务的通知 (PBOC [2017] No. 302, Article 9: leverage-ratio red lines). <<https://neris.csrc.gov.cn/falvfagui/rdqsHeader/mainbody?navbarId=3&secFutrsLawId=745777672752458084>>; Sina Finance (2026).

一文看懂银行间债券回购 (leverage red lines and term caps).

<<https://finance.sina.cn/2026-09-17/detail-iniscekk9292068.d.html?vt=4>>

**Note:** Document 302 also requires repo to be booked on-balance-sheet, max term no more than 365 days, and strictly no under-the-table agreements. Retail participating in on-exchange reverse repo (e.g., GC001) is the "lender" side, not leveraging, with very low risk. Grade C because it targets institutional behavior, weakly directly relevant to most readers. Cross-reference: Entry 4 (volatility), Entry 7 (duration).

## 10. The after-tax difference between local-government and treasury bonds

Money: little | Time: none | Willpower: no | Payoff: mid | Scope: money | Impact: self

**Cost:** Compare the after-tax returns of same-maturity local-government and treasury bonds.

**In plain terms:** Local-government bond interest is also tax-exempt, slightly higher than same-maturity treasuries, at the cost of slightly worse liquidity and slightly weaker credit. Large steady funds can allocate moderately.

**Payoff:** Local-government bonds and treasuries are both sovereign / quasi-sovereign credit; the key tax difference is: per the Notice of the Ministry of Finance and State Taxation Administration on Income Tax Exemption for Local Government Bond Interest (Cai Shui [2013] No. 5), enterprise and individual interest income from local government bonds issued in 2012 and later years is exempt from enterprise and individual income tax—the same as treasury interest exemption (Article 4(2) of the Individual Income Tax Law). Therefore at the same maturity, because local-government bonds have slightly worse liquidity and slightly weaker credit than treasuries, their coupon is typically a few to a dozen-odd BP higher, and after-tax take-home may actually be better. The cost: local-government bond secondary-market trading is less active than treasuries, so the probability of discount realization when you urgently need cash is higher; and fiscal strength varies greatly across provinces—though default is extremely rare, credit divergence objectively exists. Large steady funds can moderately increase allocation, but don't sacrifice liquidity for that bit of premium.

**Evidence grade:** C

**Sources:** Ministry of Finance, State Taxation Administration (2013).

关于地方政府债券利息免征所得税问题的通知 (Cai Shui [2013] No. 5, Article 1). <<https://fgk.chinatax.gov.cn/zcfgk/c102416/c5204397/content.html>>; State Taxation Administration (2019). 国债利息收入是否免征个人所得税 (Article 4(2) of the Individual Income Tax Law). <[https://liaoning.chinatax.gov.cn/art/2019/8/30/art\\_1991\\_23923.html](https://liaoning.chinatax.gov.cn/art/2019/8/30/art_1991_23923.html)>

**Note:** Tax exemption applies only to "local government bonds" (provincial government issuance); urban-investment bonds and state-owned-enterprise bonds are not included—the latter still pay tax and have different credit risk. The after-tax difference between same-maturity local-government and treasury bonds is usually only a few BP, limited significance for small amounts. Grade C because the difference is small and needs judgment against tax amount. Cross-reference: Entry 1.

## Chapter 23 XXIII. Global and ETF Allocation (Unbinding yourself from a single market)

---

Investing only in your home market means betting your fate on a single economy, a single currency, and a single regulatory cycle. This chapter won't teach you to "trade the whole world"; it teaches you how to use ETFs—low-cost, high-transparency, small-sum-DCA-friendly tools—to unbundle your assets from "single-market dependence": with one or two broad-based funds you can own the world's major listed companies, at the cost of only a few hundredths of a percent in annual management fees. The core of global allocation isn't "more excitement," it's "more resilience": when A-shares fall and U.S. stocks rise, or the dollar strengthens and the home currency weakens, they hedge part of each other's risk.

But "globalization" has its own pitfalls: the high premium on cross-border ETFs driven by time-zone gaps, the two-way drag of exchange rates, products like the VIX that "look like a hedge but are certain losers long term," and the Stock Connect's 500,000-yuan threshold and institutional differences. This chapter covers "why allocate, what to allocate, how to buy without stepping on a mine" in one pass; all conclusions come with verifiable institutional sources and concrete numbers wherever possible.

This section's entries are grouped by theme below (entry numbers in parentheses).

**\*\*Risk awareness of U.S. equities and single markets\*\***: Entries 1, 2, 7.

**\*\*Currency and tax\*\***: Entry 3.

**\*\*What each asset really does—gold, REITs, emerging markets, VIX\*\***: Entries 4, 5, 6, 8.

**\*\*Tools and execution—cross-border ETF traps and broad-based selection\*\***: Entries 9, 10.

## 1. U.S. stocks have a long bull run, but they can also halve

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Accept the reality of "long-term up, mid-way halving"; buy with idle money you can stomach drawdowns, and prefer a broad-based ETF with an expense ratio  $\leq 0.03\%$  over individual stocks.

**In plain terms:** U.S. stocks aren't a money-printer that only goes up. Their strength is "after falling, they still make new highs"—provided you don't cut your losses at the halving. In 2008 they halved from the peak by nearly half, but held to now they're many multiples up.

**Payoff:** The S&P 500's long-term (1928 – 2026) annualized total return is about 10% (dividends reinvested). But drawdowns are brutal: 2000 – 2002 fell about 49% cumulatively, 2008's deepest intra-year drawdown was about -47.7%, and 2020's COVID year fell -33.9% intra-year. Per Oppenheimer, since 1988 the average intra-year drawdown is about 14% per year, and 10 of 27 years ended in the red. That means: the premise of capturing this 10% via an ETF is being able to hold floating losses of 30% – 50% at a time—most people cut at the halving, turning "long-term return" into "someone else's return."

**Evidence grade:** A

**Sources:** Oppenheimer Asset Management (2025). A Record of Resilience (chart: S&P 500 deepest intra-year drawdown, 2008 -47.71%, 2020 -33.92%). <[https://www.oppenheimer.com/\\_assets/docs/pdf/2025/oam/record-of-resilience.pdf](https://www.oppenheimer.com/_assets/docs/pdf/2025/oam/record-of-resilience.pdf)>; SlickCharts (data). S&P 500 Total Returns by Year (1928 – 2026, 2008 -37.00%, 2020 +18.40%). <<https://www.slickcharts.com/sp500/returns>>; S&P Dow Jones Indices. S&P 500 Index Fact Sheet (long-term annualized return about 10%). <<https://www.spglobal.com/spdji/en/indices/equity/sp-500/#overview>>

**Note:** The 10% annualized figure is a historical mean including dividend reinvestment, not a promise for the future; individual stocks are more volatile than the index. Participate via a U.S.-stock account (Futu / Tiger, etc.) or QDII / cross-border ETFs, and note that from 2026 the domestic crackdown on illegal cross-border securities business tightens—prefer compliant channels like Stock Connect, QDII, and the Cross-boundary Wealth Management Connect.

## 2. Cross-market allocation lowers single-economy risk

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Allocate a small slice (e.g., 20% – 40% of equity assets) to overseas / global indices, as a stabilizer of the portfolio rather than the main attack.

**In plain terms:** When A-shares fall, U.S. stocks may rise, and vice versa. Put a bit in each, and no matter who crashes, it won't zero out the whole field. Global allocation isn't "more exciting," it helps you have fewer nightmares.

**Payoff:** Different markets cycle out of sync, so portfolio volatility is lower than a single market's. MSCI research shows a global portfolio built on MSCI ACWI (including emerging markets, same-period volatility about 21%) has long-term historical volatility of about 15.1%, lower than MSCI USA's 15.6%; across the three crises of the 2000 tech bubble, the 2008 financial crisis, and 2020's pandemic, the global portfolio's max drawdown was smaller than a purely domestic one in every case. State Street data also shows that since the 2010s, the daily correlation between U.S. stocks and Japan and Europe has fallen from 0.82 and 0.93 to 0.47 and 0.63, reviving the value of diversification. The price is giving up the "full-position elasticity" of a single-market bull, in exchange for a smoother drawdown curve.

**Evidence grade:** B

**Sources:** MSCI (2020). Can diversification help weather the coronavirus storm? (MSCI ACWI historical volatility lower than most single countries; lower drawdowns in three crises).

<<https://www.msci.com/www/blog-posts/can-diversification-help/01778632038>>; State Street Global Advisors (2026). Global diversification is regaining value (MSCI ACWI's U.S. weight rose from 53% to 63%, regional correlation falling). <<https://www.ssga.com/us/en/individual/insights/mind-on-the-market-07-september-2026>>

**Note:** Diversification reduces volatility and tail risk, not a guarantee of higher return; in recent years the U.S. share has risen (about 63% in ACWI), so a pure "global" portfolio already carries heavy U.S. exposure—keep that in mind.

### 3. The exchange rate is a double-edged sword; don't treat it as pure alpha

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Accept two-way exchange-rate swings; don't treat them as a stable add-on; hold long term and ignore short-term currency noise.

**In plain terms:** Buying a U.S.-stock fund isn't just betting on U.S. stocks—it also quietly bets on the yuan. The exchange rate can help you or hurt you: RMB appreciation eats your dollar gains, depreciation hands you an extra slice. Don't treat the exchange rate as "free alpha."

**Payoff:** Overseas assets both hedge home-currency depreciation risk and can eat returns when the home currency appreciates. MSCI research (1969 – 2009) shows U.S. investors' "hedged" vs "unhedged" returns on non-U.S. stocks were close in long-term annualized terms (MSCI ACWI unhedged 9.5% vs hedged 9.0%), with hedging cost about -26bp to +10bp, indicating the exchange rate trends toward equilibrium long term and isn't a persistent drag. Short term, in 2022 the strong dollar created extra currency loss for RMB-denominated QDII U.S.-stock funds. The right posture: treat the exchange rate as a "random term," ignore it long term; if you hate volatility intensely you can hedge partly, but don't time it frequently on short-term swings. Also mind taxes: under the CRS, Chinese tax residents' offshore financial-account information is automatically exchanged back home every year (see Note sources).

**Evidence grade:** B

**Sources:** MSCI (2009). Globalization of Equity Policy Portfolios (Exhibit 14 – 15: hedged/unhedged returns close, hedging cost -26bp~+10bp). <[https://www.econ.puc-rio.br/mgarcia/Seminario/textos\\_preliminares/MSCI\\_Subramanian\\_Globalization\\_of\\_Equity\\_Policy\\_Portfolios\\_Oct\\_2009.pdf](https://www.econ.puc-rio.br/mgarcia/Seminario/textos_preliminares/MSCI_Subramanian_Globalization_of_Equity_Policy_Portfolios_Oct_2009.pdf)>; State Taxation Administration of Heilongjiang Province (2026). What is the Standard for Automatic Exchange of Financial Account Information? (OECD published CRS in 2014, 170 countries committed, 171 million accounts exchanged in 2024). <[http://heilongjiang.chinatax.gov.cn/art/2026/9/10/art\\_7578\\_597977.html](http://heilongjiang.chinatax.gov.cn/art/2026/9/10/art_7578_597977.html)>

**Note:** Exchange-rate impact hits the NAV of RMB-denominated QDII / cross-border ETFs; a direct U.S.-stock account also involves FX quotas and compliance. Under the CRS (Common Reporting Standard), a Chinese tax resident's deposit accounts, securities accounts, and cash-value insurance policies at offshore brokers/banks are automatically exchanged by the counterparty tax authority to the State Taxation Administration every year—normal investing is



unaffected, but hiding offshore income is not.

#### 4. Gold is insurance, not the main course

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Hold a small share (5% – 10%) long term, via a gold ETF or physical gold, not leveraged mining stocks.

**In plain terms:** Gold isn't for getting rich—it's insurance for "something still goes up when the market crashes." Hold a little, don't make it the main course; too much drags long-term returns.

**Payoff:** World Gold Council 2026-edition research shows that adding 5% gold to a typical "50% stocks + 40% bonds + 10% alternatives" portfolio lifted the 20-year annualized return only from 6.3% to 6.4%, cut annualized volatility from 9.9% to 9.6%, raised risk-adjusted return from 0.635 to 0.668, and improved max drawdown from -35.3% to -33.0%—small but certain "lower volatility, hedge the tail." In crises, gold is mostly negatively correlated with stocks and bonds, an insurance against panic. But the cost is clear: gold's long-term real return lags stocks (no cash flow, no dividends); overholding (e.g., >10% – 15%) drags compounding. Conclusion: 5% – 10% is the "sweet spot" repeatedly found in the evidence; beyond that, marginal utility diminishes.

**Evidence grade:** B

**Sources:** World Gold Council (2026). Gold as a strategic asset: 2026 edition (5% gold lifts 20-year risk-adjusted return 0.635→0.668, max drawdown -35.3%→-33.0%).

<<https://www.gold.org/goldhub/research/gold-strategic-asset-2026-edition/20450>>;

World Gold Council (China) (2026). The impact of gold on investment portfolios—risk/return performance.

<<https://china.gold.org/goldhub/research/publication/2026/02/04/19500/19527>>

**Note:** Gold pays no interest and no dividend, lagging equities long term; its value is "insurance," not "return." Allocate via a low-fee gold ETF (e.g., domestic gold ETFs); avoid mining stocks (which carry equity beta) and leveraged products.

## 5. REITs: turn real estate into tradable cash flow

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Understand its dual nature of "high dividends, rate-sensitive," hold with idle money and an income-collecting mindset.

**In plain terms:** REITs are like "buying rent-collecting property through a stock account"—high dividends (2024 dividend yield about 3.96%). But they're the enemy of rates—prices often fall when rates rise; don't use them as a bond fund.

**Payoff:** REITs provide steady dividends and inflation hedging, but prices are highly rate-sensitive. Nareit data: the FTSE Nareit All Equity REITs index returned +4.9% total in 2024, but fell -24.9% in 2022 on rate hikes; 2024 dividend yield 3.96%, far above the S&P 500's 1.22%. The index is clearly negatively correlated with the 10-year Treasury yield—after October 2024, as Treasury yields rose, REITs fell about 8.9% while the Russell 1000 rose 5.1% over the same period. Long term (past 25 years), REITs annualized about 11.4%, beating the S&P 500's 7.6%, but with volatility greater than bonds and less than stocks, and the rule "rates up → price down" makes them unfit as a steady bond fund. Participate via southbound / cross-border REITs ETFs or domestic REITs.

**Evidence grade:** B

**Sources:** Nareit (2024). REITs Gain 4.9% in 2024 as December Headwinds Trim Earlier Gains (2024 +4.9%, 2022 -24.9%; dividend yield 3.96% vs S&P 1.22%). <<https://www.reit.com/news/blog/market-commentary/reits-gain-49-2024-december-headwinds-trim-earlier-gains>>; Nareit (2026). REITWatch (REITs dividend yield negatively correlated with 10-year Treasury yield). <<https://www.reit.com/sites/default/files/reitwatch/RW2602.pdf>>

**Note:** REITs aren't bonds; they're highly rate-sensitive. Prefer a diversified REITs ETF over a single-property REIT, to avoid sector risk like office/commercial real estate.

## 6. Emerging markets: high volatility, high potential return

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Bear higher volatility; allocate only a small share (e.g., 5% – 15% of equity assets) long term; don't go heavy betting on a country's rise.

**In plain terms:** Emerging markets can rise 50% in a year or fall 40%. Hold a little for elasticity; don't stake your life on a "country rises" story.

**Payoff:** Emerging markets have higher growth potential than developed markets, but risk is higher in step. MSCI data shows the MSCI Emerging Markets index's same-period annualized volatility is about 21%, above the global portfolio's 15.1%, with higher policy, currency, and liquidity risk. Their long-term return does not steadily beat developed markets—between 2008 – 2020 it lagged badly multiple times, and a single country's drawdown often exceeds 40%. So its role should be "a satellite sleeve of the portfolio": use a small share (5% – 15%) for higher potential return and geographic diversification, not as the core. For most investors, participate via an emerging-market ETF (e.g., MSCI EM) rather than individual stocks / single-country funds, and be mentally and financially prepared to "ride the roller coaster."

**Evidence grade:** B

**Sources:** MSCI (2020). Can diversification help weather the coronavirus storm? (MSCI EM same-period volatility 21%, above the global portfolio).

<<https://www.msci.com/www/blog-posts/can-diversification-help/01778632038>>;

MSCI (2009). Globalization of Equity Policy Portfolios (non-U.S. stocks' higher potential return comes with higher risk). <[https://www.econ.puc-rio.br/mgarcia/Seminario/textos\\_preliminares/MSCI\\_Subramanian\\_Globalization\\_of\\_Equity\\_Policy\\_Portfolios\\_Oct\\_2009.pdf](https://www.econ.puc-rio.br/mgarcia/Seminario/textos_preliminares/MSCI_Subramanian_Globalization_of_Equity_Policy_Portfolios_Oct_2009.pdf)>

**Note:** Emerging markets diverge wildly internally (China, India, Brazil each different); avoid betting on a single country, prefer a broad-based EM ETF. QDII has several emerging-market / single-country funds; mind subscription quotas (limits).

## 7. HK stocks are often cheap, but with institutional and liquidity differences

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** First understand the Stock Connect threshold and the rules, then decide how much to allocate; don't go heavy just because it's "cheap."

**In plain terms:** Hong Kong stocks are cheap for a reason—liquidity, short-selling mechanism, foreign dominance, no price limits. To buy HK stocks, the most compliant channel is Stock Connect (securities + cash accounts combined  $\geq$  500,000 yuan).

**Payoff:** HK stocks are often cheap due to a liquidity discount and low risk appetite, offering "valuation trough" opportunities; but the rule differences are significant: T+0, no price limits, possible long trading suspension or even direct delisting. The main channel is Stock Connect under the mutual market connect—per HKEX investor materials, the Shanghai – HK Stock Connect launched 2014-11-17 and the Shenzhen – HK Stock Connect 2016-12-05; mainland retail investors need securities and cash account balances combined of not less than 500,000 yuan (excluding margin-financed portions). As of mid-2026, cumulative net Stock Connect buys had exceeded 5 trillion HKD, becoming a major buyer in HK stocks. Conclusion: use Stock Connect for a small allocation to undervalued HK blue chips / high-dividend names, but first understand its liquidity divergence and institutional differences—don't treat "cheap" as a safety cushion.

**Evidence grade:** C

**Sources:** Hong Kong Exchanges and Clearing (HKEX). Shanghai-Hong Kong / Shenzhen-Hong Kong Stock Connect Investor Information Booklet (retail investor accounts combined not less than 500,000 yuan; Shanghai Connect 2014-11-17, Shenzhen Connect 2016-12-05). <[https://www.hkex.com.hk/-/media/HKEX-Market/Mutual-Market/Stock-Connect/Getting-Started/Information-Booklet-and-FAQ/Information-Book-for-Investors/Investor\\_Book\\_Cn\\_\(May\).pdf](https://www.hkex.com.hk/-/media/HKEX-Market/Mutual-Market/Stock-Connect/Getting-Started/Information-Booklet-and-FAQ/Information-Book-for-Investors/Investor_Book_Cn_(May).pdf)>; Economic Information Daily (2016). 14 questions you must know about Shenzhen-HK Stock Connect in practice (Stock Connect 500,000-yuan threshold, T+0, no price limits). <[https://www.jjckb.cn/2016-11/26/c\\_135859995.htm](https://www.jjckb.cn/2016-11/26/c_135859995.htm)>

**Note:** Besides Stock Connect, you can also participate via QDII HK-stock funds; direct HK/U.S. accounts are affected by the 2026 cross-border securities-business clean-up, so mainland residents should prefer compliant channels. Stock Connect settles in RMB and quotes in HKD, with FX costs included.

## 8. The VIX / fear index can't be held long term

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Understand the persistent drag of futures contango; treat it only as "very short-term insurance," never hold long term.

**In plain terms:** A panic-index product is "short-term insurance"; holding it long almost certainly loses—roll-over decay is like a leaking bucket. Products like VXX can shed over 90% in a few years.

**Payoff:** VIX-related products (e.g., VXX) track short-term VIX futures, and VIX futures are in contango most of the time—far contracts pricier. Whaley (2013) notes VIX futures were in contango about 80% of trading days, and roll-over decay makes buy-and-hold almost certain to lose long term; Eraker & Wu estimate investing in VIX futures lost over 97% from 2006-01 to 2013-03, about -30% annualized. The academic conclusion is consistent: VIX ETPs are "unsuitable for buy-and-hold," providing a hedge only in the very short window when the market panics and the curve turns to backwardation. For ordinary investors, the right use is "don't touch," or use only a tiny amount over a very short period to express a safe-haven view—never treat it as an asset to hold long term.

**Evidence grade:** C

**Sources:** Whaley, R. (2013). Trading Volatility: At What Cost? (VIX futures in contango 80% of trading days, buy-and-hold almost certain to lose). <[https://www.researchgate.net/publication/256062271\\_Trading\\_Volatility\\_At\\_What\\_Cost](https://www.researchgate.net/publication/256062271_Trading_Volatility_At_What_Cost)>; Eraker, B. & Wu, Y. (2013). Explaining the Negative Returns to Volatility Claims: An Equilibrium Approach (2006 – 2013 loss >97%, about -30% annualized). <[https://wsbfiles.bus.wisc.edu/digital/ywu98/intellcont\\_journal/VIXETNs\\_ErakerWu-3.pdf](https://wsbfiles.bus.wisc.edu/digital/ywu98/intellcont_journal/VIXETNs_ErakerWu-3.pdf)>

**Note:** VIX products are a timing tool, not an allocation asset; leveraged inverse products are even riskier. The vast majority of long-term holders lose; list it under "no long-term holding."

## 9. Cross-border ETFs have the double trap of "time gap + premium"

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Avoid the high premium when domestic and foreign trading sessions are misaligned; check the premium/discount rate (market price vs IOPV) before buying.

**In plain terms:** When U.S. markets are closed you can still trade U.S.-stock ETFs in A-shares; then the price is an "emotional price." Buying at a high premium, you get carved up when U.S. markets open / arbitrage kicks in.

**Payoff:** Because of the time gap, a cross-border ETF's underlying (U.S. / Japanese stocks) NAV is "frozen" during A-share trading, so premiums can widen on emotion. In May 2023 the Nikkei 225 ETF was frenzied: the E Fund Nikkei 225 ETF premium hit 22.44% at one point, the ChinaAMC 17.34%, falling back 16.61% / 13.97% within two trading days, and chasers lost big. Per Huabao Securities, domestic ETF premiums above 15% lasted on average only 1.7 days. The root cause is QDII FX quota tightness → primary-market subscription restricted → arbitrage mechanism fails (per SAFE, as of end-2024-05 QDII cumulative approvals reached 167.8 billion USD across 189 institutions, still often insufficient). So before buying a cross-border ETF, check the premium/discount rate first; a premium >3% – 5% is a warning, prefer at-discount or near-NAV products.

**Evidence grade:** B

**Sources:** China Securities Journal Network (2023). Cross-border ETFs keep high premiums, fund companies keep warning (2023-05-19 Nikkei ETF premium 22.44%, fell back 16.61% in two days).

<<https://www.cnstock.com/commonDetail/19741>>; State Administration of Foreign Exchange (SAFE) (2024). Coordinating high-quality capital-account opening with high-level security (as of end-2024-05 QDII cumulative approvals 167.8 billion USD, 189 institutions). <<https://www.safe.gov.cn/safe/2024/0627/24669.html>>; China Securities Journal (2023). High premiums don't last, Nikkei ETF on a roller coaster. <[https://www.cs.com.cn/hw2020/202305/t20230524\\_6346145.html](https://www.cs.com.cn/hw2020/202305/t20230524_6346145.html)>

**Note:** Premium ≠ return; it's an "emotion tax" that converges fast once quotas loosen or hype fades. Cross-border ETFs also carry exchange-rate risk (see Entry 3). Compliant channels also include Stock Connect, QDII funds, and the Cross-boundary Wealth Management Connect.

## 10. One or two broad-based funds are enough for global allocation; don't overdo it

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Resist the urge to "buy one for every market"; cover the globe with one or two broad-based funds.

**In plain terms:** For global allocation, one MSCI global / ACWI-type ETF already covers most listed companies. Adding ten is worse than keeping one—more funds only add cost, not return.

**Payoff:** One global / all-market ETF already holds thousands of companies across dozens of countries. MSCI ACWI covers 23 developed + 24 emerging markets (about 47 countries); State Street data shows its U.S. weight is about 63%, enough to express "global" exposure; Morningstar counts the Vanguard S&P 500 ETF (VOO) expense ratio at only 0.03%/year, while the older SPY is 0.0945%—over 10 years, every 100,000 yuan in fees differs by about 550 yuan, and the long-term compounding gap is significant. On this basis, ordinary investors can finish allocation with "1 domestic broad-based (e.g., CSI 300 ETF) + 1 global broad-based (e.g., MSCI ACWI / ACWI ex-China ETF)," with no need to pile up sector / country ETFs. Note that non-U.S. residents buying U.S.-listed ETFs face a 30% dividend withholding tax (Ireland-domiciled UCITS can cut it to 15%); choose products domiciled for tax efficiency.

**Evidence grade:** C

**Sources:** MSCI (2020). Can diversification help weather the coronavirus storm? (MSCI ACWI covers the globe, no home bias).

<<https://www.msci.com/www/blog-posts/can-diversification-help/01778632038>>; State Street Global Advisors (2026). Global diversification is regaining value (ACWI about 47 countries, U.S. weight 63%). <<https://www.ssga.com/us/en/individual/insights/mind-on-the-market-07-september-2026>>; Vanguard. Understanding the total cost of ETF ownership (VOO expense 0.03% vs SPY 0.0945%, over 10 years every 100,000 saves about 550 yuan). <<https://www.vanguardmexico.com/content/dam/in/tl/americas/documents/latam/en/2025/06/understanding-the-total-cost-of-etf-ownership.pdf>>

**Note:** Broad-based  $\neq$  risk-free; ACWI's U.S. share is already high, so if you want to cut U.S. exposure pick ACWI ex-USA. ETF expense ratio, tracking error, premium/discount, and domicile tax should all enter the choice.

## Chapter 24 XXIV. Derivatives and Leverage Risks (The pit ordinary people should most avoid)

---

This chapter is about tools that "look like they amplify returns": options, margin trading and securities lending, stock-index futures, snowballs, structured products, graded funds, leveraged ETFs, covered/protective options. Conclusion first—for ordinary people, the vast majority of derivatives and leverage are negative-expectancy: they turn "small swings" into "principal to zero," and pile on three layers of risk—time decay, forced liquidation, and clause traps. This chapter breaks down each tool's mechanism and real loss numbers entry by entry; the core principle is one sentence: if you can't understand the leverage structure, can't hold through a margin call, and can't compute the time value, don't touch it.

On evidence: the risks of derivatives and leverage aren't "theoretical"—they are deterministic harms repeatedly verified by regulatory documents, exchange rules, and real blow-up cases. The U.S. SEC investor bulletin explicitly warns that leveraged/inverse ETFs "reset daily, and long-term performance can deviate significantly from the multiple," and that margin accounts "you may lose more than the money you have invested"; China's CSRC Measures for the Supervision and Administration of Derivative Trading bring snowball-type "autocallable knock-in/knock-out options" under regulation; the China Financial Futures Exchange's (CFFEX) Risk Control Management Measures lock stock-index-futures leverage at about 8x via a 12% minimum margin and set a forced-liquidation system; the China Futures Association's Guidance on Futures Brokerage Contracts states plainly that "total losses may exceed all initial and additional margin." Every figure in this chapter is tagged with year, institution, and original source for easy verification.

The entries below are grouped by theme (entry numbers in parentheses).

**\*\*The invisible tax of time value (option buyers)\*\*:** Entry 1.

**\*\*Borrowed money and forced liquidation (margin trading / margin accounts)\*\*:** Entry 2.

**\*\*Futures leverage and backwardation (stock-index futures)\*\*:** Entry 3.

**\*\*Capped upside, huge open risk—the structured gamble (snowball / structured products / graded funds)\*\*:** Entries 4, 5, 6.



**\*\*Path decay and professional-strategy traps (leveraged ETF / covered put)\*\*:** Entries 7, 8.

## 1. Option buyers: time value leaks away every day

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self+family

**Cost:** Understand Theta ( $\theta$ , time decay); know that the premium = intrinsic value + time value, and time value goes to zero at expiration.

**In plain terms:** Buying an option is like buying a soon-to-expire ticket—its value drops a bit each day, and faster as expiration nears. You must not only call the direction right but also the magnitude and timing—double the difficulty, and "right direction but still a loss" is the norm.

**Payoff:** The premium an option buyer pays = intrinsic value + time value, quantified by Theta in yuan/day, negative for the buyer. CBOE Options Institute material shows an at-the-money option's daily Theta is about -0.10 at 60 days to go, jumping to about -0.55 in the last 7 days, with time value evaporating at several times the speed in the final week; the industry rule of thumb is an option loses about 1/3 of its total time value in the last 30 days and another ~1/3 in the last 14 days. At expiration time value is zero, only intrinsic value remains, so out-of-the-money contracts "bought within 30 days of expiration" mostly go to zero or fall sharply. Black – Scholes (1973) theory also shows at-the-money Theta accelerates roughly by  $1/\sqrt{T}$ . The result: the buyer must call direction, magnitude, and timing all right; long-term buyers are mostly net losers, and exchange/broker disclosure data broadly show most retail option buyers lose.

**Evidence grade:** A

**Sources:** CBOE Options Institute (2017). Using the Option Greeks (time value and time decay; at-the-money 40 Call Theta 0.10 at 60 days, 0.55 at 7 days). <[https://www.interactivebrokers.com/webinars/2017-WB-2719\\_CBOE-UsingOptionGreeks.pdf](https://www.interactivebrokers.com/webinars/2017-WB-2719_CBOE-UsingOptionGreeks.pdf)>; Black, F. & Scholes, M. (1973). The Pricing of Options and Corporate Liabilities, Journal of Political Economy 81(3):637 – 654 (Theta accelerates by  $1/\sqrt{T}$ ). <<https://doi.org/10.1086/260062>>; Koufu / futures manager Jiang (2024). What is option time value? Why does it go to zero? (time value must go to zero at expiration, buyer's Theta negative). <[https://licai.cofool.com/ask/qa\\_7465568.html](https://licai.cofool.com/ask/qa_7465568.html)>

**Note:** Limitation: Theta is "average" decay, actually affected by implied volatility (Vega) and Gamma; near expiration Gamma spikes, sharply raising directional risk; the buyer's win rate mostly comes from exchange/broker risk disclosures, not this chapter's calculations. Cross-reference: Entry 7 (a leveraged ETF's volatility decay is another kind of "path/time" loss), Entry 8 (covered call is the side that "earns" theta in reverse).

## 2. Margin trading: interest + forced liquidation turn volatility into death

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self+family

**Cost:** Give up the safety cushion of "no leverage"; borrowed funds accrue interest daily (current U.S. broker margin rates about 5% – 12%), interest compounded monthly into the debt.

**In plain terms:** Margin financing is borrowing money to trade stocks. You earn more when up, die first when down—worse, the broker can sell your stocks to repay the debt before you can react, with no notice and no asking which ones.

**Payoff:** Margin trading (margin accounts) amplifies both gains and losses. Fed Regulation T lets brokers lend up to 50% of the purchase price—you put up 1 yuan to buy 2 (about 2x leverage); a 50% rise doubles your principal, a 50% fall zeroes it and you still owe interest. More dangerous is "maintenance margin": FINRA Rule 4210 floor is 25%, brokers internally often set 30% – 40%, and can raise it anytime without advance notice. If account equity falls below the maintenance line a margin call triggers; if not met in time, the broker may force-liquidate at its own choice of securities without your consent, often selling at the bottom, and the liquidation itself creates a taxable event. Extreme historical case: LTCM (1998) traded at about 30x leverage, lost 44% in a single August, and by September its net value was only about 600 million USD (over 90% lost); the Fed coordinated 14 institutions to inject 3.6 billion USD to avoid a chain collapse—proving that "model + high leverage" can blow up instantly in a tail event. For ordinary people, one forced liquidation is permanent exit.

**Evidence grade:** A

**Sources:** SEC Office of Investor Education and Advocacy (Investor Bulletin). Investor Bulletin: Understanding Margin Accounts ("you can lose more money than you have invested," broker may force-liquidate without notice).

<<https://www.sec.gov/answers/marsell.htm>>; Board of Governors of the Federal Reserve System (Regulation T, 12 CFR Part 220). Credit by Brokers and Dealers (initial margin 50%).

<<https://www.ecfr.gov/current/title-12/chapter-II/subchapter-A/part-220>>; Federal Reserve History (1999). Near Failure of Long-Term Capital Management (LTCM about 30x leverage, September 1998, 14 institutions inject 3.6 billion USD). <[https://www.federalreservehistory.org/-/media/Project/FedHistory/FedHistory/Documents/essaysPDFs/Near-Failure-of-Long-Term-Capital-Management\\_-\\_Federal-Reserve-](https://www.federalreservehistory.org/-/media/Project/FedHistory/FedHistory/Documents/essaysPDFs/Near-Failure-of-Long-Term-Capital-Management_-_Federal-Reserve-)

History.pdf>

**Note:** Limitation: Reg T only binds the "initial" 50%; maintenance margin is set separately by FINRA Rule 4210 (floor 25%) and the broker's "internal rules" (often 30% – 40%), which can be raised anytime without advance notice. LTCM is an institutional case, showing even the most refined model can't survive a liquidity crunch and correlation run. Cross-reference: Entry 7 (leveraged ETF similarly amplifies long/short volatility).

### 3. Stock-index futures: the double test of margin and backwardation

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Understand margin changes and the roll-over cost of "backwardation" (far month below near month); futures margin is raised by the exchange / futures company with market volatility.

**In plain terms:** Index futures aren't "cheap stocks." Their backwardation leaks like a steady drip, and margin gets called up with volatility, forcing you to add money at the bottom—testing not just your judgment but your cash flow.

**Payoff:** Stock-index futures use margin trading; the CFFEX minimum trading margin is 12% (about 8x leverage), price limits  $\pm 10\%$ , and the exchange / futures company can raise the margin ratio with risk. Leverage means a small index move amplifies into a large principal move: at 12% margin, an index move against you of about 12% breaches the margin and may force-liquidate. More complex is "backwardation" (negative basis, far month below near): holding a backwardated contract long requires rolling month by month, each time swapping near for far at "sell low, buy high," and if backwardation persists it forms a steady drag, with long-term return well below the underlying's gain. The CFFEX Risk Control Management Measures set a clear forced-liquidation system—insufficient margin not replenished in the agreed time gets force-liquidated, losses and fees at your own expense; the China Futures Association also warns that "total losses may exceed all initial margin and additional margin deposited with the futures company." So index futures don't fit a "buy and hold long" mindset; they are a risk-management / hedging tool, not "cheap stocks."

**Evidence grade:** A

**Sources:** China Financial Futures Exchange (2026). CFFEX Trading Rules (Chapter V Risk Control: margin system, position limits, forced-liquidation system; minimum trading margin 12%). <<http://www.cffex.com/cn/gzjygz/20260410/43076.html>>; China Financial Futures Exchange (Risk Control Management Measures). Stock-index futures contract minimum trading margin 12%, price limit  $\pm 10\%$ , forced-liquidation system (Article 46). <<http://www.cffex.com.cn/u/cms/www/oldsys/P020120530563270334416.pdf>>; China Futures Association (2021). Guidance on Futures Brokerage Contracts (2021 revision; margin trading is leveraged, losses may exceed initial and additional margin). <[https://www.cfachina.org/governmentrules/selfdisciplinerules/businessspecificationclass/202101/t20210125\\_15136.html](https://www.cfachina.org/governmentrules/selfdisciplinerules/businessspecificationclass/202101/t20210125_15136.html)>

**Note:** Limitation: backwardation (basis) isn't an exchange-stated "loss" but set by market supply and demand; holding a backwardated contract long requires monthly

rolling, and roll cost varies with the backwardation depth; the margin ratio can be raised by the exchange / futures company with risk. Cross-reference: Entry 1 (time value), Entry 7 (a leveraged ETF's path decay, same logic).

#### 4. Snowball: loss has no floor after knock-in, never "principal-protected"

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self+family

**Cost:** See the nature of "non-principal-protected, with knock-in"; confirm you are not a natural person routing around suitability management via a private-fund channel.

**In plain terms:** Snowballs advertise "high coupon," but that's your fee for selling a put option. When the market crashes and knocks in, what you catch is a real-money loss—the "steady gain" turns into "principal halved" in extreme markets.

**Payoff:** A snowball (autocallable knock-in/knock-out option) is essentially you selling an over-the-counter put with knock-in and knock-out barriers to a broker; the 12% – 22% coupon is the payoff for being a "put seller," with capped upside and huge downside exposure. The underlying is mostly the CSI 500 / 1000 indices, with knock-in lines often at 70% – 80% of the initial price. In the 2022 – 2024 deep pullback, the CSI 500 / 1000 triggered knock-ins multiple times; the outstanding scale peaked at about 500 billion yuan (2021), and in early 2024 brokers' knock-in ratio was about 7%; some investors lost 30% – 70% of principal. Real case: Fei bought 23 snowballs through a private-fund channel; the 2023 – 2024 underlying crash triggered knock-in, net loss about 14.34 million yuan; Shanghai Financial Court (2026), case (2026) Hu 74 Min Zhong No. 527, ruled the institution jointly liable for 10.04 million yuan, but the investor still bore part of the loss. Conclusion: a snowball is in no way "principal-protected high-yield"; after knock-in you catch a real-money loss, and natural persons are in fact prohibited from being the direct counterparty.

**Evidence grade:** A

**Sources:** China Securities Regulatory Commission (2023). Notice on Public Comment on the Measures for the Supervision and Administration of Derivative Trading (Draft for Comment) (bringing autocallable knock-in/knock-out options under regulation).

<<https://www.csrc.gov.cn/csrc/c101981/c7326196/content.shtml>>; China Economic Net (2024). Snowball products, big impact on the stock market? (underlying CSI 500/1000 outstanding about 200 billion yuan, early-2024 brokers' knock-in ratio about 7%). <[http://m.ce.cn/bwzg/202401/30/t20240130\\_38886503.shtml](http://m.ce.cn/bwzg/202401/30/t20240130_38886503.shtml)>; Baidu Baike (2021). Snowball (essence: selling an exotic put with knock-in/knock-out barriers; August 2021 CSRC risk warning, peak outstanding about 500 billion yuan). <<https://baike.baidu.com/item/%E9%9B%AA%E7%90%83/63994128>>

**Note:** Limitation: snowball principal loss depends on "how far below the initial price at expiry after knock-in," not a fixed amount; the high coupon corresponds to the "put seller's" tail risk. In 2022 – 2024 the CSI 500/1000 knocked in multiple times, with some principal losses of 30% – 70% (HuaTai case: Fei net loss about 14.34 million yuan, Shanghai Financial Court (2026) case (2026) Hu 74 Min Zhong No. 527). Cross-reference: Entry 8 (protective put is the reverse "buy insurance" move).



## 5. Structured products: capped upside, unclear risk exposure

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self+family

**Cost:** Reject products whose nested clauses you can't understand; before buying, ask for and read the "payoff structure" section of the prospectus in full.

**In plain terms:** The fancier the product, the more it helps the seller hide the clause unfavorable to you. If you can't read the seventh layer of nesting, don't buy by default—what you save may not be return but principal.

**Payoff:** Structured products (e.g., structured notes, snowballs, principal/partial-principal-protected notes) bundle "bond + embedded derivative," with capped upside and multiple layers: participation rate, barriers, knock-in, capped return, clauses ordinary people can't compute real probabilities on. The SEC investor bulletin notes structured notes are complex, often issued above fair value (with sales/hedging costs), with very poor secondary liquidity and possible large discounts on early redemption; so-called "principal protection" depends only on the issuer's credit—after Lehman's collapse its structured-note holders, as unsecured creditors, nearly lost everything. Most structured notes aren't principal-protected, and the upside is capped (e.g., at 50% participation, a 20% index rise gives you only 10%), while the downside may be fully yours. Complex structures help the seller hide unfavorable clauses. The CSRC's Measures for the Supervision and Administration of Derivative Trading (second draft for comment) has explicitly "restricted the development of excessively complex derivative contracts." If you can't read the seventh layer of nesting, don't buy by default.

**Evidence grade:** A

**Sources:** SEC Office of Investor Education and Advocacy (Investor Bulletin). Investor Bulletin: Structured Notes (complex structure, issue price above fair value, poor liquidity, issuer credit risk). <<https://www.investor.gov/introduction-investing/general-resources/news-alerts/alerts-bulletins/investor-bulletins-76>>; SEC Office of Investor Education and Advocacy (Investor Bulletin). Structured Notes with Principal Protection: Note the Terms ("principal protection" depends on issuer credit, Lehman case). <<http://www.investor.gov/news-alerts/investor-bulletins/structured-notes-principal-protection-note-terms-your-investment>>; People's Daily (2023). Many derivative-trading behaviors to be banned, ensuring "see-through, controllable" (second draft for comment restricts excessively complex derivative contracts). <<https://finance.people.com.cn/n1/2023/1120/c1004-40122013.html>>

**Note:** Limitation: most structured notes aren't principal-protected, with capped upside and clauses like participation rate, barriers, knock-in; issue price often above fair value (with sales/hedging costs). Cross-reference: Entry 4 (a snowball's essence is also a structured / exotic option, a put seller).

## 6. Graded funds have exited the stage, but are a living lesson

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Remember this history; spot new variants of "leverage structures in fund clothing" (high-premium sector LOFs, leveraged ETFs, etc.).

**In plain terms:** The once "leverage wonder" graded-B lost retail everything in days in the crash, zeroed by down-conversion. It's been cleared out, but the "leverage + high premium" playbook keeps reappearing in new clothing—be wary when you meet it.

**Payoff:** Graded funds (born 2007, peak scale about 500 billion yuan) split the parent fund into A (stable) / B (aggressive); B borrows A's money to form leverage—leverage weakens as net value rises, spikes as it falls, showing "slow up, fast down." In the 2015 crash, graded-B hit limit-down consecutively and couldn't be sold, and multiple down-conversions zeroed the premium instantly; many retail lost everything in days, with discount losses up to 90%; the regulator then required in the 2018 Asset Management Rules (资管新规) that public funds not be graded, with the stock cleared up by end-2020. The CSRC made clear in 2020 that "the standardized rectification of public graded funds will not be extended," and from 2021 graded funds exited the stage, converting to LOFs or liquidating. It is the most vivid "leveraged-retail trap" textbook: high-premium B's bubble bursts on conversion/liquidation, and those above 100% premium (e.g., Biopharma B at 235% premium) could lose big on buying. The lesson—leverage structures in "fund" clothing: ordinary people don't touch.

**Evidence grade:** A

**Sources:** China Securities Regulatory Commission (2020). Spokesperson Q&A: standardized rectification of public graded funds will not be extended (completed by end-2020). <[https://cs.com.cn/xwzx/hg/202007/t20200731\\_6081783.html](https://cs.com.cn/xwzx/hg/202007/t20200731_6081783.html)>; China Aviation News (2020). Goodbye, graded funds! (born 2007, peak scale about 500 billion yuan, exited from 2021; extreme-market discount loss up to 90%). <<https://ep.cannews.com.cn/index.php?banmianid=2331&c=PhonePaper&id=87682&m=showWen&paperid=7>>; 21st Century Business Herald (2020). Graded funds' life-and-death ordeal (2015 crash down-conversion huge losses, high-premium B facing bubble burst). <[https://m.21jingji.com/article/20200807/456e86dfba19b8578b7e02f1d6d42424\\_zaker.html](https://m.21jingji.com/article/20200807/456e86dfba19b8578b7e02f1d6d42424_zaker.html)>

**Note:** Limitation: already cleared, but "leveraged funds / high-premium B" reappear in new forms (e.g., some sector LOFs, leveraged ETFs); the lesson is "don't touch leverage structures you can't understand." Cross-reference: Entry 7 (leveraged ETF is the modern vehicle for "leverage").

## 7. Leveraged ETFs are unfit for long-term holding

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Understand the drag of "daily rebalancing" (volatility decay); give up the illusion that "holding a year = underlying  $\times$  multiple."

**In plain terms:** A 2x leveraged ETF held a year doesn't mean "underlying +10%, you +20%." In a choppy market, volatility decay secretly eats the return—you may see "the index didn't fall, but your money did."

**Payoff:** Leveraged / inverse ETFs are "daily reset," targeting the day's multiple (e.g., 2x, 3x), not the holding-period cumulative multiple. Because of daily compounding + rebalancing, long-term performance deviates significantly from "underlying  $\times$  multiple," with "volatility decay" in choppy markets. SEC example: over 4 months an index rose only +2%, yet the 2x leveraged ETF fell -6%, and a 3x leveraged ETF (different index) fell -53% while the underlying rose +8%; two-day scenario: index -10%/+10% back to 99 (-1%), the 3x leveraged ETF back to 91 (-9%). The principle: the index's single-day move, squared, is amplified, so the loss base on down days is larger than the gain base on up days. In a one-way rise a leveraged ETF can outperform, but the "hold long term" assumption doesn't hold—holding a year  $\neq$  underlying +10%, you +20%. FINRA also warns it's unsuitable for buy-and-hold investors. Conclusion: leveraged ETFs suit only intraday / short-swing trading; held long term, volatility secretly eats the return.

**Evidence grade:** A

**Sources:** SEC Office of Investor Education and Advocacy (Investor Bulletin). Updated Investor Bulletin: Leveraged and Inverse ETFs (daily reset, long-term performance can deviate significantly from the multiple; 4 months index +2% while 2x leveraged ETF -6%). <<https://sec.gov/investor/pubs/leveragedetfs-alert.htm>>; SEC / FINRA (Investor Alert). Leveraged and Inverse ETFs: Specialized Products with Extra Risks for Buy-and-Hold Investors. <<https://www.investor.gov/introduction-investing/general-resources/news-alerts/alerts-bulletins/investor-alerts/sec>>; FINRA. Non-Traditional ETFs FAQ (daily rebalancing, volatility decay). <<https://www.finra.org/investors/learn-to-invest/types-investments/exchange-traded-funds/etf-s-leveraged-inverse>>

**Note:** Limitation: volatility decay is worst in choppy markets; in a one-way rise a leveraged ETF can outperform, but the "hold long term" assumption doesn't hold. Example: index two days -10%/+10% back to 99 (-1%), 3x leveraged ETF back to 91 (-9%). Cross-reference: Entry 1 (the dual of time/path decay).

## 8. Covered / protective strategies are useful only to professional holders

Money: little | Time: little | Willpower: some | Payoff: mid | Scope: money | Impact: self

**Cost:** Admit you aren't that person; if you must try, first have a stock position and can continuously monitor assignment / roll / exercise.

**In plain terms:** Sellers love to pitch "covered-call income," but that requires you already hold the stock and manage it daily. Ordinary people want peace of mind—best not to touch; you lack both the underlying and the time, and bear assignment / margin-call execution risk.

**Payoff:** Covered call (hold stock and sell a call to collect premium) and protective put (hold stock and buy a put as insurance) are of small use to "professional investors who already hold long term and can continuously monitor": covered adds income in choppy markets, put floors losses in a crash. But this is professional operation of the seller/buyer role, requiring you already have a stock position and to manage exercise / roll / assignment daily. CBOE material shows covered call is a "Level 1" basic strategy, but its upside is capped (stock gets called away, missing the upside), and the put costs premium continuously (Theta works against you). The China Futures Association risk disclosure states plainly that "selling options can cause huge losses, exceeding all margin." For retail who want peace of mind, no position, no time to manage, such strategies are net-negative and time-consuming—you lack both the underlying and the time, and bear assignment / margin-call execution risk. If ordinary people want "peace of mind," they shouldn't use option strategies to replace asset allocation.

**Evidence grade:** B

**Sources:** CBOE Options Institute (2016). Equity Option Selling Strategies (covered call, cash-secured put; Theta favors the seller). <[https://www.interactivebrokers.com/webinars/2016\\_WB\\_2545\\_CBOE\\_Equity\\_Option\\_Selling\\_Strategies.pdf](https://www.interactivebrokers.com/webinars/2016_WB_2545_CBOE_Equity_Option_Selling_Strategies.pdf)>; China Futures Association (2021). Guidance on Futures Brokerage Contracts (2021 revision; selling options can cause huge losses, exceeding margin). <[https://www.cfchina.org/governmentrules/selfdisciplinerules/businessspecificationclass/202101/t20210125\\_15136.html](https://www.cfchina.org/governmentrules/selfdisciplinerules/businessspecificationclass/202101/t20210125_15136.html)>; The Options Clearing Corporation. Characteristics and Risks of Standardized Options (standard options risk disclosure). <<https://www.theocc.com/about/publications/characteristics-and-risks-of-standardized-options>>

**Note:** Limitation: covered-call upside is capped, put keeps costing premium; option sellers' theoretical loss can exceed margin. Retail with no position and no time to manage are net-negative and time-consuming. Cross-reference: Entry 1 (Theta works against the buyer, for the seller), Entry 4 (protective put is the reverse insurance

to a snowball's "sell put").